Phoenix Mills Ltd. (PHOENIXLTD)

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July 02, 2022
To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, D a l a l S t r e e t , F o r t , B a n d r a - K u r l a C o m p l e x , B a n d r a E a s t , M u m b a i - 4 0 0 0 0 1 M u m b a i - 4 00051
Security code: 503100 Symbol: PHOENIXLTD
Dear Sir/Madam,
Sub: Transcript of Investor Interaction

This is further to our letter da ted June 30, 2022, wherein we h ad informed the exchange about the conclusion of our Inve stor Interaction at India Real Estate Forum organized by Kotak Securities on said date, p lease find attached herewith th e Transcript of the said interaction.
The enclosed Transcript is also available on the Company's webs ite and can be accessed at https://www.thephoenixmills.com/investors

You are requested to take the same on record. Yours faithfully, For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary
Encl.: As enclosed

The Phoenix Mills Limited
Interaction at Kotak Real Estate Forum hosted by Kotak Securities
June 30th, 2022

Murtuza Arsiwalla : Hello everyone and welcome to the final day of our real estate forum. As most of you know, I am Murtuza Arsiwalla your host and moderator for this event. I'm backed by m y colleague Pratik Barsagade . Before I introduce our opening speaker this afternoon a quick word on the format - delegates please ensure that your display name includes your first name, surname and your company name , else this sys tem will sh ut your access . I will be happy to take your questions and invite you to post them in our chat box or raise your hand over the next 40 minutes . I will try and take as many as I can. The Phoenix Mills story is one that I know all of you are familiar with and are keen to know more about , so I am delighted to introduce to you Anuraag S rivastava, CFO of Phoenix Mills. Anuraag has over 25 years of experience in various sectors and geographies and a t Phoenix Mills he is responsible for driving the company's overall financial strategy, d eployment of capital , unlocking shareholder value, d eciding future fundraise strategies, mergers and acquisitio ns, and digital transformation. Anuraag, welcome to our f orum today. I would offer you the floor to put out certain opening remarks on Phoenix Mills in particular and the retail landscape in general before we get on to further questions , over to you Anuraag .
Anuraag Srivastava: Thank you Murtuza . It's a great pleasure to be here and interacting wit h the forum. I think retail is back with the bang and we are seeing pheno menal growth in all our formats i.e. our retail outlets as well as hotels , commercial offices, leasing space, etc . So clearly India has put Covid in the back burner and all of them are now trying to get back to the normal way of living and some amount of wealth which is accumulated over the past 24 months of staying at home or working from home is now avail able for spending or for getting back on track w ith the light. So we are quite hopeful that thi s will continue as a trend and we are in a good space to monetize that.
Murtuza Arsiwalla: Thank you Anuraag, I understand you've joined Phoenix Mills more recently, but if you could share the experiences of the organization at large coming out of the last two years of the pandemic. What have been the key learnings from these

past two years and what gives you
confidence tha t the reta il business is here for the long haul.

Anuraag Srivastava: Yes, a good question. You rightly said that I have been on board for about seven months, but there was a continuous interaction with both Atul and S hishir and some members of the management team over the last almost six or seve n months before joining and this was my main question t hat we are in a consumer facing business and the business has literally stopped right now ; so wha t is Phoen ix doing as well as , my own obs ervations of coming on board . I

think “trying 24 months ” is puttin g it very lightly. I think we went through situations which nobody had envisaged. There were no precedents , there was no playbook to what to do in these sort of situations. There was a lot of noise on what to do, what not to do, the government coming up with regul ar updates, circulars, and as you know with some of the states where we have a large presence , the government itself was very slow in opening of the malls. But I think the company and the management team decided to do what we know how to do well, w hich is looking for heads down. We look at things which we control rather than the external factors , and then ge t on with our business. I think we evaluated the entire business model. We had a significant retail construction portfolio underway and substantial office expansion that was planned pre Covid . We were clear that this part of portfolio should continue and we will see to it that it goes undisturbed . So this was what was internal . Externally, we looked at opening trends in the other parts of the world specifically what was happening in China etc. and realize d that this is not the end of humanity as we call it. Things may not even change that drastically ; this is a temporary blip, and we strongly believe that, sure, some part s of consumption will disappear, some part will go online fo r the time being, but that's a natural progression of business, and it happens over a passage of time in any case. The other thing is that as compared to some of the other developed nations, organize d retail in India is very low penetrated even as we speak. This is a clear opportu nity for companies like Phoenix Mill s. This is the thing to go ahead with ; organized retail and modern retail is going to catch up, and this opportunity was evident for us ; and we decided to capitalize on the opportunity. In fact, we decided that we'll doubl e down our model of creating the malls. As you know, our malls ; whichever mall whic h we look at, are the center of the town where a lot of activity takes place. We have seen it acros s all our developments, but quickly, sor t of recapitulating the key chara cteristics of this model - we believe in creating large destination malls in city center location. Each of our malls has great connectivity to multiple public tra nsports and that gives us an inherent advantage. The retailer mix in our malls -straddle s convenience , luxury and bridge to luxury. On top of that, there is a huge space is allocated to entertainment and experiences et c. We look at places where the market is unpenetrated , where there is limited or no competition or alternatives to a mall coming up at that size and scale. We take pride in managing our assets well, which reduces operational headache for retailers. They just need to open their place of business and do business. A dense, relevant and rich catchment surrounded by premium luxury residential projects grade A offices ; I think if we put all this together, this is another incentive for people to come and open places of business in our malls. As you know we strongly believe in multi -use, mixed use, development of a project site. So I think that densification further incr eases consumption , so these are few of the items which are part of our st

rategy and we said we are going to develop further on that. Just on the malls itself, I think we decided that we are going to push our bound aries and since we are creating city centers , we said, why not make them grander or larger. If we create a place lik e that, people will come to shop, people will come to open their businesses. We also look at as I said earlier, that our mall in the future will not only be a shopping haven or a shopping destination. It will have concerts, performance theaters, spectacular events, a variety of F&B offerings and even places like ice rinks . The focus would also be on architectural splendor or architectural marvel . I mean,

as you and most of the audience know s, malls in India are not just shopping places as in West or in other parts of the world. They are an outing for the family over the weekend or generally a go to place for everybody. So we believe that an integrated offering of retail F&B and other such experiences would drive footfalls, and that's what we drew as a strategy. Coming back to the busi ness performance and you m entioned that are we confident that the retail is back etc. So our malls have bounced back strongly , as I said in my opening r emarks. We have seen that April and M ay 22 , they are at about 30% or there are about from April and May 2019, which was the pre Covid period. So there's a strong comeback on the demand on April and May ; June is seeing a strong growth trajectory and that trend should continue. S urprisingly we've also seen enhanced retailer interest in taking a space in our mall , while our malls were very large to start with , we found it increasingly difficult to accommodate e verybody and hence

the idea of making a grander or larger mall. While the FY 22 Covid period was one of the toughest periods , during this last yea r itself we had gross retail leasing of 4 million square feet which is a fantastic achievement by our leasing tea m. About 1300 outlets were leased out. It is our constant endeavor to keep delighting our customer s. I think the business is back and the customers are coming back to mall s and we are comm itted to take this journey forward .
Murtuza Arsiwalla: And then at that a point that you kept mentioning in your d iscussion about making bigger, larger , grander mal ls, Phoenix Mills by far has amongst the larger malls in ev ery city that you're present at i f I may take on average 1 million square feet, right, w e have seen some m alls in India w hich are built of the 2 million square feet mark , and in my recent interacti ons with some of your peer s, some of them have shown an interest of building a mall for almost about 3 million square feet. Any take on what would more grand really be. I mean the way I was thinking of it, and maybe it's my personal observation , a million square feet to cover in today's time is also hard , 2 million square feet harder. I'm not sure whether we have the kind of retail interest or people for 3 milli on. Just sort of get your sense of what acc ording to you is the right size of a mall or is it dependent on specific sort of micro markets in the We st or in more developed markets you may have seen even larger sort of m alls, but just getting a sense of how Phoenix Mills really thinks about the rightsizing of the mall asset.
Anuraag Srivastava: I think from our perspective and our experience, as I said, if you look at our malls at many points of time, we found it difficult to accommodate even some of the marquee retailers. I mean there were people who were doing business and they were doing it re ally well , and even on an increase d rent, they wanted to stay on. So that's one point of data for you. Second thing is I think when you talk about competition, I think it's just one player who is talking about it to 2 million or 3 million squa re feet mall . Most of the malls

in the country which you see are
less than a million square feet. I think only seven or eight malls which are above 1 million square feet , I maybe sort of here or there by one or two . But as I said, we create a mal l not just for shopping, w e also create a mall where it's an en tertainment center , a good F&B place, a multiplex , there are concerts happening over there etc which drives footfalls , so I never said it's a s hopping destination , I just said it's a destination center. I think that the right size mall in

my view would be between about 1 million to 1.3 million square feet. And that should take care of most of the retailer interest and take care of no cannibalization among brands etc.
Murtuza Arsiwalla: In the past I have post this question as well. I have seen Phoenix Mills acquire certain under construction malls . Indore and Lucknow being the case in point where you took over assets which are half way built and took upon t he onus of completing those malls and we've already seen what you've been able to do with the Lucknow property. Would you b e open to the idea of acquiring operationa l malls or ev en a chain of operational malls and what for you are the key considerations before you were sort of proceeded such acquisitions.
Anuraag Srivastava: You're right, the two mal ls which we acquired in Lucknow and Indore were under construction malls. So I'll just for the sake of a b it of repetition, but I'll just reiterate th at we look at creating 1 million square feet plus mall s which are city center destinations . We always strive to create value accretion of shareholders. So we look at projects in excess of a pretax XIRR of 20% plus . So that's one of the big consideration that if we're looking a t a property , we're looking at creating something which should accrue value to our investors . The other important factor , if you consi der for a mall is location i.e. prime location in metro cities, big cities, etc . We take a lot of feedback from the retailers on which are the upcoming shopping or whi ch are the upcoming consumption cities in their view where they would like to be present , so it's a partnership it's not just Phoenix going and creating a mall and then sort of scouting f or tenants . So it is sort of a co-build plan of saying that ok, these five cities are of importance and let's go over there. What kind of surrounding catchment is there? Is it a premium catchment? Is it a place where a lot o f people come or are likely to come. We have learned over a time to only go to places which have existing infrastructure, not future infrastructure. We tend to stay away from those because it's India and we don't know when the future infra structure is getting delivered. So we tend to stay where there is a n already existing infrastructure and wha t is the existing and upcoming future potential and intensity of the competition in the market. I think if we look at the current malls which are available , there are very few retail assets which meet this criteria, which are existing running retail asse ts, and even if there are , the owners of those assets are not in a sale mode at the moment. So we scan and we continuously look at deals to acquire but I don't think there's any significant portfolio available, but we'll be happy to evaluate the same if any good opportunity comes up by now.
Murtuza Arsiwalla: Thank you Anuraag . I see Palak Shah having raise d the hand from Infin a. Palak please go ahe ad with your question.
Palak Shah: Thank you for taking my question. So firstly, you mention ed that there 's been a recovery across the board or at least on the retail consumption side. So I just wanted to be wanted to

ask whether this is a recovery speci fic to Phoenix, given that there's a limited visits to the start of this year, limited visits to the mall or it is more broad based

across market?
Anuraag Srivastava: So the question is, is it just pertaining to Phoenix malls as recove ry or if there's a general uptake in the economy is that

Palak Shah: Yes sir
Anuraag Srivastava: I think by convi ction I can speak about my malls i.e. Phoenix Mills malls for that matter. But when we speak to retailers etc, I think there's a gradual increase in consumption itself. We publish consumption data very transparently and monthly consumption data on our website as well. So you'll see from the c onsumption and this is I think, reflective of how the retailers are performing or how the brands are performing. I think there is a general overall increase across our malls in t erms of consumption and I tend to believe that this will be the case in same meas ures across their other outlets also, though I'm not sure.
Palak Shah: So secondly, you ment ioned about now adding more mall s, so would this be more specific to a metro cities or you see Tier 2 and Tier 3 towns a lso see ing an increase demand for mall size of a million plus square feet.
Anuraag Srivastava: Ok, so internally when we eval uate a city or when we evaluate an opportunity we don't distinguish between a Tier 1 and a Tier 2 city. We distinguish between a Tier 1 and a Tier 2 opportu nity. For example, we consider Ind ore or Ahmedabad to be a Tier 1 opportunity, because there is very little competition and there is a huge requirement for this kind of a mall which can become a city center. So we evaluate it in that way and I've so rt of covered on what factors we consider when we look at the malls. Our current malls if you see we have two mal ls which will get delivered shor tly before Diwali that is Indo re and Ahmedabad and two more malls coming up in Bangalore and Pune. I think over a period of time we are building malls i n Calcutta, which is our first mall in Calcutta our first entry into Calcutta. We have acquired a parcel of land in Surat which we again think with the diamond bourses mo ving from Mumbai to Surat and Surat being a very nice commercial mind ed city , I think there's a lot of opportunity for retail over there. We continue to look at land parcels in seven o r eight of identified cities and look at expansions over there . We are also expanding our Phoenix Palladium flagship store, so over a period of time, the retail area in Phoenix Palladium will develop . There is new area being created and of course the Projec t Rise which comes up also has retail presence over there . Just in numbers , I think 700 thousand square feet was the size of Phoenix Palladium before any expansion we have added about I think 200 thousand to 300 thousand ; 200 thousand is a lready operational , another 200 thousand will become operational next 12 to 18 months' time and another 300 will become operational once Project Rise is in place. So we constantly look at ex panding our current mal ls. I think we will also look at expanding th e Whitefield mall. We have a small expansion in Pune , Viman N agar mall as well, so we continue to look at expansion of our current mall s. There are about 9 or 10 cities identified which we think are very good centers as of now, out of which we have sort of tapped two or thre e of them. And this will be our growth journey goi ng forward in terms of cities.
Palak Shah: So just on the rental side we saw a bit of negotiations that happened in favor of the retailers, now with normalization of the trade, do we expect them to go back to the old terms and conditions, or we'll have a bit of a higher share on that rental side.

Anuraag Srivastava: So as of today, almost all the discounts which we had given have fallen off and most people have come back to their original MG plus revenue share model. There is a lot of renewal which is happening , which we had held back for the last two y

ears and we are doing now . So, some
of our malls are getting new tenants and some of the lease rentals are getting revised upwards. We had not done any lease renewals or renegotiations for last two years so that is coming up. There are some retailers who had gone bac k to an increased RS to compensate for the discount which we had given during the pandemic time. I think that the increased revenue share will remain for next maybe tw o or three quarters and it'll revert back to the normal rental at that point of time.
Murtuza Arsiwalla: Thank you Palak . I also see Madhav Sangral from Millington having raise their hand. Madhav please go ahead with your questions.
Madhav Sangral: Just the first one may be more strategic question . As we maybe lo ok outside India globally there are a lot of difficult tre nds that in particular on the retail side malls are facing globally. So as you think about your business strategic ally, India I agree is at a very different position ; but as you think , forward 5-10 years , whether it is more mixed use, including commercials with

retail space, or it's being thinking about who that anchor tenant is for the mall; what strategic decisions or con siderations a re you taking into account as you look forward, maybe 5 -10 years and you ju st think about the primacy of the mal l in the city center location?

Anuraag Srivastava: So st rategically, you are right that India is probably a very different place as far as organized retail is concern ed vis-à-vis with some of the other countrie s. If you look at Phoenix per se, I think the strategic imperatives are as below. One, we expand to the areas or the eight or nine cities that we have talked about , we h ave committed to deliver 1 to 2 million square feet of retail every year. When we analyze any retail project, we do it purely on basis of retail and what kind of returns th e mall will throw back at us , but there is a clear drive to densify th e area which we take up so you'll see that mall is the first entry point and beyond that there is a densification in terms of either c ommercial office tower or a hotel or a residential in rare cases, but maybe a residential is there . There is a lot of opportunity for us to densify our existing projects, so we have expan sions coming in Bangalore, White field in a big way , we have expansions coming in Pune, Wakad , which is a new mall and the expansions will happen along with that , we have a Grand Hyatt coming up in Bangalore along with the Whitefie ld mall and so the densification increases . I mean just to give you an idea , we have about 7 million square feet of retail with about one or two million square feet of offices. This 2 million of office space is going to go up to 5 million of office space and this is just on basis of the den sification which I spoke about. So there is a sort of a rebalancing of the portfolio in terms of moving from r etail focus, which continues to just chug along and create more value for the investors and add office s pace, hotel space, etc and this in a way I mean de-risks a little bi t of our strategy. If the pandemic has taught us anything, it is that if you rely too much on one line of business, which is retail in this case, in a black swan event like Covid , that can come under sort of closure, but the offices will c ontinue to run , the hotels will continue to run. So, I think diversification in summary , we continue building a strong retail p ortfolio leadership position , densify the space in terms of creating

offices or hotels around that and a little bit of balance of our portfo lio in terms of proportion of retail versus o ther assets . We can also look at adding more F&B etc, bu t those are smaller parts of the business .

Madhav Sangral: Ok, and the re was a previous question maybe if I could follow up on that. I think your poin

t about your specific strate gy within these 8 or 9 nine cities, but if you maybe look beyond some of the largest cities like just. Could you give us a sense you obviously done devaluation like when you look at some of that next 20 cities how does the economics work in terms of the lower cost of the land verses potentially the rank you'r e going to get and just the may be the degree of interest from the range of retail locations a nd things like that, what is that next opportunity said is you do the business economics on that how does that look. And how does that compare to maybe 8 or 9 cities that you're focused on?

Anuraag Srivastava: So, I think I covered this a bit in the second question. But, you are very right that the land prices are lower in maybe th e smaller cities and so is the rental . As I said, we look at cre ating sort of a city center . So, for example, if you take the Lucknow mall, it comes in that category where the land rate is lower and maybe the rental should be lower as well . But if you look at Lucknow it is not only a Lucknow shopping destination, but it is becoming a sort of a UP centric shopping destination where people are coming , maybe even traveling 100-150 kilometers to shop over the weekend . Surprisingly, Lucknow is a mall, which was the fastest to reach that INR 100 crore EBITDA mark ; some of our other e arlier projects even in larger cities have taken maybe 3 -4 years or maybe five years in some cases to reach that mark. Lucknow was able to do it in a year or 18 months' time . Also , if we look at rentals in Lucknow they are at about INR 100. And if you look at it, Ba ngalore , it would be about 160. So it's clearly a potential to be tapped. The rentals are not so low and as I said, we clearly concentrate on deliver ing an X IRR, which is more than 20%. So all our financial modeling is around that. If you are able to deliver that, then definitely. Maybe a city like A hmedabad if I can talk about our rentals are expected to be 150 plus, which i s, I mean, Ahmedabad maybe sort of a B town or a Tier 2 city, but rentals are maybe as good as some of our other malls .

Madhav Sangral: Just last question from me. If you could jus t please start tel ling us, just what trends you're seeing on the hospitality side. I think y ou've got assets in Agra and Mumbai as well. Like what are you seeing in terms of ADR ? What are you seeing when it comes to occupancy and how does that compare to pre Covid levels, and I mean just give us a sense of where you think that business goes in the next two to three quarters .

Anuraag Srivastava: Yes, so we are quite bullish on hospitality and t he reasons for being bullish on hospitalit y is, I think there's a lot of potential to building new hotels and realizing the kind of hotel room rates as some of the well-establis hed cities in the world command . Specifically on the performance, I think if you look at our flagship property whi ch is St. Regis , I think in the period once we came out of the Omicron variant, which was J anuary end I suppose or early parts of February , we had next three or four months of 90%+ of occupancy. The hotel is doing a business of about, I think 30% more from the pre COVID periods , and this is when there are two floors in the hotel

which are under renovation where we are building a fantastic consumer experience . We are coming up with two or three concept restaurants over there and we are also creating a unique banquet or a drawing room sort of a place for people to hold their get -together s. So that is under construction ; even without that we delivered , about 30% over the pre Covid period . The RevPARs and the room rates are among st the highest. I think during these three months we touched about INR 10,000 to 12,000 in terms of RevPARs . A business hotel like St. Regis sees lesser t raffic once

the summer vacation starts because a lot of overseas travel drives up and people are going away on the vacation, etc. But even if you look at June, the current month itself i s about on an average between 70 % to 75% of occup ancy and great revenue s as well. Agra is a tourist destination hotel. Again, similar numbers were not as sort of bullish as St. Regis but higher levels of occupancy more than pre -Covid and higher levels of activity over there . So overall, we're quite bullish over hotels , our hotels specifically. We are building a Grand Hyatt in Whitefield, Bangalore and that's a convention -centric hotel. So, we thought in Whitefield with the kind of surrounding catchment areas of I T companies etc ., there will be lot of convention -center s and demand for a nice hotel, so we will be building a hotel over there. So overall we're quite bullish on hotels and the hotels are doing well.
Madhav Sangral: One quick follow up for St. Regis, can you just give us a sense of to what extent international travelers have come back. I don't know if we can get that in percentage terms or just any kind of any sense of that, and that's it. Thank you very much.
Anuraag Srivastava: Yes, so about 30% i s the foreign travel at the moment, so there's a lot of scope to increas e because if you see pre Covid period the percentage u sed to be about 50% and more. So about 30% has come back. We are seeing a lot of investors and a lot of companies holding their confere nces etc . where overseas guest s are there . We were quite proud to hold some of the top management teams coming and visi ting from marquee investors who decided to stay in our hotel. So we're seeing it coming back. It is still 30%. And that's o ne of the reasons for our bullishness as well, becaus e with 30% of foreign t ravel and two floors, still to go live ,post the Covid refurbishment , we're still about 30% higher than pre Covid, so I think it's quite a bullish scenario.
Murtuza Arsiwalla: Thank you Madhav, Anuraag I'm going to take some questions which have come in the chat box. Deepak Gupta put these questions forward. What are the level of negotiations in terms of revenue share versus fixed rentals and what would be the proportion of revenue sha re in the company's portfolio? That's his first question. The second question is, given multiplexes play a large role in bringing in footfalls, would consolidation of two national chains impact the company's negotiation ability?
Anuraag Srivastava: Ok, I think I mentioned it a bi t while ago , we are back to p re Covi d rental contracts so we charge a higher of minimum guarantee or a revenue share. Reven ue share varies in terms of the percentages over categories ; minimum being about 7%-8% and highest being about 25% plus. It depends on the category . The proportion of revenue shared to our rental is about, I think 10% of revenue share and 90% of minimum guarantee. So, we see upside in terms of

consumption increases, because once the retailer crosses over the minimum guarantee, any increas e in consumption, sort of flows to us as well. The second question was on con solidation of multiplexes, so not much impact at all. I think the two big m ultiplexes are consolidating but most of our business was with PV R. We had few Inox theatres in our place but up till now we're not seeing a sort of any impact whatsoever either negotiations or on n ew malls, occupancy etc.
Murtuza Arsiwalla: If I were to s upplement on that one , while we talked about the cinema houses, in general when I look at retailers in India they have two or three business houses which have a very chunky state as well as retail pre sence in India goes, be it the Reliance Ret ail group, or Tata s or even Birla s. Does that put a large concentration risk as far as your business goes.
Anuraag Srivastava: We've been getting this question

frequently now and there are few ways to answer this question. I think there are four or five big business houses which are consolid ating in terms of retail and you name d all of them in f act. They still represent about maybe 25 % to 30% of our portfolio in a mall ; still 75% is in line stores ; 75% a re the ind ividual brand owners as we call them. That is one . Secondly, the space in which we play which is luxury , bridge to luxury and some of the upper market brands , I think these kinds of brands also need pl aces like Phoenix to sell. So, as I said, it's a coexistence ; you can't have let's say a Gucci without a Ted Baker or a Massimo or Michael Kors along with it . You cannot have just one single store surrounded by other stores which are not in the class. So, we create those marketplaces as well . Not all our business is luxury or bridge to luxury and there is a definite sizable chunk of the normal brands as well. So, I think it is co -exist ential , we have to build on each other ’s strength s to grow the business and up till now the partnership is working well.

Murtuza Arsiwalla: There is one question which is more of a follow up, so I'll take that quickly . In terms of the revenue mix where you talked about 10% being from the revenue share component, 90% from minimum guarantee , the question is how did that ratio look like on a pre Covid basis?

Anuraag Srivastava: I think it's similar. As I said, we are back to that ratio only. It looked similar and no change from there.

Murtuza Arsiwalla: I'm going to put an other question at you, obviously High St reet Phoenix is the flagship mall and a very important asset in your portfolio . There have been questions that we have been getting from investors about how competition from new malls being set up, includi ng very close to our office in BKC , how does that change the dynamics for something like a High Street Phoenix going forward, you didn't have any compet ition , is new competit ion coming through and h ow does one think of that in terms of what the earnings contribut ion or the consumption patterns of High St reet Phoenix look like ?.

Anuraag Srivastava: In numbers per se, we are not seeing any change. In fact what I talked about April and May were about 27 % to 30% higher than pre-Covid period . Definitely a sizable presence of a competition mall in BKC, which is another , lot of BK C people would have traveled to let's

say Phoenix M arket City Kurla, which is just next door or maybe down to Palladium for that matter. May not happen, but I think the consumption growth doesn't talk about it. I think they have on e more mall coming up in BKC , we have to keep our fingers cro ssed . As a company we are prepared to enhance our experience , look at more value and how can we add or give more value to our consumers etc. Currently we don't see any significant difference in our mall functioning , either in Kurla or in Phoenix mall .

Murtuza Arsiwalla: I'm going to pull up two more questions from the chat box. So there was a question from Paw an Kumar at IFL, his question i s, is consumpti on revival uniform across luxury ; bridge to luxury versus normal brands over the last five months? So is there any differentiation and if I may supplement that question, is it different across various categories, so is there a revival happening across price points across categories , or is there any sort of differing trends that you're picking up?

Anuraag Srivastava: Ok, so f irst, let me a nswer the category question . Across the categories which are doing well, I mean some are up almost 40 % to 50%. I think fashion is doing well ; electronics , jewelry ; so all the lifestyle brands are doing well. I think the consumption struggle or the category where there is a lag is hypermarkets , largely because of a dominant player who is undergoing NCLT process, and they are

not able to run these stores . While Reliance has taken over stores and we are not getting impact on our income per se because our rentals are being paid by them. But consumption wise, hypermarket is a category that is not doing well. Cinemas is another one where , the cinemas opened to the end part of the spectrum and secondly, if yo u look at it, there are no big content out like blockbusters as yet. I mean we had a few Hollywood blockbusters and maybe one or two Hindi movies, but largely the re are two or t hree South Indian movies which are carrying the burden of getting the people to the movie theaters . But I think there's a lot of good content lined up ; there are a few big blockbusters which are lined up so cinemas should come back pretty quick ly. F&B is lagging behind, but it is catching up pretty quickly so F&B should come up pretty soon , it is just a lag I think people got used to ordering from home and they're sticking by it . But, I think F&B is just a matter of time . In case of multiplexes again with the content we'll see the people back. Hypermarket is something we should watch and see when they come back. In terms of luxury versus other, I don't have the exact data with me at the moment, but from what I see in various monthly reports, etc. I think it's universal and there's no difference between luxury and others .

Murtuza Arsiwalla: There's another question in the chat box from Summit A garwal. His question is what is the kind of capex that you're looki ng at over the next three years and how are you looking to fund the same? How open are you with management of m all versus o wnership ? How do you think mix will chang e in the next five years?

Anuraag Srivastava: I think we intend to spend about INR 1,700 to 2 ,000 crore of capex every year which i s the malls which are coming up. I think we have four malls going live in next 12 to 18 months and then the cycle will keep on goi ng in terms of office complexes and malls ; so it will tend to about INR 1,700 to 2 ,000 crore of Capex every year. Then how do we fund it, I think most of these projects

are a lready fully funded. We have a sort of an ideo logy of not fue ling our growth through debt. We tend to rely on equity a lot in terms of growth capital , only w hen we have a line of sight of mall or an office complex going liv e and getting operational is the time where I mean say it's about two to thr ee quarter s away, t hat's where we tend to take small am ount of construction finance and until then is funded by equity. This construction financ e is very soon converted into an LRD or an operational mall loan . So, our theory on this is that we will borrow only against an asset which is operating and can fund the debt on its own operational cash flows rather than using it for growth capital. So, we tend to do that , and we are v ery well funded , we have marquee , very long -term patient capital partners who have partnered with us. We did a few of the equity raise in last 12 to 18 months so that has helped . We have sanctioned but undrawn bank lines of about INR 1,500 crores and about INR 1,300 crores is the cash which we have from infusion from our deals with CPP and GIC so we are very well funded overall to fue l this growth. Also, I think once the malls are complete and you draw down on LRD, it’s a virtuous equity cycle which comes back. So you can draw down on the debt once the asset is completed and the repayment of the equity can be br ought back into fueling growth. So it's a virtuous cycle which we are trying to c reate in this business and w ith our four m alls coming up, I think we'll see a lot of equity getting released further so that's on that I think maybe you'll have to recap the other parts of the question. It was a long question.
Murtuza Arsiwalla: At the second part of the question was about how op

en are you to management of malls as opposed to overall ownership? And do you think there will be a change in mix between ownership and m anagement of malls for Phoenix m ills?
Anuraag Srivastava: Yeah, so in Phoenix we love creating and opening our own malls. I think that's where we f eel we can provide the maximum value to our shareholders and a fantastic experience to our customers and shoppers. While we are not close d to the idea of managi ng a mall, but I think it's not in, i f I were to do a priority list in terms of strategic imperatives that will not feature, maybe in first few top items to diversify. But having said that, if there is a fantastic opportunity , we will look at it, but no t actively or not intensively.
Murt uza Arsiwalla: In the interest of time, I'm gonna put forward one last question to you. We've got another session to hop on to. You have two very large sort of pr ivate investors in various malls of yours, both in terms of CP P as well as GIC through various asset ownerships that they have. What is the plan for giving them an exit a t some point in time so from both a timeline perspective as well as the form in which that exit will come on? Any thoughts on that?
Anuraag Srivastava: Yes, so I think it is a bit early to talk about it, but let me sort of answer that question. See we are in build out phase at the moment and this build out cycle on both the platforms will continue for next three to four or five years. We are blessed with sh areholders and inves tors who themselves believe in staying for long -term and creating a long -term value. So, there are no current discussions on what would be the exit and how we would go about it. For GIC, we have disclosed it publicly a lso, there will be an attempt to create a REIT, with no obligations on either side . In three to five years’ time , the contract says that both partners will look at creating

a REIT . With CPP there are no defined exit paths or not even intentional exit paths in the documents, etc. So, as I said, currently both us and our partner s’ focus is on expanding this portfolio and making these two very large and very profitable portfolios. As and when the time comes, at that point of time we will evaluate various exit options if required by our investors and then decide on the way forward .
Murtuza Arsiwalla: Thank you, Anuraag, the Phoenix story is truly fascinating and I want to thank you for so generously sharing your knowledge and insights with us today . Delegates thank you for participation. See you in just a few minutes for our next session, which is all set to go live . Anuraag thank you once again for your time . Goodbye .
Anuraag Srivastava: Thank you, thank you everybody.

Call: Sep 2022

August 17, 2022
To,
BSELimited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai- 400 001
Security code: 503100
Dear Sir /Madam, t. ■■ THE PHOENIX'Y' MILLS LIMITED
Corp. Office : Shree Laxmi Woolen Mills Estate, 2nd Floor,
R.R. Hosiery, Off Dr. E. Moses Rd. Mahalaxmi, Mumbai -400 011
Tel : (022) 3001 6600 Fax : (022) 3001 6601
GIN No.: L 17100MH1905PLC000200
National Stock Exchange of India Limited
Exchange Plaza,
Bandra-Kurla Complex, Sandra _East,
Mumbai- 400051
Symbol: PHOENIXL TD
Sub: Transcript of Earnings Conference Call
This is further to our letter dated August 12, 2022, wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30, 2022, please find attached herewith the Transcript of the said Earnings Conference Call.
The enclosed Transcript is also available on the Company's website and can be accessed at https://www.th ephoenixmiJls.com/investors
You are requested to take the same on record.
Yours faithfully,
For The Phoenix Mills Limited
Ga5■: ■
Company Secretary
Encl.: As enclosed
Regd. Office: The Phoenix Mills Ltd., 462 Senapati Bapat Marg, Lower Parel, Mumbai 400 013. •Tel: (022) 2496 4307 / 8 / 9
•Fax: (022) 2493 8388
E-mail : info@thephoenixmills.com • www.thephoenixmills.com

The Phoenix Mills Limited
Q1 FY23 Results Conference Call
August 12, 2022

Moderator : Good day , ladies, and gentlemen, and welcome to the Q1FY23 Results Conference Call of the Phoenix Mills Limited. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. The Management of the Company is being represented by Mr. Sh ishir Shrivastava – Managing Dire ctor, Mr. Anuraag Srivastava – Group Chief Financial Officer and Mr. Varun Parwal – Deputy Chief Financial Officer . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this conference is being recorded. At this time , I would like to h and the conference over to Mr. Shishir Shrivastava. Thank you and over to you sir.
Shishir Shrivastava: Thank you. A very good afternoon, ladies and gentlemen. We welcome you to discuss the operating and financial performance of the first quarter of FY23 . Q1FY23 has historically been the best first quarter we've had across our retail and hospitality operations ; 2 sectors that were hit hard by the pandemic. I hope you've had a chance to look at the results presentation shared by us. It is uploaded on the stock exchanges as well as on our website. I will now take you through the key highlights of the results and will refer to relevant slides of the results pre sentation from time to time.
We will start with the perfor mance of our retail portfolio ; please

refer Slide 3 onwards of the results presentation. Consumption in

Q1FY23 was at Rs. 21,905 million. This is a 23% growth over Q1FY20 consumption. If we exclude the contribution by Phoenix Palassio , Lucknow, we have seen 11% like to like growth compared to Q1 FY20. Q1FY23 saw the highest quarterly consumption at our malls in the first quarter of any financial year ; and please note that this was achieved despite the end of season sales being delayed to the month of July this year. Consumption was robust across categories. Some of the top performing categori es were Jewelr y, which was up 115% from Q1FY20 , Multiplex which was up 73% from Q1 FY20 and Electronics which was up 33% from Q1 FY20.

If I ma y draw your attention to slides 4-6, we have seen the retail consumption momentum continue in the months of Ju ly and August till date. For the month of July 2022, we recorded consumption of Rs. 7,920 million, up 33% compared to July 2019. July benefits from the delayed start of the end of season sale as well as revival of promotional activities and events a cross our malls. You may see images on slides 5 and 6 of performances by prominent artists, which remain a big crowd puller across our centers . Incidentally, July 2022 consumption is the highest ever consumption recorded , in our history and it surpasses the previous high witnessed in December 2019.

If I may draw your attention to slide 7, we have achieved consumption of almost Rs.30,000 million in YTDJul -22 (Apr22 - Jul22) , up 26% compared to the same period pre COVID. If we annual ize the YTD performance, I will estimate that we can target an annual consumption of at least Rs. 90,000 million. We believe that we could surpass this figure of Rs. 90,000 million on account of multiple reasons such as i) new trading area beco ming

operat ional across existing malls , ii) sustained consumption growth , and iii) new mall s opening in the second half of this financial year ; this is of course subject to there being no disru ption in business operations.

If you turn to Slide 8, you will notice the retail expansion that we have outlined at our flagship retail property, Phoenix Palladium, Mumbai. The GLA in Phoenix Palladium was at about 0.77 million square feet in FY22. We have now activated further 150,000 square feet of new area across the lower ground floor , first and second floor of Phoenix Palladium along with additional new areas in the zones of Courtyard and the East Zone of Phoenix Palladium in this quarter. In addition, we will add another 250,000 square feet of anchor space opposite to PVR in 2024 and ano ther 200,000 square feet or more in Project Rise, which will become operational in 2025. Once the entire expansion program is completed in 2025, Phoenix Palladium will be appro xima tely a 1.43 million square foot GLA Mall , the largest in our portfolio.

If I may draw your attention to Slides 9 through 11 for a quick glimpse of the new store openings at Phoenix Palladium between July and August, across categories of f ashion, F&B and entertainment. In line with our consumption, our rental and EBITDA growth has also come strong. In Q1FY23 , rental income was approximately Rs. 3,224 million up 24% compared to Q1FY20. Our retail EBIT DA for this quarter was about Rs. 3,248 million, up 27% compared to Q1FY20 . Our collections during Q1FY23 stood at about Rs. 5,253 million and going ahead, one can expect quarterly run rate of at least Rs. 5,000 million here onwards. For a perspective, our FY22 retail collections were Rs. 11,740 million.

If I draw your attention to Slide 25, in today's inflationary environment , our retail and hospitality business es which are consumer facing stand to benefit ; higher prices of goods sold at the malls translates into a higher consumption which translates into higher rental income for us by way of the incremental revenue share. At a broad level there was an incremental rental contribution on account of revenue shares beyond the minimum guarantee rent of approximately 13%.
If I may draw attention to slide 25 , Bangalore has shown incremental rent on account of revenue share of about 18 %, Phoenix Market City, Pune at approximately 16% and Phoenix Market City, Mumbai at approximately 15%. Again, for a comparison pre -COVID the revenue share contribution would vary in the range of about 10 % to 12%.
Movin g on to our

under -construction malls, and if I ma y draw attention to Slide 12, Phoenix Citadel , Indore with a gross leasable area of approximately 1 million square feet has achieved 83% leasing occupancy ; Phoenix Palladium Ahmedabad, with the GLA of approximately 770,000 square feet has achieved 98% leasing occupancy. We expect to commence o perations for both of these malls in the second half of this year and we are working at a furious pace t o deliver the project. Phoenix Mall of the Millennium at Pune , with a GLA of about 1.1 million square feet has achieved 73% leasing occupancy. Phoenix Mall of Asia, Bangalore with a GLA of approximately 1.2 million square feet has achieved 76% leasing occupancy. We expect to c ommence operat ions for Phoenix Mall of Millennium , Pune and Phoenix Mall of Asia, Bangalore in the first half of FY24. At our flagship property at Lower Parel, Mumbai we have comme nced the shore

piling work for Project Rise in June 2022. For our upcoming mall led development at Kolkata, we received the approvals of building plans in April 2022 and expect to commence construction in the coming months.
Additionally, with the expansion we have also commenced work on our offic es at Phoenix Asia To wers at Hebbal , Bangalore and we are commencing work at the Millennium Towers which form part of the mixed -use development at Wakad , Pune. Once our under -construction malls have become operational, Phoenix will have an operational retail portfolio of approximately 13 million square feet. We continue to evaluate the growing consumption strength and patterns across key Indian ci ties and specific micro markets and continue to explore newer opportunities for us to benefit from this potential . The potential to tap the discretionar y spending of urban India is huge , in our view and as owners and operators of one of the largest retail portfolio in India, we are committed to provide the urban Indian consumer the opportunity to experi ence the best of retail brands , entertainment and superlative F&B options from across the world. I will now request Anuraag to take you through the office , hotels and residential section and overall financial results. Thank you.
Anuraag Srivastava: Than k you , Shishir . I would now take you throu gh the commercial portfolio. I f you can refer to slide 27 , during this quart er we saw gross leasing of 1.9 l ac square feet, of which 1.3 lac square feet is the new leasing and 0.6 square feet is the renewals. Total office income stood at about Rs. 403 million, which is up 1 0% year on year and total EBITDA stood at Rs. 235 million . Our collections from this business in this quarter were Rs. 464 million which represents a collection efficiency of about 95 %.

For updates on hotels please refer slide 30 to 33. I would fir st cover the St. Regis , Mumbai ; however, across both our hotels, the business has shown a strong improvement on back of higher occupanc y and ARR on account of social events, corporate events and pick up of food and beverage segments. Both our hotels, saw occupancy and ARR which were higher than pre COVID period. Now coming specifically to each property ; at the St. Regis, Mumbai, our total i ncome stood at Rs. 830 million, which is about 19% up over Q1FY20. Occupancy at about 85% which is up by three percentage points from Q1 FY20 . ARR was Rs. 11,997, again up 10%. Operating EBITDA stood at Rs. 318 million , which is a 26% growth from Q1FY20 . The hotel maintained a strong revenue performance in July as well as with ro om occupancies at 81% and ARR at around Rs. 10,800. July 2022 revenue is approximately 15% ahead of July 2019. Operating perfor mance at The

St. Regis ,
Mumbai has surpassed most parameters in the past couple of months led by the resumption of foreign travel, domestic corporate travel, social events, and staycation s. These factors provide an excellent visibility of higher occupancy and ARR in the coming months.
Additionally, we expect the venues on the 37th and 38th floor to start generatin g revenue from the coming month , which will further boost our revenue. On the Courtyard Marriott , Agra property t he total income was Rs. 40 million, up 7% from Q1FY20 . The occupancy for Q1FY23 stood at 62% , and ARR stood at Rs. 3,733, which is up 11% from Q1FY20 . For the month of July, the occupancy was 7 2%, and ARR was at Rs. 3,673.
Moving on to residential business, which is covered from Slide 35 onwards ; we have witnessed very good traction in residential

sales as well ; mainly led by reconfiguration of our K essaku property into smaller units and robust demand of ready to move in inventory. We achieved overall sales of Rs. 704 million in this quarter, out of w hich Rs. 408 million worth sales are pending registration . Collection s were quite robust at Rs. 536 million.
This was the business update and now I would like to move towards the financial results which are there in slides 37 to 39. Som e of the key highlights are - Income from operations in Q1FY23 was about Rs. 5,744 million, up 181% year on year ; last year was the COVID impacted quarter. EBITDA of Q1 FY23 was Rs. 3,229 million, this is up 10% compared to Q1FY20.
On Slide 39 we have represented how the consolidated EBITDA looks on a like to like basis a fter making certain adjustments in both periods which we though t were the true representation. We have remo ved contribution of Classic Mall which we acquired in the last quarter and is now a subsidiary of ours. Further, we have removed EBITDA contribution from Phoenix Palassio in Q1FY23. We have adjusted EBITDA contribution from residential business from Q1FY20 which saw th e revenue recognition of tower 6 in Q1FY20 . After making the above adjustment s, the consolidated EBITDA shows growth of 21% on a like to like basis. We have reported Q1FY23 PAT of Rs. 7,187 million. PAT is positively impacted owing to exceptional items of Rs. 5,568 million. PML completed the acquisition of balance 50% stake held in Classic mall during Q1FY23 . Pursuant to this acquisition, re - measurement of previously held stake of (50%) in then Associate - Classic Mall at fair value was required as per the IND AS 103 leading to a positive impact on PA T. If we adjust the reported PAT

on the above exceptional item, we are looking at 18% growth on the adjusted Q1 FY23 PAT over Q1 FY20.
Moving on to debt , liquidity and funding - slide 40 to 4 2 are the reference slides. Our consolidated gross debt stood at Rs. 41,865 million as on 30th June 2022 compared to Rs. 43,795 mi llion at the end of Q4FY22. There has been a reduction in debt of about Rs. 1,930 million. On the operational portfolio, there has been a decline in debt due to gradual repayments as well as few planned repayments that we have done during the quarter. On the under - construction portfolio, sequential increase of debt is on account of spending for our under -construction mall at Ahmedabad , Indore and Bangalore . Average cost of bo rrowing is up 15 bps at 7.45% from 7.30% in March 22. Currently, our lowest cost of borrowing stands at about 6.95%. As the overall interest rates in the economy start to rise , our effort will be to minimize the impact of this on our cost of borrowing . Despite RBI increasing rates of 140 bps since May 22, our borrowing cos ts have gone up only by 15 bps so far.

Although the cost of debt is likely to move
up in coming months as the banks pass the rate hikes and we hit our refinancing windows. We have potentially another 30% of debt portfolio which we can aim for refinancing during FY23 towar ds Q3FY23 and Q4FY23 , which could yield u s interest rate benefits of 30 bps at a portfolio level as compared to the rate increase as the r epo rate increases.
Our liquidity position as on 30th June 2022 was alm ost around Rs. 21,772 million, this excludes Rs. 8,070 million in unutilized OD accounts, which we can draw at any point of ti me. At a group level our Net Debt is Rs. 20,094 million and PML's share of Net Debt is about Rs. 16,899 million. I wanted to take you throug h the cash

flow as well ; gross collection from the business was at Rs. 7,164 million in Q1FY23 . Retail business saw collections of Rs. 5,253 million ; commercial business at Rs. 464 million ; residential at Rs. 536 million and hotels contribute d to about Rs. 911 million. On 30th June 2022, we received the balance commitment of about Rs. 4 billion or Rs. 4,000 million from GIC. As a result, we now hold 67.1% in Phoenix Market City, Pun e, Mumbai and the commercial assets forming par t of Phoenix Market City , Mumbai .
Our capex on under construction retail and office projects was Rs. 2,739 million in Q1FY23. We have 4 mall s under construction at present and pace of spending will pick up going ahead as they enter the final stage of completion. Further, we have started construction for Project Rise during the quarter. Our cash flow from operating activities was at Rs. 3,417 million adjusting for inter est paid of Rs. 875 million, our operating free cash flow for this quarter was Rs. 2,543 million. It is pertinent to note that our operational free cash for full year FY22 was Rs. 5,011 million. This number was Rs. 6,000 million pre COVID.
The start of the year has been very strong, with Q1 itself, accounting for around 42% of our FY20 operational free cash flow. We are bullish on our business prospects and with a strong balance sheet position or focus is now to del iver on our under - construction p rojects in time and j udiciously deploy our capital to expand our portfolio. With this, we close our opening remarks and we open the call for interactive question and answer session. Thank you.
Moderator: Thank you very muc h. We will now begin t he question -and- answer session. The first question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati : My first question is on the breakup of the minimum guarantee

and the revenue share rentals that you have given . Can you shed some more co lor on what has driven this breakup? Does it have something to do with lower minimum guarantee as well this time versus last year? Or is minim um guarantee versus FY20 also a significant jump?
Shishir Shrivastava: Would you like to refer to slide 25?
Puneet Gulati: Yes.
Shishir Shrivastava: So, if you really look at the incremental here, the consumption itself is signif icantly higher , so the rupee value contributed per square foot on account o f revenue share has certainly gone up. If you look at the last column on the extreme right, it will show you the areas up for renewal in FY23, which indicates which of these contracts are towards the end of life or end of tenure , where there is an opportunity to increase minimum guarantee. What this means is that the delta between minimum guarantee and the actual rent received is quite high. So, if you look at Bangalore, which has demonstrated 18% additional cont ribution of revenue share , not many contracts are towards the end of tenure , so t

he
delta between MG and revenue share is purely on account of consumption and not because the MG is too low. Similarly, if you scroll down to Chenn ai, you will notice that th e revenue shar e has moved up from 3% to 8%, but here, the MG continues to be high in terms of the revenue share thresholds.
Puneet Gulati: So maybe I didn't frame the question properly. My intent was t o ask how high is MG in Q1FY23 over MG in Q1FY20 on a portfolio basis or on a mall by mall? Basically, whatever you prefer .

Shishir Shrivastava: Q1FY20 versus Q1 FY23 , I think the MG is not significantl y higher and across mall s it may be between 8% to 15% on the highest side.
Puneet Gulati: And the rentals, if I look at for Bangalore and Pune, seem to have been extremely strong. Is that t he run rate one can assume, or can it be influenced by different sales momentum as well ?
Shishir Shrivastava: With the growth in consumption, we are estimating the renta l including the revenue share which used to track between 10 %- 11% or closer to 12 % in some cases , moving up to the 13%-14% range . So stronger consumption is adding to a stronger rental income . If we estimate consumption growth to continue to demonstrate going forward on a stabilized basi s, a 12%-15% k ind of early to mid-teens growth then that will contribute the additional 14% of such growth as well to the rental income.
Puneet Gulati: Understood and is the metro work, which was impacting th e Bangalore consumption earlier , has that been completed or is it still going on , the performance despite.
Shishir Shrivastava: So, the c ivil work for the metro and the heavy work w hich was blocking the traffic in front of our mall has been completed. Thus, a good part of that stretch coming all the way up to our mall has now become freed up from all the road blockages, and that has certainly improved the arrival experience a nd the time taken by visitors to reach our mall.
Puneet Gulati: And any comment on Chennai t hat still seems to be weaker than the others.
Shishir Shrivastava: Yes, but I think it has given us a good indication going forward , of how it is going to look, with about 8% growth compared to

Q1FY20 . We have done a couple of thin gs; one is that, we've reactivated all our high impact event s and that is clearly adding a lot to our consumption over there and that trend will only continue as we continu e to promote an actively market have these h igh impact events ; we had comedy shows there, we have had music performances at Chennai which have all brought back the consumption to the mall. Additionally, we've also been looking at revamping the entire brand mix at Chennai, specifically Palladium, and that has also yielded some very positive results in the month of July and August for us.

Puneet Gulati: That's helpful. Thank you so much. Two questions for Anuraag, one is what is the re -measured value now of Classic Mall as per your books.

Varun Parwal : Puneet , that number would be about Rs. 1,900 crores equity .

Puneet Gulati: And on the debt side how do you expect your borrowing cost to change , is your borrowing cost link ed to repo /MCLR and how frequently does it get reset?

Anuraag Srivastava: So it is a mixture of va rious loans and various benchmark s. Just for reference, I think so because there is a lag between when the RBI increases the rate and when we see an increase in our portfol io, I think as we go along , if you see RBI has increased the rates by 140 bps or so , our overall portfolio as at M arch end would show an increase of about 110-115 bp s, as the rate changes, keep on coming. The reason for that is we s

till have about 30% of ou r portfolio which we are renegotiating or refinancing with the banks. So that will give us some advantage of abo ut 30 bps over whatever is the rate increase which gets translated into MCLR or repo rates etc.

Puneet Gulati: Did I get it right? We should be expecting 110 basis point increase in your borrowing costs as of March 23 ?

Anuraag Srivastava: Increase over March 22 number , vs a 140-bps rate increase by the RBI .

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HD FC Securities. Please go ahead.

Parikshit Kandpal: So, my first question is on the consumption for the month of July, which is 133% of pre -COVID ; so just if I adjust further for Lucknow mall, it's about 20% ; so on a 3-year CAGR it's still lag ging behind in just about 6% kind of CAGR . Just wanted to understand if you can give us more granularity on like-to-like basis. So, because still in some mall s the trading occupancies are yet to reach the lease d occupancies on like-to-like basis we have to adjust what would be the consumption for the month of July if we assume that the trading area remains the same on a like to like basis .

Varun Parwal: On a like to like basis , the growth would be about 21% compared to June 2019. As y ou correctly highlighted, t rading occupancy across the malls right now is at an average rate of a bout 85%. Now there are several areas that are under fit out and most pertinently if you were to visit says Phoenix Palladium , Mumbai, you would see a lot of new areas that opened up in August, including on the second and third floor of East zon e, wherein we launched 8 new F&B venues as well as Time Zone . Now those are substantial areas that have become rent generating from the month o f August itself, so you will see the positive impact on both consumption and vendor income flowing through from these new areas during the coming quarter.

Parikshit Kandpal: It's specific to Kurla mall, Chennai mall and Pune mall o ccupancy continues to remain low versus the leased occupancy. So, when do we expect these going back to the leased occupa ncies by what time frame we see the m reaching their lease d occupancies ?

Varun Parwal: I would say in Kurla there are large areas that are under fit out on the lower ground floor. We have Reliance doing a major fit out as well as a b rand from Japan known as Daiso whic h is undertaking large fit outs. From that perspective, I w ould assume that around Diwali time is when those areas would become operational. What was the 2nd mall that you had asked a question on ?

Parikshit Kandpal: Chennai mall and Pune mall
Varun Parwal: So, Chennai, like Shishir also highlighted in the previous response, we are undertaking a brand mix change , upgrades to the mall and carrying out some category changes now. Chennai vis -a-vis the other Market city malls became operational l ater, it became operational in 2013. So the brand mix change that we carried out in Pune and Bangalore in 2018 is now being carried out in Chennai with a bit o f a lag accounting for COVID etc. In fact, if you refer to slide 64, you can see the leased occupancy at Ch ennai being 98 % and the trading occupancy being at about 95 %. Despite that, I think that if you see the trading density on a per square foot per mont h basis , we are seeing significant growth for the brands that are currently trading.
Parikshit Kandpal: The second question is on these on the upcoming office build out or construction of the two malls in Pune , Bang alore. So, what has been the Cape x which is already being incu rred? What will be the construction progress? Because you

've given a timeline of FY to

become operational of b oth these office spaces that we can just catch up on that .
Varun Parwal: So, on the office s let me first start with Hebbal , Mall of Asia. There we have already commenced construction and majority of the slabs have been casted for the office . So, if you assume, say about 12 months for interi ors and fit outs then by this time next year those assets would be rea dy for pre-leasing activities . For Pune and for Whitefield , we are in process and have obtained the necessary approvals ; and Pune we have started and Whitefield we will start soon.
Shishir Shrivastava: These offices are being built on top of the mall podium structure. So, for us really the construction timeline to complete the office floors is very limited because it's only building out the slabs and you don't have to go down into the sub structure for anything. So, we are timing our office delivery basis what we are anticipating as the demand in those micro markets, both Asia Towers in Bangalore at Hebbal and Millennium Towers at Wakad, Pune ; we can really have them ready as Varun mentioned, for pre-leasing within 12 months.
Parikshit Kandpal: OK, and what would be the Capex on these two ?
Shishir Shrivastava: Cost to complete for Asia Towers in Bangalore is about Rs. 350 crores and for Wakad it is about Rs. 600 crore s.
Parikshit Kandpal: And how much would have been incurred till now in between the two.
Shishir Shrivastava: So we would have incurred about Rs. 35 -40 crores at Asia Towers , Bangalore and we are just about starting work at Wakad , so nothing has been inc urred there yet.

Parikshit Kandpal: Last question on I think e arlier in one of the calls we have highlighted the focus on top eight cities , from business development site. So, you had earlier, I think a couple of quarters, but you had spoken about Surat have closed something, so any update on Surat. And recently I thi nk it lost out on Jaipur . So, what's the update on the balance? It is all these markets, so our new approaching market.
Shishir Shrivastava: So, we continue to be active in these markets that we had highlighted previously as w ell. Yes, in Jaipur we did s tep away from that auction , after the price reached a point where it was not making financial sens e. So we have been very, very prudent about our approach. We are not overreaching and overestimating the potential of these markets. I think our final bid was a very fair bid, and the land transacted at a higher price and we exited there. But we continue to be active in the markets of

Jaipur , Chandigarh, Hyderabad for newer opport unities among
several others.
Parikshit Kandpal: What about the Surat? Any update on Surat closure? I think you
have announced it a couple of quarters back that we have closed
something.
Shishir Shrivastava: There we are still waiting for the vendor 's CP comple tion, but it
looks likely to be achieved very , very shortly.
Parikshit Kandpal: So, this year Surat may happen. Besides Surat . Anything else
you're targeting in this time will be another. One where you have
advantages.
Shishir Shrivastava: At this stage , it is too premature for me to give a direction on that.

Moderator: Thank you. The next question is from the line of Adhidev
Chattopadhyay from ICICI Securities.
Adhidev Chattopadhyay: My question was in pre COVID in the five to six year period we
had seen the rental growth outpacing the consumption growth
on a like for like basis. Now in FY23, co uld you just help us
understan

d, l et's say if the cons umption growth is within a 20 %-
25% range on th e consumption side , what is the likely rental
growth we will see on a like for like basis? Like will it track
consumption growth, or will it b e higher or lower? And how
does it work out that is the first question.
Shishir Shrivastava: In Q1FY23 , we have seen about 27% growth in rental and about
23% growth in consumpt ion on a like to like basis . We would
estimat e that you may probably continue to see this maybe into
one or two quarters of FY24, but before it stabilizes and tracks
consumption.
Adhidev Chattopadhyay: Yes, sure, and how much of the rental increases would also
play a part on this, like how much the consumption growth li ke
fully how much would come from the rental increases which we
are planning considering now that we have given the schedule
right now for next three years, so how will that play out?
Shishir Shrivastava: Rental increase on account of minimum guarante e increase to
bring it to track with the revenue share percentage is going to
mostly happen more in the next financial year, not FY23 but in
FY24 , that's where some sizable part of areas come up in 2 -3 malls
and then the following year s in some of the other malls . As
consumption continues to grow, our revenue share rupee value
continues to increase because if we are tracking an averag e of
about 14% contribution coming in from revenue share , I think

that's wh ere we will track, so I expect rental growth to be more
on account of consumption growth t ranslating into a higher
revenue share . The reset of minimum guarantee will proba bly not
breach that that threshold for at least two years i.e., a minimum
guarantee reset will now have a significant impact only in FY24
and then FY25.
Moderator: Thank you, thank you the next question. Is from the line of Saurav
Kumar from JP Morgan. Please go ahead.
Saurav Kumar: Sir, there's two questions. One is if I look at the cash flow and
thanks for the disclosure. So, the opera ting cash flow , as now has
cross ed the Rs. 300 crore s and if you kind of see it now funds the
capex almost fully on its own. So, the issue is essentially that you
are also sitting on excess liquidity and seems that your cash flow
will only grow from here. Would you use the excess liquidity will
now pay down debt? or do you have more acquisitions in
mind? How should you think about the use of this extra cash,
which sits on your balance sheet. This was the first one, and the
second is calculating the health ratio of you r mall ; so it seems that
from a current quarter perspective, the rent to consumption ratio
is about 13.5% odd ; I don't know that the right metric , but

effectively it seems to get that higher end of the range than what the other mal ls we see. So how s hould we think about this going ahead?
Shishir Shrivastava: I'll respond to your second question first , which is the health ratio. When you mention that it is on the higher end of the range, that range continues to move depending on the performance of the se stores, Saurabh. While I'm not too sure which other mal ls you have trac ked, but if you lo ok at the performance of stores at our malls, with the consumption tracking much higher and actually

breaching all historical levels at their stores and their fixed costs largel y remaining the same, the ability to share a higher rent as a proportion to consumption is significantly higher. We have also been evaluating which formats, categories or brands are not being able to demonstrate their capabil ity, and over a period that's wha t the churn is all about. So, when you are seeing some brands moving ou

t and newer brands coming in , the new brands coming in have the ability to share or contribute 14% -15% -16% . In fact, India is at the lowest end of the range compared to global standards where international ly you may see mall s at averaging at about 20% or 25% rent to consumption.
Saurav Kumar: The leverage point here is I'm sorry for this foll ow up, but effectively , so t hat rent consumption works to about 13% and then if you add the CAM and everything, then t hat ratio goes to that maybe 16 %-17%. So, for a r etailer to make money at these levels of fixed cost , I'm not sure if that's working out how I mean how this workout.
Shishir Shrivastava: I would highly recommend that you speak to a few of our retailers and see how their individual store performance and profitability looks at several o f our locations . To our mind, these are the stores that are profitable and have higher profit margins because of higher consumption and hence they can contribute a little higher towards their occupancy cost. Moving to your first question, yes, we are seeing a sizable i ncrease in our operational free cash flow and when we look at the project s that we have underway , our commitment to fund a good amount of construction by way of our equity contributions and having arrived at that understanding with our partners in the Canada Pension Plan , we have mapped out our cash flows and we believe that beyond our obligations

there we still have the ability to acquire maybe one more mixed - use development in the shorter term . So, beyond Surat, which is already under contemplation , we can at least look at an other one in this immediate year without having to d epend on any additional debt draw down to serve that purpose. Going forward , like we've mentioned, we will continue to add a million square feet every year, and that will largely get funded from these operational free cash flows.
Moderator: Thank you, the next question is from the line of Kunal Lakhan from CLSA . Please go ahead.
Kunal Lakhan: Just leave your comment on the ambience mall Del hi which is up for aucti on now. It's a new market whe re we don't have a presence , would we be actively looking at this opportunity? A nd secondly, a more generic que stion on that is, how is the opportunity landscape for ready assets in metros as well a s tier one cities and how is the competition for any such acquisition?
Shishir Shrivastava: So, when w e look at what has made Phoenix successful in the past and what we are best at , is really demonstrating a huge equity upside when we look at a project through its dev elopment cycle and operations . For us to buy an asset which is going to demonstrate future yields of anywhere between 7 %-9%, that

really doesn't fit in our model . Specifically, I don't have a comment on the ambience mall. It's a good mall , about a million square feet. I understand that the prices are close to abou t Rs. 3,000 crores . I'm not too sure whether it fits the return profile that we expect out of our in vestment. We have in the past also continued to look at other malls across the country and there are very few that meet our brand specifications /product

specifications . So we prefer to build from ground up or acquire brownfield assets like we did in Indore and Lucknow.

Kunal Lakhan: My second question was a data keeping question. I didn't get the breakup of the collection between retail, offic e, hospitality, and residents. If you can share.

Anuraag Srivastava: I covered that in my notes, but just to reiterate , the retail collections are about Rs. 5,253 million, c ommercial were Rs. 464 million , residential was Rs. 536 million

and hotel collections were at around Rs. 911 million.

Kunal Lakhan: So, the retail collections at Rs. 5,253 mill ion, did it have any residual collections from earlier quarters? Or is this going to be sustainable , because it's higher than the rental income that we clock .

Anuraag Srivastava: So, it will be abo ut 2 to 3% from the earlier quarter.

Kunal Lakhan: 2% to 3% higher than the earlier quarter you said .

Anuraag Srivastava: No, so I thought your question was how much is pertaining to previous quarter, right?

Kunal Lakhan: Yes, how much was the residual collection fr om the previous quarter in this Rs. 525 crores .

Anuraag Srivastava: 2% to 3%

Moderator: The next question is from the line. Of Pritesh Sheth from Motilal Oswal Financial Services , please go ahead.

Pritesh Sheth : So first on the macro side , so government is trying t o control the inflation by bringing down the consumption. Historically how that

sort of economic strategy has worked for us in terms of consumption in ou r mall. Do you see any near -term impact on the consumptions because of that?

Shishir Shrivastava: I would like to sta rt by saying that inflation has been our friend , because while we are continuing to see, let's say, interest rates go up and pricing moving up , we are seeing consumers spend also going up because of higher pricing so that contributes to our revenue s hare and that's a positive . We believe that with the corrective measures that are being taken on the interest rates , the inflation will get capped very soon. So, I don't think it's going to result in consumers or customers weakening or r educing their spen d on a long -term basis. More so when we look at the location of all our malls , we also believe that the impact of inflati on may not be high in the urban India for our target customers .

Pritesh Sheth: And the second is on the consumption in Phoenix Market City Bangalore which is like 149% of pre-COVID and there have been consistent improvements in last few months and quarters . Firstly, what's the reason for t hat? And secondly, does that have any positive impact on our upcoming Mall of Asia, which is probably at a much be tter location in Whitefield than this one, so how do you see this increas e in consumption in Bangalore .

Shishir Shrivastava: Sorry, I have not really understood your question. Let me try and answer it in any case. Bangalore as a market has certainly seen a huge revival in terms of people returning to that city and in terms of revival in hiring. We've also seen a huge demand in office space, which indicates t hat people are back at work . So, I would say that the pro pensity to spend has returned to normal as compared to pre -COVID levels . I also believe that the access to our mall has certainly gotten better with the completion of the

metro work which is driving more people into our mall as compared to the 4 quarters before COVID when this work had created some impact . Overall , also when we look at our location in North Bangalore, I would hesitate to say that that's a far superior location. Yes, it's a di fferent market and we are capt uring the essence of that market by the product offering that we have there. We have focused more on higher end; premium and luxury brands and we will have the first of many brands in that city opening their stores at our mall at t he premium and luxury space and that is also reflective in the minimum guarantee rents that have been negotiated for that mall. I would say retailers and our confidence is extremely high on the continued high consumption trend that we are seeing in Bangalore for both locatio

ns.

Pritesh Sheth: Right, so my question was a, obvious ly you partly answered that we are already at 160 per square feet range in our exist ing mal l in Bangalore and for the upcoming mall earlier guided that the rentals would be at 150. So are we sort of now looking at much higher rentals from the balance vacancies that we have in the upcoming mall in Bangalore?

Shishir Shrivastava: I can say with a fair level of confidence that most of the transactions at North Bangalore are in line with the cu rrent rents that we have at Whitefield Road or slightly higher than that. So yes, we have looked at an upward revision.

Moderator: Thank you. The next question is from the line of Manish Agrawal from JM Financial, please go ahead.

Manis h Agrawal : Firstly on the trading occupancies , across all malls we have seen have are gone up, barring Phoenix Kurla ; any particular reason?

Shishir Shrivastava: If you look at Phoenix Market City, Kurla, we've created several new spaces for inline stores over there. I f I may draw your attention to slide 65, you will see that the leased occupancy is at 93%. So while trading occupancy is at 85 %, this gap of 8% is because those stores are under fit out or some of them have been upgraded and are moving to different locations. We expect most of these to be operational as well towards.

Manish Agrawal: And trading density would simulta neously go up .

Shishir Shrivastava: Yes, trading density, the gap that you see between trading density of 85% and leased occupancy of 93% t hat gap will reduce, we expect that gap to reduce during this current quarter. If you look at if you look at the tr ading density that has al ready moved up and it's in line with what was seen in Q1FY22 . With the improvement in brand mix , reduction in the gap from 86 % to 95 % and with these stores becoming operational , the trading density also in our estimate should certainly move up.

Manish Agrawal: Sure, and on the very next slide , you have indicated around 30 % to 40% of the leasable area w ill come for renewal across mal ls over the ne xt three years. So any sort of expiry or churn we expect over the next coming years ; since rentals have go ne up significantly across mall s.

Shishir Shrivastava: Correct, so the next slide clearly shows what is the renewal in FY23 , in FY24 and in FY 25. What was your specific question?

Manish Agrawal: So any sort of expiry which might actually happen in this or all the area which is coming up for renewal will get renewed for sure.

Shishir Shrivastava: Ok i f your question is how many of these brands are going to continue to extend their contract or enter a new contract versus

how many will b e exited ; so I expect the churn to be in the range of about 6%-7%, not more than that. And we expect other brands to be renewed either at the same location or other locations within the mall.

Manish Agrawal: And you have an active pipeline to replace this 6%-7% churn.

Shishir Shrivastava: Sorry, what's the question again?

Anuraag Srivastava: You have an active pipeline to replace this 6%-7% churn , which might be helpful.

Shishir Shrivastava: There is a host of new brands that we have concluded with for Phoenix Market City, Mumbai as well. If you are specifically about Phoen ix Market City, Mumbai, yes.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs . Please go ahead.

Pulkit Patni : Given what you've managed to do at Palladium by increasing your space so significant ly, is it just because this was one of our flagship old malls where we had redundancies which we could do by exploiting the basement, et

c.? Or can we expect similar things to happen in some of our newer models as well, because your expansion of floor area here has been pretty significant.

Shish ir Shrivastava: We have the ability to expand the retail area across Phoenix Market City, Pune as well as Phoenix Market City, Mumbai as well as Phoenix Market City, Bangalore. In these three malls currently the design progress is underway, but we do have this ability and we intend to replicate this approach across all locations. So in Phoenix Market C ity, Pune there is the addition of a third floor. At Phoenix Market City, Bangalore, we are looking at an additional 2

floors. Phoenix Market City, Mumbai , there are two floors that we are contemplating adding by moving the courtyard to another level above. So, I think , this is a sizable increase across all t hree locations that we will implement in the coming year.

Pulkit Patni: OK, and c an you give a sense of what add will be for each of the malls in terms of square feet.

Shishir Shrivastava: Phoenix Market City, Pune we should be able to add about 50,000 to 75,000 square feet. At Phoenix Market City, Bangalore, we have the ability to add about 300,00 0 square feet. At Phoenix Market City, Mumbai, we have the ability to add another 50,000 square feet.

Moderator: Thank you. The next question is from the line of Venkat from Tata AMC. Please go ahead.

Venkat: Sir, in the recent investor Forum, you did speak about putting more capital to use in residen tial and warehousing . Could you kind of delve deeper into this particu lar plan? Generally, till now our focus areas been largely re tail and commercial , so any change in your areas of focus at a company level ?

Shishir Shrivastava: I don't think there is a change in our area of focus as I think this question, I had also covered in the last quarter call and I had explained that during COVID it has been our realization that it would help to diversify our risk across more asset classes. Since during COVID, the hotel business and the retail busin ess cash flows h ad come down to virtually nil, and the only cash flows that were coming through was from the residential sales and from the office business. So we are looking at diversifying and at this stage it's exploratory , we do not have any intent to alloca te any

significant amount of capital for warehousing. I had indicated approximately Rs. 170 -200 c rore kind of a number allocated towards warehous ing. This would be more as pilot projects before we take the decision on investing or allocating more funds to that vertical . Residential also, we will probably look at an investment of about Rs. 200 - 250 crore to exploit some opportunities in some very key markets where the demand continues to be high and the pricing is also extremely , extremely attractive both from an acquisition point of view and the potential of the market to pay a higher rate per square foot.

Venkat: But just kind of, pushing you little further on this. I mean, w e already have our plateful there's a lot of opportunity already there in commercial and retail. And we may not be a sizable player in either resid ential or warehousing. So why putting capital to use on that front.

Shishir Shrivastava: I would say for residential one has to loo k at it as more of an opportunistic asset class where the investment would be low, but it can give us significa nt jumps in our cash flows on a periodic basis. And warehousing , I believe that Phoenix is very, very well placed to exploit these opportunities and build a substantial portfolio , once we have completed and seein g the success of our pilot projec ts becaus

e of our relationships with the retailers who take up la rge space s in warehousing in key Indi an cities. And of co urse, our ability to deliver these projects in markets where we already have a presence. In terms of bandwidth, I think we do have the ability and the team to deliver both on residential and warehousing. We are not looking at taking o n too much at this stage ; warehousing is going to be more like a pilot project run under an independent team . Our residential team with the way

we have progressed with our projects in Bangalor e and where we are toda y, the residential team has adequate bandwidth to take on at least two to three more projects.

Venkat: Understood and last question on this. Are any focu s cities that you've identified for these segment s?

Shishir Shrivastava: I would say for warehousing Lucknow , Kolkata , MMR of course and NCR continue to be of interest . But Lucknow , Kolkata and MMR are high in terms of our interest levels while NCR we continue to evaluate . In terms of resi dential , we have an exceptional team in Ba ngalore and so Bangalore continues to be a market of interest for us and we are evaluating other opportunities or other cities which present opportunities. On retail and offices, we ha ve spent about Rs. 4,500 crore of Cap ex and we have another Rs. 4,500 crores of Cape x lined up for retail, and off ice . So, against the Capex of Rs. 9,000 crores , which has been committed on retail and offices , we have set aside a very small amount of roughly Rs. 350 to 400 crores for residential and warehousing put together.

Venkat: Alright, and what would be the ti meframe for utilizing this Rs. 350 -400 odd crore ?

Shishir Shrivastava: Sorry is your question timeline for utilizing ? I would say over the next 18 to 24 months.

Moderator: Thank you. The next question is from the line of Amandeep Singh from Ambit Capital . Please go ahead.

Amandeep Singh : My question was on Phoenix Palassio , so when we see consumption for the mall on a month -on-month basis , it remains stagnant in July. But at the same time, when you look a t your top

five other large mall s, the consumption on cumulative basis increased 20% month on month for the reasons you already mentioned in the opening remarks . So, can you help us understand what is the reason behind this, and do you name reset?

Shishir Shrivastava: Please repeat your question I didn't get that.

Amandeep Singh: So, my question was on Phoenix P alassio, so when you see your monthly consumption June versus July, so it has been stagnant in terms of consumption at Rs. 760 million b ut when you see the cumulative consumptio n for your other top five large mall s on a

month -on-month basis it has increased 20%. So, can you help us understand what has been the reason behind this and, do you think recent opening of Lulu Mall will impact the consumption for this?
Shishir Shrivastava: So, we are still assessing what impact Lulu M all may have had on our consumption. I would like to mention here that Phoenix Palassio continues to perform in line with our expectations. We had estimated that for month on month we will be slowly creeping up to that Rs. 90 crores by the end of this fi nancial year, to hit a monthly run rate of about Rs. 90 crores so we are in that trajectory . The other markets may have seen an increase , perhaps because as I mentioned, there are several reasons why Bangalore has done extr emely well with the return of people to office , return of people who had stepped away during COVID ; office demand going up has indicated that . In Mumbai as well, there's a high pro pensity to spend right now. I would not

attribute
any loss to our consumption on account of Lulu Mall because we continue to evaluate the impact of that, if any. And the other thing is we now also have the hyper market that has opened up

and that will certainly add to the consumption, which so far was not adding to the consumption.
Amandeep Singh: Fair enough and just an extension to this, so will it be possible to help us understand what would be the average daily footf all for this sma ll on weekly or weekend basis if possible ?
Shishir Shrivastava: Perhap s you can connect with Advait offlin e to understand that, because we don't actively track footfalls since that's the wro ng parameter to measure the mall performance. But we hav e all the data and Advait will be able to share that with you separately.
Moderator: There is a follow up question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Just one question on the area which is comin g up for renewal over the next three years. So, what kind of mark to market in your estim ate is possible to be achieved.
Shishir Shrivastava: If I draw your att ention back to slide 65 which shows what is the revenue share component as compared to the minimum guarantee. I would say that that indicates the elbow room of about a 15 % to 20% increment on minimum guarantee.
Parikshit Kandpal: OK, just one last thing on the residential. This balance area which is there. So, when do you expect it to get launched?
Shishir Shrivastava: If your question is on Towers Eight and Nine, we have n ot yet decided on a launch date for these two . We are currently focused on completing Tower Seven , and sales are focused on t he sale of Tower Seven and of Kessaku . For Towers Eight and Nine there's a dependency on the TDR policy clarification to be able to build out

as per our development plans, so we 're waiting for some clarity on that as well.
Parikshit Kandpal: So between the two, the pending sales is about Rs. 1,200 crores between the two projects.
Shishir Shrivastava: Sorry, pending Cap ex you said .
Parikshit Kandpal: Sales value of the residual inventory. It w ill be approximately about 1200 crores between the two processes excludin g the tower eight and nine .
Shishir Shrivastava: Excluding towers eight and nine, yes, I would say that ready inventory was at about Rs. 1200 crore, but we've recently had some p rice escalation as well in the month of April this year , so it may have moved up slightly.
Parikshit Kandpal: So, in this Rs. 200 odd crore in residential which we are looking to add, how much of gross development value are you looking to add over the next 18 months from this pipeline? And also, this will

be an outright basis are you exploring JD and other opportuni ties
in the residential area ?
Shishir Shrivastava: You are now referring to about Rs. 200 crores of spend on residential. Right?
Parikshit Kandpal: Yes, which will likely to spend in next few months.
Shishir Shrivastava: That would give us access f or a premium site to about one site , which can give us about million square feet of saleable area.
Parikshit Kandpal: I'm talking about this million square feet will have how much of saleable value .

Shishir Shrivastava: In markets that we are looking at, we are looking at the base price of being at least Rs. 12,500 to 13,000. So, sales value will be about
Rs. 1200 to 1300 crore and EBIT DA margin of about 35% on that.
Parikshit Kandpal: Right, you are also exploring the JD opportunities, or only on outright basis.

Shishir Shrivastava: No, again JD opportunities will be very, very selective only if the site is superlative and unmissable will we consider that.
Parikshit Kandpal: Last thing on our existing malls and assets. Is there a potential to develop some residential or any residual FSI that can be utilized
there?
Shishir Shrivastava: Sorry, at which location is this?
Parikshit Kandpal: I'm saying existing malls or existing assets and then like how we are adding up office.
Shishir Shrivastava: So, our existing mal ls the way they are designed is obviously to maximize the retail footprin t across the site. They are not well
suited for any residential development to use any residual FSI . We
are utilizing the residual FSI in annuity assets such as offices.
Moderator: Thank you. Ladies and gentlemen, that was the last question for
today . On behalf of the Phoenix Mills Limited that concludes this
conference. Thank you for joining us and you may now disconnect
your line.

Call: Nov 2022

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To,

BSE Limited National Stock Exchange of India Limited
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Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated November 09 , 2022, wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30 , 2022, please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY23 Results Call of the Phoenix Mills Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. The Management of the company is being represented by Mr. S hishir Shrivastava – Managing Director, Mr. Anuraag Srivastava – Group CFO and Mr. Varun Parwal – Deputy CFO. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded. At this time , I would like to hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you sir.

Shishir Shrivastava: A very g ood afternoon, ladies and gentlemen. We take pleasure in welcoming you all to discuss the operating and financial performance of the second quarter and first half of financial year 20 23. W e have uploaded the results presentation on the Stock Exchange s as well as on

our website and I hope you've had a chance to take a look at the same. We will now take you through the key h ighlights of the results and we
will refer to the relevant slides of the results present ations for your convenience. W e have also drawn comparison with the financial year 2020 for Q2 and H1 which year was his torically our best perf orming years for retail. And I will now start with the performance for our retail portfolio.

May I draw your attention to slide no 4 onwards of the results presen-tation. Consumption in Q2 FY23 stood at Rs. 2,199 crores , showing a growth of 30% over Q2 FY20. If we were to exclude Phoenix Palassio Lucknow, the contribution from that asset, the growth was at 18%. Led by the festive season and new brand launches, this was th e highest quarterly consumption done at our malls in the second quarter of any financial year. Consumpti on was robust across categories in the second quarter. Some of the top performing categories were jewelle ry where consumption was up 132% from Q2 F

Y20. Electronics, which was up
35% from Q 2 FY20; f ashio n and accessories u p 33% ; food and bever-ages up 33% and multiplex up 15% from Q2 FY20.
Moving on to slide no 5, Consumpti on in the first half of FY 23 stood at Rs. 4,389 crores , up 26% compared to the fi rst half of FY20. For our like-to-like comparison if we exclude Phoenix Palassio 's contribution, which was not operational during the relevant H1 FY20, the growt h in con-sumption stood at 14%. G ross retail collections for the first half of FY23 stood at Rs. 1,045 crores , which was up 24% from t he first half FY20, maintaining the quarterly run rate of little over Rs. 500 crore per quar-ter.
Moving on to slide 6 and 7 to give you some color on our performance in the month of October. October has been a great month for us. Con-sumption came in at R s. 977 crores , the highest level historically. I t was up 33% compared to October 2019 and 44% up compared to October 2021. Year to date, April to October 2022 we achieved consumption of approximately Rs. 5,300 crore and are on track to target annual con-sumption of at least Rs. 9,000 crores without counting any bump up on account of new trading area, becoming operational inside our existin g malls at Chennai, Pune and Kurla, without counting the bump up on account of sustained consump tion growth in our existing malls and any

consumption from the new malls opening at Indore and Ahmedabad in the next few months. We continue to make each mall, the de facto des-tination for customers. Besides bringing in the best of brands and cat-egories and f ine dining, food and beverage experiences, w e continue to host performances, events of prominent artists a nd invest in inno-vative eye -catching decor across our properties.
On slide 10 you can see the retail expansion that we have planned for our flagship property, Phoenix Pallad ium, Mumbai. To recap the mall's
Gross Leasable Area (GLA) was about 7 70,000 square feet in FY22. Dur-
ing the first half of this year, we have operationalized additional GLA of about 150,000 square feet spread across the lower groun d floor at Pal-
ladium courtyard and the second and third floors in the E ast Zone. In
addition, we will have another 250,000 square feet of anchor area com-ing up opposite to the PVR block in 2024 and another 200,000 square feet of retail GLA, as part of the new expansion project Rise , which is
the million plus square feet of offices an d 200,000 square feet of retail.
Once the entire expansion program is completed in 2025, Phoenix Pal-ladium will be a 1.43 million square foot GLA mall, the largest in our
portfo lio.
Please refer to slides 11 through 13 for a quick glimpse on the new store openings at Phoenix Palladium across categories of Fashion, F&B and
entertainment. In September 22, we opened the first Victoria's Secret store in India. We also have the bi ggest Starbucks in India at our mall
spread across 2 levels , the flagship store of Swarovski and s everal new
brands in the F& B space.
If I may draw your attention to slide 14 onwards for an update on our upcoming malls. We have two new mall openings in t he

comin g
months. Phoenix Citadel Indore is slated to open its doors to the city in
December o f this year and followed by Phoenix Palladium, Ahmedabad

in January 2023. The GLA of Phoenix Citadel Indore stands at approximately 1 million square feet, and Palladium Ahmedabad at appro ximately 775,000 square feet. Citadel is approximately 88% leased as on date. Palladium Ahmedabad stands at 99% leasing occupancy. These two malls will soon be followed by the launch of Phoenix Mall of Asia at Bangalore and Phoenix Mall of the Millennium, at Pun e in the first half of FY

24. Phoenix Mall of Asia, Bangalore has a retail GLA of approximately 1.2 million square feet and currently we have achieved about 78% leasing occupancy. Phoenix M all of the Millennium has retail GLA for approximately 1.1 million square feet and current leasing occu-pancy stands at 86%.
Slides 15 to 18 give you a quick look at Phoenix Citadel, Indore as we get ready t o launch this mall in the next month to the city of Indore. At our Retail project in Kolkata, where we received the consent to establish in July 20 22, demolition for onsite structures has been completed and construction has commenced. At Project Rise at Lower Parel, Mum-bai we commenced excavation in October this year.
Now moving on to th e performance of our retail portfolio on slide no 29. In line with consumption our rental and EBITDA growth has also come across strong . Q2 FY23 retail rental income was at Rs. 313 crores , up 21% compared to Q2 FY20. Retail EBITD A for this quarter was at Rs. 318 crores , up 29% compared to Q2 FY20. In the first half of FY23, our annual rental income stood at Rs. 636 crores , demonstrating a growth of 22% over first half FY20 a nd retail EBIT DA stood at Rs. 643 crores , showing a growth of 28% for the same peri od. May I now request Anuraag to take you through the office , hotels and residential sections and the overall financial results .

Anuraag Srivastava: Thank you Shishir, good afternoon, everyone. I would draw your attention to slide 34 for an update on our commercial portfolio. Our commercial office portfolio continues to demonstrate a strong leasing traction. For the period from April to October 22 we saw a gross leasing of about 2 lakh square feet, out of which 1.3 lakh is new leasing and about 0.7 lakh i s renewal leasing . Total office income in Q2 FY23 stood at about Rs. 43 crores, which is up 3 % year on year. And total EBITDA stood at Rs. 25 crores. Collection e fficiency for the quarter was at about 95% , and we collected about Rs. 43 crores during Q2 FY23. During first half of FY23 Office income stood at Rs. 84 crore s, up 7% year on year and EBITDA at Rs. 48 crores . Collection efficiency at 97% and a collection of about Rs. 89 crores for H1.
For the hotels, please refer to slide 38 to 40 . At both our hotels , we have witnessed strong improvement on account of social and corporate events , pick up in food and beverage and the festive season which has led to the higher occupancies and the ARRs. At flagship property at the St. Regis , Mumbai durin g October 20 22, the ARR stood at Rs. 14,154 and RevPAR at Rs. 11,198 showing significant improvement over same period last year. Our operating profit performance at The St. Regis , Mumbai has surpassed most parameters in last six months led by resumption of foreign travel, domestic corporate travel, social events and staycations. These factors provide an excellent visibility for high occupancy and ARRs in the coming months. Additionally, we have made operational new luxury banqueting venues on the 38th floor of the hotel which has started generating revenues from September and will further boost our hotel income in the next 6 months . Our total income stood at Rs. 84 crores, up 23% over Q2 FY 20, Occupancy at 84%, up from 77% in Q2 FY20 and ARR was at Rs. 11,840, up 8% from Q2 FY2 0. Operating EBITDA came in at Rs. 35 crores, which is 46% growth com-

pared to Q2 FY2 0. At our Courtyard Marriott property in Agra, t otal income is Rs. 9 crores , up 32% Q2 FY2 0, occupancy at 63% and ARR at Rs. 3,883, which is up at 17% from the Q2 FY20 . During the month of October , Courtyard Marriott's oc cupancy levels reached 80% , and ARR and RevPAR also showed significant imp

rovement and stood at Rs.
4,623 and Rs. 3,790, respectively.
Moving on to our residential business on slid e 45, we have witnessed very good traction in residential sales mainly led by the robust demand of ready to move in inventory. We achieved an overall sale of Rs. 98 crores in Q2 FY23 out of Rs. 26 crores is pending registration. Momentum in sales continues with sales in excess of Rs. 200 crores in the period from April to October 22. Collection in quarter was Rs. 71 crores and for the first half was about Rs. 124 cores.
Moving on to our financial results, which are in slides 47 to 53 , Income from operations for the quarter was Rs. 651 crores, this is up 75% year on year and 57% if we compare t o Q2 FY20. I ncome from operations at Rs. 1,226 cores for first half FY23 up 1 13% year on year and 19% if we compare to H1 of FY20. Moving to prof itabilit y and EBITDA for Q2 FY23 was Rs. 381 crores up 104% year on year and 81% compared to Q2 FY20. EBITDA at Rs. 700 crores for H1 FY23 up 168% for year on year and up 40% compared to H 1 FY20. PAT after minority interest and before compreh ensive income for Q2 FY23 was at Rs. 186 crores compared to Rs. 60 crores of Q2 FY22 and Rs. 66 crores as well for Q2 FY20. Rs. 905 crores was the PAT for first half FY23 c ompared to Rs. 33 crores for H1 FY22 and Rs. 196 crores for H1 FY20.
On Slide 53 we have demonstra ted growth in consolidated EBITDA on a like to like basis to the pre COVID period. We have made adjustments for the newly opened Phoenix Palassio Mall, which was not there last year , Classic mall, which was an associate company , was acquired this

year and residential business , because it has a lumpy effect on accounting, we have removed that as well. Moving out these adjustments , we still registered a growth of 33% over Q2 FY20 and 27% over H1 FY 20.
Moving on to the debt, cash flows and liquidity posi tions in slides 54 to 59. Our gross collections from the business was Rs. 726 crores for the quarte r out of which retail was Rs. 520 crores , commercial was Rs. 43 crores , Residential was Rs. 71 crores and hotels business collected about Rs. 93 crores. We s pent about Rs. 570 crores in Cape x during the first half of FY23. We have 4 malls under construction at present and since they are entering into final phase of completion, the spending has picked up and the Cape x has increased . Further , we have started excavation for P roject Rise in L ower Parel and our upcoming mall in Calcutta during this quarter . We have co mmenced construction on the RCC Structure for the Millennium Towers and the Asia Towers . These are the office towers on top of the malls in Wakad Pune and Hebbal Bangalore respectively.
On the debt side, in Slide 54, consolidated gross debt stood at Rs. 4,263 crores on 30th September , with an increase of Rs. 76 crores from the Rs. 4,187 crores, which was the balance as on 30th June 20 22. On the operational portfolio, there has been a decline in the debt due to grad-ual repayments as well as few planned re payments that we have done
during the quarter. On the under -construction portfolio, sequential increase of debt is on account of spending for our under -construction malls at Ahmedabad, Indore and Bangalore. However, we expect 80% of this debt to be refinanced to LRDs with the Indore and Ahmedabad malls becoming operational in the coming few months. Av erage cost of borrowing is up by 44 basis points to 7.89% in September 22, this figure was 7.45% in June 22. Currently , our lowest cost of borrowing stands at 7.35%. Despite RBI increasing rates by 140 bps since May 22, our

borrowing cost has gone up by 44 bps so far only. As overall interest rates i

n t he economy start to rise, our effort will be to minimize the impact of this on the cost of borrowings b y reducing the spread charged by the banks on top of the repo rate.

Our liquidity position is on slide 56 . As of 30th September 2022 , we
have liquidity of almost Rs. 2,300 crores. This exclude s Rs. 1,022 crores
in unutilized OD accounts. At a group level o ur net debt stood at Rs.
1,964 crores and PML share of the net debt is Rs. 1,573 crores.
Moving to our cash flow position on slide 57 and 58, we had a strong
operational cash flow quarter. We generated Rs. 398 crores of operat-
ing cash flow. Post interest payout of Rs. 81 crores , our operating free
cash flow for the quarter was Rs. 318 crores. We are bullish on our busi-
ness prospects and with a strong balance sheet position, our focus is
now to deliver under construction projects in time and judiciously de-
ploy our capital to expand our portfolio. With this we would close our
opening remarks and we will open the call for interactive question and answer session. Thank you.
Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin the
question and answer session. Anyone who wishes to ask a question
may enter “*” and “1” on touchs tone telephone. If you wish to remove
yourself from the question queue, you may press “*” and “2”. Partici-
pants are requested to use the handset while asking the question. An-yone who has a question may enter “ *” and “1”. The first question is
from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Hi, Good afternoon and Congratulations on good numbers. M y first
question is with respect to the consumption growth. Y ou talk about ad-
justed consump tion growth of 118% over FY20. I n your assessm ent, is

it good enough, a nd if not that, how much higher can you achieve by
end of FY23?
Shishir Shrivastava : Hi Puneet thank you for your question. W hen we look at the significant
changes that w e are seeing across all our malls in terms of change in
bran d mix and if I may draw your attention to where we have detailed
the trading occupancy of mal ls, I think the answers you will find in
that. There's a gap between the leasing occupancy and the trading oc-
cupancy. So, we expect , as all of these malls move clo ser to 97-98%
trading occupancy, which i s where the leased occupancy currently
stands at, the consumpti on is certainly going to further improve on that
accoun t. Additionally, t here is a trend where we are seeing that the av-
erage spend per customer continues to grow. So, our estimate is that
even in the remaining half of FY23 when we compare it with FY20, we
should c ontinue to see high teens growth for the remaining half as
well.
Puneet Gulati: If it were to be, if your trading occupancy were to be same as leasing
occupancy, where do you think this number would have been versus 118% now?
Shishir Shrivastava: I think that would impact another 7% -8% higher . So, 18% like to like
growth, excluding Phoeni x Palassio , would probably be closer to about
24% -25% or slightly h igher than that.
Puneet Gulati: Understood , that's helpful . Has the footfall returned back to pre -Covid
levels or is that still below pre Covid ?
Shishir Shrivastava: So, I would say it would still be about 15% lower , but we are seeing very
positive response to the larger marketing initiatives that we have un-dertaken in terms of the concerts and per formances and the footfall is
back and on those days, of course that does b oost our consumption
significantly.

Puneet Gulati: My second question is with respect to the leasing of the upcoming
malls. Indo re is leased out to up to 88% while i t's still a good number ,
do you thin

k that's where it will settle at in the near future, g iven that
Ahmedabad is alre ady much higher than 95% and so the other mal ls
are also, which are still a year away are leads out higher than 88 %?
Shishir Shrivastava: When we launched Phoenix Palassio, Lucknow in July 2020, the mall
was pre-leased at about 72% or 73% at that stage. So, there is certainly
a build out that happens over a 1 2 month period after the mall com-
mences operations, and we have stra tegically retained some of the
high yielding inline spaces to lease out later . So, it's a strategic decision
at Indor e and we are confident that this mall is going to be trading at
close to the mid -90s or high 90s like any other mall, b ut it takes about

12 to 14 months to ramp up to that level.
Puneet Gulati: And in terms of the unde rlying rentals, if you can give s ome sense of
where the average underlying rents likely to be for all the four upcom-ing malls .
Shishir Shrivastava: So, Ahmedabad we expect to be approximately in the range of about
Rs. 140. Ind ore should be in the range of Rs. 90-100, because there's
also the reve nue share component, which will t ake that up. Mall of Asia
in Bangalo re should be closer to about Rs. 155-160. And M all of the
Millennium at Pun e in the range of Rs. 120 to 130.
Moderator: Thank you. We'll take our next question from the line of Parik shit
Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal : My first question is on business development, so we have been talking about business development every quarter, but we have not seen any significant movement there. Even on Surat, which had been announced
three quarters back, there has not been any movement. So, if you can

update us across cities what has been the BD action and in this financial
year, do you expect any closures?
Shishir Shrivastava : As far as Surat is concerned, we are waiting for certain CP completions
which we are told should be done by the middle of this current month and we hope to conclude the transaction immediately thereafter. Surat is going to be about a million sq ft developme nt. We have taken the last
7-8 months to work on the plans, we have inverted the plans, we have
got the initial approvals in place. In fact, it's good to go from a construc-
tion perspective, so the process of planning etc. does not start now, it's
already b een done. We've applied for the environment clearances, so I
would say in a quarter after conveyance we should be able to com-
mence construction. Our ownership, as in the GIC Phoenix JV owner-ship in that asset would be anywhere between 70% to 80%, that will
get crystallized in the next coming weeks. We estimate 3 1/2 years con-struction period and hopefully with this million sq ft mall looking at the
current demand supply gap in Surat and the current rental trends we should be able to deliver a very, very goo d rental per square foot there.
Currently, I think the estimates in Surat, in the current year, for a good
quality retail space stand at about 120 and 130. Typically, we don't an-
nounce any transaction as such until it's concluded. So, at present we
are in advanced discussions at Jaipur and on some space in Chandigarh as well but it's a little premature to announce it as yet. But you may rest assured that we are equally eager to deploy the funds that we have already available, and growth is clearly important for us, so we have a
fairly large business development team operating in eight different markets looking for opportunities.
Parikshit Kandpal : Great . I was coming back to the residence business. So resi dential busi-
ness what we have been indicating is that we want to do something on

the resi dential business, so any update t

here , any business develop-
ment efforts being initiated out there? If you can updat e us on what's
the progress in residential business .
Shishir Shrivastava: So, as you m ay be aware , we had participated in a bid for a very , very
premium land parcel in Alipore Kolkata and we won that bid. Now we
are waiting for the next s teps from the government of West Bengal to
proceed on that. So we are being a little oppor tunistic in our approach
on residential and we are also evaluating if there is any partnership or
a platform t hat we may enter into to grow that vertical; in which case
we a lready have currency in our Bangalore development, where we
have six towers of One Bangalore West and K essa ku c ompleted and
Towers 7 will get completed shortly. So , we may consider contributing
that asset i nto such a JV or a platform with a strategic partner.
Parikshit Kandpal : OK, so this Alipore opportunity how big like in terms of gross develop-
ment value, how much will be the sales potential from this?
Shishir Shrivastava: It would be about almost about a Rs. 2,000 crores over a 5 year period
at a conservative estimate.
Parikshit Kandpal : And what are the pending things to be done here , has the deal hap-
pened or written final stages? Also, when do you expect to break the
ground here and the deal closure timeline ?
Shishir Shrivastava: So, I think there are certain steps at the government of West Bengal's
end and particularly HIDCO , for them to compl ete the transaction. , I
will not be able give a time line on that, but the allotment has been

completed and we are ready to proceed on to the next step a s soon as we hear from them.
Parikshit Kandpal : OK, and wh at would be the approximate Cape x like land now? Has that been frozen?

Shishir Shrivastava: See, it will be about a million square foot development. I would say roughly around Rs. 900 to 1,050 crore kind of a cap ex. But obviously a large chunk o f that will get self -funded from sales, so one could assume that the land cost, which is roughly around Rs. 400 crores plus another Rs. 200 crores of equity may be required to initialize the project.
Parikshit Kandpal : I'm sorry, I think you said earlier 2 million square feet.
Shishir Shrivastava: No, it's a million square feet. Rs. 2,000 crores of estimated gross sales value.
Parikshit Kandpal : Rs. 20,000 per square feet y ou are saying will be the selling price.
Shishir Shrivastava: That is the current market in that premium location
Parikshit Kandpal : Ok, a premium residential development.
Shishir Shrivastava: Yes, Alipore as a micro market for a good quality development, it is seeing that kind of pricing .
Parikshit Kandpal : Yes. Last question on the 2 u pcoming office s at Bangalore and Pune. So as was mentioned that we had started RCC works, so if you can update us how many floors will these be, and in the presentation you have given FY25 timelines for comple tion, so when do you expect the r entals to start flowing in on this ?
Shishir Shrivastava: So, during the last eight months, we have actively worked on expanding our team and bandwidth for delivering the leasing of these office projects. So, we've expanded the team in Bangalore , we've set up a new office leasing team there , and we’ve expanded our team at Pune. We have also looked at alternate solutions for tenants , and we are currently rolling out the managed offic e or enterprise solution fo r a certain profil e of clients who prefer that. W e expect to commence leasing in the first quarter of the coming financial year, and we'll take it from

there. We hope to do a significant amount of pre -leasing before we achieve OC , at least get a

few anchors in place b efore we get OC. The goal is t o try and achieve, let's say 75% to 80% leasing within 12 months of getting the OC.
Parikshit Kandpal : OK, and the market here will be like again Rs. 80-85 per sq ft .
Shishir Shrivastava: In Heb bal, we expect it to be a little higher than that and in Pune for sure will be in the range of about Rs. 90 plus.
Moderator: Thank you . Our next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: So, my first question was on th e margin side . So, this quarter we reported a pretty strong margin, one of the highest we've s een in the past many years. Firstly , like what were the drivers of this margin and secondly like how s hould we expect these margins to sustain going on?
Varun Parwal: First is the revenue mix. I think retail rental revenues were very strong and one thing that we are seeing is that EBITDA margins have tended to sustain abo ve the rental income. This is on account of higher other income that we get from events, pro motions, signage s and parking , as well as the fact that a lot of capex and refurbishment was done at these malls in the last two years. So , the ongoing Opex Capex at the malls which passes through our P &L is lower, so the EBITDA margins are tending to be i n excess of 100%. Second, we had the contribution from the residential portfolio as well; while that is t ypically at a lower EBITDA margin than retail, but more Kessaku sales , pushed up the margins on quarter -on-quarter basis in Q 2. Third, the hotels also have seen a significant improvement in the opera ting margin . Q1 and Q2 for hotels, typically acco unts for 40% of their full year r evenue and margins tend to be lower in a 32 %-35% EBITDA margins sort of a bracket. Whereas in first half of this year, at The St. Regis, Mum bai we are at a 40% margin

and at Courtyard by Marriott, which typi cally tends to just break even

we are at a 20% positive motion . So, all these factors cumulatively hav e
led to our margins g oing up quarter on quarter and of course as well
compared to the pre COVID period.
Kunal Lakhan: Sure, that's helpful, but considering like hotel and you r residential mar-
gins are l ower than the retail margin , so on retail margin side right , it
also 100% plus EB ITDA margin on the retail side you think that will sus-
tain since you are done with that Opex Cape x in the last few years? Is
that what you're saying?
Varun Parwal: So I think we have generally guided to EBITDA being at about 95% of
rent al income, but for last several quarters we have seen EBITDA actu-
ally ended up being above 100% and with a large part of Opex Capex
done and other income step ping up and the revenue share percentages
from retailers also picking up on account of higher consumption , I think
one can expect EBITDA to be at par, if not higher than the rental in-
come.
Kunal Lakhan: And also , the fact that your t rading occupancy catches up the l easing
occupancy, and there'll be a fair bit of operating play all over here,
right?
Varun Parwal: Absolutely yes . There is t he operational efficiency that one would get
through because right now the expenses are being borne on a lower
amount of trading area. So as the trading occupancy moves up, there is higher recoveries from retailers which should h elp support the mar-
gins. So even if in cas e our marketing picks up, which we typically do n't
charge to the retailers , however , the other income from the new area
that becomes tra ding should help support the margins.
Kunal Lakhan: Shishir just on the discre tionary consumption side. What's the ear ly
trend that you're seeing? Considering the inflationary environment, we

are getting into or we are already into and a kind of a slowdown that
we are seeing in the economy also. So, any comment there would be
helpful .
Shishir Shrivastava : I think , so far, the inflation has act ually had a positive impact. I f we just
look at our H1 performance where you see the consumption growth,
we've seen electronics grow at about 33% , fashion and accessories at
about 30% , F&B at 30 % plus, Jewellery at 120%. All of t hese have indi-
cated that so far, the inflation has not had adverse impact on consump-
tion, so therefore I think the next two quarters are going to test how
this is going to pan out. We are seeing that in urban cities we are not
seeing the impact on discretionary spend as yet, but we'll have to w ait
it out and see how it pans out.
Moderator: Thank you. Our next question is from the line of Biplab Debbarma from
Antique Stock Broking. Please go ahead.
Biplab Debbarma: So, I have three questions. First question is on the pre-leasing of your
upcoming project . Yeah, so I'm just wondering what prompted you to
lease the entire Ahmedabad project, b ut not doing so in Ind ore which
is at 86% . I mean you could have used the same str ategy in Ahmedabad
also.
Shishir Shrivastava: The products are firstly a little different at Indore and Ahmedabad. Ah-
medabad is gearing a little more towards luxury and bridge to luxury.
Strategically, when we looked at Indore , we had a certain rental rat e
that w e wanted to achieve upon leasing which we've achieved so far.
But in terms of offtake, we believe that once the mall becomes opera-tional, certain of the inline stores and few smaller, larger stores that we
have remaining, we will be able to lease them out at a better rental and
therefore we have continued to hold on to t hat. But when we report
the results for the next quarter, you will see that has already improved .

So, in Ahmedabad , when we acquired the mall in 2018 , there was talk
of another competitor buying land for another mall in the vicinity. So ,
we saw that it was in our interest to move fast and derisk the invest-
ment and lease it out. In Indore , such competition is not the concern.
Also, in Ahmed abad the demand continued to be high f rom retailers
and Indore they have been, I would say a little cautious. Also , there's a
big difference in the size , the Ahmedabad mall is 775,000 square feet,

while Indore is ~ 1 million square feet. That is another major difference.

Biplab Debbarma: Second question is on t he office towers. Sir you have a plan for o ffice towers in Whitefield and Chennai, but you ha ve started work in Wakad and Hebbal , so are you seeing some kind of commercial or technical issues th ere, in Whitefield and C hennai.

Shishir Shrivastava: There is no commercial or technical issue in either of these two locations. We have prioritized , and we are working in parallel on all the projects. For Chennai, we have got our approvals only very recen tly and we intend to commence work shortly. In Whitefield, we've already commenced with the excavation at site, so there are no challenges per se.

Biplab Debbarma: So, we can say in the next 1 -2 quarters, so we would be seeing , construction work is done in all the four projects.

Shishir Shrivastava: See when you compare these two projects of Whitefield and Chennai with us c ommencing construction at Wakad and He bbal, please note, that Whitefield is an operational mall, Chennai is an operational mall, and in He bbal and at Wakad we saw the benefit of continuing the construction and finishing the RCC work b y the time the mall is operational. Here there are logistics aspects that we are working around, but we have commen ced construct at both locations.

Biplab Debbarma: So, question is on business development. So, you would be generating significant cash flows from your business operation. Also , you have a lot of cash at hand and correct me if I'm wrong, we are doing kind of 1 business development deal each year, then land deal for Rs . 400-500 crores maybe , plus some construction work , so h ow do you see that cash utilization? Would there be enough business development velocity to utilize the cas h flow that we generate and that much cash flow we have in hand. Or we would be doing something like investing in other non-core business like warehousing , at all opportunities like residential, are we seeing some kind of challenges in business development or while closing the business development deal.

Shishir Shrivastava: No, we've always been extremely selective about what sites we pick up. One has to be very , very judicial and prudent in acquisitions and we also do not want to over leverage ourselve s. So, we have timed our free cash flows with these acquisitions so far . So, just to recap, as on earlier this year we had cash in books of about Rs. 2,200 crores . For over the next 2 1/2 years we expect free cash of another Rs. 3,000 crore s. So, we are looking at a deployment strategy which times well with this because it's not just about deploying Rs. 5,000 crores on land acquisition. One would deploy maybe Rs. 1,500 or Rs. 2,000 crore s towards land acquisition out of these funds and retain the rest as equity for construction, since we do not want to ov er leverage ourselves either. As I mentioned earlier in my response to Puneet , that we do have a fairly large business development team which is looking at specific markets and within those specifi c markets ther e are specific locations that are of interest to us. W e will not deviate from our approach of creating only dominant consumption center s, so we do not want a grade 2 or grade 3 location. So, we are very prudent and selective about how we go about our growth.

Moderator: Thank you. Our next question is from the line of Girish Chowdhary from Spark Capital. Please go ahead.

Girish Chowdhary: Firstly, specific to Bangalore Mall and P une mall, if you look at the consumption numbers , it has been pretty strong and also the trading densities have been going up , but if I look at the revenue as a percentage of consumption, the numbers are still very , very low, around 10 % to 11% lower than the company average. So, what could be the reasons and incrementally do you see these recovering or t hey will remain at these levels.

Shishir Shrivastava: Hi Girish, thank you for your questio n. Very, very pertinent ones. W hen you look at the revenue as a percentage of consumption, I think there's a differen tiation in Bangalore and Pune. In Bangalore , we ha ve a very sizable GLA occupied by jewel lery as a category. As I mentioned, we saw significant g rowth in consumption in jewellery when we compare Q2 FY23 or H1 FY23 with the previous years. But as a contribu tor, the jewel lery contribution maybe in the r ange of about 2 % to 3% of sales as rental, but whi le consumption growth is higher , the incremental contribution from revenue as rental is not the same as 12% or 18% which may be the case for other brands , jewellery sits at about 2 % to 3%. So, we have seen a significant growth of 18 % in Bangalore on account o f consumption for jewel lery. In Pune , in this quarter , we had to conclude certain waivers for the previous quarter and even the period prior to that, so that for this quarter w e have seen a dip of about Rs. 5.5 or 5.6 crore on account of these waivers, which going forward will not be there. So, for all practical purposes for the next quarter one ca

n look at
this quarter's rental income for Pune an d add ano ther Rs. 6 crores to that t o be at close to about Rs. 50 to 53 crores .

Girish Chowdhary: Understood, but just as a follow up in the previous c alls, you did mention of these malls also moving up to or maybe anywhere between 13% -15% revenue sharing, so does that still hold ?
Shishir Shrivastava: I don't believe I have ever stated a number of 15% as a revenue share across all cate gories in the mall because that's not likely when you have jewel lery and you have watches a nd luxury which is at a lower reven ue share component. But I would like to say that Phoenix Palladium , Mumbai as an example has achieved that iconic status where you can see a 16% -18% revenue share. So, these malls will grow as the brand mix changes and you get higher l uxury brands , then th e contribution will grow in these malls. So, I think it's on track and for our market city malls, we have always estimated to be in that 12 % to 14% kind of a range and we are on track for that.
Girish Chowdhary: Second , on the overall consumption trends again, while y ou did share about w hich are the categories which are doing well, but if you can also share brand mix between luxury or maybe bridge to luxury and also maybe domestic and internatio nal brand. How are they sort of doing and as and when the ren ewals have come up, is there an upside if you plan to churn out some of the underperforming categories or brands and replace them with categories or brands?
Shishir Shrivastava: That is routine in our case where nonperforming brands are churned out and we track all the consumption closely. Typically , if I were to hazard an estimate here for renewal of spaces, at least in t his current cycle when contracts come to an end and they go up for r enewal , we will either renew them or re -lease them. At an average , one should be able to see a 20% or exceeding a 20% growth on the rental on such renewals.

Girish Chowdhary: OK, and any color on brand mix between domestic and international. How are they performing?
Shishir Shrivastava: I don't think I have the data to really give you a color on that. But if you visit ou r malls, you will know the brand mix is geared more tow ards multinational brands , and so the delta may not be much.
Moderator: Thank you, our next question is from the line of Ashwini Kumar Agarwala from Edelweiss Mutual Fund. Please go ahead.
Ashwini Kumar Agarwala: I've got a couple of questions. Y ou said that 15% of the people have not yet come back to the malls. So, is there any particular reason for that? Or this is a structural shift in the shop ping behavior, because if we guess it , the Q2 FY23 was a very normal quarter?
Shishir Shrivastava: I think a good number of footfalls will co me back once multiplexes get operational. And also, the hypermarkets have seen some challenge from the operator si de in the recent past. As that stabilizes, that will bring some foo tfalls back . But also, in th ese last five months we've started with all the high impact events and promotions , so there will be a bit of a trickle effect. I don't think i t would be a correct statement to say that there's been a shift in the shopping behavior as compared to FY20 in the consumer today. Yes, during COVID, of course it was. But we are seeing a good quan tum of crowd back . October has seen a sig-

nificant growth in footfalls, which was not repor ted in this quarter. We
may be closer to 90%.
Ashwini Kumar Agarwala: Yeah, October was the month of festival, t hat's why we may
have. And so, if we look at if we come to cha rt number, we share Q2
FY23 consumption , it is 118% excluding t he Pa

lassio contribution. So,
for the last three years the contribution has grown by 18 %, which is in
line with the inflation growth or maybe s lightly lower. So how do we
improve this contribution increase so that we get a real increase? And

that too is c ontributed by mostly 2 -3 malls. That's Phoenix Palladium,
Mumbai which grew by 24%, Bangalore 39% a nd Pune was in line with
inflation at roughly 22% for three years, but whereas you PMC Mumbai,
Chennai Palladium t he growth was on the lower side.
Shishir S hrivastava: I wou ld say that again if you look at the ramp up o f the trading area
versus the leased area, that is going to create a significant growth in
the consumption. And you are right, it's a very intelligent question that
you have , of aligning this with inflatio n, but at the end of the day infla-
tion to some extent can be a positive, but at some point, it will start
leveling out the consumption pattern if it continues to grow in the same
way. So Kurla for example, trading occupancy w as at 86%, lease d occu-
pancy stands at 97 %, so as th ese stores start trading that will automat-
ically boost c onsumption in Kurla. For example, Reliance Smart will
open up in January , several other stores have opened up recently in
October . So, I think this q uarter one should see a positive impact of this .
We have some 50,000 square feet which is already leas ed, but fit outs
are just about to start. That means , spill over into the last quarter of
the financial year. So th at is certainly going to impact this. Same goes
for Pune t rading occupan cies which was at 85% for this Q2, lease occu-
pancy stan ds at 92% , so you have a sizable area here, which is going to
start contributing to consumption. Chennai Trading occupancy was at
86% and leased occupancy at 96% , same impact is expected to be seen
here.
Ashwini Kumar Agarwala: OK, so have you felt any kind of impact from the Jio mall, for the
customers coming to Phoenix Palladium.
Shishir Shrivastava: There's no real objective way to answer this question. On one hand, we
are seeing o ur consumption is growing. We had a lot of area even at
Lower Parel, which during H1 w as under fit out and undergoing c hanges
and we saw a bit of churn that we had initiated there , so it's s table state

operations one can say is only in this current quarter that one can com-
pare. And Jio mall, I don't have a comment on that, as it's a very differ-
ent product.
Ashwini Kumar Agarwala: OK, so last question . You said that we will plan to only go and
Tier-1 cities where there is a lot of purchasing power so we can be sure
that we would be in the top 12 -15 cities only right? As for you, on ce in
a single city, how many malls can you people build so that they both
run profitably?
Shishir Shrivastava: I think i n every city it varies. It de pends on the population, and it de-
pends on the GDP per capita of that city . So, there are multiple factors
like a city like Mumbai, t here is no reason why it can't support 20 good
malls , except for the fact that there isn't l and at the right location avail-
able . On the other side, if one was to look at a city like Ind ore, which
cumulatively, the city and the neighboring cities in the district would
probably be able to service about 5 -5.5 million people, maybe i t can
sustain 3 large malls , so i t varies from city to city. While you mentioned
the top 12 to 15 cities , we have reviewed 30 cities and boiled down to
about 12 to 15 where we where we are actively looking at opportuni-
ties.
Moderator: Thank you ladies and gentlemen, that was the last qu estion. On behalf
of the Phoenix Mills Limited that concludes today's conference, we thank you for joining u

s and you may now disconnect your line.

Call: Feb 2023

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February 13, 2023

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated February 08 , 2023, wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine mo nths ended December 31 , 2022, please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company’s website and can be accessed at https://www.thephoenixmills.com/investors

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary
Encl.: As enclosed

The Phoenix Mills Limited
Earnings Conference Call
Feb 08, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9M FY23 Results Conference Call of The Phoenix Mills Limited. As a reminder , all participants ’ line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Management of the company is being represented by Mr. Shishir Shrivastava - Managing Director, Mr. Anuraag Srivastava - Group CFO and Mr. Varun Parwal – Deputy CFO. Should you need assistance during this conference call, please signal an operator by pressing “ * “ followed by “ 0 “ on your touch tone phone. Please note that this conference is being recorded. At this time, I would like to hand over the conference to Mr. Shishir Shrivastava. Thank you and over to you sir.

Shishir Shrivastava: Good afternoon, ladies and gentlemen. Thank you for joining us today. W e take pleasure in welcoming you all to discuss the operating and financial performance of the third quarter and first nine months of FY23. I hope you have h ad a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our website. We wi ll now take you through the key highlights of the results and will refer to r elevant sections of the results p resentation from time to time.

We will now start with the performance of our retail portfolio. May I draw your attention to page 4 onwards of the results presentation. Consumption in Q3 FY23 stood at Rs. 2,647 crores , showi ng a growth of 28% over Q3 FY20 w hich was historically our best year. Excluding Phoenix Pala ssio, Luc know and Phoenix Citadel , Indore the growth w as 14% of Q3 FY20. Consumpti on was robust across categories in the third quarter. S ome of the top performing categories were jewelry, which was up 142% from Q3 FY20, Electronics up 21% from Q3 FY20, Fashion and accessori es up 26%, Food and beverage up 31%, FEC, Multiplex and entertainment up 30% from Q3 FY20.

Turning to page 5 , consumption in 9M FY23 stood at Rs. 7,037 crore s, up 27% compared to 9M FY20. Excluding Phoeni x Pala ssio and Phoenix Citadel 's contribution growth was 14% c ompared to 9MFY20. Reta il collections for 9M FY23 stood at Rs. 1,585 crore s, maintaining the quarterly average run rate of o

ver Rs. 525 crore per qua rter. Moving to Page 6 and 7, in January 2023, we saw consumption at approximately Rs. 816 crore s, which was up 27% compared to January 2020. At Phoenix Palladium, two of our key stores, Zara and Reliance Digital are undergoing renovations. Zara is recreating a flagship store with a much larger GLA a nd is currently not operational since January 1st. This has had a negative impact o f about 8% on consumption growth at Phoenix Palladium , a 3% impact on consumption growth on a like to like basis and a 2% impact on overall consumption growth. YTD April to January 2023 we achieved consumption of approximately Rs. 7,853 cror e and are on track to cross annual consumption of approximately Rs. 9,000 crore s. Any bump up on account of new trading areas becoming

operational inside exi sting malls at Chennai, Pune, Kurla , sustained consumption growth in existing malls , new mall opening at Ahmedabad in this month a nd consumption growth at our latest mall, Phoenix Citadel, Indore will account for an increase beyond the Rs. 9,000 crore s estimate .

We have had a robust event calendar for each mall with major s pike event s scheduled for weekends and engag ing mini -spike events during weekdays. We continue to invest in innovative eye- catching decor across properties and bring in the best of brands and categories and fine dining, food, and beverage experiences. We gear all these activities towards making each mall the de facto destination for consumers.

Turning to page 10 through 13. We have some photos depicting the beautiful interiors at our recently launched Phoenix Citadel Indore, which is the largest mall of Central India with the GLA of a million square feet. Phoenix Citadel currently has a trading occupancy of 50%, up from 42% in December 2022 and we are on track to cross occupancy of 85% by March 2023. The trading density for this month was in the range of Rs. 700 to 800 per square foot per month, and w e expect to reach approximately Rs. 1,000 per square foot per month in FY24.

Please turn to page 14 onwards for an update on our upcoming malls. I'm happy to announce that we are set to launch Palladium Ahmedabad later this month with the retail GLA of approximately 770,000 square feet. This mall is 99% leased as of January 2023. This will be followed by the launch of Phoenix Mall of Asia at Bangalore and Phoenix Mall of the Millennium at Pune in Q1 FY24. Phoenix Mall of Asia Bangalore has a retail GLA of approximately 1.2 million square feet and has achieved leased occupancy of 87%. Phoenix Mall of the Millennium Pune has a retail GLA of approximately 1.1 million square feet and has achieved leased occupancy of 88% by January 2023. At our retail project in Kolkata, we have completed the demolition work for the old on -site structures and currently pilin g and diaphragm work is in progres s. At Project Rise in L ower Pare l, shore piling work has been completed, rock anchoring excavations in progress.

Moving on to offices , Phase 1 of offices at Bangalore, part of the Mall of Asia Development , we have a GLA of approximately 800,000 square feet in the first phase and the RCC structure of the towers is completed. We are in advanced leasing discussions and expect to operationalize the offices in the f irst half of FY24. Moving on to other office proj ects; d esign w ork has been completed for both Palladium offices at Chennai and Millennium offices at Wakad, Pune, with the target completion in FY25 for both. In case of Millennium offices , construction has commenced for 2 out of 4 towers and for Palladium offices a t Chennai, slab casting has commenced on the top of the mall podium. Excavation and shore piling is underway for our retail and office expansion at Phoenix Market City, Bangalore. As we make fast inroads in Gujarat and with the launch of Phoenix Palladium, Ahmedabad later this month, we als o

completed the acquisit

ion of a 7-acre land parcel in Surat in December 2022 to develop a premium retail destination for customers.

Now moving on to our performance of our retail portfolio from page 25 onward s. In line with consumption, our rental and EBITDA growth has also been strong. Q3 FY23 retail rental income was approximately Rs. 336 crores , up 21% compared to Q3 FY20. Retail EBITDA for the same quarter was Rs. 339 crores , up 29% compared to Q3 FY20. In the first nine months of FY23, our retail rental income stood at Rs. 972 crores , showing a growth of 22% over 9M FY20 , and retail EBITDA stood at Rs. 982 crores , showing a growth of 28% over the same period FY20. Page 33 gives you a status on leased occup ancy, trading occupancy and trading density . We have seen a significant ramp u p across these three parameters v is-a-vis June 2022. May I now request Anur aag to take you through the o ffice, hotel and residential section and overall financial results.

Anuraa g Srivastava: Thank you S hishir. Good afternoon, everyone. Please refer from page 35 to 37 for an update on our commercial portfolio. Our commercial office portfolio continues to demonstrate a strong leasing traction. For the period from April to January 2023, we saw gross leasing of 3.95
lakh square feet, of which 2.45 lakh square feet is the new leasing and 1.5 0 lakh square feet is the renewal. Total office income for Q 3 FY23 stood at Rs. 42 cro res, up 16% year on year. Total EBITDA s tood at Rs. 23 crores. Collection efficiency for the quarter was at 96% and we collected about Rs. 55 crores. During 9M FY23 office income stood at Rs. 126 crores ; was up by 10% year on year and EBITDA was flat year on year at Rs. 71 crores. Collection efficiency for the nine months was at 98% and we collected about Rs. 146 crores in this part o f our business.

For update on hotels, I'll request you to please refer to page 39 to 44. At both our hotels we have witnessed strong improvement on account of social and corpor ate events, pickup in F&B, and the festive season which has led to t he higher occupancies and the ARRs. At T he St. Regis, during January 2023, our ARR stood at Rs. 17,765 and RevPAR at Rs. 14,786 showing significant improvement over the same period last ye ar. The operating performance at The St. Regis, Mumbai has surpassed most parameters in last nine months l ed by resumption of foreign travel, d omestic corporate travels , social events and staycation. These factors provide an excellent visibility for hig her occupancy and ARRs in the coming month. Total income stood at Rs. 109 crores, up 13% from Q 3 FY20. Occupancy for the quarter stood at 81% and ARR was at Rs. 16,392, up 18% a s well. Operating EBITDA came in at Rs. 49 crores, which was a 21% growth compared to Q3 FY20. At Courtyard by Marriott Agra total income stood at Rs. 14 crores, up 13% from Q3 FY20. Occupancy for Q3 FY23 was at 79% and A RR at Rs. 5,610, up 14% from Q 3 FY20. During the month of January, Courtyard Marriott RevPAR stood at Rs. 4,125.

Mov ing on to residential business update, please refer to page 46. We are witnessing very good traction in residential sales, mainly led by robust demand of ready to move in inventory and faster conv ersions. We achieved overall sales of Rs. 104 crores in Q 3 FY23, of which Rs. 14
crores worth of sale is pending registration. Momentum in sale continues with sale of Rs. 275 crores in the period from April to December 2022. Further, w e have now crossed the sale of Rs. 300 cr ores i f we take the first week of Februa ry also into considerat ion. Collections in Q 3 were at Rs. 129 crores and nine months at Rs. 254 crores. We are following through our strategy

on marquee residential projects in mature markets and we are pleased to announce that we expect to close the acqui sition of a very prime 5.5-acre land parcel in Alipore, Kolkata for consideration of Rs. 43

0 crores. More details to follow on this account in the coming quarters.

I would request you to turn to page 48 to 51 for our financial results. Some of the key highlights of our consolidated financial performance are as follows. Income f rom operations for Q 3 FY23 was at Rs. 684 crores, up 66% year on year and 34% compared to Q 3 FY20. Income from operations at Rs. 1,909 crores for 9M FY23 up 93% year on year an d 24% compared to 9M FY20. EBITDA for Q 3 FY23 at Rs. 384 crores u p 67% year on year an d 48% compared to same quarter FY20. EBITDA at Rs. 1,088 crores for 9M FY23 up 121% year on year and 43% compared to 9M FY20. Reported PAT after minority interest and before comprehensive income for Q 3 FY23 at Rs. 176 crores, up 78% year on year and 92% compared to Q3 FY 20. Same numbers for 9M FY23, PAT at Rs. 1,081 crores c ompared to Rs. 133 crores for 9M FY22 and Rs. 288 crores for 9M FY20.

I would now move to cash flow d ebt and liquidity position and would request you to refer pa ges 50 to 58. For Q 3 FY23 we generated Rs. 419 crores of net cash from our operations. And our operating free cash flow adjusted for tax stood at Rs. 339 crores. For nine months period, our operat ing cash flow stood at Rs. 1,152 crores and our free cash flow s stood at Rs. 911 crores

which has surpassed our FY22 numbers of Rs. 501 crores. Our capex for the quarter was Rs. 775 crores. The pace of spending has picked up as three of our under -construction malls enter their final phase of completion. As mentioned earlier, Palladium Ahmedabad is set for launch later this month, and Phoenix Mall of Millennium and Phoenix Mall of Asia are set to commence operations in Q1 FY24.
Moving on to our debt numbers on pa ge 55. Consolidated gross debt , which stood at Rs. 3,953 crores as on 31st December 2022, showed a decrease of Rs. 311 crores from Rs. 4, 264 crores as on 30th September 2022. On the operational portfolio, there has been a decline in de bt due to gradual repayments as well as few planned repayments that have been done during the quarter. A s Phoenix Citadel Indore has become operational , the debt has been moved to operational asset because of which the under -construction portfolio has witn essed a decrease in debt. Averag e cost of borrowing is up 52 bps to 8.41% in December 2022 from 7.89% in September 2022. Currently , our lowest cost of borrowing stands at 7.35 %. Despit e RBI increasing rates by 225 b ps since March 2022, our borrowing costs have gone up only by 111 bps so far. As the overall interest rates in the economy start to rise, our effort will be to minimize the impact o f this on our cost of borrowing b y reducing this rate charged b y the banks on top of the repo rate .
Moving t o liquidity on page 57, our liquidity position as on 31st December 2022 was Rs. 1,863 crores , this excludes Rs. 1,285 crores in unutilized OD accounts. At a group level, our net debt position is Rs. 2,090 crores and PML share of net debt is Rs. 1,550 crore s. We are bullish in our business prospects and with a strong balance sheet position, our focus is now to deliver on our

under -construction projects in time and judiciously deploy our capital to expand our portfolio. Last but not the least, I'm pleased to announce our foray into warehousing through our recent acquisition of a land par cel admeasuring about 33 acres at So hna, NCR. The acquisition cost of this parcel was about Rs. 53 crores. With this , we would close our opening remarks and we'll open the call for an interactive question and answer session. Thank you.
Moderator: Thank you very much. We will now begin the question -and- answer session. We have our first question from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati : My first question is with respect to the two malls, Ku rla and Chennai, this seems to be lagging the others. Can you comment on what's happening there and wh

at steps are you taking and when sho uld we expect them to come back to normal sustainable levels.
Varun Par wal: Thank s for your question. Kurla I would say that if you see the January consumption, w e are seeing a recovery in the numbers in Kurla . We have taken a relook at the brand mix and we have opened several new stores which has helped freshen up th e brand category mix in Kurla. We also have the first Uniqlo in Mumbai, which is under fit out at this point in time and that would also add further to help draw customers to Kurla. Secondly, we are also stepping up our spike events both over the weekend as well as during the week to ensure that we continue to establish Kurla as a go to destination as people increasingly come back to offices. I think January has seen a turn around and going forward in the coming months you should continue to see a turn around. Goi ng to your second question which is on Chennai. Chennai as you are aware, we had a significant amount of renewal that were lined up in Chennai and as part of that we have been phasing out some of the non- perfo rming retailers even in Q3 a t this point in tim e. Now several new stores have opened and you see their positive impact on consumption coming through as we go through the rest of the month s in this year.
Anuraag Srivastava: And just to a dd on this , I think there has been a decent increase in trading o ccupancies in both these malls. I think we were in mid -80s couple of quarters back on both the m alls and both these malls have moved in early 90s in terms of trading occupancies. Also, there is a healthy growth in trading density in both these malls. It's just a question of time as these malls catch up to the other malls in terms of trading occupancy, we will have the similar numbers on consumption.
Puneet Gulati: Ok, and rentals should follow the same as they are still lagging a bit compared to consumption.
Varun Parwal : I think if you see Kurla, rentals have increased to 1 18 rupees, compared to about 108 that they were pre COVID.
Puneet Gulati: Yeah, but look Kurla is still ok . For Chennai , if I look at YoY renters, they're still 14% despite consumption up almost 20%. So they're still to be lagging behind a bit.

Varun Parwal: So Chennai also I think if you see the rental rate that has gone to 159 . Now as the trading occupancy ramps up, you will see a positive impact happening on the rental income and the asset EBITDA as well. Right now it's flat compared to the pre COVID period , but that's because of the trading area is about 9% lower than what it was in the pre COVID period. So with the new stores an d we have a very active Instagram profile for all of these asset s, and I encourage everyone to follow it. Because you will get far quicker updates on the new stores that are opening at each one of these centers. And Chennai has seen a lot of new stores ope ning in January.

Puneet Gulati: My second question is on your new malls. Both Pune and Bangalore, now you're indicating to start in first quarter of FY2 4, so by June, and there is still almost Rs. 400 crore s in my view that needs to be spent there. Is there reasonable certainty t hat they will start in Q1 , or is there a risk of them getting pushed out to Q2 and following up on that, how soon should we see them ramp u p to 90%? For example, Indore now you're gui ding in four m onths you will be 80 %. How soon will these malls reach over 90% in trading occupancy ?

Varun Parwal: Indore started at 42% occupancy, and it has gone to 50% today and I think we are looking at it crossing 85% by March 2023. Even in Indore, there is a bit of retention money that is held back and that is a figure of about Rs. 48 crores and this retention money is typically spent or released, rather within 12 months of the m all getting completed. So when you look at Wakad (Pune) and Hebbal as we ll, right now o

ur monthly spending run rate here is going to be at about Rs. 60 crores a month in the two malls combined, so by the time we open we would have spent another Rs. 250 to 300 crores . So the balance amount that would be lef t with us would be about Rs. 100 to 120 crores, which is very typical for an asset of this size.

Puneet Gulati: And ramp up, s hould we expect similar four months, these malls going up to 85% level or are these different in some sense?

Varun Parwal: See our typical guidance is ramp up to 85% pl us by within 12 months a nd we have seen a significantly, aggressive ramp up and a very positive ramp up in both Lucknow and Indore. And fingers crossed our teams were endeavored for the sam e show and even a better show for Pune and Bangalore as well.

Puneet Gulati: Last one on t he residential, have you paid anything for Kolkata Alipore Land?

Anuraag Srivastava: No, we haven't paid anything yet , only I think an initial amount of about close to Rs. 5 crores we have paid. The balance payment will go out in this quarter, and I think the formalities are underway and we should be acquiring that land parcel so on.

Puneet Gulati: Ok and how much is the balance.

Anuraag Srivastava: Rs. 432 crores

Puneet Gulati: And what would you need to spend to build it up fully? Any estimate you have at this point of time?

Anuraag Srivastava: I think very rough estimate is very initial and it will depend on the kind of project and how it will go . But roughly about I think in ballpark of Rs. 1,000 crores.

Puneet Gulati: Rs. 1,000 crore s additional construction cost.

Anuraag Srivastava: Rs. 1,000 crore s is total.

Shishir Shrivastava: While we have Rs. 1,000 crore s of total estimated outflow on this project at Alipore , I think we will need to fund only about 20% of the construction cost because bal ance will get funded from sales. Rs. 500 crore s for construction , and a bout Rs. 100- 120 crore s is what we will require to fund initiall y before the project goes into sales and collections from there will fund the balance.

Moderator: Thank you. We have our next question from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: First question is on the retail rental income for this quarter. While consumption growth was roughly 25% -26% quarter on quarter, but our r etail rental growth was 7%. And even if we compare the ratio of consumption , I mean retail income to consumption that's at 13% versus on an average 13% -14% -15% . So, anything to read into or this is not supposed to be followed on a quarterly basis, but over the period. So , if you can just highlight.

Anuraag Srivastava: I think our overall guidance on a number is we've been growing at a CAGR of about 15 %-16% (mid -teens) and we continue to be on that trajectory. The consumption increase vis -a-vis rental increase , largely depends on the category which is growing in consumption. Like for this quarter , we have seen Jewelry on a much higher growth rate than in the other ca tegory because it's a festive season and wedding season . So Q3 jewelry tends to be on the higher amount. So that is that is one aspect. Second is , our revenue share is about between 12 % to 15% , and proportionate amount will only fall down to our rental inc rease which we are seeing this quarter as well. B roadly, I'll say there's nothing much to read into this. I think this busines s as usual. And an overall basis I think our guidance remains intact of those numbers.

Pritesh Sheth: Secondly on office, so we have had a good leasing, at least in January f or Fountainhead Tower 3. What sor t of timeline we built into to basically see full occupancy in that project and since we are completing our Bangalore Asia offices in first half FY24, any pre-leasing that we have

done till now or what's the timeline that we are looking there?
Shishir

Shrivastava: For Fountainhead T owers 2 and 3, we have a fair ly good pipeline in sight. We would expect to see about by the end of FY24 we should be at about a 90% leased occupancy, and we are seeing Fountainhead Tower 3 r eaching about 50% by July or August o f this year. So, there's a decent pipeline in place. We've ramped up the team. We've got some very good senior members on

board now across our leasing teams . Bangalore, Asia Towers w e expect the OC sometime around June or July of this year. And again we have about 8,70,00 0-8,80,000 square feet of G LA there. All the RFPs where we are engaged with and other requirements that have come in we've seen approxi mately 30 lakh or 3.5 million square feet of visibility w hich is part and we are engaged w ith potential tenants there. W e remain very optimistic seeing the bounce back in demand and the confidence is coming out of the RFPs, which are in the market.
Prites h Sheth: Just lastly on Citadel, the rental i f I see there at Rs. 114- 115 per square feet, while we have earlier guided around Rs. 95-Rs.100 per square feet, is it that initial mix h as the higher ren tals, and probably when mall fully sta bilizes, we'll get back to Rs. 95 per square feet of rental or should we consider Rs. 114 as the normalized rental rate for that asset?
Shishir Shrivastava: So we had originally underwritten our busin ess plan , I think at about Rs. 85 per square feet . I think we should be somewhere in that range of about Rs. 95 to 100 per square feet only .
Pritesh Sheth: Rentals are right now h igher at Rs. 114 per square feet, is what you have mentioned in the presentation versus we had underwritten at lower. So should we consider Rs. 114 as the normalized rental rate for that asset?
Shishir Shrivastava: Yes, your analysis is correct that it is basis the current mix . As the ma ll gets occupied and more of the anchors open, we expect it to stabilize in the range of about Rs. 95 to 100.
Moderator: Thank you. We have a question from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: My first question was on, this mont h (January) we ha ve seen some extended end of season sales both in t he physical and online format. So how should we read this whole extended end of season sale? A re retailers seeing more pressure in terms of you know, offloading inventory or paral lelly is there any slowdown in the discretionary consumption side?
Shishir Shrivastava: Not at all. In fact, that was the concern in December. But looking at Jan uary performance, I think the demand continues to be sustained, and we continue to drive that demand through our innovative marketing . So p reviously, the end of season sales used to be, I think from 10th of December to 14th of Feb ruary , typically and presently in fact the duration has shortened. It's from 20th of December to 30th of Jan uary .
Kunal Lakhan: So you're not seeing any slowdown in discretionary consumption.
Shishir Shrivastava: No, we are not seeing any slowdown i n the discretionary consumption. And if you also look at the categories, specifically, I would say that jewelry at 142 % growth , we are also trying to understand what the drivers are. As Anur aag mentioned, it’s on account of perhaps the wedding season bein g an extended period, but if you look at the other categories of discretionary spend , whether it's F& B or fashion and a ccessories, electronics, they've all shown signifi cant growth, even entertainment f or that matter.

Kunal Lakhan: Sure . My second question was on the Ali pore land, so this is not under any platform, right? This will be done by us , right?
Shishir Shrivastava: Yes, it's under 100% subsidiary of Phoenix Mills that we're developing it under .
Kunal Lakhan: So just wanted to understand the thought process here because there's a lot of capi tal to be d

eployed there, almost Rs. 900 crores f rom ou r books and there are some parts getting funded by presales. How are we thinking about this? How should one read this in terms of our strategy going in. Because we are a mall developer and operator , but now like incrementally, we are seeing a lot of capital getti ng deployed into newer business segment s. Should one r ead that the incremental opportunities in the tier one cities that we are targeting are getting fewer and fewer or is it like a conscious st rategy for us to diversify o ur business? How should one read i t?
Shishir Shrivastava: I think in the last year , we have on multiple occasions stated what our strategy is both on the residential side and on other businesses such as warehousing. So , I would like to just reiterate that. As far as residential is concerned, our strategy has been to look for opportunities in mature locations wh ich are usually value accretive w here a product similar in format and quality like One Bangalore West , which we already have, and accordingly we've gone and acquired, or we ar e in the midst of concluding the conveyance on the Alipore land parcel . That

immediate neighborhood or that market has typically seen sales at a rate of about Rs. 17,000-18,000 to going up to Rs. 20,000 -21,000 for good quality projects per square foot. So , this is the kind of micro market where we would like to build out the residential. T he reason why we did that of course, was again as I have explained in the past, this has been a learning through COVID where retail income had come to a halt, but the offi ce business and the residential business s upported our cash flow. So , we want to have some diversification of risk. So , it's in line with our strategy of marquee projects, iconic residential developments in mature markets. Having said that , the mall business itself will continue to grow and we continue to focus on the key markets that we have identified in the past. We have check -boxe d the Kolkata and Surat in that , and we are actively looking for opportunities in other markets.

Kunal Lakhan: So, it's like you're not seeing any dearth of opportunities in Tier 1, just a conscious strategy of deploying this capital by diversifying our portfolio.

Shishir Shrivastava: We are at an approximate Rs. 900 crore of free cash flows in 9M FY23. So, if one looks at about Rs. 1,200 crore, kind of a fr ee cash flow this year going to a bout we would estimate Rs. 1,500-1,600 or 1, 800 crores in the next year . We have a capital deployment strategy in place . Anura ag and Va run will delve into that deeper in a short while.

Kunal Lakhan: My last question is on the warehouse side as you have made foray into this. It' s a small deployment of capital, but in the long run like what is the strategy here and how big it can be and what kind of capital you will look to deploy in the next three to five years.

Shishir Shrivastava: For warehousing the whole idea started with providing quality warehousing space base because our retailers had demand in cities wher e there isn't good quality warehousing real estate available. So w e are focusing on those markets t o start with . I think as we progressed and we've concluded the f irst acquisition in NCR , and the demand the pipeline that is being built for this lo cation , it does appear to be an extremely attractive business. For the present, we are looking at deploying our own capital to grow it to a certain point to fulfill the needs of our retailers. Approximately Rs. 300 to 350 crore is what we expect to spend from our own pocket before we decide to p robably expand that business by way of br inging in a financial partner.

Moderator: Thank you. We have our next question from the line of Mohit Agrawal from IIFL . Please go ahead.

Mohit Agrawal: My first question is currently wh ere are the footfalls across your malls? I think last quarter that number was in the 85 % to 90% range, so have they recovered back to 100%?

Shishir Shrivastava: This last quarter we should be close to about 100% yes in some locations. In some locations it may be even higher , Bangalore for example, maybe about 115%.

Mohit Agrawal: And what do you think will lead to that growth from here a nd if you could also elaborate what segments were earlier lagging, which have recovered, and what segments are doing fine across your malls .

Shishir Shrivastava: When you say growt h, is this a continuation to your question on footf all growth ?

Mohit Agrawal: So I mean to s uggest that do you see the footf all gro wth and the consumption growth converging or do you see the gap between let's say you see 127% consumption level. Do you see 127% versus 100% to kind of that difference to sustain? How do you see that going forward ?

Shishir Shrivastava: Our focus is consumption, so I'm not going to delve into footfalls. A ll the marketing initiative that we undertake is to dri ve that correct profile of footf alls to our mall. But the focus is consumption and a growing ticket size per person. So, consumption growth, we have always said that once we are back to pre- COVID levels and beyond, one can estimate of 15 or mid -teens growth annually. And I think we should be on track with that. And your next question was it on categories?

Mohit Agrawal: So my question was actually on footfalls. Which categories have turned around, which were going slow and we were at 85% and now which one have recovered?

Shishir Shrivastava: Of late we have seen a significant growth in the entertainment bit, which is family entertainment centers and m ultiplex, which in t his quarter compared to Q3 FY20 has shown a 30% growth. We expect that this may in the subsequent qua rter also grow further because this

quarter again, there's a good l ineup of content. And of course t he summer will also bring in a lot of content for multiplexes, so we expect that also to grow . Supermarkets and hypermarkets have shown a de- growth, but that may be more on account of specific brand related issues which we are trying to fix. But our dependency on the hypermarket or supermarket business

contribution t o rental is only 1%.
Mohit Agrawal: Ok underst ood. My second question is on the GIC platf orm, so it's been a bout two years and we have recently added the Surat asset. How do you see the progress in this? And beca use initially we had said that within three to five years we might do a REIT . So what are your thoughts on that , given the progress t hat we've seen in t he last two years? And are we still looking to do a REIT and especially considering post budget changes, what are your thoughts on that?
Shishir Shrivastava: The GIC joint venture platform is on track. We are also looking at a significant expansion potential both at Phoenix Market City, Mumbai and at Phoenix Market City, Pune. So we are working on the plans for that expansion. Beyond that , we are actively looking for opportunities for one more mall to be added immediately in tha t joint venture, which we ho pe in the next quarter or so we should be able to secure some opportunity there. Moving on to your question on REIT . I think one has to wait and watch. There have been some regulatory changes. There is a retail REIT which is o n the road. We would like to see the performance and we will take that decision depending on how value accretive it is for us in terms of being a c apital source.
Mohit Agrawal: OK, and when you talk about expansion in the Mumbai and Pune mall s, is it utilizing the unused FSI in this or is it talking about some redevelopment opportunity within that asset ?
Shishir Shrivastava: So, it is to utilize the additional FSI potential available under the current regulations.
Moderator: Thank you. We have a question fr

om the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: The first question is, in this quarter , how much is the contribution from the revenue share?
Shishir Shrivastava: It is approximately 13% . If you look at the overall rental income as a percentage of consumption, we are at about 12.5 % or 12.6%. The incremental r evenue share over and above the minimum guarant eed rental would also be in the range of about 12% t o 13%.
Parikshit Kandpal: You mentioned about within the business development pipeline, how is it looking now in different regions? Again, on the FSI side, which you said on two malls, so what could be the incremental FSI potential in these two malls?
Shishir Shrivastava: In the past we have explain ed how we are looking a t Jaipur, Chandigarh, NCR, Navi Mumbai, Hyderabad, and Thane as opportunities and we are actively engaged in four of these markets

today on opportunity. We were also evaluating Nagpur, Goa and Visakhapatnam as the next priority s et for us.
Moderator: Thank you. We have a next question from the line of Niket Shah from Motilal Oswal. Please go ahead.
Niket Shah: Given the kind of cash flow that you're generating this year and next year , you will effectively be ending with care of about Rs. 500- 600 crore worth of net debt. What would you plan to do with s uch massive cash flow generation going forward?
Anuraag Srivastava: If you look at our cash generation and the uses , we still have about Rs. 4,500- 5,500 crores to be spent as capex on our existing line of expansions and new malls etc. So that should consume a significant amount of cash. Then we are planning to expand in some of the newer cities as well, so we expect to acquire one to two land parcels every year at le ast. So that will take up about Rs. 1,000 crores of cash per year for that , so that takes up most of the cash which we are generating. We don't expect to increase the debt significantly. We tend to be on the similar levels. But these are the requ irements which are there and of course we have very minimum amount of cash going in, let's say in warehousing a project here and there and or residential , but that that will be just, I think 10 %-15% of our overall cash deployment. So, these are the uses of cash. I thi nk the story continues as usual f ocus on retail and 80 %-90% cash will be utilized there and balance in other areas.
Moderator: Thank you. We have a next question from the line of Vasudev Ganatra from Nuvama . Please go ahead.
Vasudev Ganatra: So I was asking that once these Bangalore and Pune m alls are operational , so what kind of rents are we expecting from these malls?
Varun Parwal: From the Bangalore m all w e are expecting average rent als in the range of Rs. 150 to Rs. 160 at 90% trading occupancy and when fully leased, we should see our rental incom e of about Rs. 180 crores and Wakad (Pune) we expect to see an nual rental income for about Rs. 140 to 150 crores when fully leased, and at 90% trading occupancy .
Vasudev Ganatra : OK and second thing, what could be your total collections for this quarter?
Varun Parwal: From retail we have Rs. 540 crores , from residential we have Rs. 129 crores , from hotels w e have Rs. 123 crores and from commercia l we have Rs. 55 crores , so that takes it to about Rs. 850 crores for three months ended December 2022. F or nine months, we are at an aggregate of about Rs. 2,300 crores in collections from operations.
Moderator: We'll take our last question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My question is you're now one year into the lease renewal cycle almost I think about 17 %-18% of the meaningful area would have already been re- leased and you would have had discussion. What kind of rental growth are you seeing in the re- leasing discussions or re

newal discussions
in FY23 ? And if you can guide it to what do you see for 2024 and 2025 as well ?
Shishir Shrivastava: Typically , we have seen approximately in the range of about 10 % to 15% growth on minimum guarantee depen ding on the category and the size of the store . There is an increase in revenue share as well , that we have been negotiating . So again, varies from category to category. In fashion we may see 1% - 1.5% increase, 2% i ncrease, s imilarly in F&B as well.
Moderator: Thank you. As there are no further questions, I would now like to hand over the call to management for closing comments over to you Sir.
Shishir Shrivastava: Thank you ladies and gentlemen for joining us to day and we look forward to our next interaction at the end of the last quarter. In the interim, if you need any further information or assistance, please feel free to reach out to our IR team. Thank you very much.
Moderator: Thank you. On behalf of T he Phoenix Mills Limited that concludes this conference. Thanks for joining us and you may now disconnect your lines.

Call: May 2023

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May 30, 2023
To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated May 25, 2023, wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institu tional Investors on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2023, please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2023/Earnings -Call-Transcript .
You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to The Phoenix Mills Limited Q 4 and FY23 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you .
Shishir Shrivastava: Good morning , ladies, and gentlemen . We take pleasure in welcoming you all to discuss the operating and financial performance of the fourth quarter and year ended FY23. We hope you have had a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our website. I will now take you through the key highlights of the results with reference to relevant slides of the results presentation from time to time.
To start with the performance of our retail portfolio : Please refer to Page #4 onwards of the results presentation for an update on consumpti on at our retail malls in Q4 FY 23.
Consumption in Q4 FY 23 stood at Rs. 2,211 crore s, sho wing a growth of 59% over Q4 FY 20. If

we exclude contribution from the newly launched retail malls, which are Phoenix Palassio at Lucknow , Phoenix Citadel at Indore and Palladium at Ahmedabad, this number was 37% over Q4 FY 20. Consumption at our retail malls was robust across categories in the fourth quarter. Some of the top performin g categories were J ewel lery, up 164% from Q4 FY 20, F ood and Beverage up 64% from Q4 FY 20, F ashion and Accessories up 62% from Q4 FY 20, FEC Multiplex Entertainment up 61% from Q4 FY 20 and E lectronics up 58% from Q4 FY 20.
Turning to Page #5 of the presentation for an update on consumption at our retail malls in FY23. This year, we witnessed the highest ever annual consumption of Rs. 9,248 c rore s demons trating a growth of 33% over FY 20 and slightly beyond our guidance of over Rs. 9,000 crore s. If we exclude contribution from malls launched in FY21 onwards, which are Phoenix Palassio , Lucknow , Phoenix Citadel , Indor

e and Palladium , Ahmedabad, like to like growth in consumption is at 19% over FY 20. Collections from the re tail mall business for FY23 stood at

Rs. 2,167 crore s, maintaining the quarterly average run rate of over Rs. 540 crore s slightly ahead of our guidance of approximately Rs. 500 crores run rate per quarter.
Moving on to Page # 6 of the presentation for an update on consumption for the month of April 23. Consumption in the month of April 23 came in at Rs. 851 crore s, up 18% compared to April 22. If we exclude contribution from Phoenix Citadel , Indore and Palladium , Ahmedabad then the like-to-like consumption growth is at 11% compared to April 22. A t Phoenix Palladium , Mumbai renovations are underway for two of our key stores Zara and Reliance Digital and this had a temporary impact on consumption growth. We are delighted to announc e that Zara has now reopened at Phoenix P alladium , Mumbai in a bigger, better and more tech savvy avatar.
Moving on to a brief update on our newly opened retail malls . Starting with Palladium , Ahmedabad on Pages #7 through #12 of the presentation. On 26th February 2023, we marked our first presence in Gujarat with the launch of Palladium , Ahmedabad. We have some images of the retail mall and the beautiful interiors and art, and decor uploaded on the presentation. The mall opened with a trading occupancy of 32% and with scaling completion of fit outs this has ramped up to 57% as of April 23. Trading occupancy will scale up closer to the lease d occupancy of 93% by Q3 FY 24. We are also glad to highlight that the trading density at this mall in the month of Apr il 23 stood strong at Rs. 1,021 per square foot per month; b reaking the Rs. 1,000 per square foot per month threshold very early on in its life.
Moving on to Pages #13 through # 15 for an update on Phoenix Citadel , Indore. We launched Phoenix Citadel , Indore on 1st December 2022. Trading occupancy has shown a steady ramp up and is now at 79% versus 42% i n the first month of its operation s, that is December 22. This mall represents many firsts for us. Not only is this our first mall in Madhya Pradesh, bu t it is also the first certified green building in our portfolio. We are pleased to announce that Phoenix Citadel Indore recently achieved two prestigious green building certifications - the USGBC LEED Gold Certification and the IFC E dge Advance C ertification. Phoenix Citadel in fact is the first retail asset in India to have received the IFC E dge Advanced Certification. These certifications reflect our commitment to a sustainable development model across our existing and new developments , and you will see more progress in this regard across other assets in
the coming months as well.
Please turn to Page # 16 onwards for an update on our upcoming malls . We are gearing up for the launch of our second malls in the cities of Pune and Bangalore respectiv ely. The construction at Phoenix Mall of Asia , Hebbal, Bangalore is progressing well and as can be seen from the pictures we are completing interior works. We have received the Occupation Certificate (OC) for this mall and multiplex recently. Phoenix Mall of the M illennium at Wakad, Pune is also on track and expected to commence operation s by Q2 FY24 with the offices forming part of the mixed development set for launch in FY 25. At our retail mall in Kolkata, we have completed the demolition work of the old on -site structures and currently

construction activities are progressing. Pr e-construction work is nearing completion, and we will soon commence excavation on the site. At P roject Rise in Lower Parel , Mumbai which also has a retail component , requisite approvals are all in place , excavation is nearly complete and the RCC work on the tower foundation is in progress.
Now moving on to the financial performance of our retail mall portfolio from Page # 25 onwards. In li

ne with consumption, our rental and EBITDA growth also demo nstrated an upward trend. Q4 FY 23 retail rental income was Rs. 340 crore s up 53% compared to Q4 FY 20. Retail EBITDA for this quarter was at Rs . 349 crore s up 64% compared to Q4 FY20. For FY 23, our retail rental income stood at Rs. 1,312 crore s with a growth of 29% over FY 20 and retail

EBITDA came in at Rs. 1,331 crore s with a growth of 36%.
Moving to Page #33 in the presentation. In FY 23, we saw significant ramp up in lease d occupancy, trading o ccupa ncy and trading density over FY 22 across all our major malls. You will further see trading occupancy going up across our existing malls as we have several new retailers and formats under active fit out currently and we expect trading occupancies to move closer to 93% -95% levels before Diwali 2023. In FY23, we have seen a cumulative leasing in excess of about 3.3 million square feet with operational assets seeing approximately 2.2 million square feet incl uding renewals and some churn and at the new malls yet to be operationalized , we have seen leasing of about 1 .1 million square feet . We are ready for FY 24 with renewed optimism with i) the launch of two new malls within the next six months , ii) a sustained consumption growth in existing malls , iii) ramp up at existing malls in Chennai, Pune and Kurla on account of increase in trading area and iv) consumption growth in our latest mall s - Phoenix Citadel , Indore and Palladium, Ahmedabad demonstrating a signif icant upward trend.
Just to talk a little bit ab out the gross consumption in FY 23, we have seen approximately Rs. 9,300 crore s of consumption. We have an outlook for FY24 to reach up to Rs. 11,500 crore s of consumption of which we expect Palladium , Ahmedabad and Phoenix Citadel , Indore to add about Rs. 1,200 crore s. We have a robust event calendar for each mall in place with major spike events scheduled for weekends and we are engaging in many spike events for weekdays. We continue to invest in innov ative eye -catching decor across properties and bringing the best of brands and categories and fine dining, food, and beverage experiences. We gear all of these activities towards making each mall the de- facto destination for consumption. I will now request Anuraag Srivastava to take you through the o ffice , hotel and residential section and the overall financial results. T hank you.
Anuraag Srivastava: Thank you, Shishir. Good morning, everyone. I would direct your attention to Page #34 to # 40 for an update on the commercial office portfolio . Our commercial office portfolio is seeing improving traction with gross leasing of about 4.3 1 lakh square feet in FY23, of which ~ 2.81 lakh square feet is new leasing and ~ 1.5 lakh square feet is renew al leasing. The total office income in Q4 FY23 stood at Rs. 43 crores , flat percentage year -on-year and total EBITDA

stood at Rs. 27 crore s. Collection efficiency for the quarter was close to 97% with collection of about Rs. 47 crores. For FY 23, office incom e stood at Rs. 170 crores which was up 7% year -on-year and EBITDA was flat year -on-year at Rs. 98 crores . We currently have active fit outs of over 1,80,000 square feet under progress in Pune and Mumbai which will add quarterly rental income of more than Rs. 5 crore s. We expect contribution to fully reflect from Q3 FY24.
Moving on to updates on the under -constructio n commercial office projects. These are covered from Page #38 onwards. At Phoenix Asia Towers, Bangalore with the GL A of about 1.2 million squa re feet , roof slabs up to the ninth floor have been completed and the i nterior work, lobby and c ommon area finishing is currently underway. We have commenced construction for two out of four of Millennium Towers, Pune, and we expect to launch the same in FY25. We are also engaged actively across our under -construction assets in Bangalore

and Pune where leasing enquiries from marquee M NC clientele have been very strong and we'll keep you posted on the leasing progress made i n this regard . As mentioned earli er, construction has commenced at Project Rise in Lower Parel, Mumbai . At ISML O ffices in Whitefield , Bangalore excavation and shoring is in progress, whereas at Palladium Offices , Chennai construction has commenced. The launch of these offices will progressively take our office realty from 2 million square feet to about 7 million square feet by FY 27.
Now moving on to hospitality business, please refer to Page #41 to # 47 of our deck . Starting with The St. Regis, Mumbai , which saw the highest ever annu al gross revenue and EBITDA in FY23. The operating performance has surpassed most operating parameters in last 12 months. This is led by resumption of foreign business and leisure travel, domestic corporate travel, social events, and staycation s. The year has been good in terms of F &B as well , with launch of the new venues including Koishii, Koi Bar and the high- end event space, which is called 38 Manhattan . Total income for FY23 stood at Rs. 404 crore s, which is up 31% from FY20. Occupancy for the year stood at 84% a nd ARR was at about Rs. 14,851 which is up 21% from FY20. O perating EBITDA came in at Rs. 180 crores demonstrating a growth of 54% compared to FY20. We have used the strong cash flows during FY 23 to reduce debt by Rs. 115 crores on this asset and invest in capex for upgrading various facilities in the hotel. At our second hotel , the Courtyard by Marriott, Agra , total income in FY 23 stood at Rs. 46 crores which is up about 2 4% from the FY20 occupancy for FY23 was at 72% and ARR sto od at Rs. 4,795 showing a healthy growth of 23% over FY20 .
Moving on to residential business covered on Page # 49. We are witnessing very good traction in terms of residential sales mainly led by robust demand of ready to move in inventory and faster conversion . We achieved an overall sale of Rs. 466 crores in FY 23. Collection in Q4 FY23 was at Rs. 115 crores and for FY23 was Rs. 369 crores.

Wanted to talk about our key acquisitions , which are covered on pages #50 and #51 . We acquired a n approx. seve n-acre land parcel in Surat at a cost of ~Rs. 501 crore s during December 2022 , to build a retail development of about 1 million square feet . We await

environmental clearance to begin construction at this site . Currently the clearance is in the final stage of approval .

We have also forayed into warehousing through a purchase of ~ 33-acre land parcel in So hna, NCR at a cost of ~Rs. 54 crores , where currently appointment of consultants for various work streams is undergoing. During February 2023, we purchased the land parcel in prime locality of Alipore, Kolkata at ~Rs. 414 crores to build an exclusive luxury residential development with a gross saleable area of about a million square feet.

I would draw your attention to Page #53 onwards for our financial results. Some of the key highlights of our consolidated financial performance are as follows. I ncome from operations for Q4 FY23 is at Rs. 729 crore s, up 47% year -on-year and up 83% over Q4 FY20. I ncome from operations at Rs. 2,638 crores for FY 23 up 78% year -on-year and up 36% compared to FY20. EBITDA for Q4 FY23 was at Rs. 431 crores , up 79% year -on-year and up 111% over Q4 FY20. EBITDA at Rs. 1,519 crores for FY 22 up 10 7% year -on-year and up 57 % compared to FY 20. Report PAT after minority interest and after comprehensive income for Q4 FY23 at Rs. 244 crores and at Rs. 1,318 crores for FY23.

Moving on to cash flows , debt and liquidity positions covered from Page # 59 onwards. For FY23 we generated about Rs. 1,770 crores of net cash from operating activit ies. Our operating free cash flow (post reduction of interest) stood at about Rs. 1,403 crores vis- à-vis Rs. 501 crore s for

FY22 . Talking about the debt which is covered on Page #62, consolidated gross debt which stood at Rs. 4,037 crores as on March 31 , 2023, showed a decrease of Rs. 535 crores since March 2020. As Phoenix Citadel, P alladium Ahmedabad became operational , the debt has moved to operational assets, as a result of which our under -constructio n portfolio has witnessed a decrease in debt this year . Average cost of borrowing is up by 33 basis points to 8.74% in March 2023, from 8.41% in December 20 22 and currently our lowest cost of borrowing stands at 7.45%. Despite RBI increasing rates by 250 bps since March 2022 our borrowing cost has gone up only by 14 4 bps so far. As the overall interest rate s in the economy start to rise , our efforts will be to minimize the impact of this on our cost of borrowing by reducing the spreads charged by the banks on top of the repo rate. Further with our under -constructio n assets becoming operation al we expect some savings in interest rate s as we refinance and convert the construction finance loans to LRD-backed loans.

Covering liquidity on Page #64. Our liquidity position as on 31st March 2023 was Rs. 1,755 crores . This excludes the amount remaining in unutilized OD accounts. At group level our net debt is Rs. 2,282 crores and PML's share of net debt is Rs. 1,780 crores . We saw credit rating upgrades/ revision in outlook across many of our assets in the last 1 2 months. We continue to make good progress on all under -constructio n assets. During FY23 we spent close to Rs. 1,400 crores in capital expenditure. We are bullish on our business prospects and with a strong balance sheet position, our focus is now to deliver on our under -constructio n portfolio in time and judiciously deploy our capital to expand our portfolio . With this, we would like to

close our opening remarks, and we'll open the c all for an interactive question -and- answer session. Thank you.

Modera tor: Thank you. We will now begin the question -and- answer session. We have Mr. Parikshit Kandpal . Please go ahead.

Parikshit Kandpal : So, n ow retail is on autopilot , most of the malls we have already delivered besides the rest of the two and the under -constructio n portfolio. So, my question is more on the office side. Now the densification of malls , so how do we see the journey of office over the next two - three years so if you can just explain, what areas will get delivered over the next two years and how is the rental ramp up going to happen in that portfolio ?

Shishir Shrivastava : So, presently we have about 2 million square feet of office space which is operational, and this number is going to move up to about 7.2 million square feet by the end o f FY26 /early FY27. Out of this , ~1 million square feet at Project R ise, Mumbai will be the last to commence operations . This year, we are expecting about 800,000 odd square feet of Phoenix Asia Towers at Hebbal , Bangalore becoming operational. This will soon be followed by the office building of about half a million square feet at Chennai and then thereafter we will see the ~1.2 million square feet in Wakad, Pune becoming operational from in FY 25 and rent generati ng from the last quarter of FY25 or early FY 26. This is how the current 2 million square feet will go to about 7.2 million square feet.

Parikshit Kandpal : So, what kind of rentals are we looking in Chennai 0.5 msft, in Wakad 1.2 msft and 0.8 msft in Hebbal .

Shishir Shrivastava : In Hebbal we are looking at , or we have underwritten I would say the model at a lower number of about Rs. 65 per sq. ft. but , the current market trends are indicating a net rent of about Rs. 80 upwards per sq. ft . At Wakad , by FY 25 end/FY26 we expect net rent to be in the range of about Rs. 70 per sq. ft. or slightly higher and at Chennai about Rs. 65 per sq. ft. Project Rise is going to be end of FY 26/early FY27 where, the net rate es

timates are
underwritten at about Rs. 300 per sq. ft. ; but we expect to do better than that because this asset is positioned very differently. So , there are very few buildings of that nature in this neighborhood. We also have an expansion at , I missed talking about the expansion at our existing developmen t at Bangalore i.e., Phoenix Market City on Whitefield R oad. It has a total potential of about 1.2 million square feet of which the first phase is about 0. 5 million square feet, which we expect to be delivered in towards the end of FY 26. We are looking at rentals over there to be in the range of about Rs. 75. per sq. ft. to Rs. 80 per sq. ft. or above that.
Parikshit Kandpal : All these rentals that you discussed are excluding CAM , right?
Shishir Shrivastava : Yes, these are net rentals.

Parikshit Kandpal : Okay, got it. And anyway, we'll take almost one year to lease them out, when you're saying that these ones will come up when they will complete by FY 25, like 1.2 million in Wakad operational from FY 25 so it will have a lease journey of at least on e, one and a half years ?
Shishir Shrivastava : Okay. So, from our current experience, since we are marketing Phoenix Asia Towers in Bangalore, we are seeing good traction and are seeing very good pipeline of demand in that city. We have not yet started marketing the Pune Wakad asset yet because it's still about a year away. But we are seeing strong traction there and the team believes that we should at least have signed out about 7 0% of the leasing in about seven /eight months from getting the OC in Phoenix Asia Towers, Hebbal , Bangalore. It is typically a two and a half to three month fit out period, that one will assume before the rentals start accruing . I would say that the revenu e is going to scale up from the first month that you start leasing out spaces, because it will take two months or three months depending on the size of the office for them to finish their fit-out period. So, it will scale up, let's say from within three mo nths of getting the OC and signing the first lease , you'll start seeing the first rental to start trickling in. And then over the next six -to-eight -month period as we lease 70% you will see revenues scale up.
Parikshit Kandpal : Okay. And just a last question on the residential piece now. So, we have almost 1.3 million square feet yet to be including un -launch ed area in One Bangalore West (OBW) and 1 million in Kolkata. So, in FY24 we will open up new towers in OBW and also exhaust existing inventory i n Bangalore portfolio and what is the time line for Kolkata?
Shishir Shrivastava : So, we have not yet launched One Bangalore West T owers Eight and N ine, and we are also waiting for some clarity on the TDR policy there, before we proceed on that . At Kolkata, we are actively working on the design development at this stage. So , we should assume about eight to nine months for approvals and launch thereafter.
Parikshit Kandpal : Any other land parcels besides Kolkata in the business development pipelines? both for malls and the residential portfolio if you can help us with the business development being currently undertaken?
Shishir Shrivastava : Parikshit , malls unlike what you stated that it’s on auto pilot , it’s not because the operations are set but our focus on growth remains very strong. We continue to look at opportunities in the MMR region , Jaipur, Chandigarh, Hyderabad, NCR, Goa, Nagpur, Vizag etc. amongst some of the markets and we do have a decent pipeline for the mall development. In residential , we are continuing to be extremely selective and it's only in mature markets where we can create a marquee product that we are looking at opportunities.
Moderator: Thank you. Next question comes from the line of Mohit Agarwal from IIFL. Please go ahead.
Mohit Agarwal: My questions are on the retail business. Now , if I look at full yea

r FY23 numbers versus FY 20
on a like -to-like basis your retail EBITDA has grown 22% , the rental growth has been 15% a nd

the consumption growth is about 19%. I am just trying to understand how do we understand these numbers, if you could give some color on that, especially in the context that you've given a guidance right now in the comments that you're guiding for a 12 .5% consumption growth in FY 24. So, could you g ive some indication on what c ould be the rental growth in FY24, base d on what you've achieved in FY 23?
Varun Parwal: Hi Mohit , Varun this side. Let me take the first part of the question which is , how the margins have changed and what has changed in the bu siness in FY23 versus FY20. While we have spoken about footfalls being at about 80% of pre COVID levels, one thing that we have seen is the number of four -wheelers that are coming to the mall has increased , and that has led to an increase in our parking income as well , that coupled with improvement and income for

marketing , events , signages etc., has contributed to an improvement in the EBITDA margins, compared to the overall rental income growth . Secondly, while consumption has grown leaps and bounds during FY 23, we have also undertaken significant churns during the year. If I draw your reference back to Shishir's opening comment in our operational mall portfolio, which was about 7 million square feet before Indore and Ahmedabad became operational , we have undertaken renewals for 1.2 million square feet a nd we have done new deals for 1 million square feet. So that's an aggregate of 2.2 million square feet , so that is roughly 3 0% of our operational mall portfolio that has been renewed with ex isting and new brands during FY 23. The impact of this has been on the trading occupancy. If you see Q1 , we had started off with trading occupancies, which were at about 85% across most malls with the exception of Bangalore, which was at about 90 %, and through the quarters of FY 23 we had seen a 3% to 5% increase in trading occupancy. However, as Shishir also guided in his opening remarks, we still have significant amount of areas that are under active fit outs across malls in Mumbai, Pune, Bangalore and Chennai and we expect our trading occupancies to ramp up to about 93% to 95% level before Diwali 2023. So, this change in trading occupancy should also lead to an improvement in our rental income and it should support growth provide provided that all the brands come on stream as we have currently envisaged . Does that answer your question, Mohit.

Mohit Agarwal: Yes. My second question was that you are guiding for a consumption growth o n like -to-like basis of around 12 .5% for 2024. I'm referring to the Rs. 11,500 crore number that you mentioned. What could be a rental growth, could rental growth exceed the consumption growth in FY 24?

Varun Parwal: So, consumption growth of course is very strong ; rental growth could depend a bit on the areas that come on stream . You will see the benefit in rental growth in the first two quarters of FY 24, because about 3% of our mall area became operational in Q4 FY23 . So, you will have a spillover impact happening in FY 24. At the same time about 3% to 5% of the existing operational retail mall area is projected to become operational before Diwali 2023 period so you will not be able to capture the full year impact on that . So, I would say that rental growth would be in line or near about the consumption growth. But we typica lly would suggest to

look at rental and consumption growth over a three- year CAGR or a five -year CAGR , they tend to converge at that point in time.

Anuraag Srivastava: Yes, Anuraag this side. W e gave a long -term view of our rental growth and consumption yields are increasing year -on-year. The historical trend suggests both of these converge over a longer period of time a nd our usual gui

dance which we give is, that rental growth and consumption growth over a longer period of time would be in mid-teens . So, we're giving 12.5% guidance on consumption for next year , but given the new assets that are coming in, and the ramp up and the renewal of leases , etc., a longer -term trend will be around mid - teens.

Mohit Agarwal: Great. M y second question is on the new malls, which includes the two malls that have started recently and Bangalore/ Pune. How should we look at the trading density, let's say over a 12- month period. So, what I'm trying to understand is Palassio which is today at 95% trading occupancy and Rs. 1,300 kind of trading density a good proxy, or will every mall have a different journey in terms of trading occupancy and trading density?

Anuraag Srivastava : Yes, so we should very soon see Indore ramping up to Rs. 1,000 per square feet trading density. Palladium Ahmedabad, because slightly premium and the area is smaller as well with lesser F &B, etc., there we are expecting a trading density between Rs. 1,200 to Rs. 1,300 range per sq. ft . The two new malls, we would wait to open up the mall s and see the initial experience or initial retailer performance and then comment on that. But it should be in line with our existing m alls in Pune and Bangalore.

Moderator: Thank you. Next question comes from the line of Pritesh S heth from Motilal Oswal Financial Services Limited . Please go ahead.

Pritesh Sheth: Just continuing on the new mall trading occupancy, what is the current leasing status right now, and how much time we should take to ramp up to 85 %-90% kind of trading occupancy for the two new malls and if you can just refresh the timeline for us. So, Bangalore should be this quarter a nd Pune should be next quarter is it right to assume?

Anuraag Srivastava : So, first of all on the operational dates of these malls, so Ba ngalore mall has received the OC recently, in the last couple of days . Now it's just a question of timing the launch and opening the doors to public, depending on the fit outs the availability of people , the shopping season etc. We expect this to be openin g either at the end of this quarter or early next quarter, so roughly around July is what we are targeting. For Wakad , the O C is yet to be received w e are looking at August as the opening of the mall . And this we will take into account some theory of monsoon is over and timing in August. In terms of the ramp up of trading occupancies your question around that , as we've seen in Indore and in Ahmedabad as well , the trading occupancy to reach about let say in higher 80s or early 90s i t takes about usually eight to nine months to get over there from the launch. We usually open somewhere between 50 and 60

of trading occupancy and then by seven to nine months or eight to nine months the mall should be in the late 80s or early 90s . Those were your questions, or did I miss anything ?
Pritesh Sheth: No, that was my first question. And second on, very healthy margin performance this quarter on our portfolio and that you have been highlighting since last couple of quarters as well as that as and when our trading occupancy increases, we see an uptick in margin. Still, we are like 3% to 5% probably away from fully ramping up. What should we assume as or look at these stabilized EBITDA margin for the portfolio . Right now, probably on an average if the asset is at 100% of rental income, but how should we see it going forward once during occupancy ramp ups ?
Anuraag Srivastava : So, trading occupancy ramp up is just one of the factors of margin improvement as you're seeing in the financials. Couple of other factors which contribute to margin improvement, one is that residential sales are picking up a nd our premium offering in Kessaku is doing very well now in terms of sales, as compared to earlier quarters there is more number of units t

hat
have been picked up. Also , we have taken a price increase, so that is contributing to some extent, in terms of the margin uptick. In the hospitality business , we are maintaining a very good room rate at The St. Regis , Mumbai , which has caused the margin uptick and w e are seeing a n operating margin of 50% at this property and we expect to continue with that. Yes, of course you mentioned about the trading occupancy going up and taking to the sale margin . So, these are the trends, and we hope to continue on these trend s.
Moderator: Thank you. Next question comes from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: My first question was on your Slide # 32, where you have given trading density for FY2 3 and FY22, if I look at the growth in the trading density, across asset s, it has been in the range of about 30 % to 40% i n some assets like Pune and Kurla it's been a lot more. But when I look at the average rental per square feet per month growth, it's obviously like much lower than that. So how should we look at this number going ahead in terms of , will the average rentals catch up with the trading density performance that we are seeing?
Varun Parwal : Kunal, directionally we would say yes, what has happened in FY 23 has also been that the recovery has been much faster than what anyone was anticipating. And that has led to significant improvement in trading density in say Bangalore , which had a trading density off about Rs. 2,100 or Pune as well, they have higher than what one might have expected, had you asked this question in FY 22. And partly , because of this we have also ramped up the renewals and the churns of brand mix at the se centers because to support a higher trading actually one does need newer categories for e.g. we have introduced more, family entertainment centers and better F&B offerings and also brought in bridge- to-luxury brands at some of these centers and those changes are extensively underway. If we were to just look at Kurla , we have opened the new Daiso store which is the first in India, we have re -open ed Reliance Smart Bazaar which is spread over a massive 80,000 square feet , we have opened

new FEC centers and going forward in FY 24, you will see significant offerings as far as F&B is concerned. We are fu rther strengthening the entertainment piece and we are also bringing in newer anchors like Uniqlo etc., which will open up in the second half of this financial year in centers like Kurla . So, there is a full change and a revamp of the brand mix which is un derway, and you will see these changes happening and like Anuraag had also mentioned in response to an earlier question, rent over a period of time will catch up with the consumption growth . So, take it on a longer three - year and five-year horizon .
Kunal Lakhan: Sure. My second question is naturally conflicting with my first one, Shishir you give a guidance of about 12.5% same store consumption growth for stabiliz e malls . But when I look at our trading occupancy, there is obviously like 5% to 6% c atch up t hat would happen based on the lease occupancy, which will happen this year. So, of this 12.5%, 5% to 6% will come because of the trading occupancy catch up and then there is inflationary growth of let say 5%, 6% or 6%, 7%. So, essentially are we saying tha t the trading density growth for the stabilized assets will be inflationary in nature?
Anuraag Srivastava: Kunal, this is Anuraag here. Just to do the math, the number which you are talking about trading occupancy that will only be for part year , or it's n ot that on the growth will come, for whole of the years, so it wil l come in stages and we expect that the annualized impact of this will be about three months or so and balance is the normal growth which is there.
Kunal Lakhan: Okay . So basically, like your trading density growth going ahead could

be about 8% to 10%,
that would make sense?

Anuraag Srivastava: Yes, roughly .

Moderator: Thank you. Next question comes from the line of DSP M utual Fund. Please go ahead.

Kunal: Hi, sir t his is Kunal from DSP Mutual Fund. So, my question was more on the competitive landscape and that to o in the non -metro cities. So are you seeing any sort of consolidation happening in the favor of large players like yourself o r is the market size large enough to take care of the existing as well as upcoming supply i f any . So that was my first question. And second question was in terms of , do you plan to raise any debt in the current year through capital markets if you can just provide something on that, that's it.

Anuraag Srivastava : Thanks for your question. F irstly, on the competitive landscape, the way we look at our strategy is that when we enter a city or a town , we want to be the dominant consumption center in that city . Our offering , as you would have seen in our pro ducts, in our malls , etc., is quite different i n terms of what the competition offers. We spend a lot of time on making it a grand affair , and we try and make it as not only the shopping hub, or the shopping center for the city, but also an event center an d a play center and a place where families can hang around for a full day and still not be able to cover the mall or do justice to the mall as they go

along. We are not seeing any consolidation ; in fact the competitive activity is not much in terms of esp ecially the opening of new malls across the country, there are very few players if at all any who are entering into this a nd definitely not at the size and scale and number of the malls which we are targeting. We have many new retailers, first time brands , etc., which enter into the city w hen we open up a mall. So, for example, our Indore mall had about 100 + new brands which came in the city for the first and also 30% of the stores were local stores, of the local businesses as well. So that also gives it a unique flavor. Similarly, in Ahmedabad we opened with more than 35 luxury stores and over 50 new brands, again entering the city of Ahmedabad, while a city like Ahmedabad had a few m alls spread across. So, as I said, we try and create a differentiated pro duct , we've not seen much of the competitive activity across, especially in terms of opening new malls, while there may be mergers and acquisition activity happening or other such activity happening in the malls. On your second question of debt from capital markets, you're referring to bonds , et cetera . We have not raised money on bonds up till now largely because we have a very efficient cost of borrowing in terms of the lease rental discounting model . We tend to fund the construction of our assets, the land acquisition and the approvals on equity ; and only when we have a line of sight available for opening of the mall in let's say, next six to nine months t hat's the time when we start looking at the borrowing on that asset. Our philosophy is that our assets should support themselves in terms of the debt. There should not be any clause subsidiz ation and only operating malls , etc., should have a debt, we don't find the bond structure the borrowings from capital markets very attractive at the moment. But yes, we keep on evaluating and at the right time, if the right product is available, we will look to raise money on that. T here are no definite plans of raising significant amount of debt at the moment .

Moderator: Next question comes from the line of Pulkit Patni from Goldman Sachs . Please go ahead.

Pulkit Patni: Just one on multiplexes. Now, we've heard recently the largest multiplex company in the country talking about closing 50 screens and I know those could be in locations otherwise. But my broader question is, even if you look at multiplexe s globally, as a percentage of revenue, their renta

ls happen to be much lower than what they pay in India. So, given the uncertainty around that particular business right now growth, how should we look at multip lexes being significant tenant for us, and in many cases an anchor tenant ?

Varun Parwal: Hi Pulkit, Varun this side. Thanks for the question. Multiplexes are at quite an interesting juncture at this point in time . We have seen people coming back for conten t, when provided and packaged in the right manner, whether it was release of the movie Pathan or some of the recent Hollywood releases, or like we have been doing screenings of IPL matches in our courtyard, or even musical events. So, entertainment as a ca tegory is here to stay and it is something that gets people out of their houses, every week provided the right event is there . We have seen some encouraging responses in the multiplex category as well ; content of course is king, but they have also worked on improving and expanding beyond movies and becoming a one stop destination in itself by bringing in celebrity chefs to curate the F &B

menu as well and they are better place d to talk about what are the initiatives that they are taking . We definitely do see that when we are opening a destination mall in any particular city, multiplexes help us get the right audience as well and we are also not opening run of the mill multiplexes , we are opening the megap lexes, we are opening the biggest screens in that particular city with the best decor and the best F &B options as well. So, it is as much as a n event , not just a movie but seeing the multiplex es itself there is as much as an event for the consumer s of that particular city.

Pulkit Patni: Maybe if I could just follow up Varun on that. So, for the three new malls , Ahmedabad, Indore multiplexes would be what percentage of our total tenant , is it be 15 % to 20% or lesser ?
Varun Parwal: No. So , in terms of a rea it's typically 8% to 9% . In Indore, an INOX has already opened up with eight screens. I n Ahmedabad, PVR will open up soon, they are under fit outs at this point in time and we are looking at about nine screens there ; and Pune /Bangalore would be larger . But in terms of area, we typically benchmark to 8% to 9% of area for the mall towards multiplexes .
Moderator: Thank you. Next question comes from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Just going back on the consumption gui dance that you gave, is possible to break down what is the same store or same mall consumption growth guidance that we are looking for FY23 , so same area operating into n ew year, excluding Indore and Ahmedabad. What should be the consumption growth there, on those accounts ?
Varun Parwal: Puneet, if we were to exclude Indore and Ahmedabad from FY 23 our consumption would come at say about Rs. 9,000 crores from the operational assets and this is going to , about Rs. 10,300 to 10,500 crores.
Puneet Gulati: Rs. 1,200 crores was for Ahmedabad, but you are not counting in this .
Varun Parwal: No, Indore and Ahmedabad combined let me clarify.
Puneet Gulati: Yes, so Indore and Ahmedabad combined Rs. 1,200 crores and you are not counting in your guidance anything from the new Pune and Bangalore mall?
Varun Parwal: No, not yet.
Puneet Gulati: Okay, got it t hat's very clear now , thank you. Secondly, on your office occupancy w hat is your strategy , you have about 1.2 million square feet both in Pune and Bangalore yet to lea se. What kind of tenants are you looking for a nd are you looking for more smaller spaces or more bigger spaces k ind of tenants?
Varun Parwal: Sorry, so is this you are referring to our offices?

Puneet Gulati: Office.
Varun Parwal: The demand in each micro market is different. In Bangalore, the demand is for larger office spaces, there are tenants who are looking at occupying an entire tower or even t

wo towers ,
and their requirement s would range from 100,000 square feet going upwards to one even two million square feet from a single tenant . In Pune, the demands are more in the range of 100,000 to 200,000 square feet from both Indian corporates as well as multinational clientele.
Puneet Gulati: Okay. And is it still possible to lease out the entire tower give n that somebody who will take the entire tower would want it to be built to suit , which is not going to be possible now right?
Management: We have internally debated whether we should lease out entire tower s to a single tenant , they don't have a built to suit requirement . But we do feel that our dependence on that one client for the next eight - or nine- years lease out becomes ver y significant.
Puneet Gulati: Understood. Lastly, on trading occupancy for your malls , do you think the trading occupancy has l argely been in line with wha t you would have thought for FY 23, I thought the trading occupancy growth was slightly slower than and has been much lower than the lease d occupancy for the entire of FY20 ?
Varun Parwal: On a lighter note, we have had to rework on some of our targets because of the consumption growth that we have seen. And actually, work on re -looking at the brand mix and the category mix in some of the mall s due to the very strong pace of consumption and the demand from the retailers that has come in.
Puneet Gulati: Okay . So, trading occupancy should reach lease occupancy by Diwali this year now?
Varun Parwal: Yes. W e do keep some m argin for churning out the retailers and w hat we alluded to even earlier on the call , a 30% consumption growth ha s been very strong , and that creates an opportunity for us to bring in some newer brands and categories. So, we will look at some churn during the year across the malls, and that's why we are keeping the trading occupancy target to about 93 % to 95% , and not taking it up to lease occupancy, because lease occupancy is actually at 98 %, 99% across assets.
Moderator: Thank you. Next question comes from the line of Pritesh Chheda from Lucky I nvestments. Please go ahead.
Pritesh Chheda: Sir, I just have one sm all confusion, in your opening comments y ou mentioned the new mall addition at about 1.1 million square feet. And this is basically Ahmedabad and Indore, and I was looking at my past notes , basically Ahmedabad is about 1.1 and Indore is some 0.7, Indore is one and Ahmedabad is 0.7. So, it should be 1.7 , if these malls coming up in phases ?

Varun Parwal : So, both the malls have come up together. There is no change in the area ; so, Indore has opened up with one million square feet and Ahmedabad has opened up with a n area 750,000 square feet. We will re -check the opening remarks and carry out any corrections if required.

Pritesh Chheda: So, then it should be 2.2 million of operational assets plus 1.7 million of the new right ?
Varun Parwal : No, so what you're referring to is the leasing target. The leasing target only refers to new area that we will lease during FY 23. Some of the new malls have been leased even prior to FY23 .
So we are talking only about incremental leasing during FY 23, so for operational malls we renewed or made this new deals was about 2.2 million square feet , and for the upcoming assets, which includes Indore, Ahmedabad, Mall of the Millennium in Pune and Mall of Asia in Hebbal , we have done about one million square feet of new deal s during FY32.
Pritesh Chheda: Okay. But what will slow down in your numbers will actually be the operational plus whatever is this Ahmedabad and Indore which is supposed to come this year right?
Varun Parwal : Yes. The financials will capture only the area that is trading and rent generating. So, at the end of March Indore was about 50% rent generating and Ahmedabad was about 43% rent generating.
Pritesh Chheda: Okay . My seco

nd question is which is the last question can you give me your blended holding in your retail assets. See, I have a separate number that Lower Parel is 100, Chennai and Market City malls are different number but , what will be your blended holding in your malls and what w ill be your blended holding in your retail assets?
Varun Parwal : It will be about 73 to 74%.
Pritesh Chheda: In retail?
Varun Parwal : Yes, in retail .
Pritesh Chheda: And in office?
Varun Parwal : In offices it would be about 60% .
Moderator: Next question comes from the line of Pritesh Sheth from Motilal Oswal Financial Services Limited . Please go ahead.
Pritesh Sheth: So, first question is on what is the pending CAPEX in ongoing retail assets and ongoing office s we are going to complete over the next couple of years , and what is our CAPEX target for this year?

Anuraag Srivastava : So, the pending CAPEX across all our assets which are under construction is about Rs. 4,650 crores which covers all the assets of retail , office, etc. Our capex spend is between Rs. 2,000 to Rs. 2,300 crores every year and we expect to do the same for FY 24 as well. That is the same amount of capex we spent.
Pritesh Sheth: Rs. 2,300 crore every year, this year was lower you also include land investments as well in this?
Anuraag S rivastava : No, so close to about Rs. 1,400 - Rs. 1,500 crores is on the actual capex and balance is on the land acquisition .
Pritesh Sheth: Correct, okay got it. And second just an existing leasing status at Bangalore and Pune malls which are coming up , how much you have reached?
Anuraag Srivastava : Both the assets are in 90% range as far as status is concerned . And this is of retail, of course office as we said Bangalore, the c ommercial office s we have started marketing because they are ve ry close to getting the OC for the commercial office building. And this will be launched this year. So, Pune because it’s still a year away , we have made very initial pre- marketing efforts, but not pre- leasing or marketing the property now .
Moderator: Thank you. On behalf of The Phoenix Mills Limited that concludes this conference call. Thanks for joining us . You may now disconnect your lines.

Call: Aug 2023

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August 14, 2023

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated August 09, 2023 , wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30 , 2023 , please find attached herewith the Transc ript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/ investors/FY2024/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q1 FY24 Earnings Conference Call
August 09, 2023
Moderator:
Sh
ishir Shrivastava:Ladies and Gentlemen. Go od d ay and w elcome t o the Q 1 FY24 R esults Conference C all o f the Phoenix M ills L imited.
As a r eminder, a ll participant l ines will be in the listen -only m ode, and there will be an opportunity f or you to a sk questions after t he presentation concludes.
We have with us on the call today the management of the company being represented by Mr. Shishir Shrivastava, Managing Director; Mr. Anura ag Srivastava, Group CFO and Mr. Varun Parwal, Gr oup President, Strategy and Corporate Finance.
Should you need assistance during t he call, please si gnal an operator b y pressing '*' f ollowe d by '0' on your t ouchtone phone. Please note that t his conference is bei ng recorded.
I would now l ike to ha nd the conference over t o Mr. Shishir S hrivastava. T hank y ou and over to you S ir.
Good morning, ladies and gentlemen. We take pleasure in welcoming you all to discuss the operating and financial performance over the 1st Quarter of FY24. We hope you have had a chance to look at the " Results Presentation" shared by us. It has also been uploaded on the stock e xchanges as well as o n our website.

We will no w take you through the key hi ghlights o f the results a nd we w ill refer to re levant slides of t he "Results Presentations" from tim e to tim e.

We s tart with th e "Operational U pdate " on o ur retail mall portfolio.

Please r efer t o Slide #3 o nwards o f the Results Presentation :

Consumption in Q1 FY24 stood at Rs. 2,574 crore with a growth of approximately 18% over Q1 FY23. If we exclude the contribution from Phoenix Citadel, Indore and Phoenix Palladium, Ahmedabad, which were not operational in the corresponding quarter in the previous year , this growth in consumption would be approximately 9% over Q1 FY23. At Phoenix Palladium, Mumbai , the lifestyle block has been closed for renovation from May 2023 onwards, adjusted for the reduction of consumption from this specific renovation, Q1 FY24 consumption has grown by approximately 10% over Q1 FY23. Consumption was robust across categories in the first quarter. Fashion and accessories up 17% from Q1 FY23. Jewelry has continued its momentum with a 31% growth of over Q1 FY23. Food and beverages up 24% from Q1

FY23,

FEC Multiplex entertainment up 3% from Q1 FY23. This is promising considering the ramp up from new movie releases expected in the running quarter . Gourmet stores and hypermarkets have come back with full recovery of supply chain and clocked 88% growth over consumption in Q1 FY23. Our retail collections stood at Rs. 614 crore for Q1 FY24.

Moving on to Slide # 4 for the month of July 23, consumption stood at approximately Rs. 931 crore demonstrating a growth of 15% over July 22. On a like -to-like basis, adjusted for malls which were not operational in the last year, that is Phoenix Citadel, Indore and Phoenix Palladium Ahmedabad, growth has been approximately 6 %. On a like to like basis adjusted for the renovation of L ifestyle block at Phoenix Palladium Mumbai, the growth in overall like to like consumption was approximately 7% over July 22. Gross r etail collections for the month of July 23 stood at Rs 210 crore. End -of-season sales this year started in June compared to July in the previous year. Also, heavy monsoons in the cities across Maharashtra and in the cities of Ahmedabad, Indore and Bangalore through the entire month of July, impacted weekday and weekend footf alls and consumption, especially in Mumbai. We expect some momentum to come in the remaining months of Q2 FY24 from some factors like i) strong cinema content pipeline in Q2 with encouraging lineup of new releases which will continue from the pickup we saw in July ' 23, ii) monsoon subsiding , iii) the Independence Day weekend, Rakhi and Onam in August followed by Ganesh Utsav in September.

Please refer to Slides #5 through # 8 for an update on Phoenix Palladium , Ahmedabad. 26 th February 2023 marked our entry in Gujarat with the launch of Phoenix Palladium , Ahmedabad, slides 6 and 7 depict the images of the mall. We opened the city center to our patrons with a trading occupancy of 32%, which has steadily ramped up to 68% as of July 2023. Trading density in the month of July 2023 remains strong at Rs 1,064 per square foot per month, with new trading units becoming operational. We expect the ramp up in trading occupancy to continue and touch approximately 85% by the end of Q2 FY24. The mall is currently leased at approximately 95%.

Moving on to slides 9 through 11 for an update on Phoenix Citadel, Indore. Phoenix Citadel , Indore, which is the first retail asset in India to have received the IFC EDGE Advanced Certification was opened to our patrons on 1st December 2022. Trading occupancy at this c ity center location has shown a steady ramp up and now stands at approximately 87% in July 2023 versus 42% at the time of launch in December 2022. We have seen excitement picking up at Phoeni x Citadel, Indore, with new stores opening in Q1 FY24 such as Clicktra , One E xchange, Reliance Digital, Cr oma, Smart Bazaar, Under Armour, Senco Diamond s, Malabar, Inspire which is an Apple reseller , and f ood and beverage outlets such as Pizza Hut, Z ero Degree and P lated. We are also going to see further see addition of some gastropubs and F&B options in the coming months to enhance the offering.

May I draw your attention to Slide # 12 onwards for an update on our upcoming assets. Mall of the Millennium at Wakad, Pune is on track to commence operations by Q2 FY24 and currently

has over 190 stores which is approximately 700,000 square feet which is under fit out. The construction work at Millennium Towers, the commercial offices integrated with the mall at this mixed -use development is progressing well and these offices are set for launch in FY25. At Phoenix Mall of Asia, located in Hebbal, Bangalore, we have received the occupation cer tificate for the retail portion of the development. It currently has over 214 stores under fit out, which translate s to approximately 700,000 square feet. At Phoenix Asia Towers, which are the commercial offices integrated with the Mal

l of Asia mixed- use d evelopment , the lobby and common area finishing and facade work is nearing completion. The first phase of these offices of approximately 800,000

square feet is expected to be operational during the current financial
year. At Whitefield, Bangalore, part of our Phoenix Market City mixed -use development,
excavation and shoring is progress is in under progress for the expansion which includes commercial offices. We also plan to densify this asset by adding a retail area of about 200,000
square feet and a Grand H yatt Hotel with upto 400 keys. At the commercial offices i ntegrated with Palladium , Chennai we see considerable progress on the project. We have completed slabs up to the first two floors of the office building and are seeing expeditious progress. At Project Rise at L ower Parel Mumbai forming part of Phoenix Palladium mixed-use development , all our requisite a pprovals are secured, and construction has progressed. At our retail project at Kolkata, we have completed the excavation and is moving on to the next stage of construction. For our retail project in Surat, we are at the final stages of approval and building plans have been submitted. Consultants for the various work streams have been onboarded and design development is progressing swiftly. We have received the height and ULC clearance as well and fencing work is also complete for our luxury residential project at Alipore . For our warehousing development at So hna NCR, we have received all the NOCs including the road access permission, land development work at site has commenced and consultants across various work streams are finalizing the design development and working drawings.

We now move to the financial performance of our retail mall portfolio and I draw your attention from Slide 26 onwards. In line with consumption, our retail rental income and EBITDA growth has also demonstrated a steady increase. For Q1 FY24, the retail rental income was Rs. 377 crore, up 17% compared to Q1 FY23. With incre asing operational efficiency, retail EBITDA for this quarter grew by 19% and was at Rs. 387 crore compared to Q1 FY23 . I now request Anura ag to take you through the Commercial Office s, Hotel and R esidential section and the overall financial results.

Anura ag Srivastava: Thank you, S hishir. Good afternoon, everyone. I will draw your attention to Slide # 30 to 32 for an update on our commercial offices portfolio . Our commercial office portfolio continues to see strength in leasing traction with gross leasing of about 1.76 lakh square feet during the period from April to July 23, of which about 0. 88 lakh square feet were new leases and about
0.87 lakh square feet were renewals. The w eighted average effective net rental for the portfolio stands at about Rs. 90 per square per month. The total income from the commercial office portfolio for Q1 FY24 stood at Rs. 45 crores with EBITDA at about Rs. 26 crores,

demonstrati ng a growth of about 11% over Q1 FY23 . Collections for the quarter, including taxes were approximately Rs. 51 crores.

Moving on to update on the hospitality segment, please refer Slide # 33 to 39. At The St. Regis, Mumbai , the performance for Q1 FY24 was l ed by occupancy for the quarter at 82% with ARR at about Rs. 16,500, which was up 38% from Q1 FY23 . ARR for the month of July 2023 stood at Rs. 14,191, up 29% from July 20 22. The total income for Q1 FY24 stood at Rs. 112 crores, up 34% over Q1 FY23. EBITDA for the quarter stood at Rs. 48 crores, demonstrating improved efficiency with the growth of over 50% over Q1 FY23 . With programming of events in the coming quarters and update of various venues, we are hoping for continued momentum for this m arquee asset. A t our hotel in Agra , Courtyard by Marriott, total income for Q1 FY24 was at about Rs. 11 crores up 33% from Q1 FY23, driven by occupancy at 72% and ARR Rs. at 4,408 showing a growth of a

bout 18% over Q1 FY23 .

Moving on to our residential business which is on Slide # 41. Sales in the quarter stood at about Rs. 135 crores and collections were Rs. 136 crores. Revenue recognized for Q1 FY24 was Rs. 106 crores. This traction of demand in our luxury residential projects in Bangalore continued in July 2023 with sales of Rs. 94 crores , taking the April to July, year -to-date number to about Rs. 229 crores.

Moving on to financial results, please refer to slides 42 onwards. Some of the key highlights of our consolidated financial performance as presented on Slide # 44 are as follows. Income from operations for Q1 FY24 stood at Rs. 811 crores, up 41% over Q1 FY2 3. EBITDA for Q1 FY24 at Rs. 492 crores, up 52% over Q1 FY23. Reported profit after tax after minority interest and after comprehensive income for Q1 FY24 at Rs 241 crores.

Moving on to the cash flows, debt and liquidity position, which is in Slide # 45 on wards. In Q1 FY24, we generated about Rs. 545 crores of net cash from operating activities and our operating free cash flow adjusted for interest outflow stood at about Rs. 450 crores vis-a-vis Rs. 254 crores in Q1 FY23 last year and Rs. 492 crores in Q4 F Y23. During Q1 FY24, we continue to fund development of our assets and spent over Rs. 344 crore s in capital expenditure.

Debt on Slide # 48 onwards . Consolidated gross debt , which stood at about Rs. 4,050 crores as on 30th June 2023 showed a remarkable decrease of Rs. 523 crores since March 2020, which was the pr e-COVID period. We borrowed approximately Rs. 73 crores for last mile funding of construction of our upcoming malls in Wakad , Pune and Hebbal, Bangalore. These facilities w ill be converted to lease rental discounting facilities after the start of operation within this financial year for optimizing the leverage position over these assets. During the same period, we have repaid approximately Rs. 60 crores of our outstanding debt on the operational portfolio. Average cost of borrowing is up 13 basis points to 8.87 % in June 2023 from 8.74% in March 2023. C urrently our lowest cost of borrowing stands at about 8.5%. However, with loan refinance underway at Indore and Ahmedabad, we expect our borrowing rates to reduce in Q3

FY24 onwards. Credit ratings of several facilities have been upgraded by one or two notches, and now all of our facilities are rated between A minus Stable to AA minus S table.

Our l iquidity is outlined in Slide # 50. Our liquidity position as on 30th June 2023 was Rs. 1,873 crores. This excludes the amount remaining in unutilized OD accounts. At a group level, our net debt is about Rs. 2,177 crores and PML share of net debt is Rs . 1,629 crores. We are bullish on our business prospects and with a strong balance sheet position, o ur focus is now to deliver our under -construction projects in time and judiciously deploy our capital to expand our portfolio. With this, we would close our opening remarks and we open the c all for an interactive question and answer session. Thank you.

Moderator: Thank you very much. We will now begin the question- and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is fro m the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Thank you so much and c ongrats on good numbers. My first question is on your guidance where you indicated last time that you're looking at, you know, double digit growth on the consumpt ion side and rental side on a like to like basis. How happy are you with what you are seeing right now? Especially in the context that even if you look at broad numbers , the trading area seems to have gone up by almost 28%, while your rentals have gone up by 17% or and consumption by similar numbers how should we think about the consumption growth and rental growth now?

Shishir Shrivastava: Hi, Puneet . Thank you for yo

ur question. I would say that our goal continues to remain the same ; to drive double digit consumption growth, so we are a chieving that in a combination of addition of new assets and the same mall consumption growth. Y es, we would say that if you just look at it on a like to like basis and seeing this approximate 7% g rowth compared to the same quarter in the last year, but it is also important to understand that last year we had seen a substantial growth in the month of July which was the post COVID period and I think at that time the concern everybody had was that is this level of consumpt ion sustainable or is this as a result of revenge shopping or otherwise? I think the consumers have shown resilience , you continue to see a 7% growth and we hope that with the additions and the changes and the upgrades that we are making across all our ass ets we are going to continue to see this inch upwards again toward double digit growth. The trading occupancies across our malls will be at 95% or more by Q3. We are expecting that and then of course we have Mall of Asia, Bangalore and Mall of the Millenni um at Pune, which will also open up in Q3, which will further add to that consumption growth. T oday in four months, we have seen a consumption growth of about Rs. 3,500 odd crore and I think that should be certainly sustainable and of course we are now heading into a high consumption season in the month of August through November, December, Jan uary and even Feb ruary .

Puneet Gulati: Would it be a r ight observation that so far we have seen the consumption growth being attributed only to the increase in tra ding area growth.

Shishir Shrivastava: I don't think it is mainly because of that I think there is an inherent increase in consumption compared to last year even for the same stores when we compare same store sales growth across the mall and as we have explained in the growth contributors across categories during my opening remarks and if you like, we can recap that we are seeing same category, same store sales growth also increasing you know and contributing to the overall growth plus there is some impact on account of the like as we have illustrated for Phoenix Palladium, Mumbai closure of Lifestyle has certainly impacted consumption, b ut when we adjust it from on like to like basis we do not adjust what is the secondary impact right because visitors who go to the L ifestyle store also visit other parts of the mall.

Puneet Gulati: Right, understood and secondly, can you comment upon what are you seeing on the leasing for your upcoming office spaces and what is the timeline that you are expecting in terms of leasing those office spaces as well as the c ommission over the upcoming year .

Shishir Shrivastava: So, the approximately 800,000 square feet of offices that will go live this year at the Mall of Asia Development , we are expecting to find ourselves executing our first deal in the next few weeks in fact . We are waiting for the part OC for that building to come through before we can go ahead and execute. There is a strong line up in fact, the pipeline that we built was close to about I would say about 2 million square feet of pipeline that was built and we are seeing demand for front office coming back and I think there is a lot of curiosity and interest for people for existing tenants at other office buildings where their tenure is coming to an end to move. So, there is a lot of interest for the new development for sure, but I think we should have this conversation perhaps in the next quarter when we will be able to report some deals that we have done.

Puneet Gulati : That's helpful. Thank you so much. I will come back in the queue.

Shishir Shrivastava: Thank you, Puneet.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Hi, thanks for the op

portunity and c ongrats on great numb ers. First is on margin where I think since last 2- 3 quarters we have been ramping that up quarter on quarter. N ow as you said, I mean trading occupancy, which is probably at 89 %-90% across the mall portfolio right now, which will go up to 95% in the next couple of quarters. How should we think the trajectory of margins from here on.

Anuraa g Srivas tava: Yeah, Anura ag, this side, I think margin improvement, as you rightly said, some of it is related to a strong operating performance and a significant increase in terms of people visiting through their vehicles etc . So, parking and other services like even t marketing , event signage, etc , they are all adding to the margins. The other important part is with improving the trading densities, the common area gets apportioned over a lot of operating stores. So, that increases the margin. I think we are moving towards once we hit a 90 to 95% of trading occupanc y and that is where the true margin trajectory will go and after that it will be linked to I think specific operating performance. Right now, EBITDA is at about 102 to 104% of rental income and I think this is a sustainable margin even for the new malls w hich we are constructing.

T

he second part of this is on the hotels where I think the strong ARRs you have se en the ARR are increasing significantly in both, The St. Regis, Mumbai and in Courtyard by Mariott Agra. So, that sort of increases the hotel margin over last year. So, over the same cost base we are able to increase our profitability. Offices occupancies have picked up I think we have seen net addition in the rented space in office. So, there again the ap portion ment of common areas etc . is giving us better margin.

Pritesh Sheth: So, another maybe 100-200 basis point increase in this is possible because of share coming from the trading occupancy growth?

Anuraag Srivas tava: I think we will. Yes, we can say that the numbers though, I don't have the exact numbers mapped out , but I think that seems to be the trend. B etween 102 to 104 is what we have said is where this will stabilize and we will see organic growth afterwards.

P

ritesh Sheth: Sure, got it. That was helpful and Ahmedabad this quarter contributed really -high in terms of, rental income. Rentals are also 150. Was there some unusual I mean maybe some p revious months rents getting accrued now, because stores are opening up, how should I look at it?

Varun Parwal: Hi Pritesh , Varun this side. So, I think one thing you should consider is that Ahmedabad is a premium and a luxury development compared to Indore. So at Indore the average rentals would stabilize in the range of 87 to 90 rupees, whereas at Ahmedabad rentals would stabilize at a range of Rs. 145 p lus. So we did see trading occupancy going up sharply during this quarter and we expect Ahmedabad to continue ramping up over the next 2 -3 quarters as well s uch that by Q4 it would be at 92% and above of trading occupancy. While it is a smaller sized asset than Indore, Ahmedabad is only 750,000 square feet of GLA compared to Indore, which is a million square feet , the average rent at Ahmedabad is much h igher than at Indore and hence it can and it will contribute more in rental income compared to say in Indore.

Pritesh Sheth: So, basically, nothing unusual about this quarter, this is how we should look at in terms of rentals per square feet and rental contribution coming from Ahmedabad, right?

Varun Parwal: Yes.

Pritesh Sheth: Okay that answers my question. Thank you for answering. A ll the best.

Moderator : Thank you. The next question i s from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Hi, good afternoon. So, firstly, just to follow up on an earlier question. So, once like say trading occupancy stabilizes at say 95% from Q3 onwards, what kind of same store consumpt

ion

growth woul d you expect?

Shishir Shrivastava: Wow, Kunal, that is a tough question to answer like this, I would just say historically we have always seen 10 -12% same store sales growth we are hopeful that we will be in that early teens, early 2 digit growth.

Kunal Lakhan: Sure, sure. Okay . Just coming to the rentals right now, we have seen that in the last one year or so like no rentals increasing by say anywhere between say 4 to 6%, average rental y-o-y. Is this something that one should like expect going ahead? Al so, I am talking about average mall rental.

Shishir Shrivastava: That w ould be a fair assumption, I would say. But let's also see that there will be some impact on account of the retailer mix change, so for ongoing contracts, etc. that would be a fair assumption i.e. 6-7% would be fair . But with the change in retailer mix that the base will increase initially y ou know our model how the minimum guarantee in the first few years is much higher than the revenue share component kicks in and takes the overall rental even higher. So, we expect to see some changes on account of that and we have quite a few good brands coming in. In Ku rla, we are opening Armani, we are opening Tim Hortons, Blue Tokai and of course, Uniqlo in October. There are similar brand mix changes that are being undertaken at Pune and Bangalore as well.

Kunal Lakhan: But like when I try to correlate this at 10 to 12% same store growth and then you know 6 to 7% average rental growth, I mean even if there is even if there is a revenue share kickin g in technically right and long term right your average mall rental growth should kind of like f all in line with your consumption growth, right? Like the way you work out your r esets, right? So, is there some disconnect there? Like no.

Shishir Shrivastava: See we have had as you are aware, we have had churns in the last year across centers, right? So, when a churn happens, the minimum guarantee moves up. So, while same store sales growth has increased, the revenue share component over the increased minimum guarantee on account of these new contracts has just about started kicking in. We have seen that additional contribution of revenue share over MG at K urla that has already happened. We are going to see that at other centers as well. There is a direct correlation, but there is a trailing effect because at the start of the contract the MG is high. As the trading density of that store picks up, that's when the revenue share component goes beyond the minimum guarantee and the contribution starts moving up.

Kunal Lakhan: Sure, sure. My last question was on the on the debt side. We are generating enough OCF, which is funding our interest as well as our CAPEX . Would this be the peak debt level, you think with the kind o f OCF that we are generating and plus the ne w malls kicking in from this year onwards. Will this be the peak debt you think.

Anuraa g Srivastava: I mean peak debt in what period of time is the question? I think as we add more malls etc. , while as I mean we have stated in past many times that our s trategy is that we do not borrow on a n under construction asset unless there is a line of sight available for opening the asset, which usually comes in between 6 to 9 months. O nce the asset is operationalized, we would like to borrow on that asset because it gives us various advantages. It releases the capital for further deployment and we have I mean while we are very robust operational cash flows as well, but we would like to release our equity in some projects to deploy in new projects and as long as the as the operational asset supports that debt, we are fine to borrow within conservative limits. So, I don't think this will be a peak level of debt. We may add L RD debt in few of our assets.

Sh
ishir Shrivastava: Sure, if I may add to that, Kunal, yes, I may just add one point to that. See

if you look at our interest cover, it is almost 5x; s o, our EBITDA is almost 5x of the interest cover. We used to be at 3x and now of course we are seeing a high er EBITDA margin, so we are seeing that number and we have also paid down debt. So, there is a lot of elbow room. I think we are going to always use that as a measure of you know how we want to be placed in terms of drawing down further debt and as Anura ag explained, we will be drawing down further debt on operational assets and make sure that we have enough elbow room on account of this interest cover and borrow probably much lower levels of construction finance.

Kunal Lakhan : Got it. Thank you.

Moderator : Thank you. The next question is from the line of Mohit Agarwal from IIFL . Please go ahead.

Mohit Agarwal: Thanks, and good afternoon, everyone. So, my first question is in your opening comments you gave some numbers around the category wise growth, so jewelry, F &B, premium, grocery and hypermarket doing well. How do we connect those numbers with the overall numbers that you reported for July 7%? So, what are the key laggards there if you could give some color on that and are there any post COVID how these categories hav e been doing? Are there any learnings that you want to, are you applying that to the new leasing that you are doing in the u nder - construction m alls.

Shishir Shrivastava: Let me answer the last part of your question first. The learnings have definitely tra nslated in a slight change in the category mix I would say to some extent. But contractually, the business model structure, I don't think that there is any structural change to that. In fact, we are back to where we were pre COVID and neither do our retail er partners expect much of any structural change to the overall contractual terms or the commercials. Your question pertaining to July

23, I think the information is a little raw for the moment, but we have seen, I would say we have seen just give me one moment. Let me try and pull out some information for you. The

numbers are little raw , so I would hesitate to try and put percentages in terms of growth across categories. But specifically on entertainment and FEC, when you ask that, I think July numbers are very, very high compared to last year for the month of July, the growth is quite high.
Mohit Agarwal: And just a couple of clarifications of what, what would be the laggard in this month and also you mentioned about the slight change in category mix in new leasing, if you could elaborate on that.
Shishir Shrivastava: For July, I am unable to give you an answer on this on the laggards because I think we will cover it in the next quarter and as I mentioned, the information at this stage is still a little raw.
Mohit Agarwal: Sure.
Shishir Shrivastava: But if you look at Q1 FY24 versus Q1 FY23 you can see that electronics and m ultiplex were up about 2% and 3% approximately here this is where I think we hope to see some growth in this ongoing quarter. In terms of the category mix we have I think this is something that we have you know stated right from 2022 , when we reopened our malls that we have taken fashion up. We have taken jewelry as a category up. We have taken food and beverage as a category up in terms of the overall square foot age. So, fashion and accessories typically are seeing about 55% of the trading area today. Jewelry is still at 1%, but it contributes 11% of consumption. Food and beverages at about 9 to 10% depending on location to location and it c ontributes about 11% of the overall consumption.
Mohit Agarwal: Okay , perfect and my second question is on the business development. So, what is the outlook like there you know and any challenges that you may be facing in terms of availability of land parcels or you know the prices going up very high so you could give some color on t hat as well.
Shishir Shrivastava:

I think we have a very strong pipeline which we should be able to announce, hopefully something in the next quarter , but we do have a strong pipeline across different geographies, different markets in the country. Yes, of course there are challenges in finding clean, clear land with no title issues. Price expectation has moved up , but I think we are still being able to find land parcels which really will fit well within our mandate and our overall return expectations.
Mohit Agarwal: Okay any color on you know what kind of additions you could do this year. Any indicative pipeline?
Shishir Shrivastava: I am sorry , but at this point in time I won't be able to share that information Mohit.
Mohit Agarwal : Sure, sure, that is fine. Thank you so much. Those are my questions.
Moderator : Thank you. The next question is from the line of Biplab Debbarma . Please go ahead.

Biplab: Good afternoon and thank you for taking my call. So, Sir my first question is on the under -construction retail and the under -construction office. So, we have seen that in the past in the retail malls under construction, you are significantly pre-leased much before the mall became operational , whereas for the office we have not started leasing significantly. So, just trying to understand is there any strategy different for office versus mall and I mean intuitively would it not reduce leasing risk si gnificantly if we pre -lease in advance in office?
Shishir Shrivastava: I think the nature of the product is only very different. T ypically in a mall you can when you launch the mall even before you break ground you end up doing some kind of pre- leasing to large anchors which set the tone for the brand, mix etc . and retailers can take a look ahead of four years , because they know their expansion strategy across geographies. In offices, RFPs come out typically, maybe for six months prior to the intended date of occupancy. So, while a building is under construction in very few cases is one able to do a p re-lease unless you do a build to suit requirement which are very few, not too many in numbers. Also in front office spaces, which is what we are building , the sweet spot what we are seeing is in the range of about 30 ,000 to 50,000 square feet in terms of demand. Now that is the kind of demand that comes typically six months prior to the actual need.
Biplab: Okay , that is good a nd, sir what kind of rentals do you expect in this upcoming office spaces like in Whitefield, Hebbal, Waka d and Chennai?
Shishir Shrivastava: See we had under -written our returns or our business plans for Hebbal, which is the office building which is going to become operational in this financial year. We had underwritten that at the range of, if I remember correctly about Rs 65 or 70 per square foot per month (pspm) . We expect to lease higher than that for sure.
Biplab : And what about the other offices in Wakad , Whitefield and Chennai?
Shishir Shrivastava: So, Wakad will also be in the range of ; we expect to outperform the business plan, but we would expect to be in the range of about Rs 80 pspm or thereabouts. Whitefield is a little far out in terms of the project completion.
Biplab : And Chennai?
Shishir Shrivastava: Chennai should be in the range of again Rs 6 5 to 70 pspm i.e. today’s rental in that micromarket.
Biplab: Okay and one final question, just curious to know s ir, when you start looking at a land deal and after preliminary evaluation, you have shortlisted a land based on preliminary information and from there to finally doing that definitive agreement and you closing the deal typically is there a ballpark number , say one year or one and half year or six months? Is there any ballpark

number but all it varies from location to significant varies from location to location ?.

Shishir Shrivastava: It varies . I mean if it is a simple, st

raightforward, clear land title without requiring any statutory
government al approval, etc. one can complete the transaction and we have done it in the past
in three months also. So, when we acquired Hebbal that was concluded in less than three
months , but there are typically if there is a government auction then you conclude it between
one to two mo nths. If there are transactions which require land use conversion etc. , then the
timeline can be anywhere between 6 to 9 months.
Biplab: And what takes most of the time? Is it the title due diligence or negotiations on the valuation
or post agreement there are you know?
Shishir Shrivastava: Title due diligence is anywhe re between a 60-to-90-day process a nd like I mentioned, the
timeline varies on account of other aspects depending on statutory approvals if any required
for transfer of land, land use conversion if it is required.
Biplab: So, mainly approvals ?
Shishir Shrivastava: You may take away from this conversation.
Biplab : Okay s ir. Thank you.
Moderator: The next question is from the line of Ashwini Kumar Agarwalla from Edelweiss Mutual Fund.
Please go ahead.
Ashwini Kumar Agarwalla: Good afternoon, s ir. I have got a couple of questions. Can you tell me that the broader inflation
is offering the range of 6%, whereas our retail consumption is in the range of 6 to 7%. So, how
do we see the value the actual real growth coming in and from this 7% also the jewelry part
really did very well and that was aided by a 15% jump in the gold prices. So, how has been the
overall footfalls , ticket size purchase per person and do we see real growth coming in?
Shishir Shrivastava: I would say that the foot falls would have, certainly foot falls are back to the pre COVID levels
now. T he ticket price has probably, you know been marginally impacted. If your question is,
are we going to expect to see consumer spendin g a larger wallet share during their m all visits,
I think that that is what we are working on by way of improved category and brand mix and
upgraded offering and newer products in our mall. So, that is always the goal to certainly out -
beat the inflation an d we have consistently done that for the last 20 years and I think it is just
there is no there is no long term impact in our opinion. But it requires probably an upgrade and
meeting customer aspirations on newer brands and newer categories.
Ashwini Kumar Agarwalla: Okay and another question, I have got a few questions. So, if you see the last Diwali or the last
festival season, we have had a lot of pent -up demand because people did not celebrate the
festival for two or three years now this would be a norma l year. So, do you see a real traction
coming in this festival ?

Shishir Shrivastava: I would hope so. See again , when last year's performance there was speculation whether it is
revenge shopping and pent up demand for the full year that was out, you know, the question
that we have, I think this Q1 is giving us the confidence that consumption, while it may not
have grown the way we would have liked it to , there is certainly a growth and there is it was
not a not an interim spurt of consumption that we saw. T his time Dusshera is in October, Diwali
in November, Christmas in December, the celebrations also more spread out. So, logically one
would hope that we can get more of the consumer wallet share.
Ashwini Kumar Agarwalla: Okay and so now if I come to the fi nancials, so post COVID, we had a round of price negotiation
where we had a significant price increase or the rentals increase. Now , what are t he kind of
rental increase s which we expect in the next one year or six months especially from the ongoing
current malls .
Shishir Shrivastava: See, I will try and answer this question slightly differently. If you look at rent collection o n
consumption, I think that is a good measure to understand where we

are. T his quarter we have
been at approximately 14 odd percent. In malls , where consumption continues to grow, trading
density continues to grow up higher , you have the ability to push this number even higher. So,
for example, at Phoenix Palladium, Mumbai, which is our flagship mall in Bombay where
trading density is approximately at about Rs. 3,500 to 3, 800 pspm, there typically the cost of
occupancy which is rent on sale can be as high as 17% as well. So, as the mall consumption
moves up, you have the ability to take up your rental received b ecause the margins are higher
and the retailers can afford to pay that higher rental.
Ashwini Kumar Agarwalla: Apart from
Shishir Shrivastava: I beg your pardon.
Ashwini Kumar Agarwalla: Apart from Palladium in the other malls, because Palladium is quite concentrated.
Shishir Shrivastava: Bangalore this year , if you compare Bangalore's rental growth this year, you will see that
Bangalore has really outperformed into in terms of consumption, i n this quarter and our rentals

have started to show an improvement and currently we would approximately see a 9% rental income growth over there.
Ashwini Kumar Agarwalla: Okay s ir. Thanks a lot.
Moderator: Thank you. The next question is from the line of Nimit Gala from Ace Lansdowne. Please go ahead.
Nimit Gala: So, firstly, on the leasing trends, commercial offices leasing trends, I see that the commercial offices leasing has been quite strong in the current quarter. So, would you be able to provide the verticals from where these the tenants are and secondly about the resident ial, I remember

you mentioning in the last quarter about being extremely selective in the residential segment. So, just wanted your thoughts on the expansion plans beyond Bangalore or Kolkata.
Shishir Shrivastava: Okay o n comme rcial leasing, I think you can connect with the team to get a breakdown on which sectors the occupants have come from.
Nimit Gala : Okay .
Shishir Shrivastava: We have seen about 175 ,000 to 176,000 square feet of leasing in this first four months of this financial year. J ust to name a few, I think we have Adani, IndiGo, JSW Steel, Bajaj group in Pune so you can get a detailed list from our IR team on that subject.
Nimit Gala: Sure.
Shishir Shrivastava: In terms of residential, as we mentioned in t he past, we are only looking at, you know, opportunistic situations today where we have the ability to acquire a land parcel in an established market where the established rates are high, so at present we are not actively going out to look at growth in tha t space, b ut we are going to continue to look at opportunities where the returns, expectations are high and in an established and mature residential market.
Nimit Gala : That is helpful. Thank you.
Moderator : Thank you. We will have to take that as the last question. On behalf of The Phoenix Mills Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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November 13 , 2023

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated November 09, 2023 , wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2023 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.t hephoenixmills.com/investors/FY2024/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q2 and H1 FY24 Earning s Conference Call
9th November 2023

Moderator: Ladies and Gentlemen, good day and welcome to the Q2 and H1 FY24 results f or the conference call of The Phoenix Mills Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to a sk questions after the presentation concludes. Management of the company is being represented by Mr. Shishir S hrivastava, Managing Director, Mr. Anura ag Srivastava, Group CFO and Mr. Varun Parwal, Group President, Strategy and Corporate F inance.

Should you need assistance during the conference call, please signal an operator by pressing “*” followed by “0” o n your touch tone phone. Please note that this conference is being recorded.

At this time, I would l ike to hand the conference over to Mr. Shishir Shrivastava. Thank you a nd over to you, Sir.

Shishir Shrivastava: Good morning, ladies and gentlemen. We take pleasure in welcoming you all to discuss the operating and financial performance for the second quarter and half year ended September 202 3. We hope that you have had a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our corporate website.

I will now take you through the key highlights of the results with reference to the relevant slides of the results presentation. Over the last 10 months, we were tasked with launching four malls and today we are extremely proud of having delivered these world class experiential developments which set new benchmarks in retail and mall design.

Starting with Phoenix Mall of Asia, Bangalore, if I may draw your attention to Slide 3 onwards , we launc hed this mall on October 27th 2023 with over 440 national and international brands, complete with India's largest intern ational luxury watch cluster, a wide array of entertainment and dining options, complemented with beautiful and captivating interiors and decor. We expect Phoenix Mall of Asia not only to be a luxury destination for Bangalore, but a complete family destination and become the true landmar k retail asset for the entire South of India.

As of October 2023 , the mall was operating with a trading occupancy of approximately 43% and we expec

t this to inch forward towards the

second -half of this financial year. From our experience, the ramp up that we have seen at Phoenix Citadel Indore or Palladium Ahmedabad , we expect Phoenix Mall of Asia to be at a trading occupancy of approximately 75% by March 31, 2024.

Next up is Phoenix Mall of the Millennium at Wakad, Pune y ou may see on slide 7. We launched Phoenix Mall of the Millennium on September 1st, 2023. The mall is home to over 350 national and international brands and an entertainment zone of over 1 lac square feet with various attractions such as a fan park, e ntertainment centers such as Time Zone and Fun City , a 14 screen Inox m ultiplex and over 75 dining options with the food court having a capacity of more than 550 people. Trading occupancy has shown a strong ramp up since launch and stood at 50% in October 2023 versus 44% during Septembe r 2023 with about 177 stores now operational. We expect this trading occupancy to inch up to about 80% by March 2024.

On slide 12, we have Palladium Ahmedabad. This asset, which was launched on 26th February 2023, marke d our entry into Gujarat a nd the trading occupancy again has seen a fast ramp up from 32% at launch in February 2023 to 77% in October 2023. Moving on to slide 13, Phoenix Citadel, Indore w as launched in December 2022. Here again, we have seen the trading occupancy ramp up from 42% at launch to about 90% in October 2023 .

Now on to a quick update on our underdevelopment retail assets. If you may look at slide 1 4 and onwards . At Phoenix Grand Victoria, Kolkata we have received all development permissions. We have also completed the pre-construction activities and currently excavation and foundation work is under progress. Our second retail destination is in Gujarat, at Surat, we expect the construction to commence in Q3 of FY24. At the retail expansion for Phoenix Palladium, Mumbai spanning across retail GLA of approximately 250,000 in the current phase , civil works have reached an advanced stage, and we expect to complete this project by about March of 2024.

Moving on with our retail portfolio performance for Q2 FY24, from slide 17 onwards of the presentation. Consolidated consumption, which represents net sales reported by the retailers at each of our centers , at a portfolio level, for the quarter ended September 2023, stood at Rs. 2,639 crore s with a growth of 20% over the same period last year. To compare this growth on a like to like basis, if we exclude the contribution from the new malls l aunch ed which are Phoenix Citadel , Palladium Ahmedabad and Phoenix Mall of the Millennium and adjust for the impact from closure of the lifestyle store at Phoenix Palladium, Mumbai , the consu mption has grown by about 10% .

Turning to slide 21 onwards for the financial performance of our retail portfolio for the year so far. For Q2 FY24, retail rental income stood at Rs. 392 crores , up 2 5% when compared to Q2 FY23 and 8% on a like to like basis excluding the new malls launch ed. Ret ail EBITDA for this quarter was Rs. 402 crores up 26% compared to Q2 FY23 and up 11% on a like to like basis. For H1 FY24 , retail rental income stood at Rs. 769 crore s, up 21% compared to H1 FY23 and up 6% on a like to like basis excluding the new malls launched. Retail EBITDA for this period was Rs. 789 crore s, up 23% com pared to Q2 FY23 and up 9% on a like-to-like basis.

With the onset of the festive and the winter season now for FY24, we look forward to a fabulous performance in the second half of the year as well.

I now request Anura ag to take you through the office , hotels and residential section and the overall financial results.

Anuraag Srivastava: Thank you, Shishir . Good morning, everyone. Please refer to slide 27 and onwards for an update on commercial offices. Our commercial office portfolio is seeing improving tracti on wi

th gross leasing of over 3 lac square feet in the peri od from April to October 2023 with about 2 lac square feet of new leasing and 1 lac square feet of renewals.

Total income from commercial offices in Q2 FY24 was Rs. 47 crores, up 9% compared to Q2FY23 and total EBITDA stood at Rs. 26 crore s with a growth of about 6% over Q2 FY23. During H1FY 24, income stood at Rs. 91 crores, which was up 9% year on year and EBITDA was Rs. 52 crores, up 7% year on year.

Moving on to an update on the under construction commercial office projects from slide 31 onwards. We are progressing well on our development of the next leg of growth i n commercial offices . At Phoenix Asia Towers, lobby , common area finishing and façade work is underway. The first phase of these offices, which is about 0.8 million square feet , is expected to be operational during the current financial year i.e., FY24.

At Millennium Towers Wakad , slab work is in advanced stages for the office towers. At the Palladium offices at Chennai, we target completion in FY25. We have also received US GBC LEED Pre-Certification with Gold Rating at this asset . For Project Rise, all development permissions have been secured, f oundation work has been completed and basement slab 2 has also been completed. As far as the commercial office component within expansion of our mixed -use asset in Whitefield is concerned , excavation work is nearing completion.

Moving on to the hotel portfolio, from slide 37 onwards, first covering The St. Regis Mumbai, we continue to see significant improvem ent in our performance . ARR in Q2 FY24 was about Rs. 15,040 a nd in H1 FY24, it was

Rs. 15,767. Both showed an increase of 27% and 32% respectively over previous year.

Total income for Q2 FY24 stood at Rs. 102 crores with growth of 20% over Q2 FY23 and at Rs. 213 crores for H1 FY24, up 39% over H1FY 23. With the increase in total income, EBITDA margin ha s also improved to 43% in H1 FY24 compared to 40% in H1 FY23.

At our property in Agra , Courtyard by Marriott , ARR in Q2FY 24 was at Rs. 4,196 and in H1 FY 24 it was Rs. 4,303, both showing an increase of 8% and 13% respectively over the previous year. Total income for Q2FY 24 stood at Rs. 9 crores, up 7% from Q2FY23 and EBITDA was Rs. 1 crore up 7%. Total income for H1 FY24 stood at Rs. 20 crores, up 20% from last year and EBITDA stood at Rs. 3 crores , demonstrating a 19% growth.

Our residential business update is from slide 44 onwards. We continue to witness very good traction in residential sales. We have completed gross residential sales booking of Rs. 495 crores in YTD October 2023 w hich is already higher th an gross sales booking of Rs. 466 crores done in FY23. Same goes for collections, which stood at Rs. 423 crores in YTD October 2023, surpassing t he full year collection of R s. 369 crores seen in FY23.

We have built and delivered about 2.83 million square feet across One Bangalore West and Kessaku, of which we now have only about 5 lac square feet of unsold inventory left . At our under development, premium residential project at Alipore, Kolkata , consultants for various work streams have been on boarded and we ar e in the process of obtaining o ur development permissions.

I would like to now move to financial results from slide 47 onwards. Some of the key highlights of our consolidated financial performance are as follows.

Income from operations for Q2FY24 stood at Rs. 875 crores. This is up 34% year on year and at Rs. 1,686 crores for H1 up 38% year on year. Operating EBITDA for the quarter stood at Rs. 514 crores, up 35% year on year and Rs. 1,006 crores for the first half, u p 43% year on year. Reported PAT after minority interest and after compre hensive income for Q2 FY24 stood at Rs. 262 crores, whi ch is up 40% year on year and stood at Rs. 531 crores for the first half.

Debt position from sli

de 48 onwa rds, consolidated gross debt stood at Rs. 4,263 crores as on 30th September 2023, down by Rs. 310 crores since March 2020. 97% of our gross debt is on operational portfolio with very competitive average borrowing rate of 8.71%. Currently our lowest cost of borrowing stands at 8.5 0%. Despite RBI increasing rates by 250 bps since March 2022, our borrowing costs have gone up only 141 bps so far. As the overall interest rates in the economy start to rise, our effort will

be to minimize the impact of this on our cost of borrowing by reducing the spre ad charge d by the banks on top o f the repo rate.

Cash flows from slide 50 onwards. For H1 FY24, we generated about Rs. 1,060 crores of net cash from operating activities and our operating free cash flows stood at Rs. 882 crores.

Liquidity position from slide 53 onwards, group level liquidity on 30th September 2023 stood at Rs. 2,166 crores up by Rs. 411 crores from the position as of 31st March 2023. This excludes the amount remaining unutilized in OD accounts. Net debt stood at about Rs. 2,096 crores, down by Rs. 186 crores from the position as on 31st March 2023.

We are bullish on our business prospects and with a strong balance sheet position o ur focus remains on delivering our under -construction projects on time and judiciously deploy our capital to expand our portfolio.

Moderator: Thank you. We will now b egin the question and answer session. The firs t question is from the line of Resham Jain from DSP asset managers. Please go ahead.

Resha m Jain: Hi, good morning, team. So, I have just a couple of questions. So first one is if you can just help with your overall capex to be incurred over the next three years based on the current development which you are going to do.

Management: Hi Resham . So, between now and 2027 from the projects that are already announced and updated on the presentation, we have a further capex of about Rs. 4,800 to 5 ,000 crores t hat is left and this is between current calendar year and up to 2027. This includes 3 million square feet of retail that is under construction at various stages and the over 5 million square feet of commercial offic es, as well as the residential development planned at Alipore .

Resham Jain: And the overall let's say, if I look at the cash generation over the same period, the cash generation seems to be significantly higher than the numbers. So how are we thinking about the incremental cash which we are going to generate? Because our debt leve ls are at a reasonable level now a t net debt. So just your thoughts on the same ?

Management: You are right . I think with the excess cash, we will continue to build our retail portfolio and look at further business development opportunities. Retail continues to be our flagship business and we see a lot of opportunities in expanding in cities where we already exist as well as the new cities in other towns. So that is the focus a nd of course as the retail assets come up, we will also continue to focus on the mixed -use development. Just passing it on to Shishir for further comments .

So, if we just look at the current run rate, we see about Rs. 2,000 crores of free cash being generated annually. And as Varun mentioned, we have about Rs. 5,000 crores of capex for projects which are already under development and already announced. We continue to look for opportunities for expanding our real estate, retail and residential and office vertical . So, I think we are on a good path to look at deploying significant free cash in new projects in acquisition and development of new projects.

Resham Jain: The other question I have is on residential. Will you have the post -tax IRR let's say of the Bangalore residential project which is n ow about to get over. Let's say in 2024-25 what will be your approximate p ost tax IR R in that residen

t ial project?

Management: So, if you look at how the project has moved and especially in the way the prices have moved, we launched this project back in 2012 at a price of Rs. 5 ,500 per square feet on launch date a nd today in Oc tober 2023 , we have taken the selling prices to above Rs. 21,000 on per square feet basis. We of co urse had incurred land cost etc back in 2012, but then we utilized the base FSI to construct the first five towers and return all the capital back ; so the company had received full return of its entire equity investment back in 2014 -2015 itself. Kessaku has been launched thereafter and we have purchased development potential and incurred construction cost to construct this .

Residential project i f you look at it from the markup that we see on our construction cost today , today our landed cost of development for a premium residential tower is at Rs. 7,500 to 8,000 per square feet f or a Kessaku sort of development wherein we provide a lot of lifestyle amenities, but t he selling price that we have in excess of Rs. 20,000. So, from our capital multiplier, it's a significant improvement and that also results in a good post tax IRR i.e. of our targeted IRR of 18 to 20% on a post tax basis .

Moderator: Thank you so much. The next question is from the line of Puneet Gulati. From HSBC. Please go ahead, Sir.

Puneet: Thank you so much and congratulations on good numbers. My first question is on your office project. So , the Bangalore and the Pune one are close to completion and set to launch. Can you elaborate on what is the progress on leasing there and how are you seeing the market?

Management: Hi, P uneet. Good morning . We are expecting the OC for the offices at Bangalore which are Asia Towers, shortly. So we have not been able to execute any leases, but I can talk about the pipeline. We have seen a significant pipeline and p rofile typically is for 2 lac square feet and or thereabouts for each tenant . So, if we just look at the cumulative pipeline, it is close to about 2 million square feet of pipeline and several

of those are waiting for conversion . At this point in time , I think we feel fairly confident that within about 12 months of the OC coming in, we should have abo ut a 75% kind of an occupancy w ithin development, this is across 800,000 square feet of total leasable area under Phase I.

And in Pune we are expecting the building completion for Millennium Towers for the first phase to be in August of 2024. Again, we are looking at what is the pipeline there seems to be significant demand for this part of the city.

Puneet: And so I thought the total leasable area was 1. 2 million, right, you said 0.8 m illion.

Management: So, at Bangalore, we have a further 250,000 square feet of FSI potential there , wh ich we have no t built out as yet , because of not having clarity on the TDR policy in that city. So, we have about al most 400,000 square feet of GLA where in one of the towers where we have the ability to construct once that becomes clear.

Puneet: So, y ou're building 0.8 in Bangalore and similar 0.8 in Pune as well.

Management: 0.8 million square feet in Phase I, 0.4 million square feet in phase II in Bangalore and in Millennium Towers, it's a total of 1.4 million square feet GLA which we are building out. It's just that the first tower will become ready in August 2024 a nd the next one will be ready by maybe about January 2025 or February 2025 somewhere in that p eriod. Cumulative ly it is about 1.4 million square feet of GLA.

Puneet: Ok. And can you also indicate what kind of rentals are you likely to negotiate there?

Management: So, looking at that competitive landscape in Wakad , the n umbers currently are at around Rs. 70-75 per square foot. I believe that our product is a fr ont office premium grade -A, USGBC LEED certified product which will

command premium renta ls. So, 24 or say 12 months from n ow we sh ould be in the region of about Rs. 80-85 thereabout, that would be our starting rent .

Puneet: And in Bangalore?

Management: Bangalore is also goi ng to be around Rs. 80-85 per square foot as the all-inclusive bare shell rent.

Puneet: And secondly on this land purchase, I might have missed it. I joined a bit late on the land purchase. What are the thoughts that what do you want to develop on in Thane?

Management: Puneet, as you are aware, I think the competitive landscape there has quite a bit of retail . So, we are evaluating what is the ideal development mix. We have also seen that despite the inventory overhang on residential, we have seen that the good grade -A quality residential has outperformed in that market with rates in excess of Rs. 20,000 a square foot. So, we are evaluating the ideal development mix for this locatio n and we are certainly cautious about the competitive landscape in r etail. So, I think it is going to take another three months or thereabouts to define what we are going to f inally, build there.

Puneet: But you would have done some IRR calculation, right? And what would that have been based on?

Management: So we have looked at various scenarios. We have looked at mixed -use development with retail in the lead , we have looked at residential, we looked at a combinat ion of residential . I think the returns work in any scenario in terms of our return expectation on equity, I think they work in any scenario but the risk is probably as I mentioned , the competitive landscape one has to be very cautious about , so we are evaluating whether we want to take that risk or we want to mitigate that risk and go with the residential kind of a development , or a residential with ancillary retail, but we have not decided and at this point in time my answer to you is that we will t ake three months or s o, to decide on the development mix.

Puneet: And just on the broad question, I know you have answered it to a certain extent. How are you looking at deploying the huge amount of free cash flow that that you will be generating should we expect anything in the next 1-2 years to get added and then which geographies?

Management: Adding new developments is routine for us, that is how we are growing and we continue to be v ery aggressive in terms of evaluating land opportunities in some of the key markets ; in some of these markets there were auctions announced which then got cancelled , but we are actively looking for land in four or five different key markets that we have identified where we want to be . So, as we have done in the las t several years , we will keep a cquiring and delivering at least a million square feet of retail every year or there abouts .

Puneet: Right. But you have to spend close to at least a thousand plus crore every year, right? So that's a large sum to spend as well.

Management: It is a large sum to spend, but I think it's good to have that kind of an ammo to go and buy the most premium land parcels for the most premium development in the se cities. So, land cost is not low, right? We also want to also keep our debt levels in check while we pursue these opportunities or pursue expansion opportunities at our existing

development. So, we will be very j udicious about how we utilize o ur cash flows.

Moderator: The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal: When I look at your trading occupancies in the last 12 months, right, I mean across your assets, they've increased from say 4 to 8% and when I look at same store con sumption, it's grown by 10%, so, adjusted for the trading occupancy is it fair to say that the c onsumption growth like to like same store would be about 4 odd percent.

Management: So I think on your question on 1

st on trading occupancy, we have had a very strong line up of retailers who have either entered India or expanded into India and we have been accommoda ting them in our malls over a period of time and we saw a number of them opening up in September and further more followed up in October as well. And this I'm referring to only the existing oper ational portfolio . So today our asset like Phoenix MarketCity in Bangalore, which was launched in 2011, it's trading at a lifetime occupancy of 98% and we have a very big lineup of brands who we are still waiting to accommodate in this mall . That said, a number of these retailers have recently entered and opened in the mall, and their performance in the first 18 months takes time to ramp up and start contributing meaningfully to the overall trad ing density perspective.

If I look at say, malls where the new retailers have been operational for some time, I would say that Phoenix Palladium has seen a training density growth of 7 to 8% year on year on a like to like basis, whereas Phoenix Palassio has se en a like to like growth of o ver 14% if I'm looking at same store sales contribution . We see the strong high single digit contri bution from stores across our existing operational portfolio .

We have also to share some light with you. We have also given a category wise breakup in the presentation wherein on a like to like basis, the overall portfolio has seen a 10% growth and t his contribution has been led b y Jewellery , which has grown at 25% , by F& B, which has grown at 12% and of course multiplexes which have had their best ever quarter at 22%. We have also seen a recovery in hypermarkets. I think some of the legacy issues that we have faced in the hypermarket performance in FY23 is starting to get a ddressed and resolved. It still remains way below what we have seen compared to the pre COVID level, but it is starting to improve fro m the low basis that we saw in FY 23.

Kunal: So fair to say that the whole catch up will happen in subsequent quarters when these newer tenants , their consumption kind of normalizes .

Management: Absolutely. We had Uniqlo open recently in October 2023. Now that's certainly going to add significantly to the ov erall consumption in that

area . I think also now with this festive season, it's going to be a good way to track against what the consumption was last year , for the next three months, October, November and December . I don't think that there is any sentiment or structural issue that we are seeing impacting the consumption in the mall . Last quarter certainly we did see an impact , but I think in the long term it w ill balance out. So, this next quarter is very key for us .

Kunal: My second question was on again the Thane land, I mean in the past we've been very clear in terms of like when we buy a land, there's always end use land strategized but this seems a little different, like in terms of we bought the land, but even not yet sure whether we'll build retail or residential. Just wanted to understand the thought process behind acquiring this land .

Management: It is a landmark location. It does not take away from our confidence in building a fabulous retail development but there is significant competition and there are quite a few of o ur brands, which are already occupying retail space in these other malls in that vicinity, r ight? While we have been able to , I think we have acquired this land at a fair value and we want to figure out what is the best return for our efforts and our investment into this land. Hence, we are evaluating other asset classes where the risk on the return estimates are much lower. So that's the only point here. We have evaluated this for a retail -led mixed -use development. And it does meet our returns profile, but there are risks associated with that. So we are looking at the ideal d evelopment mix

which mitigate any risks to the return.

Kunal: Any idea on the potential leasable area or salable area potential that t his land would have?

Management: Let me tell you that the overall development potential is 3 million square feet or slightly higher than that actually. We may have to slice this up into three or four different asset classes. So that is what we are trying to really figure out at this point in time.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: How much money has already been spent on the projects we talked about another 4 ,800 crore that is to be spent. How much money is already spent on these projects? That's one and 2nd for, a lot of projects that h ave been commissioned, is there any sense or understanding with the partners in each of t hese individual projects on the utilization of cash that these operational malls now throw our ?

Management: Murtuza , I will take the first part of your question. You spoke about how much we have spent on these various assets so far. So, for the malls that have opened up as well as the money that we have spent on offices and retail under construction, we have cumulatively spent about Rs. 6,000 crores from 2018 till now on these assets and we can of course connect offline and share asset wise details if required on the amount spent on each asset .

Your second question was on the ability to upstream cash flows from SPV with JV partners. Currently the JV that we have with GIC , we are earmarking the free cash being generated from there to be invested or deployed in a in a new acquisition, one or two . In the other JV, which we have with CP PIB, we have ongoin g expansion s, so a bulk of this Rs. 5,000 crores of future spend is going to be in these SP V's or in the partnership with CPP IB. So, we are looking at the most efficient way of utilizing those cash flows for that expansion .

Murtuza Arsiwalla: So if I understand that right, for instance the Bangalore mall or some of the more recently commissioned in malls in Bangalore or Pune which are partnership with CPP IB under a separate SPV, the surplus funds will go let's say Kolkata Mall, which is a separate SPV, but still in t he same corner.

Management: We have Bangalore, we have a significant expansion, right. We are building a 300 plus key Grand Hyatt Hotel , we are building 1 million square feet of offices plu s we are expanding the retail a t the Bangalore mall so that SPV in itself will have a sizable capex out of this Rs. 4,800 crores that Varun outlined for you. Similarly, I would say that with the new malls opening , Mall of the Millennium at Pune, it's going to take time for the cash flows to build out , when we see significant free cash bein g generated, we will evaluate the mechanism of how that can be up streamed or how that could be utilized . Let me also clarify , at M all of the Millennium , currently we may have spent only about 70% of the overall project cost for the mall alone and we are still inc urring expenses on the office d evelopment, so any free cash that gets generated there will get utilized in that development first . Mall of the Millennium we've probably spent about maybe 60% of the overall pr oject cost , so free cash g etting generated there will get utilized for the capex and completion of the offices etc. So, the cash utilization in terms of capex is already pretty straightforward and identified f or the next three years.

Moderator: The next question i s from the line of the Biplab Debbarma from Antique Stock Brokers . Please go ahead.

Biplab Debbarma: Good morning and wish you all a very happy Diwali. So, my first question is on the Alipo re and P roject Rise. Sir, from when do you see rental generation from these two assets, the Alipore and the Project Rise ?

Management: So Project Rise is right now at the excavation and foundation stage. We have completed the excavation and basement two is completed and we are now working on basement one. I would say that the project is about another 36 months aw ay from generating rent, retail there may be starting a few months ahead of offices . Kolkata at this point in time, we are coming out of the ground , excavation is completed there and the mall I would say another 36 to 40 months for the mall to become operational from today.

Biplab Debbarma: So FY27 -28 for both Alipore and Project Rise , is that correct?

Management: 26-27 I would say .

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez: Hi, good afternoon and thanks for taking my question. So, on the residential portfolio, considering that we now just have about 0.5 million square feet of inventory left, any thou ghts about launching Tower 8 and 9 in Bangalore? And also related question about the residential project in Kolkata . When can we see a launch there ?

Management: So, towers 8 and 9 at Bangalore, we will only announce or launch once we are able to proceed with the TDR l oading on the layout which currently as per policy, there is some ambiguity. But again I think it is a hugely anticipated launch in that micro market and as much as we are looking forward to the launch, we know that there is a huge customer base that is looking forward to this launch . Kolkata is in the design stage. I think we may be about 6 months or so away from announcing the launch.

Moderator: Thank you so much. The next question is from the l ine of Pritesh Sheth . From Motilal Oswal, please go ahead.

Pritesh: Hi, good morning. Thanks for taking my question. Firstly, on slide 69, where you have given the expiry details. So based on that data, if I calculate roughly, 4 million odd squ are feet of s pace in these malls is going to come up for expiry over the next three years , over roughly 1 million square feet each. So how should we look at rental growth in one of these assets for renewals?

Management: Hi Pritesh. So you are right and the idea of putting out a renewal schedule is also for us to plan and see how we can improve upon the brand mix and the category mix inside our malls . If we see over the last four years from pre COVID to now, we have significa ntly enhanced the presence of newer, faster growth categories, whether it's in cosmetics or jewelry or in fashion by replacing or by creating space for new assets and new brands entering the country and also increasing the experience oriented component such as F& B and relooking at how F&B's run inside the mall s. Over the next three years, the pipeline that we have allows us to continue to revamp and ensure that our existing assets drive market leading growth and they c ontinue to stay very relevant f or the new age, consumers and the discretionary consumers as well.

For us, it's routine to see every mall g o through this r enewal or end of contract cycle. So on an average we would see 15 to 20% kind of a renewal across up or end of contract across our portf olio every year. In some years i t may spike up because of let's say anchor agreements coming for end of contrac t etc. However, our learning has been over the last 20 years and we have tried to implement this learning , that every such spike where you may see in a year 25 -30% of an area coming up for end of contract , it presen ts us with a huge opportunity to evolve that asset b y making significant changes on the experiential side , maybe circulation related aspects addressing those which we learn over a period of time and also changing the brand mix a little.

So over the years as the asset evolves and these renewal opportunities or end of contract opportunities arise, we get the ability t

o move certain
brands to other locations where they will be more successful and freeing up that location for a newer brand or a higher p ositioned brand and this is across the life cycle of the asset . Year after ye ar it evolves and the premium -ness of the overall offering keeps moving up. Sorry for that, lengthy answer to your short question.

Pritesh: No, thanks for the detailed explanation. But in general, since most of these assets are up for renewal after 10 years of operations right, major reset would obviously be expected in terms of rentals as well. So as per your experience how much should that reset be versus the usual five 7% kind of contractual escalation?

Management: Firstly, the cycle is not ten years. We see a spike coming in every five years and at an a verage on annual basis about 15 to 20% of the area gets end of contract. At the end of contract t ypically we see a significant catch up on the minimum guarantee rent. So mi nimum guarantee rent moves up to maybe a slightly higher than what was the actual rent received on account of revenue share. So at that point, typically in a renewal we may see about a 15% kind of an increase in minimum guarantee rent and if it's an anchor space, let's say that we reorganize to smaller stores in those scenarios, the delta could be as high as 50 -60% as well in terms of rental increase. But on a portfolio basis, you can assume a 15 to 20% increment in the base rent . So, whatever was the last rent paid by a particular brand , when we re -lease that store at end of fixed contract, we expect a 15 to 20% increase there.

Pritesh: Got it. Second question on your consumption guidance that you gave of Rs. 11,000 crores at starting of the year we have already done I think

roughly Rs. 5,200 odd crores , you will stick to that g uidance or there's an upside potential to that?

Management: I think we may be a little ahead of what we may have estimated for H1 because now the festive season kicks in and this is really I think we're all super excited to see how the next three months perform.

Pritesh: And just lastly on Thane again since it's in Sparkle Two , which is the subsidiary and Sparkle One , we have a JV with CPPIB . So, this is also with in partnership with CPPIB that we are acquiring this Thane land?

Management: No, I'm clarifying that Sparkle Two is a 100% subsidiary of The Phoenix Mills Lim ited, as was Sparkle One before , when it was created and then it was used with CPPIB coming into and investing into Sparkle One. So Sparkle Two is 100% subsidiary and it is not connected to the CPPIB JV in any way.

Pritesh: But would one of the two partners be interested in coming up with us for that land? Depends on the mix, I guess.

Management: Yes, that depends on the development mix, which at present we have not finalized a s I mentioned earlier.

Moderator: Thank you so much. The next question is from the line of Kunal Lakh an from CLSA. Please go ahead.

Kunal: Hi, thanks for the follow up. We had earlier highlighted that we will be looking at acquiring 2 land parcels a year. Just wanted some clar ification on that, the two land parcel s would be towards r etail and ov er and above you would look at say for the residential expansion or two land parcel s in total and it could be either residential or mixed or retail.

Management: Our goal is, as I mentioned many times previously Kunal, in the last several years our goal was to after 2024, wh en we have developed, delivered a ll the projects that we had undertaken in FY17, our goal was to deliver a million square feet after 2024 of retail every year. So, I think we are well on track to achieve that, and we will continue to buy one or two land parcels for retail every year.

Kunal: Secondly, on the first CPPIB platform, that most of the assets with say Bangalore and Pune, commencing oper

ations, most of the assets under the first platform are operational. What would be the exit strategy for CPPIB and also like in terms of our interest, would we l ook a t buying back stake as a part o f CPPIB's exit strategy.

Management: So, Kunal, while the ma lls have become operational , the other asset classes being developed on those same land parcels continue to, for the next two to three years the project continues. So, at present we are still

in active development in the CPPIB JV with the office expa nsion, the hotel at Bangalore and the additional retail area being added there . There is absolutely no discussion on exit or any exit strategy at this point in time with CPPIB .

Moderator: The nex t question is from the line of Biplab Debbarma from Antique Stock broking, please go ahead.

Biplab Debbarma: So, my earlier qu estion was going forward as we keep investing in new land parcel in the major cities. Do you see that we would be doing mixed - use development rather than purely kind of retail focus? because of the high competitive landscape as you are paying in Thane or Thane is just a one of the incidences that we are seeing?

Management: Thane may be an aberration because it is already a very dense micro market and with significant competition .

Biplab Debbarma: So, our focus, as you rightly said the focus would be on the pure play retail and opportunistic investments in other segments of real estate. We all focus continues to be r etail. Is that correct, Sir?

Management: If I may explain this to you, see there are certain markets or other a cross the country today, land parcels have much more development potential, which one cannot consume entirely for retail. So even if we acquire a land which is focused for a retail development, we will consider other asset classes to exploit that maximum potential on the FSI, what that asset class is will depend on what is the demand in that particular city and in that market.

Moderator: Thank you so much. The next question is from the line of Atul Me hra from Motilal Oswal Asset Management , please go ahead.

Atul Mehra: Good morning and thanks for the opportunity. So just one question i n terms of w ith this outlay of Rs. 4,800 crores till FY27 that we mentioned. And given that along the way we will have renewals and escalations from existing customers. What is the o perating cas h flow trajectory we will get to in your opinion f rom the current Rs. 2,000 crore number that we add, can this be more like Rs. 4,000 crores if we were to go by the current plan?

Management: Atul, tricky question because I don't think we can give a guidance

Atul Mehra: No guidance . Just based on calculation.

Management: I would say that analysts have presented to us that we are really b est place d to give you this computation, but you would not be off the mark.

I can say that you would not be off the mark of what their computations are showing. Would you li ke to tell u s what you are estimating?

Atul Mehra: Rs. 4,000 crores .

Management: I think that is a healthy target and we will definitely try and beat it.

Atul Mehra: Then secondly, in terms of like we are talking about retail expansion going forward and deployment of the free cash flow that we generate. If we were to look at some of the next in terms of cities next cities versus what we have, the top tier one citie s in some sense , so is there i n your opinion, a viable model to go to the next rung of cities, maybe with a more in terms of improvise r etail square footage and any exploration on that side which can further expand our target market.

Management: I think our strategy is clear of creating these e xperiential cen ters, which become attractive for a region. So, when you look at it, when you look at a what you call a Tier 2 city and we would call it a tier 1 oppo

rtunity like
a Lucknow or an Indore, these malls are not just malls f or those cities . We are seeing our customer base extending to 100 kilometers from that city, which goes into the smaller towns as well where there is significant amount of wealth . So, I would say a city like Coimbatore presents tha t kind of an opportunity, f ive or six major towns, which could become its feeder, which are its feeder markets e ven today . A city like Vizag is an interesting opportun ity, Chandigarh has always r emained an extremely exciting opportunity, Jaipur is another such city . So, these are the cities that we have previously identified during our interaction, and we continue to look at opportunities there as well.

Moderator: Thank you so much. As there are no further questions from the participants , on behalf of The Phoenix Mills Limited, that concludes this conference. Thank yo u for joining us and you may n ow disconnect your line.

Call: Feb 2024

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February 16 , 2024

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated February 13, 2024 , wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31 , 2023 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www. thephoenixmills.com/investors/FY2024/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q3 and 9M FY24 Earnings Conference Call
13th February , 2024

Moderator : Ladies and gentlemen , good day and welcome to the Q3 and 9M FY24 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Management of the company is being represented by Mr. Shishir Shrivastava – Managing Director, Mr. Anuraag Srivastava – Group CFO and Mr. Varun Parwal – Group President, Strategy, Audit and Head Corporate Finance.
Should you need assistance during the conference call, please signal an operator by pressing "*" followed by "0" on your touchtone phone. Please note that this conference is being recorded.
At this time, I would like to hand over the conference to Mr. Shishir Shrivastava.
Thank you and over to you , sir.
Shishir Shrivastava: Thank you. Good morning ladies and gentlemen. We take pleasure in

welcoming you all to discuss the operating and financial performance for the third q uarter and nine months ended December 2023. We hope that you have had a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our corporate website.
I will now take you through the key highlights of the results with reference to the relevant slides of the results presentation :
If I may draw your attention to Slide 3 the Retail Overview : Total consumption in the Q3 FY24 was Rs. 3,296 crore up 25% over Q3 FY23 and for 9M FY24 it was at Rs. 8,509 crore up 21% over 9M FY23. Retail rental income for Q3 FY24 stood at approximately Rs. 447 crore , a 33% growth over Q3 FY23 and for 9M FY24 retail rental income was at Rs. 1,213 crore up 25% over 9M FY23.
Slides 4 through 7 illustrate or demonstrate the trading occup ancy across the new malls. Increase in trading occupancy seen across newly launched malls with more stores getting opened for patrons post fit outs.
At Phoenix Citadel Indore, which was launched in December 2022 , within one year since launch the mall has seen a fast -trading occupancy ramp up from 42% at launch to about 91% in December 2023.
At Phoenix Palladium Ahmedabad , which was launched on 26th February 2023 , trading occupancy

stood at 78% and with Zara and PVR due to open we
expect to end FY25 with o ccupancy in excess of 90%.
Phoenix Mall of the Millennium Waked was launched on September 1st, 2023. It's currently at 60% trading occupancy. We expect this trading occupancy to inch up to about 80% by the end of March 2024 and reach a n average of approxi mately 90% d uring FY25.
Phoenix Mall of Asia Bangalore was launched on 27th October 2023. It's at 50% trading oc cupancy at the end of December 2023 and we expect it to touch approx imately 75% by end of March 2024 w ith a significant move up to close

to 90% average during FY25. We are very happy to add that Phoenix Mall of Asia Bangalore recently achieved the prestigious USGBC LEED Gold Certification making this the second US GBC LEED certified retail asset in our portfolio.
If I ma y draw your attention to Slide # 8 under construction retail assets for a quick update. At the retail expansion for Phoenix Palladium Mumbai spanning across a retail GLA of approximately 2 ,50,000 square feet in the current phase, civil works have reached an advanced stage and contr act awards for facade , etc., are in progress. We expect to launch this additional retail GLA in 2024.
Construction is underway for the retail port ion of our commercial office led mixe d-use development at Lower Parel where the retail component is approxima tely 200,000 square feet GLA forming part of the larger building called Project Rise and this retail is expected to launch in 2025.
At our ongoing retail expansion at Phoenix Market City Bangalore spanning across retail GLA of approximately 200,000 square feet in the c urrent phase, we are currently a t the stage of final approv als and design. W e expect this block to launch sometime in 2025.
At Phoenix Grand Victoria, Kolkata , construction has commenced, diaphragm wall, piling works are complete and current ly we are progressing on the final bit of excavation and foundation. We expect this mall to be ready for launch in 2027.
Our second retail destination in Gujarat at Surat , we see construction has commenced. Diaphragm wall excavation is presently progressing at a fast pace. We expect this mall to also launch in 2027.
Moving on to ou r retail portfolio performance f rom Slide #9 onwards of the Presentation:
Q3 FY24 saw the highest ever quarterly consumption of approximately ~Rs. 3,300 cror e a growth of 25% over Q3 FY23. On a like -to-like basis if we exclude the contribution from the new malls launched from December 2022 onwards and adjust for the impact from closure of the lifestyle block at Phoenix Palladium Mumbai the consumption has grow n at approximately 5%. We have seen double digit consumption growth at Phoenix Market City Kurla and Phoenix Palassio Lucknow d riven by a ramp up in trading occupancy versus Q3 FY23 at both these malls. Ramp up in consumption at the newly launched malls co ntinues with increasing trading areas.
Drawing your attention to Slide # 11 which is the 9M FY24 mall wise

consumption. Consumption for 9M FY24 was at ~Rs. 8,500 crores witnessing a growth of 21% over 9M FY23 and 8% on a like -to-like basis with Phoenix Palassio , Phoenix Market City, Mumbai and Phoenix Market City and Palladium Chennai registering double digit growth in consumption during this period.

If I may draw your attention to Slide # 12 and #13 which is the category wise consumption growth. The top performing categor ies for Q3 FY24 were jewelry which showed an increase of about 19% and gourmet and hypermarket which showed an increase of about 20% over the same period last year. Comparing 9M FY24 category wise consumption growth - the top performing categories for 9M FY24 were FEC and multiplex up 15% over the last year, j ewelry up 22% and gourmet hypermarket up 38% over the same period last year.

Moving on to Slide # 14 for the financial performance of our retail por

tfolio for

the year so far :

Compar ing Q3FY24 versus Q3FY23 , retail rental income stood at 447 crore up 33% in comparison to the pr evious Q3 FY23. 5% on a like -to-like basis excluding the new malls launched. Phoenix Market City, Kurla, Phoenix Market City and Palladium Chennai both grew 14% over the same period last year. Rental growth at Phoenix Market City, Kurla was partially led by base rental escalations and pa rtly due to the ramp up from newly launched stores such as Uniqlo, Time Zone, Game Lux, Tim Horton's , and Homes to Life. Rental growth at Phoenix Market City and Palladium Chennai was mainly led by growth in base rental es calations a s per the cycle.

Slide #15 compares Q3 FY24 versus Q3 FY23 EBIT DA. Retail EBITDA for the quarter was Rs. 435 crore up 27% compared to the same quarter last year and up 5% on a like -to-like basis e xcluding the newly launched malls. Phoenix MarketCity, Kurla saw the benefit of im proved trading occupancy, rentals and operating efficiency lead ing to an EBITDA growth of 17% over the quarter. At Phoenix MarketCity, Bangalore rental growth was driven by an increase in average trading occupancy for the quarter and with the opening of ne w stores such as R&B, FirstCry, Avantra and UCB . Further escalations to the base rentals contributed to the rental growth. Rental growth coupled with a decrease in some operational costs led to an EBITDA growth of about 6% over the same quarter last year.

9M FY24 v ersus 9M FY23 , the retail rental income stood at Rs. 1,213 crore up 25% and up 5% on a like -to-like basis excluding the newly launched malls. For 9M same period compared to last year with retail EBITDA stood at about Rs. 1,225 crore which was up 24% compared to the 9M FY23 and up 7% on a like-to-like basis i f you exclude the new malls launched.

Trading occupancy saw an increase across all major malls in December 2023 when compared to September 2023. W eighted average trading occupancy for December 2023 stood at 84%. As t rading occupancy inches up with in our newly launched malls with more stores becoming operational , we continue to remain confident of touching the Rs. 11,300 to 11,500 crore consumption mark for FY24 which we had eluded to ea rlier this year.

May I now request Anuraag to take you through the office hotels and residential sections and the overall financial results.

Anuraag Srivastava: Thank you, Shishir . Good morning everyone. Please refer to Slide # 19 and onwards for an update on the commercial offices.

Our commercial office portfolio is seeing improving traction with gross leasing of about 1.7 lakh square feet for the quarter and 4.8 lakh square feet in YTD December 2023 because our 3.4 lakh square feet of new leasing and 1. 4 lakh square feet of renewal s.

Our commercial office portfolio is now leased up to ~72% at 1.43 million square feet and we are seeing improving traction across assets. Rent levels have been healthy with renewals and new leases at market rates.

Moving o n to Slide # 22. Income from commercial offices in Q3 FY24 was Rs. 50 crores. This is up 17% as compared to Q3 of last year and total EBITDA stood at 2 8 crore s it is up 27% over Q3 FY23. EBITDA growth has been mainly on account of higher occupancies at our properties at AGH and Tower 3 of

Fountainhead Towers at Viman Nagar. Strong rental growth and account of

increased traction in Mumbai offices and occupancy growth at Fountainhead 3 contributed to the growth during the quarter.
I'm moving on to an update of under construction commercial office projects in our portfolio is on Slide # 24. We are progressing well with the development of the next leg of growth in commercial offices.
At Phoenix Asia Towers , lobby common area finishing and facade work is underway. The first phase of these offices, which is about 0.8 million square feet is expected to be operational within 2024.
At the Palladiu

m offices in Chennai, we target completion in 20 24.
At Millennium T owers , Wakad slab work is in advanced stages for all the four office towers. Tower 2A and 2B are expected to be ready in 2024, and Tower 1A and 1B are scheduled for completion in 2025.
As far as the commercial office component within the expansion of our mixed - use ass et in Whitefield is concerned , excavation work is nearing completion and Phase 1 is expected to be operationa l in 2026.
For Project Rise , all developmen t permissions have been secured, f oundation work has been completed a nd basement slab 2 has also been completed. These commercial offices are scheduled to be ready in the year 2027.
Moving on to our hospitality portfolio which are the two properties - one property in Mumbai and one property in Agra .
Starting with St. Regis, Mumbai which is on Slide # 26. We continue to see significant impro vement in our performance ARRs in Q3 FY 24 was about Rs. 20,000 and RevPAR stood at 16,391 b oth showing a growth of 23% over Q3 FY23 . Similarly, for 9M FY24 ARR was about Rs. 17,200 and RevPAR stood at Rs. 14,066 a gain showing a good growth of 29% and 26% over 9M FY23 respective ly.
The financials for St. Regis, Mumba i. Income from Q3 FY24 stood at Rs. 135 crores w hich is up 24% over Q3 FY23. Revenue from F&B and banqueting, which accounted for 48% o f the revenue for Q3 FY24 registered a growth of 27% o ver Q3 FY 23. EBITDA for Q3 FY 24 was at 62 crores, which is a growth of 28% a nd an improved EBITDA margin of 46%.
Income from 9M FY24 stood at Rs. 348 crores up 26% over 9 M of last year with increase in total income EBITDA for 9M FY24 stood at Rs. 155 crores a nd have margin improvement to 45% in 9M FY24 compared to a 42% margin in 9M FY23.
Moving on to our property in Agra t he Courtyard by Marriott. The ARR in Q3 FY24 was at Rs. 6,194 and in 9M FY24 wa s at Rs. 5,011 increasing by 10% and 13% respectively over the previous year. Similarly, for Q3FY24 RevPAR stood at Rs. 5,189 and RevPAR for 9M FY24 was at Rs. 3,752 showing the growth of 17% and 21% over Q3 and 9M FY23 respectively.
Financials from Courtyard by Marriott, Agra . Income for Q3 FY24 was at Rs. 17 crores up 20% over the same quarter last year a nd EBITDA stood at Rs. 6 crores up 29% from previous year. EBITDA margin for the quarter saw an

expansion by 2 basis points compared to Q3 FY23 and stood at 35%. Income for 9M stood at Rs. 37 crores up 20% from last year, and EBITDA stood at Rs. 9 crores demonstrating 25% growth.
Update on our under -development hotel project in Bangalore . The development of the Grand Hyatt at Bangalore is on track and is expected to be launched in 2027. This completes our hospitality overview.
I'm moving on to residential business now. Please refer to Slide # 32. We continue to witness very good traction and residenti al sales. We have comple ted gross residential sales booking at Rs. 515 crores in 9M FY24, which is higher than gross sales booking of Rs. 466 cr ores done for the full year of FY23. Same goes on for collections – Rs. 565 crores was collected in the first 9M FY24 , surpassing a full year collection of Rs. 369 crores which we did in FY23. We have built and delivered about 2.83 million square feet across One Bangalore West and Kessaku of which now we have about 4.7 lakh square feet of unsold inventory left.
Slide 34 covers our under d evelopment residential project. At under development premium residential project in Alipore , Kolkata , consultants for various work streams have been on boarded and we are in the process of obtaining our development permissions. Structural design is also un derway.
Now I would like to move to financial res ults from Slide # 35 onwards .

While Slide # 36 has a snapshot of our f inancial performance at a stand alone level, to get a better picture of group level performance I would like you to move to

Slide # 37 for the consolidated financial performance.
Income from operations for Q3 FY24 stood at Rs. 986 crores , this is up 44% year-on-year and Rs. 2, 672 crores for 9M of FY 24 up 40% year -on-year. Operating EBITDA for the quarter stood at Rs. 552 crores up 44 % year -on-year and Rs. 1,558 crores for 9M up 43% year -on-year. Reported PAT after minority interest and after compreh ensive income for the quarter stood Rs. 297 crores which is up 69% year -on-year and stood at Rs. 827 crores for 9M FY24.
Moving on to our debt position which is in Slide # 38 onwards. Consolidated gross debt stood at Rs. 4,228 crore as on 31st December 2023 down by Rs. 285 crore since March of 2020. 100% of our gross debt i s backed by operational assets a nd despite a recent land acquisition Thane we have seen only a marginal movement in gross debt . We have been able to borrow funds that are at a competitive average borrowing rate o f 8.78%. Currently our lowest cost of borrowing stands at 8.5 0%. On Slide # 37 consolidated gross debt of Rs. 4,228 crores a s of 31st December 2023 is now ~2.1x of annualized EBITDA as compared to ~47 x around FY 20.
Moving on to cash flows in Slide # 40. For 9M FY24 we generated about ~Rs. 1,716 crore of net cash from operating activities s upporting all of our invest ments in gr owth and leaving a surplus. Slide #41 covers our operating free cash flows for the period. The operating cash flows were at Rs. 1,419 crores growing by 56% o ver the same period in FY23.
I'm moving on to liquidity position on Slide # 42. Group l evel liquidity on 31st December 2023 stood at Rs. 2,058 crore this is up by Rs. 303 crore from this position as of March 2023. This excludes the amount remaining unutilized in OD account s. Net debts stood at about Rs. 2,230 crores down by about Rs. 52 crores from the position as of 31st March 2023.

We have had some good credit rating upgrades across the board. This is covered in Slide # 44. With increasing cash flow stability and reducing net debt the credit ratings across portfolio entities have be en improved in the current year.
We are bullish on our business prospects and with a strong balance sheet position o ur focus remains on delivering our under -construction projects on time and judiciously deploying our capital to expand our portfolio.
I will hand it over back to Shishir.
Shishir Shrivastava: Thank you Anuraag. Before we open the call for questions, may I take a moment to address some questions around Mr. Rajendra Kalkar and Mr. Anuraag Srivastava 's decision to pursue opportunities outside of The Phoenix Mills L imited. While we are sad to see talented individuals mov e on from our organization, we u nderstand and appreciate their desire to pursue new opportunities and we wish them all the very best in their future endeavors.
While leadership transitions are never easy , I would like to assure everyone that PML remains on a strong and stable footing a nd these individual decisions do not reflect on the current or future performance of The Phoenix Mills Limited . We are seeing that these changes present an opportunity for us to showcase the success of our unique approach to leadership development within the organization.
At Ph oenix, we have a long-standing culture of leadership grooming and a very detailed program. We h ave a very high-performance culture where we invest considerable amount of time and effort to identify and groom top talent across all levels with a focus on second and third line. These individuals g o through an accelerated leadership program to get them ready for future growth and we invest heavily in their growth through challenging assignments, mentorship and opportunities to scale up.
In fact, we have cases of individuals who joined us as management trainees 10 years to 12 years ago and who today hav e evolved into senior leaders handling large f

unctional or mall portfolios or other portfolios such as debt, treasury, marketing, etc.
This fosters a flat organizational structure where employees at all levels have access to Mr. Ruia – our Chairman and m entor or myself , respective business

and function heads such as Ms. Rashmi Sen for Retail, Mr. Rajesh Kulkarni for Architecture Projects, Mr. Hardeep Dayal for Offices, Mr. Raghav Bajoria for the Residential business, Mr. Gautam for HR and Mr. Vidya Sagar for Legal.
This leadership program has also been a very rewarding journey for individuals who have seen significant wealth creation through customized, tailored wealth creation and retention programs. This open communication and accessibility fosters an environment where ideas are heard, talent is recognized contributing to a culture of collabor ation, transparency and growth a nd as we've seen it has demonstratively produced exceptional leaders within this company.
It's important to know that we have a p roven track record of producing successful lea ders over the last two decades m any of those who started their careers here such as myself and have gone on to thrive and deliver exceptional results within Phoenix and beyond.

Unfortunately, this also become s a talent pool for the industry, and we see many of our reputable peers benefiting from the growth and development of many of the individuals within our teams and we wish them all the very best.
Rajendra and Anuraag have both made very valuable contributi ons to our journey, and we thank them for their dedication and wish them all the very best in their future endeavors .
We are a very close -knit family of talented individuals , and we are well equipped to hold the ship steady while we conduct a thorough se arch for suitable replacements. It's also important to understand that we have as an organization we have an open door and we welcome l eaders who've worked with us in the past have moved on, gained valuable expe rience elsewhere and come back a nd we have seen that happen .
Recently we had Mr. Shashi e Kumar who joined us after a gap of 7 years. He worked with us for 8 years went out in the industry, explore d opportunities, learned a lot c ame back and now is poised to i mplement best practices that he has experienced elsewhere , within our organization.
We are confident about Phoenix ’s future. We have a strong foundation, a talented team, clear vision for continued growth and we remain committed to our values, our team members and our stakeholders.
May I als o request Anuraag to share a bit about his experience with the company and about his time h ere with us.
Anuraag Srivastava: Thank you, Shishir. All of you have heard that I've decided to move on from the role of Group CFO and KMP of Phoenix Mills. This is to take up another opportunity for me. I wan t to assure that this decision was a difficult one. My time here has been incredibly rewarding, both personally and professionally. I have learned immensely from leading the finance team and collaborating with such talented colleagues across the board in Phoenix.
As you are aware, Phoenix has seen tremendous growth in the past few years. During this period the financial strength of the balance sheet has improved significantly. The c ompany has solidified its mark et leadership and embarked on a very exciting journey of expansion. I credit this success to the company’s exceptional leadership and the dedication of our employees.
The Phoenix Mills Limited has a long runway of growth ahead. I think the company has ju st started on this long runway. The leadership team supported by a pipeline of skilled and passionate individuals is well equipped to navigate the future and challenges and capitalize on upcoming opportunities.
Before I end this statement, I wanted to ex press my sincere gratitude to Mr. Ruia our estee med Chairman, the Board of Directors a nd espe

cially Shishir for
their unwavering trust and guidance. Additionally, I extend my heartfelt thanks to my dedicated team and colleagues for their immense support and collaboration. My last day will be March 18.
During this transition period, I remain absolutely committed to ensure smooth handover and supportin g the team in any way I can. Thank you for time for your time and attention, and I wish P ML continued success and look fo rward to witnessing its future agreements. Thank you.

Shishir Shrivastava: Thank you Anuraag. May I now request the operator to open th e call for questions.
Moderator: Thank you very much. We will now begin the question and answer session.

The first question is from the line of Pritesh Sheth from Motilal Oswal. P lease go ahead.
Pritesh Sheth: First question is on consumption growt h versu s your rental growth. So, if I look at the 9M number consumption growth was at 21%, while rental growth was at 25% for your retail portfolio , generally we keep a close track on the consumption growth. I mean in terms of our performance, but off late it has been higher. It's just largely due to mix of t he tenant or it has something to do with something trend which is going forward w e can see and how should one look at your rental growth as a p ercentage of consumption growth, will that increase again in future as well?
Shishir Shrivastava: I would say that we have seen a rental growth of approximately 24% as a combination of course with new malls being launched, b ut aside from that at our existing operating assets , we have seen end of contract ren ewals w hich is a natural escalation at that point in time , where th e fixed rental moves up to whatever is the market at that present time.
We have also seen some new brands which have come in and which have driven up the rentals . Also where you have new stores o pening there is a little bit of a lag between opening and ramp up on consumption. So, we are quite confident that in the coming quarters the stores which you launched in the last 6 months will show a higher trading density and higher consumption.
At some point, and as you also know in our rental cycle , it's very typical that at some point consumption growth will exceed rental growth as well. We saw this in FY20, we saw it in FY23. So, typically there's always a bit of a catch up where fixed rental escalat ions w ill catch up, perhaps result in a higher rental growth in percentage terms compared to consumption in some parti cular years or in some quarters.
Pritesh Sheth: Second, all those upcoming malls the timeline that you have mentioned is the FY financial year I mean not the calendar year?
Shishir Shrivastava: No. We've mentioned the calendar year.
Pritesh Sheth: So, Kolkata would be calenda r year 2027 any reason for that much of delay because earlier we were expecting to be 2025,2026 and if the next upcomi ng mall is in calendar year 2027 or FY28 I mean how should one look at the growth in your retail portfolio because more or less beyond FY25 we would be largely looking at the consumption led growth in the existing mall, so how should one look at that growt h?
Shishir Shrivastava: Currently we are I would say that for Kolkata specifically since you asked that question, I think we will be able to define more accurate timelines as the construction progresses a nd we get out of the excavation which in itself was a hugely challenging task in that market or either in that geography where the terrain is different. I don't think we are delayed in that project. We also have makeup programs in place. W e had indicated p reviously calendar year 2026 which would have been FY27 w e may be in the first half of FY28 or let's say in the second -half of the calendar year of 2027 when this mall will open and similarly on Surat.

But having said that, I would like to focus on what the g

rowth is likely to be in
our GLA in between now and FY27, our flagship property at Mumb ai, Phoenix Palladium at Lower Parel w e are addin g 250,000 square feet of prime I would say bridge to luxury, luxury retail which is likely to be completed in this current financial year and become operational sometime towards the seco nd-half of this calendar year.
This will soon be followed by some expansion that we are currently working on in Bangalore where we are adding more retail as part of the Phoenix Market City Bangalore project and that is scheduled to be completed som etime in calendar year 2026.
So, all of this will continue to add and then of course we also have project Rise which is 1.2 million square feet development with at least 200,000 square feet of retail again at our flagship property Phoenix Palladium Mumbai. So, there's another 200,000 square feet that will g et added there. We expect this a lso to be operational sometime in calendar year 2026 and f ollowed by Calcutta and Surat in calendar year 2 027.
So, there is a significant area ramp up between now and 2027 and at the best performing malls in the country today which is Phoenix Palladium Mumbai and Phoenix MarketCity Bangalore where we will be adding lot of retail GL A very

soon.
Moderator: Thank you very much. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir my ques tion is on the residential deals. So, any thoughts around the Thane land what do you want to do b ecause I thin k last quarter you're not quite clear what you want to do with that, s o any update on that?
Shishir Shrivastava: So, Thane is looking to be a mixed -use development with some residential component perhaps some retail component and maybe a hotel. We're curre ntly still workin g on the final set of plans. So, I think we are maybe about a quarter away from sharing the final d evelopment mix at that location.
Parikshit Kandpal: And any idea what could be the CAPEX here for this hotel and the retail portion?
Shishir Shrivastava: Yes, CAPEX here I would say land and FSI itself is about a 1,000 crores and construction - depending on the development mix it would range between Rs. 4,000 to Rs. 6,000 per square foo t on approximately a total of 3.2 million square feet. So, one could say about roughly around Rs. 1,300 crore to 1,500 crore of construction a nd land we've already paid for and there will be some cost for FSI. So, cumulatively about Rs. 2,400 crores to 2,500 crore would be o n the higher side and estimate o n the total CAPEX.
Parikshit Kandpal: And any tentative areas you have frozen for hospitality and retail I mean so out of this I would understand that bulk of would be Resi followed by retail and hotel.
Shishir Shrivastava: Sorry Pari kshit, but I cannot give you an answer on that right now because genuinely we're still working on what is the ideal appropriate development mix and also the positioning of the different asset classes which is very key to find the right balance of the development mix.

Parikshit Kandpal: Just on the consumption pressure . I mean if I just compare like -to-like adjusting for trading and occupancies ramp up if on e has to do the calculation. So, what according to you as a matured ass ets could be the consumption growth because what I was doing my numbers, I'm getting that even not we are not able to even match up the inflation. The numbers ha s been slightly underwhelm ing, so just wanted your sense or color on that?
Shishir Shrivastava: See, I think it's more appropriate t o track consumption growth as a CAGR over a 3-to-5-year period as o pposed to tracking it on a year -to-year basis. For example, all our malls saw a huge significant jump in consumption in the last year. Phoenix MarketCity Bangalore as an examp le, was about 30% higher. Now that set a very high base in one pa

rticular year, but if you were to look at a CAGR of 5 years I would say a 15 %, 18% consumption growth f orecast is a practical and achievable number and with pe rhaps with a little bit mor e effort on our part on marketing and brand m ix, etc., which keeps happening every year that number could see another one or two percentage point increase there.
Parikshit Kandpal: But on this high base now s o within your interna l estimates how do you see that on this on such a high base we can still grow YoY and beat inflation?
Shishir Shrivastava: No, that high base was a 1-year impact. So, at best I would say in FY25 maybe one quarter of the impact one could see of this high base . Because we are working on upgrading the brand mix at every center and you've seen the impact of that in the past. This is actually routine in our business every zone, every quarter, every year we keep making changes and im proving it.
So, if you look at Phoenix Market City Kurla , Phoenix Market City Chennai and Palladium Chennai strong double digit growth 14 %, 15% and this is all an outcome of the exercis e that we've undertaken a year ag o over there. Similarly, I would say Phoenix MarketCity, Bangalore we have some incredible upgrades planned over there , plus we are increasing the size of the development retail GLA. W e are adding the Grand Hyatt there. All of these are going to result in consumption growth .
For that matter at Phoenix Palladium Mumbai , we have seen an impact, but that impact is actually also due to Lifestyle block which we have shut down and we've demolished that structure that has seen an impact of consum ption to the extent of about 30 crore a quarter .
But when the next 250,000 square feet come online this year, it's going to again add to the c onsumption becaus e it will drive more customers, newer customers, t here's always a freshness in the mall. So, like I said Parikshit it’s

routine in our business and the most appropriate app roach is to look at a 3
year to 5 year CAGR on consumption.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. P lease
go ahead.
Pulkit Patni: My question is on jewelry c an you give a sense of how your understanding of
rental movement for jewelry is given the fact that gold prices can be extremely
volatile, so if you could get a sense how that works so that we can model it
better?
Shishir Shrivastava: See jewelry as a category , the rentals o ne can assume would be in the range
of anywhere between 1% to 2% so 1.5% of consum ption. We have undertaken
a program to position a ll our malls as one stop wedding destinations. We've

also collaborated with St. Regis, for example, for Shaadi by Marriott to extend
beyond the scope of t he hotel, but into the mall.
So, all of this adds to the growth in consumption and jewelry, and I would say
jewelry across various price po ints are available in our mall, y ou have brands
such as Tanishq and Malabar Gold to let's say CaratLane , Mia, Swarovski and
Zoya.
I think it’s a very good category. Consumption growth has been I would say
sizable in this last year in this category. I would think as disposable income
moves up and I think people are getting back more and more weddings
happening. We have seen a blockbuster year for weddings across The St.
Regis and in our malls . Jewelry as a category should contin ue to see a good
growth. If I were to hazard a guess I w ould put it in the early teens annual
growth over the 3 year, 4 year period.
Pulkit Patni: But 1.5% on average of c onsumption is what we can model it?
Shishir Shrivastava: 1.5% as the rental , yes.
Moderator: Thank you very much. The next quest ion is from the line of Chetan Gindodia
from PG IM India Mutual fund. Please go ahead.
Chetan Gindodia: Sir, c oming back to the earlier question on retail mall addition, so based on the
presentation we have planned additio

ns of 2.7 million square feet only till 2028
or over a base of 11 million square feet. So, the number s eems abnormally low
given that we have a very strong balance sheet and there are very few players
in this market wh o are bring up grade A malls.
So, given this opportunity landscape and given our balance sheet and the
place we are right now, are you look ing at building up this pipeline further or to
accelerate our mall additions over the coming 5-year, 7 year period and how
are you overall thinking about it?
Shishir Shrivastava: The presentation does not cover the land use definition for Thane. I just wan t
to clarify that and, of course, we do not announce or I would say we do not
allude to any transactions or deals which are under discussion. I would say that
we have multiple acquisitions which are under evaluation at various st ages of
advanced due dilige nce impact.
We are looking at in the next 24 months , we want to close 4 to 5 new
transactions and we are working actively at it and it's quite I would say the
opportunities are very real and advanced.
Chetan Gindodia: So would you be targeting 1 million square feet a year ? That is what we had
earlier planned also so broa d number?
Shishir Shrivastava: Broadly we will be there may be in t he next 2 years c umulatively we will launch
about a million square feet across all loc ations, whi ch is the expansion o f our
existing malls and thereafter we have a pipeline between Kolkata and Surat.
Thane there may be some retail and the new additions that we add now that
we acquire now . But what everyone has missed out on is the si gnificant
densific ation of the front o ffice/front of the house commercial offices which
portfolio is moving up ver y, very fast from the current 2 million square feet to
~7.5 million square feet in the next 2 years.

Chetan Gindodia: But still this won't be like we won't be a ble to utilize 100% our cash flows
towards this commercial addition . We'll still be having a significant surplus
given over and above the construction cost?
Shishir Shrivastava: See our free cash flows definitely are in excess of our current CAPEX and land
acquisition commitments, but as we announce the next 2 -3 transactions which
we hope to do soon I think we will demonstrate the commitment of next 2 years

cash flows i n these new projects that we acquire. T hen we have the ability to leverage up further i f we want to close multiple opportunities.
Moderator: Thank you very much. The next question is from the line of Sabyasachi Mukherjee from Bajaj Finserv AMC.
Sabyasachi Mukherjee: My first question is on th e fixed versus variable rental w hat is the mix now and w hat was it let's say pre-covid ?
Varun Parwal : Pre-covid in FY18 -19 our fixed rents were 85% of our total rental income and the revenue share was at about 15% that was also on account of a large number of area which was due for renewals in FY21 and 22 . Post covid with the renewals being undertaken we have seen the fixed rents moving up to about 89% and the revenue share coming to about 11%. There is a natural trend in this as the new store s stabilizes and consumption picks up in coming quarters.
Sabyasachi Mukherjee: I was under the impression that probably the revenue share has gone up because in a lot of the retail guys talk about now going for revenue share model ra ther than a fixed rental model?
Varun Parwal : So, I think for destination consum ption centers like us, we prioritize doing these with a re asonably high threshold of fixed rent and with incremental revenue share on top of the fixed rent . So, as the performing stores come up for renewals the fixed rent tends to m ove up over and above th e last drawn total rent from the particular brand a nd it's also a cycle ; in the initial years the fixed rent tends to be higher a nd then the revenue share tends to cross the fixed rent and come t

o us as a n incremental rental over and above the fixed rent and then towards the end of the contract the fixed rent resets at the base higher than the last drawn total rent.
Sabyasachi Mukherjee: And follow up to that is what percentage of area is up for revision escalation in FY25-26 if you can give a broad idea?
Varun Parwal : We have the det ails in our presentation. This i s a particular slide th at is there in the presentation, but just roughly I will give you a numbe r of about 700,000 square feet w hich is up for renewals in FY25. Slide 59 has details for each mall, and if you total it up you will get to about 7 00,000 square feet of renewals in FY25 and overall in FY24 to FY27 period, about 4 million s quare feet is what is getting renewed out of the operational portfolio of 7 million square feet i.e. the erstwhile retail operating a portfolio of 7 million square feet.
Sabyasachi Mukherjee: Last question if I may I think there was a question on what is the like -to-like consumption growth that we are expecting going forward. I missed the number, is it somewhere around early teens that you mentioned?
Varun Parwal : I think what Shishir had mentioned in response to Parikshit's question is that you have to look at it over a 3-to-5-year period and look at low double digit or 15%, 16% growth.

Sabyasachi Mukherjee: Sorry 15% growth?
Varun Parwal : As a C AGR .
Shishir Shrivastava: We would say that for good , well performing malls, well managed malls such as our own , it would be fair to exp ect over a 3-year to 5-year period a CAGR of about 15 %, 16%; in some years it could be higher, some years it cou ld be slightly lower.
Sabyasachi Mukherjee: And our retail income would follow suit right?
Shishir Shrivastava: Would be similar.
Moderator: Thank you very much. That was the last question for the day. On behalf of The Phoenix Mills Limited, that concludes this conference. T hank you for joining us and you may now disconnect your lines.

Call: May 2024

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May 22, 2024

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated May 18, 2024 , wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and fin ancial year ended March 31, 2024 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Tr anscript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2024/Earnings -Call-Transcript .

You are reque sted to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Gajendra Mewara
Company Secretary
Mem. No. A22941

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q 4 and FY24 Results Conference Call of The Phoenix Mills Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. Today, we have with us Mr. Shishir Shrivastava – Managing Director, Mr. Kailash Gupta – Group CFO and M r. Varun Parwal – Group President , Strategy, Internal Audit and Head Corporate Finance. I now hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you sir.
Shishir Shrivastava: Good morning ladies and gentlemen. I take pleasure in wel coming you all to discuss the Operating and Financial Performance for the fourth quarter and year ended March 2024. However, before we proceed, I am very pleased to

welcome Mr. Kailash Gupta , as the company 's group CFO. Kailash brings over 25 years of experience across various financial disciplines, including business strategy, investor relations, M&A, financial planning and analysis, treasury and taxation to name a few. Most recently, Kailash served as the CFO at I nox Leisure Limited for eight years, leading their financial and commercial operations. He played a key role in the merger of Inox with PVR Limited. Prior to Inox, Kailash held significant positions at Torrent Pharma , Entertainment Network , Thomas Cook, Tata Te leservices and the Aditya Birla Group. Kailash is a qualified Chartered Accountant from the batch of 1995 with a well proven track record. He has received several accolades including the CA CFO Award for Media and Entertainment Industry from the IC AI and w as also recognized as one of Asia 's 100 Power Leaders in Financed by White Page International. We are confident that his expertise will be instrumental in our continued growth and performance.

I will now take you through the key highlights of the results with reference to the relevant slides of the results presentation. If I may draw your attention to slide #3.

Starting off with a quick over view of the retail business. FY 24 has been a milestone year for the business . At the start of this financial year, we had set sights on stabilizing the four new malls and driving growth across the

existing operational assets. I am very pleased to report , that we had a strong operating performance across most c enters and consumption or retailer sales that our malls for the year closed at Rs.11,344 crore up 23% year-on-year.

Moving on to slide #4. This slide provides a breakup of the performance and highlights the contribution from new malls during FY 24. EBITDA from the retail business for the full year came in at Rs. 1,673 crores up 25% year-on-year. Overall existing operational malls s aw full year rental income and EBITDA growing at about 6% and 7% respectively and EBITDA margin as a percentage of rental income is at a healthy 104% of rental income.

New malls contributed approximately Rs. 295 crore s in rental income and approxima tely Rs. 257 crore s in EBITDA for FY 24. EBITDA margin as a percentage of rental income is lower in new malls during the initial period of occupancy ramp up. H owever, going forw ard in FY 25, EBITDA margins from new malls should start moving towards the margins we see for our existing operation al malls as these malls stabilize .

Let's go to slide #5. We are seeing a fast ramp up in trading occupancy at our newly launched malls. Phoenix Citadel , Indore launched in December 2022 crossed 90% occupancy levels within 12 months of launch and has been trading at a stable 91% occupancy since then.

Palladium Ahmedabad launched in February 2023 , this is on slide #6, is already trading at 86%. In fact, the multip lex at Ahmedabad is ready and once we obtain the occupation certificate, the multiplex will commence operations and the occupancy level will cross 94%.

Moving on to slide #7, Phoenix Mall of the Millennium at Pune opened in September 2023, and is already trading at 77% occupancy levels within eight months of opening.

And on slide #8, last but not the least , Phoenix Mall of Asia at Bangalore launched in October 2023 and is already at 67% occupancy levels within six months o f opening.

Let's take a look at slide #10. As we have noted e arlier, total consumption in FY24 was at Rs. 11,344 crores approximately demonstrating a year-on-year growth of 23% over FY23. On a like -to-like basis, consumption in FY 24 gr ew by 8% over FY 23 led by strong double -digit growth in Phoenix Market City and Palladium Chennai, Phoenix Market City Mumbai at Kurla and Phoenix

Palassio, Lucknow . Phoenix Palladium reported a growth of 4% but if adjusted for the loss of contribution from the Lifestyle store, it s reported consumption growth wil l be approximately 9% on a like -for-like basis. As you may all be aware, we have shut down that store and demolished that structure as per our revised approval plans to provide a spectacular entry and arrival exper ience and better circulation for the ever growing iconic Phoenix Palladium development. Gross retail collections for the period were approx. Rs . 2,743 crores up 27% over FY23.

Slide #11, shows total consumption in Q4 FY24 was at approximately Rs. 2,833 crores up 28% year-on-year and on a like -to-like basis grew by 10% over Q4 FY23. This excludes the new malls which were launched in the end of calendar year 23.
Slide #12 provides an overview of the category -wise consumption performance across our malls on a like-to-like basis.
Moving on to slide #13, rental income for the quarter grew by 31% over Q4 FY23. Driven by strong performances from Phoenix Market City, Pune, Phoenix Market City in Mumbai, Chennai, and Phoenix Palassio, Lucknow. The rental income perfor mance is reflected in the EBITDA performance as well and on slide #14, it demonstrates a growth of 28% over Q4 FY23.
Drawing your attention to slides #15 and #16. Since w

e have discussed the
FY24 retail income and EBITDA performance, I will skip through t hese slides and go to the occupan cy overview across major malls on slide #17. Weighted average leased occupancy across major malls stood at 97% and trading occupancy at 88%.
Moving on to the commercial office s section, which is on slide #18 and onwards . We have taken significant strides towards cementing our presence in this asset class as well.
Slide #19 demonstrates that for FY 24 total income from the office business was approximately Rs. 190 crore s with an EBITDA of approximately Rs. 110 crore s depicti ng a growth of 12 % and 13% respectively over FY 23. FY24 gross leasing has been over half a million square feet out of which approximately 3.6 lakh square feet is new leasing and 1.7 lakh square feet is renewal.

Slide number #20, occupancy in our operational portfolio of Mumbai and Pune has in creased to 70% at the end of FY 24 up from 63% last year while maintaining healthy gross rental levels .
On slides #21 and #22. In line with the performance in FY 24 income from the office busi ness in Q4 FY24 was at Rs. 49 crores up 13% compared to the same quarter last year and EBITDA was Rs. 30 crores up 12% over Q4 FY23. We are hopeful to continue this momentum with the launch of best-in-class benchmark -setting new age commercial office asset s at Bangalore, Pune and Chennai in 2024, where we have seen keen interest from prospective clients.
Moving on to slide number #23 and hotel assets . We continue to see positive trends in the hospitality segment with double digit growth in ARRs along with high occupancy levels in both of our operational hotels.
Slide #24 shows that our marquee destination - The St. Regis , Mumbai, we have seen a remarkable ARR level at more than Rs. 21,000 in Q4 FY24. Even for the full year of FY 24 there has been a notable increase of 23% in room rates while maintaining above 80% occupancy throughout the year.
Coming to the operational performance, shown on slide #25. St. Regis continues to reach new heights and has clocked a total income of over Rs. 490 crores with EBITDA of approximately Rs. 223 crore s, representing an impressive EBITDA margin of 46%.
Slides # 26 and #27, moving on to the Courtyard by Marriott at Agra, we have seen double digit ARR growth throughout the year with occupancy levels close to 80%. The operation al performance , in FY24, this asset has clocked a total income of Rs. 55 crores with EBITDA of Rs. 16 crore s and healthy margins of 29%.
Let’s move to the Residential business which is on slide #28 and onwards. We have had another remarkable year during FY24.
Slide #29 and #30 show a strong demand and fast conversion where we have seen gross sales of approximately Rs. 566 crore s and we have collected Rs. 646 crores during FY24. Also, we are happy to report that we have received the occupation certificate f or Tower 7 at One Bangalore West. Accordingly , on the basis of the sale of the completed inventory and on receipt of O C of Tower 7, we have recogni zed revenue of Rs. 870 crore s for FY 24 and Rs. 454 crore s during the last quarter.

Moving on to the financial results for the quarter and year ended 31st March 2024. This is on slide #31 and onwards.
Slide #32 shows the standalone P&L which houses Phoenix Palladium,

Mumbai and a very small component of offices - Phoenix House . Income fr om operations for Q4 FY24 and full year FY 24 have been slightly lower than Q4 FY23 and full year FY23 as well . Mainly on account of ongoing enhancements to the overall layout, we have vacated and demolished the structure which housed the Lifestyle store pr eviously and that has had an impact both on consumption and on our rental incomes.
Without spending too much time on the standalone balance sheet, we will move on to consolidated performance . On slide number #34, with the addition

of new operational assets and momentum in leasing and occupancy, our income from operations for Q4 FY24 is higher by almost 80% compared to Q4 FY23. For the full year of FY 24 income from operations is higher by about 50% compared to FY23. I would like to mention at this point that in FY 24 we have booked Rs. 870 crore s of revenue in our Residential business which has been added to this and this demonstrates a boost in the top line . On our operating EBITDA metrics for the full year FY24 we have reported Rs. 2,185 crores with an increase of 44% over FY23. This momentum has been seen quarter -on-quarter with Q4 FY24 clocking 46% growth in operating EBITDA over Q4 FY23. Profit after tax after adjustment of minority interest and exceptional items which was Rs. 1,152 crore s for FY 24 grew by over 60% over FY23.
Let's move on to slide number #36. Our c onsolidated debt as on 31st March 24 is Rs. 4,366 crores with an average cost of roughly 8.8%.
Let's draw your attention to slide #37 and #38. On the consolidated cash flows front, we have crossed the milestone of Rs. 2,000 crore s and generated net cash flow from operations of Rs. 2,162 crores net of taxes . We have reinvested a considerable amount of this cash flow through capital expenditure acro ss assets under development and one land acquisition during the year in total aggregating about Rs. 1,670 crore s.
Just for perspective, after removing interest paid to service the existing debt our operating free cash flow net of taxes and interest is abo ut Rs. 1,781 crore s for FY 24 which is 27% higher than last year.

Slide #39 and slide #40, show a group level net debt position has remained close to Rs. 2,200 crores as the majority of our CAPEX has been funded by operational cash flows . PML level net debt position has improved with net debt of Rs.1,560 crores as on 31st March 2024.
Let's move on to slide #41. Last month in April, we acquired 6.6 acres of land adjacent to Phoenix Market City Bangalore at a cost of about Rs. 230 crore s. This has been acquired through a joint venture with Canada Pension Plan and will add to the overall footprint and development potential accessibility and experience for our destination retail -led mixed use development Phoenix Market City located on Whitefield Road in Bangalore.
On slide #42, we have a clear roadmap of where we intend to be by 2027 . We aim to have an operational portfolio of about 14 million square feet of retail, 7 million square feet of offices close to 1,000 keys in hotels and add another million square feet to our Residential development. These are all projects which are already underway, lands have been acquired and we may be under construction or at design development stage. We are busy cha rting our growth beyo nd 2027 and have added to our development mix through land acquisitions at Thane and Bangalore. And we continue to evaluate and work on opportunities selectively to add to our growing portfolio.
Moving on to sustainability slides #43 and #44. Sustainabili ty is very important for our company. As we grow we are committed to doing so responsibly and here's how. We are ramping up our use of renewable power across our entire portfolio aiming for over 70%. All our new buildings are targeted to be LEED certified, ensuring they are environmentally friendly and efficient. We are already making strides on this front with 1/3 rd of our existing retail buildings, i.e. 1/3rd by GLA are already certified with a USGBC LEED certification.
This brings me to the end of our o perational and financial performance update and we can now be open for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Shishir my first question is on the same store growth of 8% . If you can help us understand a l

ittle bit more on how has been the trading occupancy impact on this 8% volume growth and inflation ?

Shishir Shrivastava: Thanks for your question Parikshit . Let me try and answer it to the best of my abilities. If you look at our operating assets, several of our Phoenix Market Cities continue to be at the lag end of the tenure with anchors . So, for example, Phoenix Market City, Bangalore, and Phoenix Market City, Pune both have anchor space, which is about more than 52%. During the cycle of the mall 's life, or the tenure of the contracts, we continue to see opportunities to make these malls more efficient. What I mean by that is moving away from being anchor heavy, depending on where you are in the life of that mall, what the customer aspirations are, and bringing in a new brand mix, and perhaps new categories. So , we did this in Phoenix Market City, Mumbai, and we have seen a significant, I would say in one - one and a half years, the numbers have played out, and they demonstrate how the strategy has worked for us. So in several of our malls, we are now seeing that opportunity again, in the next year and maybe year and a half. So, that strategy will help boost consumption. So it's always important to refresh the category mix and brand mix. We took some hit at Lower Parel as I mentioned during my opening remarks , with the Lifestyle block , which generated close to Rs. 25 - Rs. 27 crore s annual rent and significant consumption, we saw a drop in consumption and rent because the Lifestyle block was vacated and demolished to create a better experience for the ongoing development. We are doing some fantastic work at Phoenix Palladium , Mumbai in expansion. There is a host of new brands that we are in discussion with and these are definitely going to aid in improving both consumption and overall rental income for us. So , I don't think we are seeing any structural issue here, which is causing a consumption to let 's say, be at a stable, consistent level or not demonstrate great growth. It's every mall in its life has this opportunity of improvements every three to five years and that's where we are in with several of our malls . So, we are going to see this getting better.
Parikshit Kandpal: And guidance for next year , what kind of things to grow you are looking at ?
Shishir Shrivastava: Sorry, Parikshit can you repeat what you are saying?
Parikshit Kand pal: So for these malls w hich are like operational, like -to-like basis what kind of growth y ou think we can forecast for FY 25 versus 8% you have reported this year?
Shishir Shrivastava: See, I don't think it's fair to talk about FY 25 alone. I would say one has to always look at the three year CAGR, three to five year CAGR and over a three

to five year CAGR. I would estimate anywhere between 11 % to 12% kind of growth.
Parikshit Kandpal: Okay. Sir my second question is on Thane . So, you have acquired the land parcel so any plans like what have we decided to do there. One of your competitor is coming up with a hotel about 560 odd rooms, keys. So any plans , what are you looking to add there, do there , in terms of you can help us i n the mix understand where we commercial , hospitality what you intend to do there ?
Shishir Shrivastava: We are not ready to announce what we are doing there yet, because it 's still not concluded. So , we are going to take probably another two -three months to perhaps decide. But it 's seeming to be a large mixed -use development with a combination of maybe some retail, some hotel, we are trying to really determine if residential is the right way to go , that's where the question really is and what's the best use on this land. So we will be very, very happy to announce as soon as we have taken a decision .
Parikshit Kandpal: Okay. And just last thing on the Residential piece. So now we have said we are increasing our overall deve

lopable area there my FY27. So what kind of pre sales number do you think we can achieve on a more consistent and steady basis so that , that portfolio gives more visibility on growth . We didn't have any major launches besides the Bangalore one, Alipore is still awaited . So how do you intend to build that portfolio over the next three four years and what kind of places do you think you can achieve in that segment in three years' time , more on the roadmap of three years, next three years.
Shishir Shrivastava: In Kolkata , we have secured the major approvals, this is going to be about a million square feet of saleable area . We are waiting, we have applied for EC ; so we are in the process of getting the approvals . We may be about six to eight

months away from launch on this asset. Th e micro market there seems to be very, very strong and stable. Our primary research is showing rates in that micro market to be in excess of about Rs. 18,000 – Rs.20,000. We have already decided on what the product mix is going to be like in terms of the sizing of the apartments , configuration, etc. We have about Rs. 350 to Rs. 400 crores as our target this year to sell the ready inventory which we have in Bangalore between One Bangalore West & Kessaku . So, that 's a great target for us to chase another Rs. 400 crores this year. We have total ready inventory of about Rs. 1,200 crores of which this year we are targeting about Rs. 400 crores , we certainly work harder to deliver more than our target. We have taken some price hikes and the market has also accepted that well. And we are

selling at about Rs. 24,000 per square foot plus plus, compared to Rs. 15,000 per square foot plus plus in 2019. This would be our guidance for FY 25 that we are targeting to get about aim to sell abou t Rs. 400 crore s.

Parikshit Kandpal: And m ore on the longer term like three, four years what kind of sales can this segment do for us like Residential , can we reach that 2000 crore number with addition of more projects over the next two, three years ?

Shishir Shrivastava: So currently, we don 't have any active plans on expanding on Residential. We are not in any race to become a larger Residential developer . We are being very selective about the opportunities and depending on the value at which we are a ble to buy land in mature , stable markets where absorption has been consistent, we will continue to look at those opportunities. But I can clarify that today we are not actively looking at any Residential growth, new projects.

Moderator: Thank you very mu ch. The next question is from the line of Praveen Choudhary from Morgan Stanely . Please go ahead.

Praveen Choudhary: Just a quick question for me. Can you talk about the competition in tier one existing cities where you already have malls in terms of are you finding considering how good this business has been , credible competition coming in . And the second question is on tier two cities, the return on invested capital, how are you thinking about it as you are going into newer cities . So far you have obviously achieved that. But are you finding that you may not be, or you need to slow down if the returns are coming slower . How are you thinking about it is the question. Thank you.

Shishir Shrivastav a: Thanks Praveen . So, let's talk about tier one cities and competition in tier one cities. See we have seen a significant I would say we continue to see a good growth in our numbers in tier one cities , it's a great business to be in. But it also requires a very large team , a lot of effort. Land has become very expensive and especially in the locations where our malls are, land has become very expensive. So , there are many factors which deter competition . We are conscious of the fact that there can be competition , anybody can come into these markets. So, our focus is on creating such experiential centers, which be

come dominant consumption centers. And with that approach, we will continue to stay a little ahead of the game here. We don 't see other develo pers building malls around our locations at present in any of the markets where we are and we will continue to innovate , get bigger, better where we are. So, that we are just always established as a dominant center. Your second question

was return on capit al invested in tier two cities. In fact, I must say that return on capital in percentage terms, I would say have been even better than tier one, because these are not really , they may be tier two cities, but they are tier one opportunities. Case and exampl e Phoenix Palassio Lucknow within six years of acquisition we are seeing a yield on cost of about 17% and growing every year . And Indore, Ahmedabad these also loo k to be very, very promising. We are very keen to work , go ahead full steam, on our retail project at Surat and it is progressing fast. We expect to see the same story that play ed out in Lucknow to also play out in Surat , which is a great market to be in . Ahmedabad , I would like to say that in the first full year of operations our yield has exce eded 14% so that's great.

Praveen Choudhary: Thank you. That totally makes sense , I did go to your Ahmedabad mall, it's actually fantastic. I have one more question if it 's okay. I was looking at your slide number #12 and you have category wise growth in y our consumption. So, you look at electronics showing minus 1% or others showing 3% , food and

beverage slightly lower. How are you thinking about it of course, you can 't have a mall which has zero percentage of these categories. But how do you ensure that y ou keep pruning it and improving that trade mix? Thank you.
Shishir Shrivastava: Yes, pruning and correcting the category mix and the brand mix is very routine for us. This is how we manage our retail business , it's something that we do virtually every day . Looking at electronics specifically, it 's a blip for that one year and interestingly last year we did an electronics fest which really , really worked well . This was done in Bangalore and Chennai and we saw great turnout for that . So, there are these mark eting initiatives that we create for specific categories to boost their sales and we are not seeing electronics really not getting customers , it's not like customers have moved away from coming into physical stores and started ordering online to the extent that will impact these physical stores. Accordingly , we remain very vigilant on the performance of each of the categories and we continue to take corrective action be it marketing , be it engaging with them , launching some kind of a special . I would like t o talk a little bit about F &B in our newer malls . We have significantly increased the percentage of gross leasable area occupied by F&B in the new malls we maybe in about 15 %- 16% range for F&B alone. And then you add that, entertainment centers, multiplex and entertainment options, you are inching closer to about 30% . This is a very, I would say a strategic shift, where F&B and entertainment would earlier occupy cumulatively about 15% and now, we are inching closer to about 30% . Even in our existi ng malls we are working

on an upgrade to revamp uplift F&B brands and options. So , this drives the relevant profile of the customer to the mall, and drives overall consumption.
Moderator: Thank you. The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: My first question was on, what is the development plan for the 6.6 acres of land that we have bought in Bangalore ?
Shishir Shrivastava: Hi Kunal . This, land is adjacent to our existing Phoenix Market City development, and which sits under the joint venture with CPP in an SPV called Island Star. So, now, this is exactly adjacent to tha

t we have the ability, we are looking at how we can amalgamate the t wo land parcels and be able to utilize the overall development mix in a composite manner. So, it has a, I would say the land parcel has a development potential, including TDR of about 1.3 - 1.4 million square feet. We have at our existing development, we have development potential, including TDR of 3 million square feet , and we are expanding the existing mall and existing mall development. As you are aware we are adding a ~400 room hotel Grand Hyatt, we have plans to add about a million odd square feet of offices. So, this acquisition will help us create a much larger destinati on with more perhaps more retail and more entertainment and F&B options. And we also have the ability to evaluate a standalone residential development should we want to take that up, the rates seem to be fairly reasonable, viable, and profitable in that area, and in the range of about Rs.15,000 a square foot. So that is also under consideration. We are working on several options now. Since we have recently acquired, we may be about two quarters away from deciding how we want to proceed with the developmen t here.
Kunal Lakhan: Sure . Just a few thoughts there. Generally this is very kind of uncharacteristic of us, in terms of like , in the past we have generally been very clear about like what we want to do and then in fact we have paid top dollar and bought land and built malls, and those malls have been pretty strong in terms of profitability and return. Whereas this is like , this again like very similar to what we are doing in Thane also, they bought land, but we are not sure what we are going to build over there . Any change in the thought process or strategic thinking that versus what used to be doing in the past versus what we are doing today?
Shishir Shrivastava: Yes, so with this Bangalore land of 6.6 acres, it was an opportunity that we had to close very fast . It came up in our discussions with the landowners and we

didn't really get an opportunity to deep dive into finalizing a development mix. Of course, we ran numbers based on a base case. But we are trying to see how we can improve on that base case. And it 's a little complex because the property is immediately adjacent to us. We have this existing mall, we are already constructing the multi -level car park and the office towers on top of that, which are closer to th e boundary of this adjacent land parcel. So, we are trying to figure out what is the most efficient and I would say what is going to be the best experience for a customer here in terms of circulation, etc. So, it will undergo a little bit of some , it requi res a lot of thought. But nevertheless, we feel that it 's a huge value add to this development. The ability to add another 1.3 -1.4 million square feet to this development, perhaps even going up higher , is a huge value add to our overall destination .

Kunal Lakhan: Sure. Just one follow up on that is, in terms of like we are looking at like, you gave an example of Bangalore also that you may look at adding some retail space also over there. And we are only doing some expansion at the Palladium, Mumbai in terms of retail space . Our earlier strategy was like build these, like 1 million square feet of retail was like the sw eet spot. But do you think that, that thing is changing now, like there is potential of building larger scale malls and we are seeing that with some of your competitors also, who are building like huge malls , especially in North ?

Shishir Shrivastava: No, absolutely the sweet spot has moved up simply because of the demand from retail brands. So many new global brands entering into the country its becoming, the sweet spot now is closer to about 1.4 -1.5 million square feet. And that's the goal of our expansion across all locations where we have malls operating and also the new malls that we

are building.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Wealth . Please go ahead.

Parvez Qazi: Two question s from my side , first in terms of our trading occupancy which currently is at about 88% will it be fair to assume that let's say by the end of FY25 this number wo uld have moved to somewhere closer to the mid-90s at a portfolio level?

Shishir Shrivastava: Yes, absolutely because there are so many deals done and concluded and under various stages of fit out , we should be in 95 % - 96% range for sure .

Parvez Qazi: Sure. And my second question is regarding our various office assets. Would be great if you could tell us about the status of the construction there and when do we expect the various assets to become operational.

Shishir Shrivastava: So, Asia Towers, Bangal ore is nearly complete, we are waiting for the OC, and we should be able to commence operations immediately thereafter. Phoenix Millennium Towers at Pune, Wakad - these will be ready by the end of this calendar year and Chennai as well . So, we are estimati ng within the next six months both of these , at least phase one of Millennium Tower , Pune will be ready before the end of this calendar year , which will be about half a million square feet and Chennai, half a million square feet should be ready by the end of this calendar year. The offices that we are building in Mumbai as part of our flagship development at Lower Parel – we expect this to be completed sometime in 2027. And, yes at Bangalore, about 400,000 square feet of new offices at Phoenix Market City, Bangalore on Whitefield Road should be ready by 2026, calendar year 2026.

Parvez Qazi: Got it. And apart from that two acquisitions that we have done in Thane and Bangalore. How is our business development, et c. plans for new retail asset development, whether in tier one or tier two cities ?

Shishir Shrivastava: There are probably two more real transactions that we are currently pursuing, and we should be able to conclude them in this calendar year. So that would add maybe another 2 - 2.5 million to our portfolio in the next four years or four to five years. I had previously guided to closing four to five transactions within 24 months. This was in the last quarter call. The Bangalore acquisition was the first one and there are two more which are underway . So, give us a couple of quarters to be able to announce more .

Moderator: Thank you. The next question is from the line of Atul Mehra from Motilal Oswal. Please go ahead.

Atul Mehra: My question is, in terms of retail expansion so in the presentation we have spoken about 11 going to 14 msft . So, the question was in terms of given our very successful in terms of response so far on that just like Ahmedabad and Lucknow you spoke about . Can we look at the next two to three years to build a very, very large pi peline, like the targeting +20 million in retail, because what tends to happen is, every city will tend to have a potential destination which will prosper over the next decade. And if we don 't get that opportunity, some of our competitors might go in there . And which would mean that once they have an

established asset, it would not give us that opportunity, because obviously there is a limit to how much land space a city can absorb. So structurally, given also that we have a very strong balance sheet today, and cash flow s are very strong, can we look at stepping up the growth agenda on retail?
Shishir Shrivastava: Atul, the estimate is to hit about , to have a pipeline to target about 20 million square feet in the next few years, of course we are already at 14 million square feet. With the two , three acquisitions that we are considering right now. Plus, the development at Thane, plus the extensive exp ansion that we are doing everywhere, we will hit that 20 million much soon

er. We continue to look for opportunities, selectively in key markets. So , like I mentioned to you, I don 't know if you remember this, but way back in 2017, we had told you what our portfolio is going to be, we are going to get 13 million square feet by 2023 end and we are going to make sure that we add another million square feet every year. So, we are very, we are well on track of delivering that and perhaps more.
Atul Mehra: Right , got it that 's good to know.
Shishir Shrivastava: Now, we are shifting gears also. Of course we are going to be very selective, but we are looking at each development being that 1.5 million plus, as I mentioned in my response t o the previous question .
Atul Mehra: And henceforth like when you are looking at setting up , so is the template going to be 1.5 million for all new assets that you wish to acquire or it depends on like, like we have done in the past phase wise development and maybe looking at buil ding on assets ?
Shishir Shrivastava: It depends on, now when we acquire land mostly the sizing is such that you have the ability to develop much more even, the development regulations in all cities have changed , the FSI available is more. But depending on the demand in any particular market, we will decide on the size and we will always have the opportunity for future expansion, which we plan for right up front. So , the new development in Bangalore for example, which is Mall of Asia , Pune Mall of the Millennium, we have also completed, we are building the mall and office at the same time. So earlier, we used to pre -build the mall then wait a few years. But , because the market is ready at these locations for the office asset class, we have decided to go ahead upfront. So, it's going to be customized , but the sweet spot for retail in tier one is definitely about a million and a half. But depending on for example, if we look at a smaller town, we may not choose to

build a million half upfront, we may build only 800,000 and then keep a second phase development potential.
Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rathi. P lease go ahead.
Prem Khurana: Sir, just if could talk about the Indore asset in detail because in terms of trading density seems to be a not there, generally when I compare with most of the other assets that we have and most of these assets would be closer to Rs. 1,000 sort of number on trading densities side like Lucknow and recently commission ed Pune and all. But this is closer to Rs. 600 odd so are we happy with this number or is it is in line with your expectation or it's slightly lagging your expectation?
Shishir Shrivastava: Okay . I would think that overall, what we have underwritten when we acquired this land in terms of rental income, we are probably there already , almost there . In terms of trading density Rs.600 per square foot per month you are right. But then we must also understand that the retailers ' cost is lower because rentals are lo wer. So, if you look at the occupancy cost compared to a mall which is at Rs. 2,000- Rs.2,300 trading density compared to Indore which is at Rs. 600, their occupancy cost is much lower. That yes, there is a lot of effort to be put into it's already established, I would say as a great destination. But we have to put in a lot more effort into bringing in great F&B options and driving other marketing activities, etc. to drive the right profile of the customer there. Rent is averaging as I ment ioned earlier, at this mall at about Rs. 79 per sq. ft. , all the other malls are averaging at about Rs.150 per sq. ft. or even higher. So, for our model, what we have spent in acquisition and the incremental cost of construction at Rs. 750 crores , we are a lready at an EBITDA of about Rs.85- Rs.86 crores for the year , it is 11% yield. And we are quite confident it will take

maybe it will

take another two quarters for our strategy to play out and for
consumption to start growing here.
Prem Khurana: Sure. And in terms of monthly rental rate that you are charging and I agree it's lower than some of these other malls but, if I were to look at from so eventually when I look at a retailer they tend to have their cost structures in place and how much do they in tend to share with you in terms of CAM and rental rate. And , what would you believe is the ideal number for these and for example for Indore it works out to be 20 % odd sort of number. Palladium I can understand it 's a destination of course people will be w illing to pay more than 20 %, 25% Just to be able to have presence there. But generally speaking, whenever you are

evaluating what sort of number do you tend to bake in into your estimates to understand whether the mall would find take or not ?
Varun Parwal: Hi Prem, Varun this side. So, the question on Indore, one thing that does not come out when you look at a retail mall is the tenant mix that you have with each center. So , Indore , for example has today lower anchor area than what you would see even in Kurla or Pune or Bangalore and that has been a very conscious strategy, driving more in line centers and creating more space for F&B and family entertainment centers , which actually drives a stickier profile of the grade A consumers that we are targeting. And because the anchor area is lower in area in Indore , cost of occupancy can actually be higher than what you may see for established centers like a Phoenix Market City in Bangalore or Pune or Chennai which are at about 13 % - 14% rent to consumption.
Mode rator: Thank you. The next question is from the line of Mohit Agrawal from IIFL Securities . Please go ahead.
Mohit Agrawal: My first question is, we talked about tier one malls. So just for your expansion in tier one metro cities , we have so far taken the greenfield route for constructing new malls, but for given the land availability issue, would you be open to or have you considered exploring the brownfield or acquiring existing malls and turning them around . And would your valuati on expectations be very different when you are acquiring a brownfield mall, so, that's my first question.
Shishir Shrivastava: Yes, generally we look at greenfield developments, resulting in a stabilized yield. Let 's say in the third year or fourth year of operation, we look at trying to be closer to 18 %, 19% kind of yield on cost. So that 's where we find the real value for us . Buying operational malls - the opportunities are very, very few because there aren 't too many great malls that meet our specs for u s to acquire . We are always open to acquiring brownfield assets . With brownfield assets also our experience with let 's say Lucknow has been fantastic whe n we acquired it at a great price , and we were able to take it to completion in a very short span of time and make the mall operational. So, we are open to brownfield and greenfield is clearly what we do. Operating malls, as I mentioned, there aren 't too many assets that we can look to buy , the ones which were available for sale have already been purchased by several of the funds, as you know the REITs. And the returns are very, very low. So that 's really not our principal strategy.

Mohit Agrawal: Okay, understood that's clear. And secondly, on the commercial bid, you gave timelines on the completion. So, between Bangalore, Millennium Towers and Chennai, in the next six months we have almost roughly about 1.5 to 2 million square feet of space coming up. What is the leasi ng pipeline looking like in these assets ?
Shishir Shrivastava: So, this is about 1.6 million square feet. We have started soft leasing at Asia Towers Bangalore, and we have there has been a lot of interest we have seen , despite North Bangalore being a slightly soft

market we have seen a lot of
inquiries and interest in this asset. We will see great traction as we get our O C in place in the coming months . At Pune Millennium Towers and Chennai, we have not yet started leasing, but we hav e started inviting potential leads and again, I would say there 's a reasonably good inbound interest from a lot of tenants in both these markets.
Moderator: Thank you. As that was the last question. On behalf of The Phoenix Mills Limited, that concludes t his conference. Thank you for joining us and you may

now disconnect your lines. Thank you .

Call: Aug 2024

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August 06, 2024

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated August 01, 2024 , wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unau dited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30 , 2024 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY202 5/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Gajendra Mewara
Company Secretary
Mem. No. A22941

Encl.: As enclosed

Moderator: Ladies and gentlemen , good day and welcome to the Q1 FY25 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Management of the company is being represented by Mr. Shishir Shrivastava – Managing Director, Mr. Kailash B. Gupta – Group CFO and Mr. Varun Parwal – Group President , Strategy, Audit and Head Corporate Finance. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you sir.
Shishir Shrivastava: Good afternoon ladies and gentlemen, my colleagues and I take pleasure in welcoming you all

to discuss the Operating and Financial Performance for Q1 of FY 25. I will now take you through the Key Highlights of the Results with reference to the relevant slides of the Results Presentation.
Slide #3, is a brief financial overview :
Consolidated income from operations for the quarter grew by 12% year -on-year to Rs. 904 crore. Operating EBITDA was up 8% year -on-year to Rs. 531 crore. O perating EBITDA excluding the Residential business for Q1 FY25 is Rs. 525 crore up 21% year -on-year , profit after tax increase d 10% year -on-year to Rs. 295 crore.
Turning to our retail business covered from Slide # 4 through Slide # 13. I may take your attention to Slide # 5:
Consumption across all our malls during the quarter grew by 25% to Rs. 3,215 crore . Like -to-like consumption excluding the new malls which weren't operating last year the same period, which are Phoenix Mall of the Millennium , Pune and Phoenix Mall of Asia , Bangalore , excluding these malls like -to-like consumption grew by 7%. Consumption growth across the portfolio was led by a strong double -digit growth in Phoenix Market City, Kurla, Mumbai and Phoenix Palassio, Lucknow , and an impressive ramp up of trading occupancy in the four new assets

 which were launched last year . Year -on-year growth

in like-to-like competitive malls was
impacted due to multiple factors. During the election, several of our malls were shut for most part of the day on voting days plus restrictions on restaurants serving alcoholic beverages which had an impact of between four to seven days for each mall in each city. A fewer number of movies and lack of blockbuster movie content impacted the multiplex performance and inadvertently some footfalls in the mall. The summer was quite difficult in many parts of the country, and the heat wave resulted in lesser footfalls but improvement in four -wheeler traffic.
Moving on to the category mix in consumption :
On a like-to-like basis we saw a 22% growth in the jewelry category, which may see further boost post the GST rate cut in the recent budget and 19% growth in gourmet and hypermarkets . FEC and multiplex posted a de -growth of 6%, while fashion and accessories and the F &B category grew by single digits. Positively the consumption in electronics has increased in this quarter compared to last year, which is a revers al of the trend we have seen in FY 24.
Moving on to occupancy :
The weighted average trading occupancy across major malls in the portfolio improved from 88% in March 2024 to 90% in June 2024. PVR at Palladium Ahmedabad will be launching today , taking the trading occupancy to 90% .
Our retail rental income for the quarter was at Rs. 487 crore up by 31% over Q1 FY24. This was driven by strong performances from Phoenix Market City in Mumbai and Phoenix Pala ssio, Lucknow , and the ramp up in the new malls. The strong rental income growth translated into a 31% year -on-year increase in retail EBITDA leading to a retail EBITDA of Rs. 516 crore for the quarter. EBITDA margin for operational assets remained healthy at 107% .
New malls contributed approximately Rs. 85 crore in rental income and Rs. 86 crore in EBITDA . EBITDA margin is slightly lower at 100% in new malls during the initial period of occupancy ramp -up.
Our outlook going forward :
We continue to focus on retail rental and EBITDA growth . While like-to-like consumption growth for the quarter was 7% , and retail EBITDA growth was 10% . Especially in our older assets like Phoenix Market City malls located in Bangalore and Pune, the focus is currently on premiumization through enhanced retail mix and category improvements, creating a compelling entertainment and F&B destination , keeping the brand mix fresh by introducing new brands across different formats , focus on creating specialized clusters to enhance shopping experiences , developing high recall and creating high engagement through live performances, unique curated events , larger than life decor and art installations. Asset

 enhancements through facade upgrades, change in layout and working to maximize customer convenience by redesigning the traffic circulations are also high on our priorities. In fact, we have already carried out the first phase of this revamp at Phoenix Market City, Mumbai , results are visible to a significant extent with the center reporting a 12% growth consumption and a 15% increase in EBITDA . We are confident that this growth will sustain in the coming quarte rs with more asset enhancements, retail category , cluster creation an d high recall marketing events.
Moving on to the commercial office business covered from slides #14 to #17:
Our operational portfolio in Mumbai and Pune delivered a growth of 20% in total income and 33% in EBITDA due to improve d occupancy of more than 70% . We leased approximately 1.5 lakh square feet during the quarter. Occupancy in our operational portfolio climbed to 71% by June 2024 from 7 0% as o f March 20 24, while maintaining a healthy gross rental level at approximately Rs.114 per square foot. We look forward to the launch of new age commercial

office spaces in Bangalore , Pune and Chennai which have generated significant interes

t. While
the demand for space is increasing, we are striving to strike a balance between the occupancy rates and rental rates with a long -term view , but we are certainly seeing a resurgence in demand for Grade A commercial office spaces that we have in our portfolio.
Moving on to the hospitality portfolio covered from slides #18 to #22:
The St. Regis, Mumbai our marquee asset maintained a steady room rate of approximately Rs. 16,400 with the occupancy increasing to 85% in Q1 FY25. The improved occupancy led to a 3% increase in room revenue compared to the previous year. F&B and banqueting revenue declined by 4% due to factors such as auspicious days, weddings shifting to Q2, the elections and consequently the dry days and impacted corporate and leisure travel due to the summer .
While operating income is down 2% for Q1, EBITDA remains flat on a year -on-year basis. Despite these headwinds, The St. Regis has shown resilience with a 36% revenue gr owth in July 2024 versus July 2023.
Courtyard by Marriott Agra face d similar challenges during the quarter . Occupancy dropped to 63% and the average room rate fell to Rs. 4,166. This asset generated Rs. 9 crore in total income with a Rs. 1 crore EBITDA resulting in a 15% margin. As mentioned earlier, the heat wave, elections and F&B restrictions impacted the hotel's performance.

 Slides # 23 to #24, cover Residential :
During the quarter gross sales reach ed approximately Rs. 50 crore with collections totaling Rs. 60 crore . We achieved an average selling price of approximately Rs.26,000 per square foot . Our current completed and ready to sell inventory stands at approximately 0.44 million square feet.
This brings me to the end of our operational and financial updates across verticals .
I will now request our Group CFO – Mr. Kailash B. Gupta to take you through the overall financial results. Thank you.
Kailash B. Gupta: Thank you Shishir . Good afternoon, everyone. I will now take you through the Financial Updates covered from Slide # 25 to #34.
Between Slide # 26 to #28 starting off with the P &L updates :
On a standalone basis, PML houses the business of Phoenix Palladium Mumbai , and an office space called Phoenix House . The income from operation s for Q1 FY25 is Rs. 118 crore which is flattish for the quarter as compared to Q1 FY24 and EBITDA saw a de -growth of 6% .
On a c onsolidated basis , income from operation s for Q1 FY25 is higher by almost 1 2% compared to Q1 FY24 . Our operating EBITDA for Q1 FY25 was reported at Rs. 531 crore with an increase of 8% Y-o-Y. Profit after tax after adjustment of minority interest and exceptional item s is at Rs. 295 crore for Q1 FY 25, which grew by over 10% vs. Q1 FY24 .
Coming to Slide # 28. Adjusted for the residential business , our revenue across the annuity portfolio was Rs. 872 crore a growth of 24% Y -o-Y. EBITDA excluding the residential business grew by 24% Y -o-Y, reaching Rs. 525 crore in Q1 FY25.
On the retail side, EBITDA delivered a strong performance with 31% Y-o-Y growth on an asset level . Key driver s include the performance of PMC Mumbai and Phoenix Palassio along with the ramp up of our new mall portfolio. On the commercial office portfolio, EBITDA grew by approximately 33% Y-o-Y at asset level, driven by improved occupancy, especially at AGH and Fountain head Towers . Q1 FY25 was a challenging quarter for our hotels due to a combination of factors including elections, F&B restrictions, and heat wave. Despite these headwinds The St. Regis, Mumbai has shown resilience , with a 36% revenue growth in July 2024 vis-à-vis July 2023. In our residential portfolio, l ast year we sold a significant amount of ready inventory of our residential assets in Bangalore , which boosted revenue and profits. Revenue was also boost ed due to the O ccupation Certificate (OC) which we received for Tower 7. Given that we now

have limited ready inventory of around 0 .44 msft i.e. around four lakh square feet left in Bangalore, we expect annual sales of inventory to be in the range of Rs. 350 to 400 crore. We continue to see strong demand for the completed inventory despite undertaking a price

 increase to ~Rs.26,000 per square feet. The sales momentum should pick up in FY 26 onwards with the launch of new inventory at Kolkata or Tower Eight and Nine at One Bangalore West .
Coming to Slide # 29 to #32. Now on our debt and liquidity . Our consolidate d debt as on 30th June is Rs. 4,398 crore, with an average cost of around 8.79%. On a consolidated cash flow front we generate d net cash flow from operations of Rs. 514 crore net of taxes. Just for perspective, after removing interest paid on the debt side , our operating free cash flow net of taxes and interest is Rs. 429 crore for Q 1 FY25 which is lower by 5% Y-o-Y. Operating cash flow from our annuity portfolio was Rs. 409 crore up by 20% over the last year same quarter. Group level liquidity improved to Rs. 2,343 crore as of June 24 , whereas, gross debt s aw a marginal increase of Rs.31 crore. Our group level net debt position stood at Rs. 2,054 crore as majority of our

capex has been funded through the internal accruals and the equity infusion during this quarter.
On to Slide # 34, we have a clear roadmap of where we intend to be by 2027 . We aim to have an operational portfolio of ~14 million square feet of retail , ~7 million square feet of commercial offices , close to 10 00 keys in hospitality and we are adding 1 million square feet to our residential portfolio . We are now busy charting our growth beyond 2027 , and have added to our development mix through land acquisition s at Thane and Bangalore. We continue to evaluate and work on opportunities to add to our portfolio.
Last but not the least , the Board has recommended a bonus share issuance in the ratio of 1:1 and the same is subject to shareholder approval.
This brings me to the end of our financial performance updates . Now, the forum is open for Q&A session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Punit from HSBC. Please go ahead.
Punit: So, my first question is with respect to the new mall in Bangalore itself . It is already generating within its third quarter Rs. 48 crore s of rentals, versus your existing Bangalore Mall which is generating Rs. 50 crores . So, on a quarterly basis, does it look like we have already hit the peak here because it's still 70% occupied and how much more d o you think it can go in terms of rentals from here ?
Varun Parwal: Hi Punit, thank you for the question, Varun this side. Your observation on Phoenix Mall of Asia is very correct . We have seen a fantastic ramp up in this asset , and that is also reflected in the quarterly consumption that we are seeing and the asset is still at 72% trading occupancy , so over the next six to nine months, we should see that going up to about 90% and that should really help us establish a new benchmark as far as consumption at our new malls is concerned. Rent should also continue going up in line and maybe not for FY25 but if I were to say for FY 26

we should see this asset nearing the rentals that are currently being generated at Phoenix Market City, Bangalore. I would also draw a reference back to some comments from Shishir ’s remarks , wherein Shishir spoke about the retail category upgrade , premiumization and asset enhancements that we are also carrying out at some of our existing properties. We have already seen the benefits of this in Phoenix MarketCity, Kurla and a lot of the changes are currently underway at Phoenix MarketCity in Bangalore and Pun e as well. So, Phoenix MarketCity Bangalore should also step up from the current rent al run-rate that we are seeing right

now.
Punit: Okay . So do you think that benefit will come in this year itself or is it likely to be FY26?
Shishir Shrivastava: Hi Punit, Shishir here. So, these are some interesting ideas, and they will take time to execute in an operating mall , so we expect them to start coming in FY26 towards the end 2026 a nd early 2027.
Punit: Understood. Citadel Mall in Indore, which is still quite young , hasn't grown in this quarter , I would have thought it would have had a similar trajectory ?
Varun Parwal : Hi, Punit. Phoenix Citadel has ramped up quite nicely as far as occupancy is concerned and retailers are also would say doing well. Compared to the existing malls , Phoenix Citadel is, let me put it that the category mix is quite good for the city prospect . The asset is also constructed at a low er cost and that is also reflected in the rentals that we see in the asset . In fact, if we look at the financial metric in terms of the return that we are generating on the cost that we have invested in this asset, we are ranging within our benchmark guidance o f 12% to 15% . We are in fact at the higher end of the guidance. So, from that perspective, it may not be accurate to the benchmark Indore against a Mall of Asia or Mall of the Millennium , to your specific question on consumption growth vis -à-vis last year.
Punit: And rental also it’s flat Y -o-Y which is why the question is .
Varun Parwal : To your specific question of consumption growth compared to previous year , there are s ome infrastructure improvements that are being undertaken in that area , which has impacted the traffic flow, et cetera , and this quarter, also had the election results, so we couldn’t do a lot of marketing and promotional activity so you should see that evolving in the coming quarters.
Shishir any comments from your side?
Shishir Shrivastava: Yes, its the bridge that has been constructed on the highway right in front of the mall which has made the access a little difficult, really impacted our footfalls, there's another six months or eight months of work to get completed. In the meanwhile, of course we continue to look at various initiatives from our end, in terms of getting a better or a different brand mix, more marketing events to drive the correct profile of the people. So that's an ongoing business for

us, which we will continue to do. We remain confident about Phoenix Citadel Indore becoming the destination for MP and it’s just a blip for a short while.
Punit: Understood. And on the big picture for your growth, is there anything that you need to do that brings back the consumption growth back in second quarter or you think second quarter could

still at the margin be similar to first quarter in terms of the mature malls ?
Shishir Shrivastava : Again, I would say Punit there are a lot of activities and initiatives that we continue to undertake on an ongoing basis and clearly these take some time to have impact. I don't think there's a structural consumption issue or a reduction in demand as such that we are seeing, these are the isolated situations in this quarter, where we may have seen this impact and mostly in April. We are seeing the ramp up in May and June, April was quite impacted, May and June we are seeing it ramp up a nd move forward.
Punit: Understood . And lastly, on your Residential business , One Bangalore West has no w very little inventory , is there a plan to launch the next phase there ?
Shishir Shrivastava : Not as of right now, we are still waiting to understand the development potential and the TDR, et cetera because the last phase will be dependent on that.
Moderator: Thank you very much. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: So, Shishir m y question is more on the matured malls . So, the trend on decline in consumption , so it has been there for now a

lmost two , three quarters I know this quarter, there could be some exigencies which you highlighted. So, a large part of growth, that we understand if we normalize them our consumption is coming from trading occupancy ramp up and same store sales growth doesn't seem to be happening barely below inflation. So, do you think what could be, you said that there are no structural reasons but what would justify this , because this is not a trend which is there in this quarter, that has been there for the last two, three quarters actually.
Shishir Shrivastava: Thank you for your question Parikshit. T he answer lies in for each location firstly, on the question around consumption growth, let me explain. Phoenix Palladium Mumbai is currently seeing a massive disruption. We are adding 250,000 square feet of retail space in the next few months, which is opposite PVR. As a consequence of that , parking, circulation all of that has gotten disrupted which will hopefully settle down during this quarter or early next quarter. So, that has certainly impa cted our consumption but that was something that we had anticipated and expected a disruption because the gains out of this product enhancement are far superior. So, in fact, if you look at it Q1 FY 25, we may have seen a 4% growth in rent al at Phoenix Palladium and while consumption may be down by 2% compared to last year. But this is a catch up for the previous growth cycle of consumption where rental has now caught up, it doesn’t

 mean that the occupancy cost is going up significantly or anything like that. We have seen a 3% rental growth in Phoenix MarketCity Bangalore despite a 4% decline in consumption in this quarter. This is just a period where we are going to start seeing the ramp up again in the coming quarters . We all know what the disruption was and in some locations like in Indore, Mumbai where this infrastructure work or expansion going on there is some disruption.
Parikshit Kandpal: You have anything else to add or shall I move to the next question?
Shishir Shrivastava: I will just site two more examples Phoenix Market City, Mumbai we have seen a 12% consumption growth and this is a result of all the activities and initiatives we have undertaken in the last several months, plus the opening of the access from BKC. Phoenix Palassio, Lucknow has seen a 14% growth in consumption and a 12% growth in rental. It’s just a little cyclic al, all malls go through this disruption at some point in time, and it's not related to demand.
Parikshit Kandpal: We remain confident on consumption previously thing, saying that it is more infrastructure, issues which is causing this consumption, so there's no as such pattern or change in consumption to some other sectors besides the mall?
Shishir Shrivastava: No, we don’t see it that way .
Parikshit Kandpal: Okay . My second question is on your plans to add new malls in Surat, so anything else in the pipeline, you have been highlighting the location and evaluating these, so anything concrete and something in the near term which may get finalized in this financial year?
Shishir Shrivastava: Yes, in this financial year, we will be able to announce one more, we are on the verge of concluding one transaction in South India and that will be another sizable destination mall . It’s not just the city consumption center , it will be at a district consumption center.
Parikshit Kandpal: This one is not in Karnataka, South when you talk about South , so in Hyderabad you are looking something so is it?
Shishir Shrivastava: Parikshit we will be happy to announce it as soon as we can.
Parikshit Kandpal: Okay. And this will be like large layout, what kind of like mixed use development, you are looking at new mall or office or Resi as it will have all the potential ?
Shishir Shrivastava: For the moment it is going to be , the focus is going to be in phase one - mall, but a l

arge mall .
Parikshit Kandpal: Okay, large mall. So, large we are looking at?
Shishir Shrivastava: Million plus.

 Parikshit Kandpal: And my last question is on , so Residential business. So, what are the launch pipelines or anything you have firmed up on Thane, what's the update on Kolkata , you mentioned about Bangalore, but what about this update on Kolkata and any plans on what could be the mix on the Thane land at what stage of planning or design is that and what kind of mix you will see there?

Shishir Shrivastava: Thane we are not yet ready to announce the development mix, because we are going through various iterations and return profiles on different asset classes , so we are not ready to announce the development mix for Thane yet. In Kolkata we are gearing up for launch, couple of quarters and we will be ready..

Parikshit Kandpal: But as a business in Resi so what could be your pre-sales, what kind of pre sales number you have like three years where you have given the plan for next two, three years so how do you think Resi business will contribute and how will it grow , given that beyond this you don't have any major pipeline on Residential side ?

Shishir Shrivastava: Parikshit we have always maintained that for us residential is an opportunistic venture. We are currently focusing on building a million of square feet of residential . This was a fantastic opportunity in Calcutta, we saw mature market with very good benchmark pricing, and we have the skill sets in our team to build a couple of million every year. So , we are not going aggressive on this, we will continue to remain opportunistic in the right markets.

Moderator: Thank you very much . The next question is from the line of Parvez Qazi from Nuvama Group . Please go ahead.

Parvez Qazi: So couple of questions . First, I am sorry if you had answered this already, but just want to check , any update on the new Bangalore land that we had purchased last quarter have we finalized our plans there or what’s your thought process regarding that?

Shishir Shrivastava: Yes, that Bangalore land is right adjacent and shares the boundary with our existing Phoenix Market City Bangalore. We are looking at different options over there. We are also looking at the possibility of whether one can amalgamate the two land parcels and expand the developments going to evolve or we should look at it separately. So, this is an ongoing activity at our end we are working at it . We don't have any specific mix to announce as yet.

Parvez Qazi: Sure. And regarding the Resi project in Bangalore, any chance of a new tower launch let say may be in FY 26?

Shishir Shrivastava: I answered that a short while ago we are waiting for clarity on the TDR policy, pricing, et cetera before we take a decision on launching the asset.

 Parvez Qazi: Sure. And lastly just a bookkeeping question, what would be the pending CAPEX on our under - construction assets ?

Varun Parwal : Parvez is that question on our first construction assets you are asking, or you are asking for the overall CAPEX?

Parvez Qazi: Overall would be fine.

Varun Parwal : So, overall if we look at up to June 2024, during the quarter end for Q1 FY25 we have spent about Rs. 470 crores on pure construction and capex for the assets and balance amount that we have to spend is at about Rs. 4,500 crores, keeping the Residential project in Alipore out of the scope because that project will be funded from pre -sales of the Residential unit s. We are also keeping Thane out of this. I would say the way to correlate th ese numbers is to refer to our slide on what asset mix should be operational by the end of 2027 and the balance capex of ~Rs. 4,500 crore correspond s to that . As we announce Thane or as we announce expansion plans in Bangalore , we will update and come back with the right number.

Moderator: Thank you very much

. The next question is from the line of Pritesh Sheth from Motilal Oswal . Please go ahead.

Pritesh Sheth: First question is on the category wi se consumption mix that you have given in Slide # 10. So, in a certain categories like jewelry, gourmet, hypermarket doing well is because of the mix change that you would have done in your existing malls or something to do with that category itself doing well. And your second question to that is, will there always be this differential of performance between the categories like certain category is not doing well or doing below average kind of growth and certain category is doing well or you see that there is certain structural issues that are there with certain categories like electronics, obviously multiplex es we know what kind of issues that they are going th rough right now, but can these categories which have underperformed, now start to ramp up in terms of like-to-like consumption growth?

Varun Parwal: Pritesh, Varun this side. So. let me take this question and address it in different aspects . First addressing the gourmet and hypermarket piece , in FY23 you have seen this category underperform significantly and we had seen i f we were getting say Rs.100 in consumption , consumption in FY 23 had come down to a very low base of say only Rs.30. From then to now we have seen new players enter this category and we have seen a performance improvement but it is still on a low base . I don’t think we are back to the pre COVID number in gourmet and hypermarket and as we have highlighted in the past , as the catchment around our mall densifies and we see more higher end residential and Grade A offices coming in , we need to optimize the spaces given to some categories like gourmet and supermarkets. So, there is a rationalization of the space that's given to them , but they continue to remain an important part of the product mix that we are providing at the mall and after the right sizing and replacement

 of older retailers by the newer guys, this category is showing a sustaine d continued improvement quarter -after -quarter. On jewelry , in the past we have spoken about creating a wedding cluster which is according to us is defined by having representation from the gold jewelry segment, the diamond jewelry segment, the daily wear segment and then the Indian and the Foreign designer s. By this our wedding cluster is taking shape , in fact I would say more advance d in certain mall s or it's also taking a good amount of shape in existing malls including in Phoenix MarketCity, Mumbai. And that's why on a like-to-like basis we continue to see a good strong growth quarter -after -quarter . Structurally onto your larger question of the underlying trend , structurally India retail story today remains very promising and very exciting especially in the cities that we are in or the cit ies that we are targeting . And, one way to look at it is , to look at all the number of foreign brands that are entering to India , or the expansion plans of the domestic brands themselves. With so many new retailers coming to the market and demand for space , we also as regional consumption centers, need to take some time to reorient the asset and redesign them for new age consumption. Structurally we continue to remain very st rong and very positive on the consumption story. I hope that addresses your question.
Pritesh Sheth: Yes. And, second on the office side so, if you can provide an update on leasing status and all of Asia Towers and even for Pune what's the status in terms of completion and have we started leasing on that ?
Varun Parwal : Asia Towers, the tower is completed, we are just a waiting the occupation certificate and we have done about four transactions which are right now in the documentation stage and we have leasing interest for the entire assets through multiple tenants , and once we receive the OC, we will

start registering those agreement s and start including leasing update as well on a quarterly basis from our side. For Pune, on top of the Phoenix Mall of the Millenium , we have three office towers which will aggregate to a leasable area of about 1.2 to 1. 4 million square feet. One tower is fully complet e; we have completed the structure and the facade, and we are right now doing work on the internal finishing o f that structure . The other two towers the RCC structure is getting completed and we will move on to completion of the façade. W ithin the next nine to twelve months, all the three towers will be completed. And as we receive occupation certificate, we will start closing the agreements with the tenant and providing an update in our quarterly results as well.
Pritesh Sheth: Sure . And just one last on Surat. So, what kind of rental assumptions that we have built in , when we underwrite it and if you can help on that , Surat mall?
Varun Parwal : Surat we have just completed the excavation in Surat , so construction activity is going to commence now . I will say that we have , a bit early in the sense that we are still three years away from completion. As a guidance you can consider about Rs.140 or there abouts at the starting rentals for the mall in Surat .

 Moderator: Thank you very much. The next question is from the line of Punit from HSBC . Please go ahead.
Punit: How soon can your transactions that you are undertaking in terms of office leasing in Pune and Bangalore can conclude and when should we start rental coming from those offices ?
Shishir Shrivastava : So, Punit we are expecting our OC in Bangalore. It can be 45 days, it can be 60 days, that's not in our control . But , I would think that rental generation one can expect from January , we should start seeing rental income in Phoenix Asia Towers, Bangalore. We have done some four transactions and we are now working actively on marketing that asset. So, we will start seeing some income from January next year. But , I would think that FY26 is the year , by end of FY 26 is the year that one can estimate to be close to that 80%, 85% or 90% occupancy .
For this year they will not start generating rent , we will be concluding these deals , they will start generating rent in the next financial year.
Punit: So, Bangalore would be earlier than Pune ?
Shishir Shrivastava : Yes, because Bangalore is ready , the entire 800,000 square feet tower is completed , both the buildings are completed.
Punit: Okay . And a ny reason why there have been pushed out a bit because the mall got completed early ?
Shishir Shrivastava : But we were continuing with the construction and installation of all equipment, machinery and all for the office , that's the way we always build composite structures. We launch the mall , get part occupation for the mall and we continue to build on top.
Moderator: Thank you very much. The next question is from the line of Pulkit Patni from Goldman Sachs . Please go ahead.
Pulkit Patni: Just one question. You spoke about Palladium and the impact on consumption because of all the renovation work you are seeing, can you highlight what is the exact square feet directly

and indirectly that has been impacted because of this , because when I look at your mall GL A in your presentation, there you are assuming that it's basically the same GLA that's available. So what exactly do you think would be the impact in terms of square feet both directly and indirectly, because of parking, et cetera not being available?

Shishir Shrivastava: So, Pulkit we have not shut down any of our operational G LA for this , it’s only the parking infrastructure and the ramps which are also being used for construction , that we are seeing some disruption in traffic movement and that is discouragin g individuals from coming in and impacting the consumption.

 Pulkit Patni

: Sure. I am also asking about the L ifestyle renewal which is under renovation, et cetera . So what exactly is that area?

Shishir Shrivastava : So that , where the Lifestyle structure was , that area was roughly around 50,000 square feet of GLA. But we shut that more than a year ago. So it was it was operational only for April in FY24 .

Pulkit Patni: And there is nothing incremental other than that, that we are targeting?

Shishir Shrivastava : Nothing incremental other than that . And of course, we are going to reconstruct a part of th is structure and add back some of the GLA, but we are making this a very, very prominent and exciting arrival experience for the massive construction that we are doing with the project Rise Tower .

Moderator: Thank you very much . Ladies and gentlemen , that was the last question for today's call. On behalf of the management of The Phoenix Mills Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Nov 2024

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October 30, 2024

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated October 26, 2024 , wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call concluded on Saturday, October 26, 2024 at 12.00 Noon (IST), with Analysts / I nstitutional Investors on the Unau dited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2024 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2025/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Shishir Shrivastava
Managing Director
DIN: 01266095

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to Q2 and H1 F Y25 Results Conference Cal l of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Management of the company is being represented by Mr. Shishir S hrivastava - Managing Director ; Mr. Kailash Gupta - Group CFO and Mr. Varun Parwal - Group President - Strategy, Audit and Head, Corporate Finance. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this confer ence is being recorded.
At this time, I would like to hand over the conference to Mr. Shishir Shrivastava . Thank you and over to you , sir.
Shishir Shrivastava : Thank you. Good morning, ladies and gentlemen. It is a pleasure to have you all here today to discuss our performance for the second quarter and the half year ended September 2024. I hope you have had a chance to look at the results presentation shared by us. The same is

uploaded on the stock exchanges as well as our corporate website.
Let us start with an overview of our performance on a consolidated level :

In Q2 FY25, we achieved an operating revenue of Rs. 918 crore s, a 5% increase year -on-year . EBITDA for the quarter reached Rs. 518 crore s, up 2% year -on-year . To provide a more accurate picture of our core business performance, we have adjusted the figures to exclude the contribution of the residential business, which is inherently variable in nature. Excluding the residential business, we witnessed a 22% grow th in operating revenue which reached Rs. 870 crores. EBITDA for the second quarter stood at Rs. 502 crore s, up 19%.

Similarly, for the first half of FY25, adjusted for the residential business, operating revenues reached Rs. 1,742 crores, up 23% and EBITDA for the same period was at a historic high of Rs. 1,027 crore s, up by 20% on a year -on-year basis . This is the first time our EBITDA has reached the Rs. 1,000 crore s mark and we hope to see this trend continue and

grow from here.
Moving on to our retail portfolio for Q2 FY25 :
Retailer sales i.e consumption for Q2 FY25 reached Rs. 3,279 crore s, up by 24% year -on-year , driven by the fast ramp up of the newly launched malls . On a like -to-like basis , excluding

 Phoenix Mall of the Millennium, Pune and Phoenix Mall of Asia, Bangalore, we saw consumption growth of 5%. Retail rentals for the quarter grew by 22% to Rs. 474 crores. In line with retail rentals, retail EBITDA also increased by 22% to Rs. 495 cror es for the quarter. On a like-to-like basis in Q2 FY25, retail rentals and EBITDA both grew by 5% compared to the same quarter in the previous year.
For the first half of FY25, retailer sales reached Rs. 6,496 crores, up by 25% year -on-year . Like -to-like consumption growth was 6% for the first half of FY25, again excluding Phoenix Mall of the Millennium and Phoenix Mall of Asia from the mix. Retail rentals grew by 26% to Rs. 958 crore s. Overall , retail EBITDA for H1 was Rs. 1,010 crore s, up 27% year -on-year . On a like -to-like basis, retail rentals grew by 6% and EBITDA grew by 7%. Phoenix Mall of the Millennium and Phoenix Mall of Asia, which have been operating for nearly a year now, have demonstrated excellent consumption growth, each approaching the Rs. 500 crore s mark in the first half of the financial year.
Looking at category -wise performance , jewelry was our top performing category for the quarter with a growth of 33% across the portfolio on a like -to-like basis . Gourmet , Food and Hypermarket saw a growth of 12% during the quarter. F EC & Multiplex declined by 15%, primarily due to fewer blockbuster releases during the quarter.
Moving on to the occupancy highlights :
In September 2024, leased occupancy across our major malls was at about 97% and trading occupancy was almost at about 92%. Our newer malls have seen a fast ramp up in trading occupancy with Palladium Ahmedabad which has achieved a strong trading occupancy level of 94% with the Multiplex commencing operations in Q2 FY25. Within almost a year since launch, Phoenix Mall of the Millennium has reached a trading occupancy of 87% in September and Phoenix Mall of Asia saw trading occupancy o f 78%. We also have subs tantial areas under active fit outs and both these malls are on track to cross trading occupancy of over 90% in the coming months.
Our f uture plans :
We are committed to enhancing the performance of our existing mall s through active mall management and exceptional customer service with a focus on bringing the best and the latest brands and elevating customer experience by adding more F&B and entertainment spaces. We are making significant progress towards the launch of the retail block opposite PVR at our flagship pro perty, Phoenix Palladium , Lower Parel, Mumbai. Retailers have commenced fit out activities, and we anticipate operationalizing this 250,000 square feet retail GLA by the end of 2024. Our development pipeline remains robust with approximately 3 million square feet of retail space currently under development and slated for completion by 2027 .

 Further, I am pleased to share that Phase -1 of our new city center lifestyle destination in Thane will feature a destination retail development in the range of 1.2 to 1.5 million square feet of leasable area. This is as per the plans which are currently under design development, and we continue to have more FSI potential to develop other asset classes in the subsequent phases. With the recent land acquisitions in Bangalore, Coimbatore and Chandigarh -Mohali during 2024, we continue to build out a strong pipeline of retail -led mixed -use destinations going up to 2030.
Looking at our commercial offices business :
As of September 2024, occupancy across our operational office assets in Mumbai and Pune stood at almost 70% with gross rentals averaging around Rs. 118 per square foot. D

uring the
first half of FY25, we achieved gross leasing of approximately 150,000 square feet across our operational office assets. For Q2 FY25, income grew by 19% to Rs. 54 crores and EBITDA was at Rs. 34 crores up by 31%. For the first half of FY25, income stood at Rs. 105 crores, up 17% and EBITDA grew by 31% to Rs. 66 crores . The growth in the segment was led by improved rent generating occupancy at Art Guild House, Mumbai and Fountainhead Tower s in Pune.
Looking ahead, we have initiated pre -leasing activities for Phoenix Asia Towers in Bangalore. The construction of this asset is complete, and we are awaiting the occupancy certificate. We are also nearing completion of our offices in Pune, which are Millennium Towers and at our offices in Chennai. Our office developments in Bangalore, Pune and Chennai will take our commercial office portfolio to nearly 5 million square feet.
Hospitality portfolio:
Our hotels have delivered a stellar performance this quarter with The St. Regis, Mumbai leading the way where occupancy improved by 3 percentage points to 85% for both Q2 and H1 FY25, driven by increased corporate events and wedding festivities in the city. This led to a 15% growth in the average room rate to Rs. 17,320 and a 19% increase in RevPAR to Rs. 14,694 for Q2 FY25. For the first half of the year, ARR and RevPAR at this asset grew by 7% and 11% respectively.
At Courtyard by Marriott, Agra occupancy for Q2 FY25 stood at 67%. The property achieved a 9% growth in ARR reaching Rs. 4,569 and a 5% increase in RevPAR to Rs. 3,044 during Q 2 FY25.
Looking at our residential business for the first half of FY25 :
The business achieved gross sales of Rs. 78 crores and collections of Rs. 125 crore s. The average sales price across our two residential assets, One Bangalore West and K essaku, both in Bangalore is approximately Rs. 26,000 per s quare foot. We currently have approximately 390,000 square feet of ready inventory remaining to be sold at these two projects.

 This brings me to the end of the performance update across our businesses. Here 's wishing you all a Happy Diwali and a Prosperous New Year.
I would now like to request Kailash to take you through the financial performance.
Kailash Gupta : Thank you, Shishir and good morning , everyone.
Let us begin with the Financial Performance of our standa lone business :
The Phoenix Mills Limited on a standalone basis primarily consists of Phoenix Palladium , Mumbai and a small component of offices at the Phoenix House. For Q2 FY25 , income from operation s reached Rs. 1 16 crores , a 3% increase over the same period last year. EBITDA for the quarter remain ed steady at Rs. 72 crores with a margin of 63%.
Moving to our consolidated business :
Last year, we realized significant revenue and profit from sale of ready inventory in our Bangalore Residential projects. Additionally, the receipt of OC for Tower 7 at One Bangalore West boosted our revenue.
Adjusted for the residential business, consolidated operational revenue across the annuity portfolio for the quarter was Rs. 870 crore s, growing by 22% year -on-year basis. Consolidated operating EBITDA excluding residential business grew by 19% year -on-year basis reaching Rs. 502 crore s in Q2 FY25.
Updates on our debt and liquidity position :
I am pleased to announce that PML's credit rating was recently upgraded to AA positive , with the positive outlook , reflecting our growth trajectory and discipline d financial approach.
As on September 2024, our liquidity position was at Rs. 1,974 crore s. Compared to March 2024, our group level gross debt increased marginally by Rs. 13 crores to Rs. 4,379 crore s. Our group level net debt position improved to Rs. 2,405 crore s as on September 2024.The net debt -to-EBITDA ratio remain ed healthy at 1.1x a nd we have successfully reduced our average cost of debt to 8.67% in September 2024.
We re

main committed to reducing debt and optimize our cost to debt ratio. Notably , all our recent land acquisition s have been funded entirely through internal a ccru als. Just to give you the perspective, our total CAPEX in the first half was at ~Rs. 1,380 crore s, which includes land acquisitions of ~Rs. 740 crore s and a construction cost of approximately Rs. 640 crore s. The entire funding is done from the equity participation from CPPIB at ~Rs. 270 crore s and the balance was funded through internal accrua l. So this show s the financial discipline which we are following in the business side.

 On the cash flow , for the first half of FY24 , we generated a net cash flow around Rs. 1,000 crore s from operation s and during Q2 FY25, we generated a net cash of Rs. 486 crores from operations. To provide further context, after accounting for the interest payment on our existing debt , our operating free cash flow , net of taxes and interest was at Rs. 380 crore s.
Excluding the residential business, the operating cash flow for Q2 FY25 stood at Rs. 378 crore s, a 24% increase from the same period last year.
With the upcoming festival and winter season, we remain optimistic about our performance in

the second half of the year. We have a strong development pipeline in place extending up to 2027. With the recent acquisition s in Thane, Bangalore, Coimbatore , and Chandigarh -Mohali , we now have a pipeline visibility going up to 2030, which we will announce shortly. We expect to double our operational annuity portfolio area between now to 2030. Leveraging our strong balance sheet, we are committed to delivering our under -construction projects on time and deploying capital judici ously to expand our portfolio.

This brings me to the end of the financial performance update. Wish you all a very Happy Diwali and let us get into Q&A session .

Moderator : Thank you very much. We will now begin the question -and-answer session. We w ill take our first question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My first question is , if you can give some color on what you are seeing in the first 25 days of this month, how is the start of the festive season and this month in terms of consumption level?

Shishir Shrivastava : This month has been a bit of a mixed bucket in terms of performance across the country w ith Chennai and Bangalore seeing the heavy deluge, we have seen quite an impact on consumption , perhaps to the extent of about Rs. 20 crores or so because of the rains itself. Mumbai, Pune seem to be pretty much moderate so far but starting yesterday with the two weekends of the festive season, we are quite geared up to see high foot falls and high consumption. Also, as you are aware, even in times wh ere one generally has been seeing a decline in sales across retail brands across the country, not just in our portfolio , we drive consumption slightly differently and therefore we have not seen de-growth , we have only seen a positive growth as we mentioned like -to-like growth excluding Mall of the Millennium and Phoenix Mall of Asia, Bangalore , our l ike-to-like growth is in the range of about 7 %-9% averaging there and this is for the month of October, despite the rains in Bangalore and Chennai.

Puneet Gulati: Just a small observation here , in your other category for last quarter, this is sharp 21% decline , I know it is just a small part of your overall business, but what all does it capture?

Shishir Shrivastava : What all does others capture ?

 Puneet Gulati: Yes.

Shishir Shrivastava : Others income typically would be parking income, marketing income and event space rentals, etc.

Puneet Gulati: And secondly, if you can comment upon, you have done 3 acquisitions of f late and some progress on Thane side as well. So, Coimbatore, Mohali, Thane if you can give some sense of what are the rentals and w

hat is the total area you are looking to build there?

Shishir Shrivastava : So, I would like to put it lik e this that our business plan is underwritten with conservative rentals, right , but despite that, I would say that by the third year of operation, we should be in the range of about 14% yield on cost. We have underwritten the rentals, looking at what are the rentals in competitive malls in that vicinity and we have kind of just use d that as our base approach , though we typically track maybe 15% higher than what the market average would be.

Puneet Gulati: Lastly, if you can comment on the progress on your office leasing ?

Shishir Shrivastava : Office leasing has seen good progress. As you can see our gross revenue and EBITDA is up significantly compared to the previous year. We are waiting to get the OC in Bangalore. It is about 800,000 square feet of GLA. We have transactions which are in place and will get executed soon after OC , for I think about 200,000 square feet almost and a lot of discussions in pipeline . Historically , Bangalore has seen the highest ever leasing in the country in the first half in this financial year and we are happy to see the traction find its way to our asset as well.

Puneet Gulati: And Pune side ?

Shishir Shrivastava : Pune is still under development. I think we may be about 6 months away from OC. So, we are also actively in the marketing phase there. There have been a lot of site visits, a lot of RFP's which are under di scussion now ; as soon as we have confirmations, we will let you know what area has already been signed up.

Moderator: Thank you. Next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary: I am looking at just one number and I am trying to decode as much as possible, so please indulge if you can , so, I am looking at the PATMI number, which is net profit after minority interest. And when I look at last quarter, it was down 3% year -over -year. This quarter is down 14% year -over -year. Again, obviously there is a residential angle to it. So, two questions there , one is, how should we think about the residential business margin for you? Is it a 5% margin net business or 15%? And then the second thing is that you have given us excluding residential EBITDA growth, I think probably for the first time. Would you ensure that you will continue to

 give or can you give retroactively the force so that that is the real way to understand the growth and the reason to there is disconnect between these two because if you remove the residential part of the business, it is nicely growing ; both in EBITDA and revenue terms. But as I said, PATM I even if I remove the residential part with some assumption of margin , it still shows year -over - year decline. So, can you just help us reconcile that?

Shishir Shrivastava : Praveen, I am going to try and respond to a couple of questions and a few , you will have to repeat again because that was a long list of many questions. Firstly, yes, in Q1, we had disclosed the EBITDA numbers excluding the residential business and we will continue to do that as we have done in Q2 as well and going forward. I just want to clarify that for us, the residential business today , it primarily comprises of that balance inventory of about 390,000 square feet in Bangalore . Our margins are in the range of about 40 %-50%. So, it is not a declining margin business for us . This is ready inventory and we have already incurred all the cost there. Even when we are looking at the development in Kolkata, the residential development in Kolkata, the margins would be in the similar range or maybe 5 %-10% lesser than that, but it is not 5 % or 10 % or a 15% margin business for us. Would you like to repeat your other questions?

Praveen Choudhary : I was not talking about EBITDA margin. I was thinking of net margin because one of the main question s I have is your EBITDA growth is fine , like-to-like or excluding residential , that is very strong. We are talking about PATMI growth, which is where, because of minority interest, maybe minority interest is growing very fast. Those malls which are JV projects are doing very well. That is why there is a disconnect between the speed at which you are growing on the topline and EBITDA is not s howing up in my net profit line. And I am trying to reconcile it and that is why?

Shishir Shrivastava : Few lines on what has impacted the net profit margin . One is our liquidity has reduced , so our other income from interest and investments , etc., has certainly reduced. The taxes have gone up because in many of our newer malls , we don't have any debt or very nominal debt. So, the tax impact is high . In the older malls , we have utilized accrued losses , so, taxes have started increasing. So, these are a few of the lines which have impacted our net PAT if you were to look at it. I didn't quite get the point on the JV businesses because we do consolidate all the numbers. We own majority , more than 50 % in all our JV's. So, we are consolidating all the lines there. Perhaps you are looking at after the minority sharehol ders interest. So, yes, in the case of CPPIB JV, there is a 49% sharing out there and in the case of our joint venture with GIC, there is a 33% share that they have.

Having said that, I would also like to point out a very interesting fact here , all of our operating assets, excluding the ones which are new where we have certainly built out all the remaining asset classes, but all of our assets which are currently generating Rs. 200 plus crore of revenue or of rental income or even EBITDA, these numbers are coming out of about 1 million or 1.2 million square feet of GL A. And all of them have the potential of additional FSI, which we are exploiting and we are constructing and building, and they will e ach become developments in

 the range of 3-5 million square feet. So, you can imagine the potential growth arising out of this additional area, which are all annuity assets.

For example , if you look at Phoenix MarketC ity, Bangalore, we have about 1.2 million square feet of retail space currently , we are adding another 100,000 square feet. We have the Grand Hyatt Hotel coming there. We have the offices block coming there, plus we have acquired the adjacent land, which once we are able to amalgamate that will give us further potential of another 1.2 million -1.5 million somewhere in that range. So, the incremental cost s for developing these asset classes are very low because we own the land. Yes, you are paying for premium FSI and construction, but the return or the yield on all of this is going to be significantly higher and all of this is playing out between n ow and 2027 where we have explained how our portfolio is going to grow. So, this is an important fact that I would like you to bear in mind, which will obviously have a significant impact on our PAT going forward.

Praveen Choudhary: I guess the strategy is unquestionably correct. We also see that recent land acquisitions will ensure the visibility till 2030 in terms of newer malls and newer offices coming through. Some investors do ask is there a gap between now and 2027 and probably that you are trying to answer that question by saying some of the FSI you will exploit, but is there something you want to talk about between now and 2027 when either Surat or Kolkata comes through and after that it looks very smooth that we can see some slowdown, meaning that there is the gap between the reported growth and the like -for-like growth will narrow means they will be similar which will reduce the overall growth for the company. And I understand the office coming through and we understand the Palladium extensions coming through, but still it won't be same as what we ha

ve seen in the last 12 months where you had 4 new malls coming in. Is there anything to fill up that gap?

Shishir Shrivastava : As you mentioned, offices are all going to be operational between , let us say , we should get the OC in about a month ’s time in Bangalore , in 6 month s’ time for the 1st Phase in Millennium Towers, another 4 months thereafter for the second Phase of Millennium Towers, so incremental area and of course Chennai as well – we have another 500,000 odd square feet of

offices in Chennai which will come online. We have Phoenix Palladium as I mentioned , another 250,000 square feet which will be operational very soon. So, over the next 24 months, I think every quarter you are going to see maybe 250 ,000 -300,000 square feet becoming operational of either retail or office . So, I think that these are certainly going to help bridge the gap. There could be maybe one quarter impact because between leasing and trading, but one can safely assume that there is a significant growth coming out of these inorganically through these expansions .
Moderator: Thank you. We will take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

 Parikshit Kandpal: Shishir, m y first question is on consumption. So, we have seen a decline of 4% in Palladium, 2% in Bangalore, Pune also 5% and 3% in Chennai. So, I just wanted to understand if you can help us with some data points over the last few months , so how ha ve been the revenue share and the minimum guarantee tracking? So, is there a divergent building between the two now because of the slowdown in sales of the retailer? And will that in any way impact or when they come back to us and negotiate ag ain for a lower rate, if they are not able to do well in their portfolio ?
Shishir Shrivastava : So, in the last 12 months, generally I would say minimum guarantee at an average across our malls may have gone up by about 10%. And as we know that in the last quarter or last two quarters, retail consumption has been muted. We have seen growth in our malls. It has not been there , Pan India in other standalone stores etc ., but I would say 5% -7% growth is what we have seen. Consequently, because the minimum guarantee and you are very well familiar with our model Parikshit, every cycle of 3 years, you see that MG moves up and catches up with the incremental rent that we get out of the revenue share. So, it takes another 2 quarters or 3 quarters before the revenue share starts moving up again. So, perhaps we may see an impact of the slow consumption across the country, but we are confident that with our initiatives , it maybe a 2-quarter lag, but again we will start seeing incremental rent being contributed out of revenue share as the consumption moves up.
Parikshit Kandpal: But you are seeing some divergence between the two. So, revenue share is tracking down and MG is tracking higher. So, what is this period?
Shishir Shrivastava : No, i t is not tracking down or tracking higher. This is the way our model has worked over the last 20 years . Every 3 years, you see a significant jump as you end the contracts near end of tenure and you enter into renewals or even within 5-year contracts at the end of 3 years , there is a significant jump in MG. So, this is the way the model is . MG moves up , then it takes and catches up with the overall rent that we were deriving as a combination of MG plus the incremental rent from revenue share. So, when MG moves up, it catches up to that. That becomes the new base and over a period of 2 or 3 quarters consumption then tracks up and starts contributing further incremental rent. See typically we have always seen an average of incremental rent being in the range of about 11 %-12% over and above t he minimum guarantee. So, we remain confident that over a period we will be at that , we will continue to be at that.
Parikshit Kan

dpal : Sir, second question is on the Multiplexes, which is about 14% of the trading mix and F&B 11%. So, one edge , we have seen both Multiplexes tracking down by almost 11% in consumption and F&B has been muted 0 to 2%. So, they take up almost 25% of the area, but they are not growing and both are interrelated, though they contribute very low, Multiplex is about 4% to the consumption , but still occupying a lot of space and we are not be ing getting good Blockbuster content of late for some time now and I think you did mention that you are looking at adding more area under this umbrella. So, given that how do you see growth coming in when large part of the area will not contribute towards rental growth or consumption growth?

 Varun Parwal: Varun this side. I think just clarifying on the first part, family entertainment centers which comprise of retailers like a Time Zone, or a Play ‘N’ Learn or Game Palacio or other gaming centers is at about 5 %-6% of our overall re tail leasable area at this point in time and Multiplexes are at about 8%-9%. The f amily entertainment centers , of course, have been seeing a very strong growth and they have been acting as crowd -pullers and they have been helping us increase the dwell time that consumers have and Multiplexes for reasons that have been discussed in various other forums they have seen a bit of impact on consumption because of the sort of content t hat is coming out, but I think as we look forward we see the content pipeline increasing and improving and we are seeing a lot of blockbuster lineups scheduled now for the period from November to March. So, we are hopeful that we are through the worst of the cycle for the Multiplexes and going forward we should start seeing improving numbers and at the same time with our family entertainment centers and our own in -house fan parks and open spaces , we have done a lot of events for which the response has been phenomenal across cities and that continues to act as getting people an experiential avenue to come and spend time in the mall.

Parikshit Kandpal: Sir, just on that is the last question on this Thane thing. So, now we have 2 large malls in the vicinity of about 2 kilometer radius and I understand one of the peers who has bought land nearby is looking in the market to sell the land where he was planning to build the Multiplex. So, what gives us confidence that the market where already too large assets are there, one peer is looking to exit , so what gives us confidence that again we can repeat Phoenix MarketCity kind of a model in this m icro market?
Shishir Shrivastava : I think it is going to be an interesting development to see how Thane is shaping up. We believe that Thane does have the size of the market, that can absorb another 1 or 2 million square feet of retail GLA. We are going to clearly build something which is best in class new age. We are going to be leveraging our relationships with the brands to get the best brand mix over here. When we purchase, typically before we acquire any land, we do extensive research and extensive discussions with our brand partners who lead the mall occupancy , global and Indian brand partner s and we have a lot of interest from the best of brands to be a part of this mall. We are very conscious of the competition there and clearly our efforts are going to be to build the best asset that there is in that micro market for time to come and that will be the foundation of driving our success.
Parikshit Kandpal: So, what will be the rentals we are kind of starting rentals ?
Shishir Shrivastava : So, we have underwritten our rentals in the range of about 175, but that i s only for the business plan and for the acquisition , evaluation and feasibility. We are confident that the market is going to be closer to about 180 -200 in that range ; and I think that puts us in a very good space.

Moderator: Thank you. We will take our next question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

 Parvez Qazi : My first question is regarding the Thane land parcel. When do we see the completion timeline for the mall which we intend to develop in the first phase ? Second is with regards to the Kolkata residential project , what could be a potential launch timeline there ? And third at a slightly broader overall level , slowdown in urban consumption has been talked for now last couple of quarters. We have in fact done quite well , so what additionally can we do in terms of either category mix change or other things which we can try to kind of tackle this situation ?
Shishir Shrivastava : Thane, if I may just clarify Parvez your first question was on Thane, I couldn't hear you very clearly.
Parvez Qazi: So, the completion timeline for the Thane mall?
Shishir Shrivastava : We are currently in advanced design development stages. I think we will go into approvals , maybe in the next month and a half or so. Typically , it may take a quarter or so to get the approvals . I would think that we should be in a position to break ground in about 6 months from now. Typically , the first phase, which is the mall, takes about 4 years to build out. And so in about 4 -1/2 years, one can expect that the mall will be ready for retailers to do their fit outs and soon after that commen ce their operations.
Parvez Qazi: For the Kolkata Residential ?
Shishir Shrivastava : Kolkata Res idential, we expect to launch this in Q1 FY26 some -time in April next year. And the pre-marketing activities will start even probably in the last quarter of this financial year.
Parvez Qazi: And regarding the overall urban consumption thing , what can be done?
Shishir Shrivastava : We will continue to focus on what we do best . We have c ontinually been very innovative in the way we are driving the right profile of customers to our mall and driving consumption and we are going to continue to do that. We have some excellent lineups of some large events, performances at all our malls with great artist s, lot F&B based events . I don't know if you are aware we did the MasterChef event in Bangalore where we had erstwhile judges from Australia visit us and this ran over 3 days. All 3 days were sold out. Tickets were priced at Rs. 6,000 ahead and they were all sold out, so these are the quality of events th at we run there which drives consumption . Over and above that we have the best of artists performing across our destinations , we have the best experiential events, décor w hich all is driving consumption. So, we will continue to do that and continue to do that the best way we can which is why again, if you just correlate with retailers, Pan India consumption and versus the consumption recorded by their stores in our malls, you will see that they track far better than they do across the country.
Moderator: Thank you. Next question is from the line of Kunal Lakhan from CLSA. Please go ahead .

 Kunal Lakhan: So, just on the consumption side, so if you just consider like the malls which have been stable, right, in terms of the occupancy abo ve 90% , so if you exclude, say, Ahmedabad, which saw uptake in the occupancy as well as trading density , the overall consumptions , rather same store consumption was like say less than 3% up, how should one look at this number going ahead right now ? I remember in the past you have spoken about your mature malls should clock somewhere in the range of like double di git consumption growth on a steady state basis. How do you look at this number now in the context of the slowdown that we are seeing overall in consumption across India ? I understand your consumption at your malls is doing better , but overall slowdown is there , so how do you see this number for steady state malls going ahead?

Shishir Shri

vastava : Kunal, you have to actually look at historically how we have trended over the last 15 years and we have typically been in that double digit growth for the last 15 years. I believe that simply with the way our shoppers are growing in numbers over a period of time , to me personally this may be a blip for a couple of quarters fueled by many reasons, whether it is the pricing inflation in retail, whether it is generally , we had elections and we had dry days and all of that this year, I think it is a blip that one may see for a couple of quarters, but again, over the long run, we remain confident to see double digit growth in consumption across the board. And we are conscious of the fact that as the malls age, as the market actually continues to , at some point it is not going to keep growing, but there is going to be some kind of leveling of in -consumption trends. So, we focus on how we are going to grow the business and we continue to focus on looking at new geographies where we can enter and I think that strategy has played out well in times where organic growth has been moderate , but we are seeing that the contribution due to inorganic growth has taken our overall consumption and overall rentals and EBITDA up. That strategy continues to play out.

Kunal Lakhan: And just to understand like 10% double digit consumption growth, how do you break this up like say in terms of pricing lead , in terms of volume lead , volume of footfa lls lead, how do you bring that up internally for yourself ?

Shishir Shrivastava : If you just look at Phoenix MarketCity, Mumbai, right, which has recorded double digit growth , we have seen the contributors to that would be new retailers that we have added like Uniqlo etc., so we a re bringing in new brands and new categories as well. We have seen F &B with cafes and bars showing a significant increase in consumption . Return to , I would say the Multiplex es awaited because that I think is going to fuel more consumption, but hopefully with new blockbusters being released that will play out well. We got Decathlon in at Phoenix MarketCity, Kurla again, which is under fit out. This is going to certainly bring in a different category and a new brand in driving that. And interestingly, as the occupancy of the offices continues to grow, that keeps adding captive audience to the mall for the entertainment and F&B and that again is going to aid consumption growth. So, similarly , again as w e see the office occupancy of Fountainhead Tower 3 in Phoenix MarketCi ty, Viman Nagar that will aid consumption as well . As Phoenix Asia Towers 800 ,000 square feet get occupied in Bangalore

 that will aid consumption at Mall of Asia. So, there are multiple strategies at play here which help us get into a 10 %-11% kind of growth.

Kunal Lakhan: And my second question was on the Tier-2 city opportunity, right, we have seen some capital deployment there in the last few years and particularly in last quarter also , Coimbatore and Chandigarh. So, how should we look at incrementally on the capital deployment side? How much would be the focus towards Tier-2 towns and just an overall, just be on the whole ?

Shishir Shrivastava : We have been very clear about our growth strategy and cities which are of interest. I think it is repeated in every investor presentation and we are simply going with that and check boxing that. You can see Thane, Coimbatore, Chandigarh have been check box. We still are looking for options in Hyderabad , NCR, Navi Mumbai, Goa, Jaipur, Kochi . These are markets that we believe are well worth our investment . We should achieve our target yields of 14 %-15% on mall stabilization in each of the se locations after 3 years of operations and steadily increasing and going up to 20% thereafter. So, we have been quite clear . If you are asking us what is our Tier-2 strategy, just look at the slide in our corpo

rate presentation and you will see the cities of interest, these are the cities that we are focused on.

Moderator: Ladies and gentlemen, we will take that as the last question for today. On behalf of Phoenix Mills Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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February 05, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated January 31, 202 5, wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call concluded on Friday , January 31, 2025 at 11.45 A.M. (IST), with Analysts / I nstitutional Investors on the Unau dited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2024 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2025/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9M FY25 Results Conference Call of The Phoenix Mills Limited .
As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation c oncludes.
Management of the company is being represented by Mr. Shishir Shrivastava , Managing Director; Mr. Kailash Gupta, Group CFO ; and Mr. Varun Parwal , Group President, Strategy, Audit and Head - Corporate Finance.
Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mr. Shishi r Shrivastava. Thank you and over to you, sir.
Shishir Shrivastava: Thank you, Michelle. Good morning, everyone. We take pleasure in welcoming you all to discuss the operating and financial performance for the Third Quarter and Nine Months ended December 2024. It's our privilege to share yet another strong quarter of growth and success with you.
Our Q3 FY25 results reflect our unwavering commitment to delivering sustained value for all

our stakeholders. I hope you have had a chance to look at the results presentation shared by us; the s ame is uploaded on the stock exchanges as well as our corporate website. I will now take you through the key highlights of the results.

Let us start with an overview of our performance on a consolidated level. In Q3 FY25 , our core businesses , that is retail , offices and hotels achieved an operating revenue of Rs. 927 crores, and EBITDA for the quarter was at Rs. 561 crores . We had strong performances across our core operating businesses, which reflected in revenue growth of 14% year -on-year and EBITDA growth of 21% year -on-year . To provide a more accurate picture of our core business performance, we have adjusted the figures to exclude the contributions from the residential and non -core businesses, which are inherently variable in nature.

For 9M FY25 , operating revenue from our core businesses stood

at Rs. 2,613 crores , up 19%
versus 9M FY24 . EBITDA for the nine months from our core businesses was at Rs. 1,601 crores , up 21% versus 9M FY24 .

For the group , at a consolidated level, revenue from operations for 9M FY25 stood at Rs. 2,797 crores , which is a 5% increase year -on-year , and EBITDA was at Rs. 1,602 crores , up 3% versus 9M FY24 .

Moving on to our retail business performance , the first up is the update on the expansion of Phoenix Palladium , Mumbai. I am pleased to announce the completion of a significant expansion at Phoenix Palladium , Mumbai, adding approximately 250,000 square feet of gross leasable area. This expansion aims to offer an unparalleled retail experience with five levels of curated retail offerings , a diverse s election of distinguished F &B outlets , and an elevated dining experience. Planned additions include entertainment options such as a pickleball and paddle court , and an indoor gaming and entertainment hub.

In November 2024 , we celebrated the grand opening of this new annex building with the launch of South Mumbai's first and Mumbai's largest Uniqlo store. This was followed by the opening of Celio’s flagship store and Lifestyle, along with other retailers including Ec co, GAP, San-Cha Tea, Dessange and Nykaa Luxe, and more launches are expected in the coming months. We have created a tw o-level F&B village featuring over 18 dining venues, several which are currently under fit -out, and a large entertainment hub under fit -out which is Game Palacio which will further enrich the center ’s offering.

Moving on to our operational highlights :

Retail consumption surged to over Rs. 4,000 crores in Q3 FY25 , marking a robust 21% year -on-year growth. This reflects the continued strength of discretionary spending and the resilience of our premium retail assets. We witnessed a significant revival in consumption during this festive season, with strong growth at several of our properties, including Phoenix MarketCity Pune , which reported an 11% increase , and Phoenix Pala ssio Lucknow which saw a 19% increase. Of course, the recently launched properties at Indore, Ahmedabad, Pune and Bangalore continue with strong operating trends. Across the portfolio : Jewel ry emerged as the top performing category this quarter with a growth of 26%, followed by FEC and multiplex showing a 16% growth. Fashion and accessories showed a growth of 13 %. In this last quarter , we saw unseasonal heavy rains in Bangalore and Chennai which impacted consumption . It is our estimate that our overall consumption would have been higher by about 1 .5%, approximating about Rs. 55 to Rs. 60 crores in Q3 FY25 had we not seen this unusual weather change .

Retail rental income stood at Rs. 505 crores , up 12% year -on-year . Retail EBITDA for the quarter came in at Rs. 505 crores as well, up 15%.

Consumption reached Rs. 10,500 crores during the first nine months of this fiscal year , up 23% year -on-year . This compares favorably to the total consumption of Rs. 11,300 crores achieved in the entirety of FY 24 . We saw strong uptick in consumption during the quarter and this

positive momentum has continued in January as well. Retail rentals for the first nine months of FY25 exhibited a 21% year -on-year growth, reaching about Rs. 1,470 crores . Concurrently , EBITDA for this period was up by 22% year -on-year at about Rs. 1,511 crores .

Trading occupancy continues to build strong momentum reaching 91% in December 2024, up 87% from March. Our newly launched malls are ramping up at an impressive pace, contributing significantly to this growth. Palladium Ahmedabad achieved a strong trading occupancy level of 97% in December 2024 . Phoenix Mall of the Millennium , Pune, has reached a trading occupancy of 91% , and Phoenix Mall of Asia touched a trading occupancy of 81% in December 2024.

Moving on to th

e office business. As of December 2024 , occupancy across our operational
office assets in Mumbai and Pune stood at 70% , with average rent at around Rs. 112 per square foot. During 9M FY25 , we completed leasing of about 1.7 0 lakh square feet in the currently

operational offices. During the quarter, our commercial office income grew by 7% to Rs. 53 crores and EBITDA was at Rs. 33 crores , which was up by 17%. For 9M FY25 , income was recorded at Rs. 158 crores , up 12% , and EBITDA grew by 22% to Rs. 98 crores . Income and EBITDA growth primarily resulted from increased license fees due to higher billing from new leases and rental escalations , coupled with improv ed cost control measures.
We are pleased to announce that Phoeni x Asia Towers , Bangalore , has received the occupation certificate and we will see our clients , who are currently under fit out, commencing operations from their fantastic offices soon. Pre-leasing activities have commenced for Phoenix Asia Tower, Bangalore , and Phoenix Millennium Towers . We have cumulatively leased about 110,000 square feet across these assets. We still await the completion of Millennium Towers, Pune , post which we expect the leasing velocity to accelerate. Looking ahead, we also anticipate the completion of One National Park , our offices in Chennai , during 2025. Our office developments in Pune, Bangalore and Chenn ai will take our total commercial office portfolio to nearly 5 million square feet , in 2025 .
Moving on to our hotels . A key element of our strategy this year has been a deliberate focus on optimizing the ADRs (Average Daily Rate) , even if it meant potentially moderating occupancy levels . This strategy has proven particularly successful with our flagship property, The St. Regis Hotel , Mumbai.
The St. Regis continues to lead the market, achieving a stellar 11% increase in ADR at about Rs. 22,343 for Q3FY25 . This reinforces our pricing power and the premium positioning of our hotel. During Q3 FY25 , we achieved an impressive 11% increase in ADR while maintaining a healthy occupancy rate of 84% , a marginal 2 percentage point improvement. For the 9M FY25 , ARR and RevPAR at The St. Regis, Mumbai , grew by 9% and 13% , respectively. Income for Q3 FY25 at The St. Regis , Mumbai , was Rs. 148 crores with an EBITDA of Rs. 72 crores , representing healthy EBITDA margins at about 49%.

 The Courtyard by Marriott , Agra , has delivered excellent performance with occupancy at 83% and a strong 21% growth in ARR. This again reflects the sustained recovery in domestic and inbound tourism. Revenue from F &B and banqueting saw a strong growth of 13% during the quarter , supported by the growth in Rev PAR and F&B, total income for Q3 FY25 grew by 16% to Rs. 20 crores , with a stro ng EBITDA margin of 37% at The Courtyard by Marriott , Agra.
A quick snapshot about our residential vertical . For the 9M FY25 , our residential business achieved gross sales of Rs. 135 crores and collections of Rs. 165 crores . The average sales pri ce across our two residential assets , One Bangalore West and Ke ssaku in Bangalore is approximately Rs. 26,100 per square foot for 9M FY25 . We currently have about 380,000 square feet of ready inventory , which we expect to sell in these two projects in the coming years.
This brings me to the end of the operational update of our businesses , and I would now like to request Kailash, our Group CFO , to take you through the financial performance.
Kailash Gupta: Thank you, Shishir and good morning, everyone.
Let us begin with the financial performance of our standalone business first. The P &L on a standalone basis, includes Phoenix Palladium and some a small part of office component. For Q3 FY25, income from operations touched to Rs. 127 crores , a 6% increase over the same period last year. EBITDA for the quarter stood at Rs. 81 crores , increase

by 5% at the margin of
64%.
Moving to be a consolidated business . Our consolidate d revenue from operation s for Q3 FY25 was at Rs. 975 crores , with an EBITDA of Rs. 553 crores . For the nine months ended December 2024 , consolidated revenue was at Rs. 2,797 crores, u p by 5% . And EBITDA was Rs. 1,602 crores . Our core businesses, retail , office and hotel have generated Rs. 1,601 crores .
Let me update you on the cash flow, CAPEX , liquidity and debt part. The net cash generated from operational activities for 9M FY25 was Rs. 1, 506 crores , and for Q3 it was Rs. 506 crores. To provide further context, after adjusting for interest and taxes paid , and excluding of course the residential business, the operating cash flow was Rs. 380 crores , up 12% for the Q3FY25. Capital expenditure for 9MFY25 was at Rs. 1,758 crores which includes acquisition of three assets, mainly the Mittal land (in Bangalore) , Coimbatore and Chandigarh , total amount is Rs. 965 crores and the total construction cost is around Rs. 793 crores . As on December 2024, the liquidity position i.e total cash available for the future is Rs. 2,074 crores . Compared to March 2024 , our group level gross debt increased marginally by Rs. 25 crores and stood at Rs. 4,391 crores . Our group level net debt position post the cash reduction is around Rs. 2,317 crores as on December 2024.

 We reduce d our average cost of borrowing to 8.64%, which is around 20 bps reduction as compared to March 2024 , and we remain committed to the future optimization of our debt cost, s o we continue to churn our debt portfolio based on the availability.
To secure our long -term growth, we have strategically acquired six land parcels totaling to

around 53 acres over the past two years , and we have now pipeline visibility up to 2030. Our strong balance sheet remains a cornerstone of our growth strategy with a net debt to EBITDA ratio at just 1.1 x, and provides ample headroom for strategic expansion. Our growth trajectory remains strong and well defined with plan to double our operational annuity portfolio by 2030. We are systematically executing on our pipeline , ensuring long -term value creation for the stakeholders, leveraging our strong balance sheet. We are committed to deliver our under construction projects on time and deploying capital judiciously to expand our portfolio.

This brings me to the end of the financial performance update and the liquidity position. We can now start with the Q &A session . Thank you.

Moderator: Thank you very much , sir. We will now begin with a question -and-answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati : Yes. Thank you so much , and good morning. My first question is , if you c an talk a bit about the non-retail part of the business. There seems to be a bit of slowness in commercial leasing , on the residential sales, especially given the environment . Can you talk about what you are doing to accelerate those sales and leases ?

Shishir Shrivastava: Hi, Puneet . This is Shishir . Thank you for your very relevant pertinent question. Let me talk a little bit about the o ffice s first. Across the country, we are seeing the demand to grow for office space leasing. In Bangalore, as I mentioned earlier in my communication , we have just recently received the occupation certific ate, and we now see a lot of interest going up there. Also, I want to talk a little bit about course correction. While we were building all of these offices , we came to realize that it was very important to get the front office ; Grade A; best -in-class positioning right . And in that context, we have now created some signi ficant experiences at the office s, the amenities that we have created, executive lounges, meeting room facilities, flex spaces for our occupants over there , fantastic F &B options within the offi

ce development itself, including cafes, gym s, I would say community spaces.

All of these were a part of the course correction that we did when we started looking at what competition was all about . And in the market of Pune and Bangalore , we realized that the competition was all focused on IT and ITES spaces . And for us to create a niche and carve out and attract the right clientele , it was important to get the positioning and the amenities and the entire building specs upgraded . We commenced this enhancement about six months ago and we have now nearly completed it. Very interestingly, H &M's India corporate office has

 signed up for space at Asia Towers, Bangalore , and we have got some very good clientele lined up now. I think we are going to see the benefits of all of this in the coming three quarters and we are going to see a very, very promising lea sing velocity going forward.

We have done the same course correction at Millennium Towers, Pune , as well . And we are very, very excited to see that this building has pretty much turned out to be the best -in-class new benchmark setting asset for that city. As I mentioned earlier, it's all about creating the right experiences. We have learned the value of this enhancement and the creation of significant revenue at The St. Regis and in our malls , and we are taking those learnings and duplicating them across our office assets across the portfolio .

Moving on to residential, Puneet, we have an inventory at the current pricing of approximately Rs. 1,000 crores. We are gearing up to expand that development with Tower 8 also getting launched perhaps sometime in the next financial year. We are very keen not to dilute the position ing. I guess your question is more about , how does one accelerate the sales velocity ?

Puneet Gulati : Yes, sir.

Shishir Shrivastava: The trade is, you drop pricing you get a higher sales velocity . For Rs. 1,000 crores inventory in our books , we w ant to maintain that premium positioning and pricing , we want to stay true to the product. We do not want to disappoint the buyers who alr eady have occupied spaces there and we want to set right the positioning for Tower 8, which will get launched in the next fiscal year. So , we are not seeing the benefit of dropping pricing to improve sales velocity.

Puneet Gulati : Understood , sir. That’s helpful. And from the numbers at least it looked like the net sales were actually negative , so a re we worried on the cancellation or those are some routine ones?

Shishir Shrivastava: No, no, this is more of a timing issue. I just want to point out o ne more , let me b ring about one more point for you to understand . In 2018 , see, o ur pricing was roughly at about Rs. 15,000 to Rs. 16,000 per square feet . And as a conscious call, we have decided to inch it up. As I mentioned earlier in my communication, we are currently at about Rs. 26,100 or thereabouts per square foot is the current pricing. And we have really inched it forward , we have set a new benchmark , I think it's amongst the highest pricing in that micro market or across the city in fact. We s trongly believe in the strategy and we know that it will pan out well in the long run for us.

Puneet Gulati : And second part is on the retail side , right . I mean, I guess a year and a half back you had said that retail consumption should on the same stores basis grow between high single digit to low double digits. When are we likely to see that? And what needs to be done for your existing pre-2020 portfolio ?

Page 7 of 10 Shishir Shrivastava: Yes. So I think in the older malls, again, I want to go back a little bit into history and let's look
at the period of 2017 , 2018 and 2019. Across t he same portfolio of assets which you are talking about, the earlier older portfolio , in that period of two to two and a half years, we had seen consumption kind

of plateau , and this is cyclical , in our opinion. When I say cyclical, it's not economic cycles, it's cyclical because brands kind of need to be enhanced , the product needs to be enhanced. And in 2018 -2019, we took up the significant exercise of premiumization , category upgradation , bringing more bridge to luxury brands in .
And in the subsequent years , three, four, five years we have seen how consumption has grown .
So, we are now again at that same point where all of these assets we need to be working on premiumization, category upgradation , and of course optimizing the store size, introducing newer brands. We are very excited about Bershka opening up at Phoenix Palladium. I think it's completely new brand for this market and it's a much anticipated brand by our consumers.
So I would say it's the same strategy . Our teams are working on it. We have a lot of confidence on how this is panning out from our ongoing discussions with retailers. I think just let's look at the performance of Mall of Asia and Mall of the Millennium, where we have created more efficient layouts and optimized store sizes to accommodate new brands. We have given more space to performing retailers. There are newer categories that have come in. F &B, we have increased the allocation of area. We have brought in more fine dining, cafes, bars, F &B densification on multiple floors, creating the whole F&B village or eclectic village at Pune .
We have seen how strong the performance is now at Family Entertainment Centers (FEC) , and now we have multiple FECs across the location creating these indoor social venues, a dding smaller but high density trading stores like watches, cosmetics, electronics. So , this is a strategy that we have and it was something which is in execution . And it's very routine to our business.
You are going to see in the retail space in any mall there is going to be a plateau every let's say five to seven years in consumption , and you have to take all of these steps for consumption to grow and take it to the next level.
Puneet Gulati : Understood. That's really helpful. And thirdly, anything more in terms of pipeline for new business development ? And when should we expect start of work in Thane, Coimbatore and Kolkata residential launch?
Shishir Shrivastava: Okay. S o, clearly this has been a significant year for us. We are really committed to growing the retail , office, hotel and even the residential portfolio, right . So for now our plans indicate that Thane is going to see a retail GLA of about 1.3 million square feet. Plus , we have additional FSI of another 2.5 million square feet , and we are currently working on the plans to identify what is going to be the best asset classes to develop over and above the mall.
Puneet Gulati : When do you start work on Thane mall?

Page 8 of 10 Shishir Shrivastava: We are currently in the state of approvals , etc. and we hope that during this calendar year we
will be able to break ground once we get all our approvals in place. Unlike earlier Puneet, we now go to the very last detail on all design development before we break ground , because we see once you break ground and efficiently and quickly you build it out , I think that's the most prudent way to allocate capital and see the best returns.
Continuing on , Chandigarh is going to be another 1.3 million square feet mall . And again , we have additional FSI potential over and above , which is unlimited. So we are looking at perhaps a fantastic hotel over there as part of the mixed -use development. Coimbatore is going to be again 1 million square feet of mall space. We have , at our Phoenix Market City location , as part of that mixed -use development in Bangalore , we have already planned the expansion of about 600,000 square feet and that construction is ongoing.
So it's been a significant year for us in terms of acquisitions . And

we continue to evaluate
opportunities . As I have always mentioned to you and our other investors and shareholders and analysts, w e expect to launch at least 1 million square feet each year from 2027 onwards as well . And we are well to deliver on that pipeline that we had anticipated by FY 2030.
Puneet Gulati : Understood. Very helpful . Thank you so much . And all the best.
Shishir Shrivastava: And a lso, you had a question on Resi in Kolkata .
Puneet Gulati :: Yes.
Shishir Shrivastava: So, One Belvedere is the product , that's the name of our product . We expect to launch it towards the middle or end of Q1 of FY26. And work is commencing over there already.
Puneet Gulati : Got it. Thank you so much.
Shishir Shrivastava: Thank you.
Moderator: Thank you. We will take the next question from the line of Bipla b Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma : Good morning , Shishir and team. First question is on , I calculate normally the rental income divided by the consumption of your mall portfolio. Typically, it is 14 % to 15%, but this quarter it was around 12.7%. Just trying to understand, s hould we read anything into this ? Or does it indicate that we will see rental income growth for the ratio to reach to 15%?
Shishir Shrivastava: So, this is a great thing. It's a significant opportunity for us , Biplab, and I am glad you asked this question. In any good ; well performing mall where you are seeing, let's say , Rs. 1,000 -1,200 crores plus of consumption annually , at an average , the retailers ' ability to pay rent is in the range of about 15 % to 16%, considering that their costs remain pretty much fixed and the

 margins continue to improve as consumption reaches Rs. 1,000 crores . So there is a significant opportunity and we do not need to do anything to take our rental income up. It's just a trailing effect. You will first see consumption growth and then in the subsequent quarters you will start seeing rental growth.
Moderator: Sir, Biplab Debbarma has rejoined the queue.
Biplab Debbarma : Yes. Sir, second question is on the new Palladium area, that expansion area. So, has it been fully leased ? And by when should we expect the numbers from this new Palladium area ?
Shishir Shrivastava: Yes, it's about 90% leased. We are holding onto some space , because as the retailers commence their operations there, there is the opportunity to extract premium rentals from the last remaining space. There is more than enough demand for us to reach 100% as soon as we decide. But the effect of this you are going to start seeing perhaps from this first quarter of the next financial year . It's very exciting because it's been very, very well received. A brand like Uniqlo , when they opened up over there , we had underwritten our rental model at a sale or consumption of about Rs. 8 to - 10 crores or thereabout s, in December the consumption was hovering close to Rs. 20 crores out of that one single store, which is unheard of from any anchor. So we are very excited about the future and the potential of the Phoenix Palladium expansion, which is about 250,000 square feet . And also the product is incredible, what we are creating there. The two-level F&B village is going to really become the hub for leisure, entertainment and F&B which sits over and above all the retail that we have created there.
Biplab Debbarma : And my final question is on, we have been reading slowdown in urban consumption everywhere , there is some kind of negativity. How do you, sir, you see consumption in the next, say, one year ? Can you give us your thought s on that?
Shishir Shrivastava: Well , if we go by how January has panned out for us, it's been extraordinary across the portfolio. So I cannot crystal gaze , on how the consumption will be for the rest of the year. But we are very, very confident that we are going to con

tinue to see a significant growth in consumption and that's not just coming out of natural ; I mean it's organic, but we are also putting in efforts on introducing new intellectual property and marketing events to boost consumer. For example, the Black F riday sales at the end of November, which was a three day event , this was an important factor this year in reviving consumption growth in the lean period, which comes between Diwali and end of season sales in December. So we identify these dips in consumption and we curate experiential events which boost consumption during that period. And this is something that we work on very closely with all the brands to make it very, very successful .
Biplab Debbarma : Okay sir. Thank you and all the best.
Shishir Shrivastava: Thank you.

 Moderator: Ladies and gentlemen, as there are no further questions , thank you members of the management . On behalf of The Phoenix Mills Limited , that includes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: May 2025

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May 07, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated May 01 , 202 5, wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call on Thurs day, May 0 1, 2025 at 04:55 pm (IST), with Analysts / I nstitutional Investors on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 202 5, please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2025/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Q4 & FY25 Results Conference Call
May 01, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY25 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Management of the Company is being represented by Mr. Shishi r Shrivastava, Managing Director, Mr. Kailash Gupta, Group Chief Financial Officer and Mr. Varun Parwa l, Group President .
Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. At this time, I would like to hand the conference over to Mr. Shishi r Shrivastava. Thank you and over to you, sir.
Shishir Shrivastava: Good evening, everyone. We welcome you all to discuss the operating and financial performance for the fourth quarter and f ull year ended March 2025. FY25 was a strong year across our core businesses of retail, offices and hotels, which together delivered revenue of Rs. 3,507 crores , up 16 % year -on-year and EBITDA of Rs. 2,111 crores . This performance reflects the continued strength and cash -generating capacity of our core portfolio. Residential sales

moderated compared to the previous year, and as a result, consolidated revenue from operations was down 4 % year -on-year to Rs. 3,814 crores , and EBITDA was flat at Rs. 2,161 crores compared to FY24.
Retailer sales across our malls reached Rs. 13,750 crores , which is a 21 % increase over FY 24. This impressive growth was driven by the ramp up of our new malls, particularly Phoenix Mall of the Millennium (Pune) and Phoenix Mall of Asia (Bangalore), both of which saw strong improvements in trading occupancy and consumption.
Palladium Ahmedabad also stood out with a 65 % increase in consumption . Reflecting this momentum in consumption, retail income for FY25 rose 18 % to Rs. 1,951 crores , and EBITDA grew by 20 % to over Rs. 2,000 crores for the year.
We also made substantial progress in our commercial office portfolio with our offices Phoenix Asia Towers in Bangalore and Tower 3 of Millenniu

m Towers at Pune receiving occupation
certificates between January and April of this year and pre-leasing pipelines building up strongly across Pune, Bangalore and Chennai. We are excited about the high -quality future

ready office products being developed which are now attracting interest from reputed domestic and global occupiers for their regional headquarters.
Our hotel portfolio too , delivered a strong performance with EBITDA up at 11 % and The St. Regis , Mumbai crossed Rs. 500 crores in revenue for the first time in FY25.
The strong financial performance of our core annuity portfolio has translated to strong operating cash flows of nearly Rs. 2,100 crores . These cash flows have been prudently deployed into strategic land acquisitions across Coimbatore, Chandigarh and Bengaluru and ongoing construction across several projects pan India. Densification across our existing assets continues to be an important value creation strategy for us. We are forging ahead at Phoenix MarketCity Bangalore with the addition of Grand Hyatt , expansion of the retail plus addition of approximately 1.2 million sq. ft. of offices .
Continuing with this theme, we have secured additional development potential at Lower Parel during the quarter. We have secured FS I of approx. 136,000 sq. meters for a premium payment of approx. Rs. 586 crores during Q4 FY25 . Varun, may I request you to take this forward?
Varun Parwal: Sure, Shishir. So as Shishir mentioned, we have secured additional FSI of approx. 136,000 sq. meters at our Lower Parel development for a premium payment of approx. Rs. 586 crores during Q4 FY25 . We have funded this through internal accruals and available liquidity on our balance sheet. Development planning for the additional FSI is currently underway and we will share further updates once the asset mix is finalized and as we progress towards securing the requisite development permissions.
Let me also take this forward and share highlights on our Q4 FY25 performance and some highlights specifically from our retail business, including consumption trends, leasing updates, and how we are shaping the portfolio for future growth.
During Q4 FY25 , our retail portfolio recorded consumption of Rs. 3,248 crores , reflecting a 15 % year -on-year growth . Importantly even excluding the newly launched malls in FY24, like -for-like consumption growth across the portfolio stood in excess of 8 % underscoring the sustained strength of our discretionary retail ecosystem. Retail income for the quarter was Rs. 482 crores which is up 8 % year -on-year while EBITDA stood at about Rs. 499 crores reflecting a 11 % growth.
We have received a few questions regarding the gap between our consumption growth and rental growth in quarter four. This gap in my view is largely attributable to the ramp up phase of our newly launched malls , particularly Phoenix Mall of the Millennium and Phoenix Mall of Asia, where consumption is scaling up sharply. Now our lease structure typically provides for the higher of fixed rent or revenue share offering downside protection from day one. However, rental income begins to reflect the upside only once the store level exceeds the minimum

guaranteed threshold, at which point revenue share component also kicks in. As more stores mature and scale up in these malls , we expect this to translate into stronger rental growth over the coming quarters as well.
Additionally, at Phoenix Pa lladium, we are also in the process of revamping part of the Courtyard Retail Zone, which led to the temporary shutdown of about 100,000 sq. ft. of leasable area in Q4 FY2 5. This zone historically has contributed about Rs. 200 crores in annual consumption and about Rs. 40 crores in rental revenues. The impact attributed to the shutdown of this store during Q4 FY25 was approximately Rs. 40 crores on consumption and about Rs. 7 crores on

rental income.
Moving on to within Phoenix Palladium : One of the highlights of the quarter was the strong performance of the West Zone at Phoenix Palladium, which we launched in late 2024 with the launch of the biggest Uniqlo store in South Mumbai and the addition of new age anchors such

as Lifestyle. For Quarter 4 , a remarkable standout moment was the launch of Bershka's first store in India, which incidentally also achieved the highest sing le day sales globally for this brand on opening day. We also welcome d flagship stores across categories including Nykaa Luxe, Tira, GAP , Levis, Celio, Navyasa, Masaba , etc . and we are also set to further enhance this zone with the upcoming launch of our Gourmet Village concept which is a two -level curated F&B and entertainment experience.

We are also actively executing our premiumization and repositioning strategy across Phoenix MarketCity centers in Mumbai, Pune, Chennai and Bangalore. At Phoenix Market City, Bangalore, trading occupancy declined in Q4 FY25 due to the planned closure of a hypermarket spanning about 65,000 sq. ft. in chargeable area. Further, about 30,000 sq. ft. of the mall also underwent fit outs for new brands. Both of these , planned changes have in aggregate resulted in a 10 % occupancy drop in Bangalore, but they also enabled us to create a space for a better tenant mix going forward.

Further, at Phoenix MarketCity Pune, we saw a 2 % dip in occupancy. This was following the planned exit of a couple of anchor stores in the home furnishing and fashion category, along with the planned churn of a few restaurants. Also, during the quarter, at Phoenix MarketCity Mumbai, we have about 5 % of the leasable area, which is currently undergoing renovation and densification , and it's part of an ongoing brand churn for the repositioning effort.

All our Phoenix MarketCity Malls are being revamped deliberately to improve brand mix, shopper experience, and long -term rental profile. While this has resulted in short -term dips in trading occupancy, we expect these interventions to unlock meaningful consumption and rental upside over the next 12 to 18 months.

Let me also give you a quick update on April 25 and our outlook for FY26 :

 April is typically a lean month , but we have continued to see strong momentum in retail sales, with retail er sales expected to cross Rs. 1,130 crores for this month. This reflects a 14 % year - on-year growth, and to our minds, it confirms the depth and consistency of consum er demand across our portfolio.

Looking ahead to FY26, a key focus will be on strategic leasing and brand elevation across our portfolio. We are prioritizing right -sizing, relocations and churn aimed at bringing in new -age anchors while also creating space for premium categories across jewelry, watches, cosmetics and accessories as well as new fine -dining experiences.

Overall, we remain confident of delivering strong double -digit growth across our retail portfolio in FY26 underpinned by sustained demand, proactive planning and the continuing evolution of our brand and experience proposition.

Moving on to our commercial offices :

I am pleased to share that our under -construction office assets have also made meaningful progress in FY25. For the year ended March 25, income from our operational offices in Mumbai and Pune stood at Rs. 210 crores , up 10 % year -on-year, and EBITDA grew 19 % year -on-year to Rs. 131 crores .

Our office strategy is built on three pillars. The first pillar being strong regional leasing teams with deep tenant relationships. The second pillar being product design that prioritizes collaboration, wellness, and sustainability ; and the third pillar being differentiated experiences, from arrival areas to integrated lifestyle offerings through our retail ecosystem.

Millennium Towers, our prime office space in Pune has 3 towers in total aggregating t

o approx.

1.30 million sq. ft. of chargeable area. As Shishi r mentioned earlier in the call, we have received the occupation certificate for one of the towers and occupation certificates for the remaining 2 towers are expected later in 2025. Pre-leasing activity is underway with an active pipeline of over 500,000 sq. ft. in discussions at this moment.

Phoenix Asia Towers in Bangalore also received occupation certificat e for 800,000 sq. ft. of chargeable area and we are seeing very encouraging leasing discussions here as well with a significant pipeline.

Our next major delivery planned for 2025 is One National Park in Chennai, aggregating to chargeable area of 600,000 sq. ft.. Between Bangalore (Phoenix Asia Towers) and Chennai (One National Park), we have pre -leasing conversations ongoing for almost 80 0,000 sq. ft.

 With world class Grade A offices offering features that seamlessly amalgamate productivity with lifestyle now in place and institutional leasing efforts gaining momentum, we are confident of a stronger leasing outcome in FY26.

Moving on to our hotel portfolio :

The hotel portfolio has delivered a strong performance once again this year with income rising to Rs. 580 crores up 6 % year -on-year and EBITDA is growing by 11 % to Rs. 266 crores reflecting an overall healthy margin of 46%. The St. Regis , Mumbai continues to set the benchmark for experience and luxury in Lower Parel crossing Rs. 500 crores in income to reach Rs. 523 crores overall in revenue. This was driven by a 13 % increase in revenue per available room and an

impressive occupancy rate of 86%, up 3 percentage points over FY2 4.
Courtyard by Marriott Agra had also a good year with EBITDA coming in at about Rs. 18 crores and a margin of about 32%.
I would now like to invite Kailash to take you through the rest of the highlights.
Kailash Gupta: Thank you, Varun.
Let me start with the residential segment :
Coming to the residential segment : Gross sales during the year was Rs. 212 crores with the collection of around Rs. 219 crores , so more or less same and in Q4 FY25 , we have recognized the revenue of Rs. 96 crores . This is primarily coming from One Bangalore West and Kessaku , which are ready towers available now and the average realization was ~Rs 26,000 per sq. ft . This is a very strong reflection of sustained demand for premium products. This is something which is proved by this year's number and realization, especially.
We continue to evaluate the timing and approach for future residential launches, including Tower 8 and 9 at One Bangalore West and our Alip ore project in Kolkata , and both of these projects are scheduled to launch during FY26, maybe in the Q2 and Q3 around that time.
Quick recap on the consol and the standalone numbers :
On the financial performance side, revenue from operations across our core businesses, which is retail, office, and hotel, was at Rs. 3,507 crores , up by 16 % versus FY24. EBITDA also reflects a similar growth and it stood at Rs. 2,111 crores . At the group level, revenue from operations was at Rs. 3,814 crores down by 4 % and EBITDA at Rs. 2,161 crores which is flat as compared to the FY24.

 Consolidated net profit for FY25 was at Rs. 1,302 crores , down by around 2 %, however, after adjusting for share of associates and minority interest , profit after tax for Phoenix Mills (consolidated) came at Rs. 984 crores which was down by around 10 %.
On cash flow CAPEX (capital expenditure) side, cash flow remains strong at Rs. 2,084 crores from the operations during this year . Our aggregate CAPEX in FY25 was around Rs. 2,600 crores . Out of this , around Rs. 1,600 crores has been invested in th ree land parcels, namely Coimbatore, Chandigarh, and Bangalore i.e. Mittal Land and the FSI, which we have bought recently in the Lower Par el area and around Rs. 1,000 crores we have incurred toward s th

e
construction at various places across the country and to densify our growth in the existing assets.
Importantly, despite these deployments, gross debt at the group level remain s at the same level as compared to last year. So , we are around Rs. 4,400 crores , which is lower than FY20 levels, i.e pre-COVID level s. So, we are still fully in control in terms of debt and our net debt to EBITDA ratio is around 1.2 x. I think one of the strongest in the industry. We are putting a lot of efforts to reduce the cost of the debt which has come down from 9.2 % to 8.5 % in the last few years.
Overall, we have continued to maintain a prudent balance sheet and disciplined capital deployment which gives us a significant headroom to continue investing in high quality assets while maintaining financial flexibility.
Let me take you toward some of the highlights for Phoenix Vision 2030 :
Over the past 2 years, we have secured key land parcels and commenced construction activities across our multiple sites, laying a strong foundation and visibility for our portfolio additions over the next 5 years.
I will take you slightly in the past , our first wave of expansion came between 2011 and 2013 when we launched the Phoenix MarketCity Malls in four cities. Then the next wave started in 2020 to 2025, whe re we launched five new malls. Again, these malls are now able to see the strong consumption across and also establish the premiumness of our brand. We are also expanding retail at Phoenix Palladium , which (along with the malls launched between 2020 to 2025) led to retail leasable area grow th from 6 million to 11.5 million. So this is what the current situation in terms of the retail business .
And today with new retail mix ed-use development s underway in Kolkata, Surat, Coimbatore, Chandigarh and Thane as well as the further expansion at Phoenix Palladium , Lower Pa rel, Mumbai and (Phoenix MarketCity) Bangalore , we are looking to add around 7 million sq. ft. of leasable area to our operational retail portfolio by 2030. This will take us from 11.5 million to around over 18 million sq. ft. in the retail side. In parallel, we are also exploring opportunities

 to integrate complementary asset class es such as offices, residential and hotels, within some of our core retail sites to further densify our developments. Our focus remains consistent to build a high -quality destination and offer shopping experience, work environment, residential and venues for leisure backed by strong governance through design and disciplined capital allocation.
This brings me to the end of Q4 & FY 25 updates from the management side. We can now open the floor for Q&A .

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Puneet from HSBC. Please go ahead.
Puneet: Thank you so much and congrats on decent performance. My first question is on the multiple interventions that you're doing on your mall portfolio. How long should we think the impact will last for those ? And what kind of CAPEX will that entail?
Varun Parwal: Hi, Puneet. Varun this side. When you are asking about the impact, are you asking about the time it takes to reopen the new spaces?
Puneet: Yes, correct. So , some spaces are gone, for example, in High Street Phoenix (Phoenix Palladium Mumbai) , and (Phoenix MarkeCity) Bangalore also you alluded, some stabilization, (Phoenix MarketCity) Pune as well, some, I think change in occupancy is what you indicated. So how long will your rejig exercise take before we start seeing again, you decent growth there ?
Varun Parwal: Okay. I think in terms of some of these spaces coming back, (Phoenix MarketCity) Bangalore and Pune you will see the spaces coming back with new formats and new brands with

in the
next 6 to 9 months. Some of them are already actively under fit out and some are kept ready and we are just finalizing the lease agreements for new tenants to move in and commence their fit outs. At the same time when we are talking about Bangalore , we are also adding and operationalizing the 3rd floor in Bangalore during this year, second half of this year which is new retail area of about 170,000 sq. ft. which will house an exciting mix of F&B and some new age anchors opening their first -time stores within our mall portfolio and that will also enhance the overall area and together with the planned churn and revamp that we have, I think FY27 should prove to be a very strong year for (Phoenix MarketCity) Bangalore in terms of consumption both on account of new brands as well as additional area. In Phoenix Marke tCity Pune, at this point we are not adding any new area , but in Phoenix MarketCity Mumbai , for example, we are adding about 50,000 sq. ft. of new area which again is being added within the current development of the mall. So the time to make it operational is very quick and you should see the impact of it by the end of this financial year.

 Now when we come to Phoenix Palladium Mumbai, there is the new zone that we have added which is Rise 2 (Phoenix Palladium West Zone) which is about 2 50,000 sq. ft. and which should become fully operational by June of this year. Currently retail stores are operational which are on the ground, first and the second floor and the F&B and entertainment floors are under fit outs , which would see a stagger ed opening between now and June -July for the various F&B village and entertainment destinations there. The Courtyard retail, which is undergoing revamp, that together with what we are doing in Rise 1 (Project Rise) in terms of retail and the revamp of the Lifestyle block, I think will in aggregate add about 450,000 sq. ft. of new retail area .
Again, we will give more updates on it in the coming quarters, but I think you should see the new retail space coming through in the next 2 years, so 8 to 9 quarters from now.
Puneet: So you said 100,000 sq. ft. down and plus 450 ,000 sq. ft. or is it 450 ,000 sq. ft. in addition to the 100,000 sq. ft. which has come back?
Varun Parwal: So Rise 1 (Project Rise) , Puneet it is about 200,000 sq. ft. as we have disclosed previously. And between the revamp of Courtyard Retail and Lifestyle block , we were at about another 250,000 sq. ft. So it is, in aggregate, you would have another 350,000 sq. ft. of additional retail area in Phoenix Palladium .
Puneet: Understood. That's really helpful.
Varun Parwal: I would just add that new area as well as new age brands actually drive a significant upside in trading densities and consumption profiles across our malls and we are already seeing that with the addition of these new anchors in Rise 2 (West Zone) at Phoenix Palladium where (we have) Uniqlo and Bershka .
Puneet: When does Rise 1 come, along w ith this 45 0,000 area, what is timeline for that?
Varun Parwal: Puneet, two years from now.
Puneet: Understood. That is helpful. Secondly, also if you can comment on Citadel and Palladium Ahmedabad which have done some bit of tenure, and have they achieved peak there in terms of near -term trading density or is there a significant initiative being taken out to further push up the momentum?
Varun Parwal: I think Palladium Ahmedabad has done extremely well and the ramp up has been quite exciting to see in Palladium Ahmedabad and during the coming year we in fact expect occupancies to further increase from the current 95%. The entire area is leased up now and we have also given space to some exciting new brands. So, in the full year impact , I think you should continue to see double digit growth in Palladium Ahmedabad . Palladium Ahmedabad has established itself

9 of 14 as a new modern premium destination for the city and with our brand mix and marketing programs, I think they should perform quite well in the coming year as well. Indo re as well , while the growth has been a bit muted during this year, it has grown in double digits , but we would have expected the growth to be much stronger, but I think there are some very exciting infrastructure developments in Indore with the authorities constructing multiple highways on all sides of the mall. There is a bit of a constraint in access to the mall at this point in time, but with the highway activities scheduled to be completed in the next 12 months, we believe that access to the mall will improve multi -fold, and we should see very strong growth in consumption going forward in Indore in FY27 and beyond.

Puneet: Understood, that's very helpful. And just last question, then I will come back in the queue. If you can also talk a bit more on the commercial office space leasing, should we expect material leasing to happen in FY26 or does it look like more an FY27 pickup event?

Varun Parwal: I think in terms of leasing, Puneet, you will see material leasing happening in F Y26, especially I think if I add the pipeline that are under active discussions between Pune, Bangalore and Chennai , we are talking about 1.2 to 1.4 million sq. ft. of leasing discussions going on across these three new offices and we should see significant conversions during this year.

Puneet: Understood. That's very helpful . Thank you so much and all the best.

Varun Parwal: Thank you.

Moderator: Thank you. The next question is from the line of Saksham Mongia from Dymon Asia. Please go ahead.

Saksham Mongia: Thank you for the opportunity. I have 2 questions. First is related to the consumer demand, moderation and rising competition in real estate. Are you seeing increased instances of rental negotiations or brand exits? How does this compare to the past cycles that you have seen? And what actions are you taking to protect trading density and the rental lease going forward? Second , with the global supply chain disruptions and macro risk, how are you managing exposure across international brands and domestic brands? And which categories or tenants appear to be most vulnerable in the current environment? These two questions from my end.

Varun Parwal: Hi, Saksham . Thank you for your questions. I think to your first question, Saksham , I would say that our malls have established a very strong and a credible performance track record over the last several years. And we just don't create great malls, we actually create destinations where we engage deeply with tenants and consumers to drive a differentiated experience. We continue to invest in future -proofing our retail destinations by adding complementary asset classes such as offices and hotels and with improving infrastructure and brand profile , we remain confident that our malls will continue to do well going forward as well.

 Saksham Mongia: Thank you and on the macro ?

Varun Parwal: I think on the macro, Saksham, at any point in time we retain a very balanced approach. We don't have overexposure to any one particular category or group. We maintain a balance between both exposure to domestic brands as well as international brands. My view is that India is a retail market of significant size and scale, and it remains quite under -penetrated. So it is a market which is going to remain in focus for all tenants, both global as well as domestic. And in fact, if any, there are better place d people to comment on it than us, but impact if any, think it's going to be limited and restricted for a short term . We also believe that the consumer catchment across our mall portfolio is significant ly densifying and with improving infrastructure, governments are increasing the development of vertical residen

tial and commercial buildings, which actually increase the addressable population within the very immediate catchment for us and this is a story that's playing out across cities in India. So, from that perspective, if the catchment profile is strong and India macro story remains intact, we believe that consumption impact, if any, would be transitory in nature.

Saksham Mongia: Thank you for the detail ed answer .

Moderator: Thank you. The next question is from the line of Varun Thakkar from FYERS Asset Management. Please go ahead.

Varun Thakkar: Hi sir. So I just wanted to better understand the leasing agreement structures you have in your retail portfolio , I mean specifically how the revenue share component is structured and at what threshold it typically kicks in ? So that will be my first question.

Varun Parwal: Sure Varun, our leasing agreements are typically structured as fixed rent or revenue share, whichever is higher. Revenue share for any particular retail brand is actually driven by the margin economics for that particular category and it could vary across fashion categories as well as say gold or jewelry or watches which tend to be high trading categories, but they have a lower margin profile. You can connect offline with Karl and Madhurima for better clarity and granularity on this topic. They are in a great position to explain this to you.

Varun Thakkar: Alright, I just like had a follow up. I mean, when does this typically kick in , know, like is it when the total sales threshold is crossed or is like you have escalated thresholds and like what proportion of your tenants are currently paying revenue over the minimum guarantee in your top performing malls?

Varun Parwal: So, Varun, typically about 70 % to 75 % of the tenant mix hit the revenue share threshold. Now revenue share is payable when the revenue share component crosses the fixed rent component. So from that perspective, I would say that about 75 % of the tenants are right now hitting the revenue share threshold at this point in time. And how operationa lly it works is that on a monthly basis you test based on the audited sales figures given by the retailers, whether

 the revenue share is payable or not. And if any is payable over and out of fixed rent, then there is a separate billing that happens for that.

Varun Thakkar: Okay, thank you sir, I'll just join back the queue . Thank you.

Varun Parwal: Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities . Please go ahead.

Parikshit Kandpal: Hi team, congratulations on a decent quarter. My first question is on consumption. So now if I see a matured mall, so Phoenix, Palladi um, Mumbai, consumption is almost flat, trading density is negative. Bengaluru , again, we seeing mall consumption is again negative, minus 1 % further here. Pune there has been some growth, about 7%. So the malls are not even delivering inflation. So what is happening in these malls and what are we doing to improve the consumption here?

Varun Parwal: Hi Parikshit, Varun this side. I think in the opening remarks , Parikshit, we had outlined reasons for some of the impact that we saw in Phoenix Palladium, (Phoenix MarketCity) Bangalore and Pune. So Bangalore , in particular for example had a trading occupancy dip of about 10 % and that is because strategically we have taken over the area from the hypermarket and we are creating a new anchor zone in here. Now as you are aware hypermarket s typically have a low trading density and fashion stores typically will end up doing a trading density which is 3x to 4x higher than that of a hypermarket. So, the revamp of this space along with some other areas that are under -fit out overall should help us revive and demonstrate very strong consumption and rental growth FY27 onwards. I also spo ke about you know, Bangalore ge

tting new area in
the form of an expansion of the third floor, which would add about 170,000 sq. ft. of additional leasable area, which again should become operational by the end of this coming financial year. Similarly , in Pune, we have taken space from our home furnishing anchor as well as a fashion anchor and we have replaced a few of the older restaurants. This is all with the perspective of revamping and elevating the brand experience and the consumer experience at these centers. They remain flagship centers, and they are catering to the best city center locations in each of the cities that they are present in. So, with the introduction of new age modern anchors and densification of brand stores across high -performing categories such as gold , jewelry , watches, cosmetics and accessories, we will remain confident of delivering strong growth from these locations going forward. As far as Phoenix P alladium is concerned, Pari kshit, we have also undertaken some revamp of the retail area in the Courtyard section of the mall. This includes the Hamley s store, Nike and some other prominent retailers . So about 100,000 sq. ft. of the area is currently being redeveloped and revamped into a modern new age ready destination. That had a negative impact of about Rs. 40 crores directly in consumption and about Rs. 7 crores in rental income for the quarter. Annualized impact would be about Rs. 200 crores in consumption and about Rs. 40 crores in rentals.

 Parikshit Kandpal: The only question here is that the traditional consumption format somehow has slowed down
and which is the reason you are revamping towards more new age consumption formats. But do you think you have enough to fill in because you'll have to keep re -engineering this and then there will be a period of ..

Shishir Shrivastava: If you look at historically any mall which has been operating, any of our malls have been operating for the last 15 years, you will see that it is very routine in our business to go through a significant change where we have enhanced these assets, right? S o the addition of retail space, taking back older formats, these malls are evolving , customer aspirations are evolving. Varun touched upon in the opening statements about the performance of some of our fantastic stores , Bershka highest performance in the country, I mean globally ever in any store since they've launched, right? So , the customer aspiration is changing ; we have to keep enhancing the asset to accommodate for these newer brands which are more relevant in today's time. So you go through these cycles and that is exactly what's happening at Phoenix Palladium, Mumbai. That's exactly what's happening at Bangalore and also has happened in Pune. So this is very routine in our business. Because we do these things, it's like a machine, right? You have to keep optimizing it and that's exactly what we're doing. Because we do this, we continue to see consumption growth high for a relevantly long period of time and then again you undergo this churn, you undergo the asset enhancement, again for a little while you will see for maybe a period of two quarters you'll see a decline or flattish consumption, then again you will see growth. This is very routine in the mall business.

Parikshit Kandpal: Got it, S hishir. My second question is on , as we are ramping up and renewing the format or the

pattern of consumption towards new age, they are also increasing competition in the vicinity with at least two new malls, large malls coming in by Prestige and Oberoi. It'll take 3-4 years for them to come, but so how do you read into the competition and do you think that that micro market has enough consumption pool that will continue to grow on sustainable basis of high single digit?
Shishir Shrivastava: I would like to address this in two parts as you identified. One is the market, there is substantial

demand and with the improving infrastructure in that area, I think a lot more people will come to this part of the city, even from places like Bandra and beyond, right. So, it's becoming very, very convenient. We have always taken the same approach that we have always executed in the past and that has worked for us, where we want to have a great variety and we want to compete with size and scale and hence we have undertaken this significant asset enhancement at Phoenix Palladium , Lower Parel . Wh at we are building there, what kind of brands that are likely to come there are going to be one of a kind and w e hope to be in pole position with all of these actions that we are taking in that market.
Parikshit Kandpal: And just lastly on the Thane asset, what are the plans? I think you've put a slide out there, but when does the work start and when do you expect the mall to become operational?

 Varun Parwal: Sorry, Parikshit , may I just ask you to repeat the question ? Were you asking about Thane?
Parikshit Kandpal: Yes, Thane. So what do you want in Thane, and when do you really break the ground on that asset?
Varun Parwal: So, Parikshit , it's going to be a retail -led mixed -use development with a retail mall in size of about 1.2 to 1.4 million sq. ft. We have secured most of our approval permissions at this point in time and in fact, the demolition of the old factory structures is currently underway , and we will start preparing grounds for commencing excavation very soon. In terms of operations at this point in time, I would say that launch should be somewhere towards end of FY29 keeping enough safeguards in terms of board approv al timelines and construction timelines.
Moderator: The next question is from the line of Murt uza from Kotak Securities. Please go ahead.
Murtuza: Yes. Hi, Varun. Hi, Shishir . Just a question on the commercial piece. In the more near term, you've got a lot of commercial real estate which is getting its OC. You talked about the leasing pipeline, but is there any agreements which have been signed which could start contributing to rentals this year or a lot of that pipeline still needs to convert to formalized agreements. And so the rental contribution from the commercial piece would only start more in FY27. Just a clarification on that ?
Varun Parwal : Sure, if I may take that question, Murtuza , maybe I should have mentioned it in my remarks. We have done leasing of about 120,000 sq. ft. and those spaces are currently under fit -outs with a couple of the smaller spaces commencing their rent payments in quarter four. It's a smaller contribution at this point in time, but from second half of this year, you should start seeing a more meaningful contribution both from the area that we have leased as well as the new discussions that are underway right now.
Murtuza: Okay, so it's going to be more towards the end of the fiscal in terms of the incremental office spaces contributing to rentals and a full year benefit should be more in FY27, is that fair?
Shishir Shrivastava: Yes, I think considering the both agreement timelines and the fit out timelines , I would presume that you should see a more meaningful contribution from quarter three of this financial year.
Murtuza: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.
Parvez Qazi: Good afternoon, Varun and Shishir. So two questions. First, it would be great to get some more details on the additional FSI purchase that we have done in Lower Parel? And second, excluding this FSI purchase, if we total up all your other plans over the next 5 years, by FY30, what is the total CAPEX which will need to develop all those assets? Thank you.

 Varun Parwal: Sure, Parvez. Varun this side. I will take the question on the FSI and L ower Parel and then I w

ill
hand it over to Kailash to comment on the CAPEX part. I think overall as we mentioned we have acquired development rights of about 136,000 sq. meters which is at a consideration of about Rs. 585 crores . At this point in time , we are currently in our design development stage and finalizing the asset mix that we intend to add to the Lower Parel's development. We are still in early stages, so as we progress on our designs and plans, we shall more debate in the coming quarters. I would now ask Kailash to come in and comment on the CAPEX part.
Kailash Gupta: Parvez, as you have seen in the past for last three years , on an average we are doing around Rs. 1,000 crores to Rs. 1,200 crores annual CAPEX . I think this will be maintained even for next five years for sure. I mean of course this will, I mean any other acquisition or a bigger FSI purchase will be over and above that but on a construction side the number should be restricted to around Rs. 1,200 crores every year for next 5 years.

Parvez Qazi: Thanks and all the best.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. With that, we conclude today's conference call. On behalf of Phoenix Mills Limited, that concludes this conference.
Thank you for joining us and you may now disconnect the lines.

Call: Jul 2025

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July 28, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated July 24, 2025, wherein we had i nformed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Thursday , July 24, 2025 at 07:15 P.M. (IST), with Analysts / I nstitutional Investors covering the following:

1. Un-audited Standalone and Consolidated Financial Results of the Company for the quarter ended on June 30, 2025.
2. The proposed arrangement to provide exit to Canada Pension Plan Investment Board ('CPP Investments') from Company's material subsidiary, Island Star Mall Developers Private Limited ('ISMDPL').

Please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY 26 Results Conference Call of the Phoenix Mills Limited. As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes.
The management of the company is being represented by Mr. Shishir S hrivastava – Managing Director; Ms. Rashmi Sen – Whole Time Director, and CEO Malls; Mr. Kailash Gupta – Group CFO; and Mr. Varun Parwal – Group President.
Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mr. Shishir Shrivastava. Thank you.

And over to you, sir.
Shishir Shrivastava: Thank you. Good evening, ladies and gentlemen. And welcome to our Q1 FY 26 Quarterly Conference Call . I am joined today with Ms. Rashmi Sen – CEO Malls and Whole Time Director , Mr. Kailash Gupta – Group CFO , and Mr. Varun Parwal – Group President.
Today marks a pivotal milestone in the growth journey for our company. Before we discuss the Q1 FY 26 results, we are excited to share a strategic development that strengthens our control over a high performing retail and office platform and reinforces our long -term vision. We are glad to share that our Board of Directors has approved a proposal to acquire 49% stake in Island Star Mall Developers Private Limited platform, which the Group has seeded and grown over the past decade.
In the process, we are providing an exit to CPP Investments ' 49% stake in ISML. The transaction is subject to shareholder approvals, CCI approvals and other customary approvals. The agreed consideration for the proposed transaction is Rs. 5,449 crores payable to CPP Investments over a 36-month period in four tranches, subject to applicable laws, and an

y adjustments including
those related to prepayment of tranches.
Allow me to walk you through the Investor Presentation and share with you some key messages. The Investor Presentation and the Press Release in relation to this transaction has been uploaded on our website and at the Stock Exchange s.

If I may draw your attention to
Slide # 2,
The payment of Rs. 5,449 crores is spread over 36 months. In the interim, ISMDPL continues to be a cash flow generating asset. The large portion of this Rs. 5,449 crores will be paid by the cash flows generated at the platform as well as additional leverage headroom available at ISMDPL .
ISMDPL was the foundation of our partnership with CPP Investments starting with Phoenix Market City Bangalore in 2017 which comprised of 1 million square feet of retail space, mall space. Together, we have grown it into a large portfolio of marquee operational retail and office assets in key cities of Bengaluru , Pune and Indore, spanning approximately 6.6 million square feet, marking a 6.6x growth in eight years and clocking Rs. 617 crores of EBITDA (Asset EBITDA) in FY 25.
If I may introduce the ISMDPL platform for reference and continuity of our conversation. Today, the portfolio comprises ~4.4 million square feet of operational retail space, ~2.2 million square feet of completed offices, a planned expansion of 0.8 million square feet of retail and 1.6 million square feet of offices, along with two hotels totaling approximately 700 keys at the Phoenix Market City Bangalore development.
The idea of PML looking to acquire this 49% stake stems from the management's belief that the untapped growth potential in this platform can add significant value for shareholders over a period of time as we complete the projects under construction and undertake expansion based on the unutilized dev elopment potential or FSI potential.
Moving on to Slide # 3,
The management plan basis 2030 would generate approximately a 13x growth over 13 years since 2017 when CPP Investments entered this platform, which was 1 million square feet in 2017, growing to 13 million square feet in 2030. Over this period of time, we will move from being a retail -only asset to a diversified portfolio of retail, offices and hotels.
Slides #4 through #6 capture the overview of the three assets which have been developed in ISML platform using the cash flow of the seed asset, Phoenix Market City Bangalore.
Moving on to Slide # 7, here we introduce our vision for Phoenix Market City, Bangalore.
We have an ambitious multi -phase expansion plan for Phoenix Market City Bangalore, set to evolve it into a world class integrated super campus exceeding 4 million square feet. The subsequent slides detail the phase -wise approach encompassing enhanced retail offerings, premium office spaces and hospitality developments. Thi s super campus will be a peak

amalgamation of the best -in-class retail, offices and hotels, all of which will sync with each other to create an ecosystem. Details are discussed in the subsequent slides.
Moving on to Slide # 9,
Amongst the key deal rationale that makes the acquisition attractive to PML is the tranched payment structure where Rs. 5,449 crores consideration is paid across four tranches over 36 months with the flexibility to prepay along with related adjustments on the aggregate consideration. This structure preserves PML's liquidity to pursue our stated growth plans while also allowing for asse t level monetization options within ISMDPL and its subsidiaries should we choose to do so.
Moving on to Slide # 10,

As we see from this slide, the cash flow has grown by approximately 9x to Rs. 513 crores in FY25 when compared to FY 17. FY 25 net debt to EBITDA is just 1x at ISML, this also allows us meaningful room to borrow at the platform level and such borrowing, if any, would be staggered over 36 months to fund the acquisi

tion and upstream cash flows to PML, if required.
Slide # 11,
This Slide explains how the buyout is significantly accretive for PML from the first year itself. This is an illustration and for representation purposes only, where even if we choose to fund the entire first tranche through debt, the platform remains accretive to PM L's earning. By moving to 100% ownership, we will capture the full share of operating free cash flows and the additional interest cost will be covered by increase in the share of such operational free cash flows.
The deferred payment schedule combined with projected operating free cash flows growth ensures we will continue to maintain a healthy interest cover for each tranche. In the same illustration, with 100% of the first tranche being funded by debt, PML's shar e of cash flows from ISM DPL could increase by 58% assuming the FY 25 free cash flows. The transaction structure also provides a high margin of safety.
Moving on to Slide # 12,
The 100% ownership by Phoenix of this platform brings with it a large flexibility at PML level to gain unrestricted access to cash flows, ability to raise money using multiple means available at the ISM DPL and underlying SPV levels, each of which shall be evaluated at an opportune time. Full ownership also gives us complete control over capital allocation and execution timelines. With this structure, PML's attributable EBITDA is expected to grow manifold o ver a period of time, which will be allocated to PML. At the right time, we will also retain the flexibility to

monetize selectively whether at asset level or through a platform level, REIT or listing, if required.
Moving on to Slide # 13,
This is just to go back and show you a snippet of our 2020 QIP deck where we had promised three malls, two offices and one hotel under the ISM DPL platform. I am pleased to announce that we have delivered all of these assets in totality, with the hotel being under construction and expected to be completed by 2027. We have continuously demonstrated strong execution and accountability. This consolida tion is in line with PML's objective of owning and developing high -growth retail -led mixed -use assets to add to shareholders value. With the clear identified growth levers in place in the ISM DPL platform, we remain confident in our ability to deliver robust EBITDA growth over the next five years.
Slide # 14
It illustrates the growth drivers where we expect the EBITDA to grow from Rs. 617 crores in FY25 to a much larger number over a period of time through organic growth from our operational retail portfolio further optimizing trading occupancy and increasing trading density via premiumization and brand mix improvements. The ramp up of occupancy in our completed office assets, unlocking their full earning potential. The Phase -2 expansion at Phoenix Market City Bangalore, which adds additional retail , office and the hotel. Further Phase -3 expansion potential, which will further strengthen our mixed -use ecosystem with additional retail ,office and a second hotel offering (in Phoenix MarketCity Bangalore complex) . Balance FSI potential across the developments in Indore, Pune and Bengaluru give us additional room for future value creation.
Moving on to Slide # 15.
Across our completed office spaces of ~2.2 million sq. ft. , today only 6% is leased. Our internal target is to achieve a 90% leasing in 2026, and we have a strong leasing pipeline in place. This brings a huge upside potential as all the construction work is already complete. OC is received for two out of the three office towers across Pune and (full OC received in) Bengaluru . Leasing of these offices is also gathering strong momentum.
Moving on to Slide # 16, Millennium Towers and Millennium Club .
Our vision of Millennium Towers is for it to be the best office building in Pune. These assets are high quality and have high visibility.

They are located in strong micro markets with limited new
supply expected. These will drive consistent annuity style earni ngs. The vision for these offices is to provide a lifestyle -oriented offering with grade A amenities along with high quality office spaces.

Moving on to Slide # 17,
At Phoenix Asia Towers , we are ramping up leasing to 90% by 2026, which currently stands at

approximately 10% and this will drive strong EBITDA growth and further value creation. The offices sit in a well -established office micro market with upcoming metro and infrastructure projects, which will enable seamless access to the campus and increase the catchment area, and the attraction of offices at this location. The highlight is the metro station which has access from within the campus itself.

Moving on to Slides 18 through 23, which explain the Phoenix Market City Bangalore Phase 2 and Phase 3 expansions.

We have several initiatives underway under Phase 2. We will be launching the Gourmet Village in 2026, a brand new floor of F&B and entertainment spanning 19 new experiential dining options set in a beautiful theme . With a 400 key Grand Hyatt focused on events, we plan to establish ourselves as one of the most renowned hotels in Bengaluru and perhaps with very high performance , focusing on strong occupancy and areas.

The case study of a similar hotel in the same micro market gives you an idea of the healthy revenue and EBITDA margins achievable. The hotel product has been designed based on our learnings at The St. Regis (Hotel), Mumbai and the designs have been optimized to yield the highest revenue per square foot. In addition, we will also be introducing about 400,000 square feet of state -of-the-art offices in this campus in Phase 2.

Moving on to Phase 3 where this campus further expands, we intend to add a second hotel of approximately 300 keys, offices of about 1.2 million square feet and a further retail expansion of about 600,000 square feet by 2030. This will help us deliver our vision of a super -campus, one of the largest retail -led mixed -use campuses across the country.

Moving on to Slide # 24,

The super campus is a preferred and top -of-the-mind destination for any consumption. All parts of the campus are designed to feed each other with higher visits, longer stays, stronger consumption. All from PML's point of view, fueling stronger rental needs and driving consumption.

Moving on to Slide # 25, EBITDA growth drivers at operational malls.

EBITDA growth at our malls is driven by optimizing anchor spaces for higher yield tenants, enhancing category and brand mix, attracting star and luxury brands to prime locations ; and with the upgraded infrastructure in the neighborhood, this will also improve access and visitor experience to our malls.

Slide # 26 represents the significant rental upside. This is an illustration or rather an explanation of initiatives undertaken at Phoenix Market City Bangalore in the last year, where the hypermarket and a fashion anchor were exited from their current locations. The space was redesigned, and the layout was expanded to accommodate the growing fashion category. This has created prime space for re -leasing to flagship inline and mini anchors at higher rental yields, driving stronger trading density. In this particular case, we believe we have nearly doubled our monthly rental from the same space.

Slide # 27,

At Phoenix Mall of Asia, we have about 10% vacanc y. 8% is located at the upper ground level which was kept strategically, kept last for leasing to bring in the highest rent yielding luxury and star brands. Some of the watch brand deals recently concluded are currently at a minimum guaranteed rental of approximately Rs. 550 a square foot (per month) .

Moving on to Slide # 28.

We expect the proposed infrastructure upgrades near and around Phoenix Citadel in Indore to signif

icantly benefit the mall. The new flyover and underpass are expected to be ready by 2026. This not only improves access but also reduces the interim hardship that our mall visitors are currently facing bec ause of the roadworks which have been ongoing. This will further enhance footfalls and consumption.

Moving on to Slide # 29,

After accounting for all the expansion plans and the ongoing projects across locations, we continue to have balanced FSI potential across all these developments. It's expected to be at about 2.7 1 million square feet cumulatively across three cities. This is based on land that we already own. Clearly it is subject to regulatory and planning approvals, and payment of premiums, and charges as may be applicable. We have not yet planned the CAPEX for exploiting the potential of this balanced FSI potential.

Slide # 30 takes us to ESG initiatives.

We are fully aligned with sustainability expectations of long -term investors, and we continue to be driven by them. The USGBC LEEDTM certification has been achieved with a gold rating in place for three of the latest retail assets. We have already initiated solar energy, smart building systems, water conservation, EV charging efforts.

To conclude, this transaction fully aligns with our strategic objectives. It gives us complete control of a high -performing platform structured in a capital -efficient manner that safeguards

PML's liquidity. The transaction enhances operational flexibility, removes minority interest leakage and provides a clear path to unlocking further value at both asset and platform levels.
Since the inception of the JV, we have delivered marquee developments including three retail assets, two office assets and an iconic hotel and additional offices currently under construction.
We remain committed to building destinations of international st andards, vibrant retail hubs, attracting a large catchment, lifestyle -oriented offices and integrated mixed -use super campus in Whitefield.
The next phase of growth is already in motion and full ownership of this platform positions us to execute this seamlessly. Our other partnerships with CPP Investments at Kolkata and Lower Parel continue as planned, and we look forward to exploring future opportunities wi th CPP Investments to further expand this fantastic partnership. Thank you.
We will now move to the earnings section. May I request Mr. Varun Parwal to kindly takeover the section.
Varun Parwal: Thank you, Shishir. And moving on very quickly to an update on Quarter 1 results. I will first start with the retail portfolio. Retail consumption at our malls was strong during Quarter 1 , coming in at 12% year -on-year . We had very strong year -on-year growth at Phoenix Palladium, Phoenix Palassio and our malls in Ahmedabad (Palladium Ahmedabad) , Indore (Phoenix Citadel) , Pune (Phoeni x Mall of the Millennium) and Bengaluru (Phoenix Mall of Asia) .
I would also like to highlight that this strong growth was despite a temporary and a strategic dip in trading occupancy during the quarter. Our portfolio level leased occupancy is at an average in excess of 95% plus, but there was a temporary dip in tradi ng occupancy owing to a significant repositioning exercise that is currently underway across our Phoenix Market City malls, particularly in Mumbai, Pune, Chennai and Bengaluru .
We are actively reshaping the brand mix across these key centers and the broad goal here is to replace low efficiency formats with stronger, better trading brands while also creating more room for high performing flagship in -line stores and other key categ ories. In parallel, we are also upgrading the underutilized or lower yielding areas by bringing in premium brands across watches, electronics, beauty, etc.
This churn has a temporary impact on occupancy and rental income, but it is a planned investment in creating sustainable long -term value for our

retail assets. Over the coming
quarters, we expect this reposition ing to result in much stronger and improved brand mix, higher consumption and stronger rental income growth, ultimately supporting and driving the double -digit EBITDA growth that we have seen historically in our retail malls.

For the quarter, retail rental income stood at approximately Rs. 506 crores , up 4% despite an impact from the planned churn at Phoenix Market City malls and also the loss of rentals from the planned convergence (Courtyard) block redevelopment at Phoenix Palladium. If I account for the impact from the churn as well as convergence (Courtyard) block, this impacted our retail income growth by approximately 5% to 6% for the quarter. This is of course temporary in nature, and as trading occupancy returns to stabilized levels of 95% plus in coming quarters, we expect to see much stronger growth comi ng through.
Moving on to our offices, we have had a great start to the year with completion of Phoenix Asia Towers and receipt of OC (Occupation Certificate) , as well as completion of the three towers in Pune and receipt of occupation certificate for one of the three towers. Our leasing has also picked up in line with delivery of these two developments as well as the commercial offices in Chennai (One National Park) which are nearing completion. Overall for the quarter, we have leased an area in excess of 4,30,000 square feet and we expect demand to remain strong especially for these quality well -located office spaces.
Our hotel portfolio had a strong performance for the quarter with revenue coming in 11% higher at Rs. 130 crores , and EBITDA showing very strong growth of 19% reaching Rs. 58 crores for the quarter. Our hotel portfolio consists of The St. Regis , Mumbai and Courtyard by Marriott in Agra.
Our operational performance in residential was also very strong with gross sales in excess of Rs. 168 crores and collections of Rs. 99 crores . The price hike that we had undertaken in Kessaku and One Bangalore West has been well accepted by the market, and we recorded an average sales price of Rs. 27,000 a square feet for the sales done during Quarter 1 .
A large part of the sales was completed during the month of June, and as such, revenue recognition for Quarter 1 came in only at about Rs. 40 crores . However, the rest of the sales booking done in Quarter 1 will reflect in terms of revenue recognition in coming quarters on completion of registration and that should boost our revenue and EBITDA performance from the residential portfolio in coming quarters.
And now wrapping up, overall, if we look at our group leve ls, our EBITDA across the portfolio

came in at about Rs. 544 crores , registering a 6% growth. Our Group debt stood at about Rs.
4,435 crores and our net debt to EBITDA reduced moderately from the March ending quarter.
We have also seen a significant reduction in our cost of debt. Cost of debt came at about 7.92%
for quarter ending June 2025 and we expect some of the recently announced rate cut s for RBI
to translate into the balanced loan portfolio in the coming quarters.
Overall, we have continued to maintain a prudent balance sheet and disciplined capital
deployment, which gives us significant headroom to continue investing in high quality assets
while maintaining our financial flexibility to pursue growth.

This brings me to the end of our formal update. We can now move to the Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question
is from the line of Puneet from HSBC. Please go ahead.
Puneet Gulati: Yes. Thank you so much and congratulations on this acquisition, quite an interesting one. My
first question is, if you can give us some color on what is the cap rate you are ascribing to this
valuation in your mind.
Shishir Shrivastava: Puneet, we have not approached this tra

nsaction on a cap rate basis, okay. We see it as being
significantly value accretive over the next five years with the several ongoing construction
nearing completion as well as the further expansions that we planned in Phase 3 in ISM DPL
Bengaluru , which will commence shortly. So, that may not be the appropriate way to assign an
enterprise value by simply looking at a cap rate on NOI .
Having said that, in FY 25 the EBITDA at the ISM DPL platform was at Rs. 617 crores . And with all
the ongoing developments which are nearing completion, plus what is planned to be
completed by 2030 in this platform, we hope to see the EBITDA grow by multiples over this
period of time, and it becoming highly value accretive to us. We beli eve that today's acquisition
price is at fair value. This has also been, I would say, based on the valuation reports that have
been put together by the registered valuers, Bansi S. Mehta Valuers LLP and the fairness
opinion provided by Morgan Stanley Company India Private Limited.
In FY 25, while the retail EBITDA contribution came in mainly from retail, which was about Rs.
617 crores across four malls. We have ~2.2 million square feet of offices which are ready, and
a sizable part of that OC is received, and for the balance we expect the OC to be received. But
they are pre -leased only at about 6% cumulatively, right, so there is a huge headroom which
will also be a significant valuation upside trigger as these get leased out during this year.
We have a very strong pipeline in place, and we have a very strong team now spearheaded by
the CEO for commercial real estate and offices, Mr. Vithal Suryavanshi, who has recently come
on Board. We have about 170,000 square feet of retail which is currently ongoing , expansion
ongoing and this will be delivered by 2027.
Puneet Gulati: Got it. So, from the valuation perspective, is it fair to assume Rs. 5,400 crores is only equity
value? There is roughly Rs. 1,000 crores of existing debt in ISM DPL. Those numbers are right?
Shishir Shrivastava: No, that may be the gross debt.
Puneet Gulati: Yes.
Shishir Shrivastava: Gross debt is about Rs. 950 crores and currently it is also about --

Kailash Gupta: Rs. 650 crores is the net debt.
Shishir Shrivastava: So, adjusting for cash on the balance sheet, the net debt is about Rs. 650 crores .
Puneet Gulati: Okay. And when you talk about the Rs. 5,400 crores of value which you pay over three years,
is the entire EBITDA attributable to you from day -one or does it also get attributable?
Shishir Shrivastava: That is also right. No, the way this transaction is structured, it is pretty much like a spot
transaction. And I mean, obviously, every tranche will only be payable as per the applicable law
and fair value ascertain . But EBITDA is attributable to us , and cash flow uses are exclusively for
us going forward from the day the transaction gets approved and the first tranche payment is
made.
Puneet Gulati: Understood. And lastly, if I can ask you, what can you do now which you could not do earlier in
this platform?
Shishir Shrivastava: Okay. From PML's perspective I think it helps, because minority leakages are kind of addressed,
it reduces that or eliminates minority leakages entirely. It allows us PML to upstream or the
cash flows to be upstreamed to PML for efficient utilization. And we estimate that our EBITDA
could potentially grow 3x to 4x over a period of time, and this will all result in a growth to PML's
PAT.
At the ISM DPL level, it allows us several synergies to optimize structure and drive operational
efficiencies, including costs. It allows us the optionality of future platform monetization of
ISMDPL by way of REIT or listing etc. And at the subsidiary level, again, we retain the optionality
for individual asset level monetization should we choose to do so, and gives us the opportunity
to create new growth platforms.

Pu

neet Gulati: Understood. But is there a thought at this point of time to monetize individual assets?
Shishir Shrivastava: No. That is an option available to us as I mentioned, that is not the strategy.
Puneet Gulati: Okay. And from a timing perspective, is it the right time even, your offices are not yet leased and CPPIB theoretically would have provided good insights on the office leasing side. From timing perspective, are you comfortable or would you have --
Shishir Shrivastava: The timing is perfect, Puneet. The timing is perfect. In fact, as I mentioned earlier, the scale up or ramp up of occupancy at the offices from current approximate 6% across locations to what our target is to be at 90% in 2026, and that's what Vithal and the team are actively working on. I think that is where there is a huge -huge valuation upside that can be achieved based on our performance and our delivery.

Puneet Gulati: And lastly, if you can tell us what is your CAPEX plan for this year and next year, how much should we pencil in the numbers?
Shishir Shrivastava: I think about Rs. 1,200 crores to Rs. 1,300 crores over the next 12 months.
Puneet Gulati: That's it. Okay.
Shishir Shrivastava: That's it.
Puneet Gulati: Okay. Great. That's all from my side. Thank you so much. And all the best.
Shishir Shrivastava: Clarifying that that Rs. 1,200 crores to Rs. 1,300 crores is at a group level, not just at ISM DPL.
Puneet Gulati: Yes. Understood. Okay. Great. Thank you so much.
Moderator: Thank you. The next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.
Praveen Choudhary: Hi. Thank you so much for taking my call. Congratulations on this deal. I have a few questions, that related to the business segment. Can you talk about why Mall of Asia, Bengaluru business performance have been down year -over -year? I thought it's a new mall, so it must be ramping. So, that was one small question. I had another question on depreciation, which jumped massively. And then, the third question I have is on the timing of Kolkata and Surat and many malls, if you can talk about? Thank you so much.
Varun Parwal : Hi, Praveen. Varun this side. I will take the first question before handing it over to the other management people on the call. So, your question on Mall of Asia, Praveen, I think last quarter, in Quarter 1 we had a significant one -time rental billing that happened for several retailers. That was a one -time increase in rental of about Rs. 10 crores .
So, if you compare Quarter 1 FY26 rental billing and you compare it with quarter -four FY 25 renal billing, we reported about Rs. 47.5 crores for Quarter 1 , whereas the quarter -four rental billing was at about Rs. 40 crores . So, the normalized billing for Mall of Asia in FY '25 was about Rs. 40 crores per quarter. And if you see Quarter 1 FY26, it has come in at about Rs. 48 crores . So, adjusted for the one -time billing that we had taken in the prior year, we are seeing a strong 20% growth as far as rental billing is concerned. Praveen, does that answer your question?
Praveen Choudhary: Yes, it does. I am just waiting for the questions. Thank you, Varun.
Shishir Shrivastava: Praveen, may I request you to repeat the follow -up questions that you had on this, so we can address them one at a time?

Praveen Choudhary: Yes. I just wanted to get a sense of the latest timing for the opening of new malls that is expected to come in the next two, three years. But just wanted to get if you have better clarity on Kolkata and Surat malls. And then I had a question on depreciat ion. It seems like depreciation number on your P&L jumped year -over -year and I just wanted to understand anything which is one -off?
Shishir Shrivastava: Sure. So, we will take the first part which is the completion of, we expect the (Phoenix) Grand Victoria Mall, Kolkata to be comp

leted in 2027. Surat is also expected to be completed in 2027.
Thane Phase 1 retail is expected to be completed in 2029. Coimbatore retail in the same year, and Chandigarh Phase 1 retail between 2029 and 2030. We also have a sizable expansion going on at our flagship property, (Phoenix) Palladium Mumbai which has retail and offices, all of this is expected to be completed by end of 2026 and mid of 2027 in phases.
Praveen Choudhary: Yes. Great, sir.
Kailash Gupta: Yes. So, on our accounting piece basically there are two things, one is that the Rise (Phoenix Palladium West Zone) portion actually which we have recently opened in the (Phoenix) Palladium Mall, so that has added depreciation and that will be continuous over the period of time. And apart from this there is a one -time depreciation of around Rs. 7 crores to Rs. 8 crores primarily driven from the demolition of couple of pieces (Courtyard Block) in the Phoenix Palladium side because where we have used the accelerated depreciation basically.
Shishir Shrivastava: So, existing retail blocks have now been demolished, we have therefore written down that in our value for about Rs. 8 crores .

Praveen Choudhary: Understood. Can I ask on the deal, last question from me. So, this deal that has been done, it will reduce your minority interest and there is lot of optionality here clearly. Did you think of similar deal maybe not this year but in future with another partner that you have or should I put it differently, was this de al initiated by the other party or it was mutual?
Shishir Shrivastava: Well, it was mutual. If I may clarify that there was no exit obligation on us to provide our partners an exit, but it was a mutual discussion, and both sides saw the benefit of it. With regards to our other joint venture with the other partners, we have t he Coimbatore project and the Surat project under development , in there (with GIC) . And I think our partners will only see true value once those projects near completion or rather are completed and commence operations and become revenue generating. There is no conversation ongoing for any similar transaction on that JV.
Praveen Choudhary: Thank you. And once again congratulations. This deal definitely looks good if you continue to execute the way you have been. Thank you.
Shishir Shrivastava: Thank you very much.

Moderator: Thank you. The next question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.
Girish Choudhary: Hi. Good evening. Firstly, if you can help us understand the funding of this Rs. 5,400 crores , I mean, will it be like significantly buyback at the ISM DPL level or let's say the standalone entity also buying out the stake. So, how will the funding route happen? And also I mean internal approvals and what's the incremental debt we can see from this?
Shishir Shrivastava: So, now the transaction is structured in four tranches, right, payment consideration is to be paid in four tranches. We have multiple modes of paying this consideration. These include buybacks, payment of dividends, capital reduction and secondary by PML or any of its affiliates. So, this is a combination that we are going to be looking at, and in each year, depending on the cash flows at the ISM DPL level we are going to be affecting dividend payouts or buybacks or capital reduction. Currently, we do not envisage the secondary transaction to take place until perhaps the last tranche. There may be some small amount initially which PML or any of its affiliates may need to fund.
But again, as I mentioned, with this 100% ownership, we get the ability to upstream free cash flows from the ISM DPL platform to PML as well, which could also fund such secondary transaction.
Girish Choudhary: Okay. So, my second question is, again from a capital allocation perspective, I mean the part generally, you have said us that, I mean for your investments gener

ally you look at 14%, 15%
yield on cost. So, I mean for this Rs. 5,400 -odd crores of investments or payout, can we expect a better yield on cost, I mean once everything is up and running?
And just a follow -up to that, I mean this investment does it also signal that, I mean, in the past we had a development -led growth, right now, I mean, are we seeing that we are shifting towards yield -focused asset consolidation, so how should we look at t his transaction from that point of view as well?
Shishir Shrivastava: Okay. Several questions in that question, we will try and break it up into parts, right. In the first instance, the illustration that we have on Slide # 14 will give you kind of an indication on the growing EBITDA at ISML level and you should be able to work out the yield on cost, right and we can get into details offline with our team on this, on the structure and the anticipated returns. But we see that if you look at also Slide # 10, where we have shown what the cash flows are and leverage headroom is. We have explained how in the last 8 years between FY 17 to FY 25 our asset EBITDA has grown 6x. We hope to see at least double -digit growth in EBITDA from all the initiatives which are underway including completion of the under -construction projects, leasing out of the already completed offices and organic growth at our operating retail malls.

Kailash Gupta: Just to add to what Shishir is saying and we have already narrated in our commentary earlier. So, we are not compromising in terms of our expansion projects, which we will continue to do because largely the transaction will be paid through the ISM DPL platform. So, effectively the PML and its other entities are free to use its cash for acquisition or expansion. So, I do not think we are compromising on any of the parameters which we had set as a benchmark for our company.
But at the same time, since the cash flow or the free cash flow is generation is growing year - on-year basis, we thought to even consolidate because this opportunity was like very tempting for us, because one reason is that even the current EBITDA is quite strong. And secondly, the expansion plan is quite big if you see the overall slides and presentation.
Shishir Shrivastava: Lastly, again give you some guidance. If we look at our FY 25 operational free cash flows, they were about Rs. 1,225 crores at the PML level excluding the ISM DPL and its subsidiaries. Now just assume a similar run rate over the next five years without anything else that itself could

potentially translate to over Rs. 6,000 crores of operating free cash flows.
Add to that the cash flows from the residential sales which as Varun explained earlier, we have seen a phenomenal quarter in resi dential sales ; we are gearing to launch the Kolkata residential project sales as well. Add to that the organic growth at retail, the completion of expansion, leasing out of offices plus the significant potential to leverage the PML portfolio excluding ISMDPL.
So, Rs. 6,000 crores plus growth triggers plus the leverage potential at PML excluding ISM DPL assets is more than adequate to pursue our growth aspirations including acquisitions of greenfield, brownfield, operating assets in identified 10 -11 cities including funding the CAPEX required for our FY 2030 envisaged portfolio (excl uding ISMDPL) of 14 million square feet of retail, taking the gross portfolio to 14 million of retail, 3.5 million of offices, 1,200 keys and hotels, and roughly 2.5 million square feet of additional resi dential inventory.
Girish Choudhary: Got it. Fair enough. Thank you. And all the best.
Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC. Please go ahead.
Parikshit Kandpal: Hi, Shishir. My first question is what is the current book value of the assets which you are buying?
Shishir Shrivastava: The gross block of all the assets

and of all the assets under these ISML and underlying SPVs is about Rs. 5,080 crores .
Parikshit Kandpal: Okay. You are paying a slight premium to buy this out. So, which covers the growth opportunity?

Shishir Shrivastava: Growth underway, FSI potential, which continues to get exploited over the next five years.
Parikshit Kandpal: But your share will be 50% of this approximately, so 2500 worth of gross block which is going out for the share you are buying out, so that is you are paying almost 2x right, Rs. 5,400 crores to Rs. 5,500 crores .
Kailash Gupta: I think this is the wrong way to interpret real estate especially, because what you are seeing is the historical value of the assets but you are not seeing the potential of the market value of the assets which would be much higher, I mean, while we have n ot assigned the number but I think looking at the book value is not certainly the right approach to value the transaction.
Parikshit Kandpal: No. I am just trying to arrive at the IRR, which the CPPIB (CPP Investments) is getting in 7-8 years, it is almost doubling, so just from that point I was asking. And what is the balance CAPEX for rest of all the assets and also what is the balance CAPEX for ISM DPL assets till you reach FY30 when all these development opportunities complete, so if you can help us with the break up.
Kailash Gupta: So, barring the new acquisitions and the three assets basically we are talking about, excluding Thane, Coimbatore and Chandigarh, the CAPEX for next five years would be in the range of around Rs. 5,000 crores to Rs. 6,000 crores , and against that the cash flow generation will be much higher.
Parikshit Kandpal: Sir, I was asking what is the residual CAPEX in ISM DPL to reach that FY 30 full development potential which you highlighted in the presentation.
Shishir Shrivastava: Okay. We hear you clearly now. Phase 2, which is ongoing at ISML will roughly require about Rs. 1,000 crores between now and 2027 to take it to completion. Phase 3 we will share the details when we have crystallized on our development plans and we have received all the final approvals.
Parikshit Kandpal: Okay. And just last question on the EBITDA of Rs. 627 -odd crores . So, what is the clean EBITDA based on Rs. 617 crores which you highlighted. So, out of that if I remove the CAM EBITDA and other EBITDA, or is it just the asset level EBITDA from the malls, so does it include the CAM and other charges, other income and all this. So, what is the clean EBITDA?
Shishir Shrivastava: This is the asset level EBITDA chief.
Parikshit Kandpal: So, this is the clean EBITDA, which is no other income, no CAM EBITDA on this.
Varun Parwal : Yes, Parikshit. If you see the reported numbers for each of these assets, we have reported EBITDA numbers every quarter, every year, and if you add up the reported EBITDA for Phoenix Market City Bangalore, Phoenix Citadel Indore, Phoenix Mall of the Millennium and Phoenix Mall of Asia, you will get to the to the FY 25 asset EBITDA of Rs. 617 crores . The offices that

were completed and they received OC , in Jan and April (2025) , they are not yet EBITDA contributing.
Parikshit Kandpal: Okay. But they are also not adding --
Varun Parwal : This is only Purely retail.
Parikshit Kandpal: Okay. Purely retail, and there is no negative or any, there is nothing from other income, nothing from CAM coming in here?
Varun Parwal : No, other income gets, we reported below EBITDA. So, whatever is the contribution from other income is coming below the EBITDA line item. Like Kailash mentioned earlier, if I just see the

FY25 balance sheet, our gross consolidated debt on the ISM DPL platform was Rs. 960 crores , and our cash on books at the end of FY 25 was Rs. 360 crores . So, our net debt is a shade under Rs. 600 crores at this point in time. The Rs. 617 crores of EBITDA generated by the platfor

m
also converted into an operating free cash flow of about Rs. 510 crores for FY 25 if you take out interest and tax expense just for the platform. So, out of PML's Rs. 1,800 - 1,900 crores of operating free cash flow that we reported in FY 25, Rs. 510 crores came from the ISML platform itself.

Parikshit Kandpal: Sure. Okay. Thank you. Those were my questions, and congratulations on the deal.

Varun Parwal : Thank you.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Yes. Thanks for the opportunity. Couple of questions on the transaction. First, has the valuer report mentioned about valuation for operational, under -construction and future potential assets? I means, is a break -up available and if you can provide that to us?

Kailash Gupta: No, there is no break -up as such in the public domain. And I do not think we will be in a position to declare or inform you of any kind of numbers .

Shishir Shrivastava: The valuers have not published the sum of parts, if that's what you are asking.

Pritesh Sheth: Yes. Okay. Fair enough. And from pure CPPIB's perspective, while some of the assets have been recently completed, Citadel, Bangalore, Pune, and the office assets which you recently delivered. What was the thought process from their side to exit these assets without even seeing that five years of maturity or a steady state kind of run rate? So, what was the thought process of exiting these assets at the early stage? And would this be a precedent for the next assets which we are building under this platform, be it Kolkata, Project Rise and even for that matter , Coimbatore, so your thoughts on that?

Shishir Shrivastava: Okay. So, I cannot speak for CPPIB (CPP Investments) , their rationale is obviously well - deliberated. As I mentioned earlier, I want to clarify that we had no stated commitment or contractual commitment to provide an exit to CPPIB. I think it's their own considerations on their timeline of their investment, etc. And this was a conversation that we have mutually arrived at after negotiation, so I cannot speak on their behalf. Coimbatore does not sit under the CPP platform, I am clarifying since you mentioned that. And so this is not intended to be a precedent for CPP to look for an exit in the other JVs where we have ongoing construction or otherwise. Again, I want to mention again that we have a fantastic partnership in CPPIB (CPP Investments) , and we are looking forward to this relationship growing as we grow our own portfolio.

Pritesh Sheth: Sure. And taking this partnership with our other partner, will we be offering some of the decent assets to GIC for some stake acquisition in this asset or do you think that given the cash flows and the leverage potential that we have, we will be able to e asily fund the consideration and create lot of value, and hence, no need to offer to them. So, what would be our thought process in this?

Shishir Shrivastava: Pritesh, I think it's important for you to understand why we have created these two platforms at the time when we did. In 2017, when we entered into this first joint venture with CPPIB, we were looking for growth capital. We had estimates of potentially f uture cash flows. However, there was opportunities that could be exploited at that point in time and there was a timing issue in terms of free cash being generated from our residential sales and organic growth resulting in higher free cash from our operating assets, which is why at that point in time we were looking for capital for growth and we entered into this transaction.

Moving forward in 2021, when we executed our second JV with our other partners, we were looking at creating sizable liquidity at Phoenix Mills level, this was immediately post COVID and we were looking at creating some kind of a safety net. And we have be en very committed to the grow

th of that platform, and we have added Coimbatore and we have added Surat to that platform, and we have committed the entire funds or the entire capital that was infused as a primary into that joint venture. We have committed t hat capital for growth of that platform.

Now when we look at our balance sheet, we have a very -very strong balance sheet, we have sizable free cash being generated on a year -to-year basis and we do not have intention of creating more platforms, at least we have no need to create those more platf orms because we have enough cash.

Pritesh Sheth: Sure. Thanks for that answer. And we completely agree on that. Just one last on the assets beyond this platform. So, there has been drop in terms of trading occupancy for M arketCity malls in Bengaluru , Chennai, Pune, is that it in terms of whatever churn we wanted to plan? And potentially from this year end and next year, we will start seeing good outcomes and good growth outcomes from the churn exercise that we are doing in these three malls.

Varun Parwal : So, Pritesh, let me take the first part of that question and then I will hand it over to Rashmi to expand on what we are doing here. You have seen a significant drop in trading occupancy for this quarter in Phoenix Market City Bangalore and dip in trading occupancy, which are lower but still there in Pune and Chennai. These are of course very strategic and planned in nature and they are aligned in terms of the brand mix and the key anchor flagship and inline stores that we want to bring into these malls at this point in time.
(At Phoenix) MarketCity Bangalore churn is happening, it has come together, so that's why there is a big drop from where we were in December at 98% occupancy to today where we are at about 84% occupancy. And through the rest of the year, the occupancy will go up significantly from here. Th ere are still some , few more churns that are planned but they are more staggered, and they will take place in the coming year. Now, I think I will hand the call over to Rashmi to just talk a bit on our philosophy and strategy.
Rashmi Sen: Yes. Hi. Currently, as you would know, we are undergoing a significant repositioning and premiumization change for most of our legacy assets, which are completing close to 14, 15 years. And we see that there is a lot of headroom and appetite for increasing rental for a lot of these older deals. We also see that there is a lot of room for optimizing the anchor sizes to inline stores, and over the last few years there has been increased demand and appetite from international brands for coming and opening stores in our centers.
And I think it's sort of a moment in pivot where everything is coming together for us because a lot of these large boxes, expiries are coming up and it gives us a beautiful opportunity to sort of rethink, reimagine because change is the only constant and we want to continue to give newer experiences to our customers. So, all these changes that we are making is from a long term perspective. And even though you may see a drop in trading occupancies, all of these are typically leased to the newer premium international brands. And what we do is like if hypermarket, we feel like 50,000 (sq. ft.) , a larger hypermarket may not be as relevant, so the hypermarket may get leased to another brand in a different category. But we move the hypermarket to a smaller Gourmet concept. And basically, these are the things that we do. And what you see right now is basically a short -term impact of the long -term visionary changes that we are making.
Pritesh Sheth: Got it. So, just to clarify, there would still be some bit of staggered churn across the three assets which will come through the year and then we will be done and probably 2027 is when we will stabilize.
Varun Parwal : Pritesh, Varun this side. You will have trading occupancy going up and there may be some churn that

could happen but overall we should see a ramp up in trading occupancies . You will see the progression of trading occupancy towards the lease occupancy.
Pritesh Sheth: Got it. Fair enough.

Varun Parwal : Many of these repositioning brands, etc., they are already under very active fit outs. So, if you are visiting Bangalore any time, give us a shout and we would love to show you and walk you around either the Bangalore mall or the Pune or the Chennai mall.
Shishir Shrivastava: So, to summarize what Varun is saying that the gap between what you see as the trading occupancy and the leased occupancy, leased occupancy is much higher than trading occupancy. That gap is forced (planned on account of repositioning) by us and going to become operational soon.
Pritesh Sheth: Got it. That's really helpful. Thank you. All the best. That's it from my side.
Moderator: Thank you. The next question is from the line Murtaza from Kotak Securities. Please go ahead.
Murtaza Arsiwalla: Yes. Hi, gentlemen. Firstly, congratulations on the deal. I think it's a very elegant exit that you are planning to get CPP. But just on the operational numbers, just two or three pieces. One is one is, if I look at this quarter's numbers, 12% consumption growth, 4% rental income, should that be just explained by a possible less favorable shift in mix or anything else that we should read into that number, number one.
Number two, on the CPP piece, you also amongst other things highlighted the potential upside in the occupancies for the recently commissioned office assets. Any visibility, because to me that number on how much is leased appears low for an asset which has just received OC. But you have said that you are targeting 90% in 2026 , but any near -term visibility numbers on how you look at a ramp -up in that occupancy. So, two pieces, one on the retail side, the growth in consumption versus rental income, second on the leased occupancy for the new commercial assets.
Varun Parwal : Sure, Murtaza. Varun this side. I think first on the quarterly performance for the rental income compared to the consumption trend. We spoke about it earlier on at the starting of the call that this quarter we had impact on two accounts. One is because of the planned churn that we had undertaken and the significant churn that we had undertaken at our Phoenix Market City

Mall. Even in Mumbai, Pune, Chennai, and significantly in Bengaluru , that churn contributed to about a 3% drop in rental income compared to the numbers that we reported.
There is also the negative impact from, when you compare Year-on-Year at Phoenix Palladium, we have demolished a large part of the retail block which housed retailers like Nike and Haml eys, which for the full -year, last year contributed about Rs. 200 crores in consumption and over Rs. 45 crores in rental income. So, the quarterly rental loss from the demolition of that retail block is also at about Rs. 12 crores .
The planned churn and the loss of rent from convergence (Courtyard) block between them have a 5% to 6% impact on our rental income growth for the quarter. I am not taking into

consideration the other aspects where there may be smaller fit -outs or any rent impact from retailers being exited. But broadly these are the two main reasons for the gap between consumption and rental income growth.
Murtaza Arsiwalla: So, a couple of high -yielding tenants have been churned out, is that the way to read it? Nike, Haml eys would have been, how should I read that, I mean, on the office assets, the newer office assets in terms of visibility in the near term on occupancy ramp -up?
Shishir Shrivastava: So, we have every reason to be confident about seeing a significant ramp -up in the next 12 months. In calendar year 2026, our target is to see a 90% occupancy across office assets. We have completed these assets and completed all the amenities at th

ese locations. Also we have a very strong pipeline. Just to give you an illustration, in Chennai, the office asset, we have completed about 60% leasing in about four months. And we expect to see a similar trend even in Bengaluru and Pune.
Murtaza Arsiwalla: Sure. Thank you.
Shishir Shrivastava: Thank you.
Moderator: Thank you. A reminder to all the participants, you may press star and 1 to ask questions. As there are no further questions from the participants, I would now hand the conference over to the management for closing comments. Over to you, sir.
Shishir Shrivastava: Thank you very much, ladies and gentlemen, for joining us on our Q1 earnings call. We wish you all the very best, and talk to you next quarter. Have a good evening.
Moderator: Thank you. On behalf of The Phoenix Mills Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Nov 2025

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November 05, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated October 31, 2025, wherein we had i nformed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Friday , October 31 , 2025 at 07:10 P.M. (IST), with Analysts / I nstitutional Investors on Un-audited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2025.

Please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY26 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "* " then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Varun Parwal. Thank you and over to you sir.
Varun Parwal: Thank you and good evening , everyone. Happy Diwali. It's a pleasure to welcome you all to discuss our operating and financial performance for the second quarter and first half of fiscal year 2026.
During the first half, we reported revenue of Rs. 2 ,068 crore reflecting a 14% growth over the same period last year. Our consolidated EBITDA stood at Rs. 1,231 crore up 17% year-on-year.
The second quarter in fact showed an improvement in revenue and profit trajectory with revenue coming in at Rs. 1,115 crore up 22% year-on-year and EBITDA of Rs. 667 crore up 29%.
Growth during this period has been led by strong performance from our retail portfolio and

good sales momentum in the residential segment.
At Phoenix, we are creating integrated destinations where people choose to shop, work, live and unwind and this interconnected model continues to translate into both resilience and growth. Fiscal year 2026 marks a phase of elevating the retail and office experience, strengthening our balance sheet and accelerating our next phase of growth. These results reflect not only our operational discipline but also the compounding impact of our mixed -use strategy and our commitment to building enduring value. Our ret ail story continues to be the engine that drives the Phoenix ecosystem.
Under Rashmi's leadership, it is growing stronger and more refined each year. Rashmi , of course as you know, has been with Phoenix for over 15 years and has played a pivotal role in transforming our mall portfolio into world -class destinations. With over 26 years of industry

experience, she continues to champion growth, operational excellence and strong brand partnerships while mentoring the next generation of retail leaders.

Page 2 of 18 Rashmi, over to you to take us through how we are deepening our retail strength.
Rashmi Sen: Thank you, Varun, and good evening everyone. I am happy to share that our retail portfolio continues to build on strong growth momentum, delivering both financial performance and a richer customer experience.
Retailer sales for H1 FY26 reached Rs . 7,335 crore , up 13% year-on-year. In the second quarter, consumption stood at Rs . 3,750 crore , up 14%. Rental income for the quarter rose 10% to Rs . 527 crore while EBITDA grew 10% to Rs . 551 crore . Consumption growth for the quarter was led by double -digit gains at Phoenix Palladium and strong traction across Mumbai, Chennai, Lucknow and Bareilly centers . Newer assets such as Palladium (Ahmedabad) , Phoenix Mall of the Millennium and Phoenix Mall of Asia also contributed meaningfully. Growth would have been stronger if adjusted for temporary area closures at Phoenix Palladium, Mumbai for redevelopment and strategic upgrades at our Phoenix Mark etCity malls.
Our consumption performance remains strong across categories. Fashion and accessories grew 17% year-on-year, family entertainment and multiplexes were up 23% on the ba ck of a strong movie slate ; athleisure and watches, each recorded growth above 15% (Q2 FY26) . This broad - reach strength highlights resilient consumer demand and the trust that leading brands place in Phoenix as their preferred retail partner.
A key milestone this year was the launch of Gourmet Village at Phoenix Palladium, a two -level dining and entertainment hub with 19 outlets. The concept is designed to position F&B (Food & Beverage) as a strategic anchor in our ecosystem, redefining urban retail as a space for experience and celebrations. Its diverse mix of global and local cuisines have resonated strongly with our patrons ; driving repeat visits, longer dwell times and higher consumption across the centers . Our malls have long served as the social anchors in dense city centers and we continue to evolve them to stay ahead of the changing consumer expectations. The success of Gourmet Village is a reflection of this evolution , and we are now scaling the model across our portfolio as we strengthen our positioning as preferred social and F&B destinations.
Moving on to our leasing strategy, we are strategically curating and optimizing our retail mix through right -sizing and planned churns to ensure stronger productivity. We are also upgrading underperforming spaces, introducing premium and high -performing brands across catego ries of fashion, jewelry , athl eisure, watches, beauty and F&B , to further elevate the shopping experience . Early results are visible in robust retailer sales with sales on a per -square -feet basis up over 20% at Phoenix MarketCity Bangalor e and 11% at Phoenix MarketCity Pune.
With the festive momentum clearly seen across our centers , we remain confident of delivering double -digit growth across our retail portfolio in FY26, driven by strong consumer demand, robust retailer sales and continued brand enhancement. Going forward, we will continue to

Page 3 of 18 build on this momentum through strategic leasing, enhanced customer experience and ensuri ng growth across our portfolio.
I would now like to hand the call back to Varun to take you through the next set of highlights.
Varun Parwal: Thank you Rashmi.
Moving on to our office portfolio . We remain firmly on track as we build a premium office portfolio which is seamlessly integrated with our mixed -use ecosystem. Each of our offices is envisioned as the best workplace in its city, combining world -class infrastructure, sustainability and the vib rancy of a retail -led environment right at its doorstep. Over the past two years, w

e
have more than dou bled our office footprint from two million square feet across tw o cities in 2023 to now nearly five million square feet of completed offices across four cities. Key milestones this year include the Completion Certificate for One National Park in Chennai and Phoenix Asia Towers in Bengaluru as well as Tower 3 of Millennium Towers in Pune. All our office buildings also have the USGBC LEED PlatinumTM or USGBC LEED GoldTM Certifications which reaffirm our commitment to sustainable world -class office environment s.

Leasing momentum in offic es has been strong, with over one million square feet of gross leasing achieved across Mumbai, Pune, Bangalore and Chennai assets during this year by the end of October 2025. And occupancy at our operating assets in Mumbai and Pune has improved from 67% at the end of March 2025 to now over 77%. For the first half of FY26, income from our operational offices stood at Rs . 106 crore with EBITDA coming in at Rs . 67 crore . The robust leasing momentum during the first half of this financial year (FY26) positions the office portfolio for a signifi cant uplift in financial performance going forward.
Turning to the Hotels portfolio . The business continued to deliver steady performance with income of Rs . 244 crore up 5% Year -on-Year and EBITDA up 16% to Rs . 105 crore for the first half, translating into healthy margins of over 43%. The St. Regis . Mumbai maintained a high occupancy of 85% and also an increase in average room rates of over 2% during the quarter, underscoring the resilience and premium positi oning of our hotel portfolio.
In the Residential business, our sales momentum has been strong and during the first half of this year, sales have already crossed Rs . 287 crore , surpassing the full -year sales done in FY25. Revenue for the quarter was about Rs . 171 crore , led by sales at One Bangalore West , and Kessaku, at pricing in excess of Rs . 27,000 a square foot , reflecting sustained demand for our high-quality residential products.
I would now like to invite Kailash Gupta to take you through the financial highlights.
Kailash Gupta: Thank you , Varun and good evening, everyone.

 At a group level, revenue from operations for the quarter stood at Rs . 1,115 crore up 22% year-on-year basis, and EBITDA grew by 29% to Rs . 667 crore . Net profit for the quarter was Rs . 304 crore up 39% year-on-year basis. Operating cash flow after working capital, taxes and interest expense was at Rs . 981 crore for H1 FY26 up 21% Year -on-Year basis. Total capex (capital expenditure) for H1 FY26 was Rs . 658 crore , largely towards the construction o f the various projects ongoing.
Our balance sheet remained prudent. Gross debt has touched less than Rs . 5,000 crore and overall liquidity remained very strong. Net debt in fact declined by Rs . 500 crore in the H1 FY26 and currently stood at ~Rs. 2,200 crore . Our net debt to EBITDA ratio remains healthy at less than 1x. We have also reduced our average cost of debt from 8.5 0% to 7.6 8%. I think this is truly a good benchmark for any company of our size. Overall strong cash generation and a disciplined capital framework give us ample headroom to invest in high -quality assets while preserving financial flexibility, positioning us wel l for the next phase of growth.
Just to give you some highlights on the CPP Transaction . So, t his transaction was declared in the last bo ard meeting on 24th July 2025. Post that w e have received CCI approval, Shareholder approval and we have also completed all the CPs , and now we are ready for the first tranche payment. The first tranche payment most likely will be processed d uring the first or second week of November and the total ~Rs. 1,257 crore payment has been completely tied up. So, the outflow will not really put any liquidity pressure on us.
This brings me to the end of the financial numbers.

Over to you Varun.
Varun Parwal: Thank you Kailash. Before we hand over to the operator for questions we would like to share an update with you.
As you are aware we recently announced the elevation of Mr. Shishir Shrivastava to Vice Chairman at Phoenix Mills. Shishir has been an integral part of Phoenix Mills journey since 1999 and his story is deeply intertwined with the company's growth and evolution. Over the past 26 - 27 years, he has won many hats across the organization, leading diverse functions with remarkable depth and versatility. His leadership, vision and unwavering commitment have guided Phoenix through numerous milestones from transformative growth phases to navigating challenges such as the COVID -19 crisis. On a personal note, I have had the privilege of working closely with Sh ishir for over 10 years. It h as been a t ruly enriching journey, one mark ed by invaluable learning and inspiration. As he transitions to the role of Vice Chairman, we look forward to his wisdom, perspective and mentorship remaining a co rnerstone of our journey ahead.
With that, I would now like to hand over the call to Shishir to share his thoughts.

 Shishir Shrivastava: Thank you so much Varun for very kind words. Good evening everyone. I would like to take this moment to express my sincere gratitude for the tremendous support and trust you have all shown in me throughout my tenure at The Phoenix Mills Limited as the Group CEO and Managing Director. It has been an incredible journey filled with learning, collaboration and shared achievements which I will always cherish. As I move into the role of Vice Chairman, I genuinely do so with a deep sense of pride in what we have built together and complete confidence in the leadership that will take PML forward into its next exciting chapter. The Phoenix journey has always been about building and enduring value and I am confident that the team's focus and discipline will continue to create long -term growth. Though I will be stepping back from day -to-day operations, I look forward to staying closely involved and continuing to work with the team, guiding, mentorin g and contributing strategically as we shape the company's future.

We can now begin with the Q&A round. Thank you everyone.

Moderator: Thank you very much. The first question is from the line of Puneet from HSBC. Please proceed.

Puneet Gulati : Yes, thank you so much and congrats on good performance. My first question is actually with respect to your Slide # 24, where you talk about the residential and other income and residential and other EBITDA. Can you elaborate a bit more on what this income is and how is the margin so high?

Kailash Gupta : Residential business basically, we have the O ne Bangalore West and Kes saku in Bengaluru . This is a site wher e the inventory is ready to sell anytime. During this quarter, we were able to make ~Rs. 282 crore as a total sales number , but we could not book the entire thing because of the pending documentation for almost Rs. 100 crore. So, this inventory, the land has been bought in 2008 and the construction has been completed around two years ago , so that is why the total cost of construction, including the land, is around 25% odd a nd the realization is one of the highest in the Bangalore.

Puneet Gulati : Okay. So, 57% EBITDA margin is how one should pencil in for future as well.

Shishir Srivastava : For the existing inventory, Puneet, that would be the correct answer. That 56 -57% would typically be the range for the balanced inventory.

Varun Parwal : Puneet, from P&L perspective, so costs are being recognized on a historical basis. Fr om a cash flow perspective, what we are selling today flows straight down to the free cash flows.

Puneet Gulati : Yes. Understood. Secondly, if you can talk a bit about when should one see normalized performance coming back for Pune and Bengaluru ?

 Rashmi Sen: Yes. I think we are already seeing some of that performance coming back because some of the stores that were under churn have already opened up. And b y end of the financial year, we will see most of that area that is operational. In fact, when we talk particularly about performance, we are already seeing double -digit trading density growth in both Phoenix Ma rketCity Bangalore and (Phoenix MarketCity) Pune. So, I think both of them are already showing growth traction coming back. And over the nex t two quarters, we will see most of it trading and coming back. I would say over 90% trading by March 2026.

Puneet Gulati : Okay, both the places, Bangalore and Pune?

Rashmi Sen: Both the places.

Puneet Gulati : Okay, that is very helpful. And secondly, just on the office side, while your occupancy indeed has inched up on your existing portfolio, rentals have not really caught on. If you can throw some light, there as well.

Varun Parwal : So, Puneet, leasing has been done between April and October now and you start seeing the flow -through in the rent and EBITDA happening from Quarter 3 and Quarter 4 of this year.

Shishir Srivastava : So, Puneet, as is typical, you will have a fit -out period, etc . before the rents are flowing through. So, typically, for large spaces, it c ould be as much as three months.

Puneet Gulati : So, the occupancy you have shown i s the leasing occupancy and not

Shishir Srivastava : That is the lease d occupancy. Yes, that is correct.

Puneet Gulati : And lastly, on the financial side, there seems to be a dividend payment of some Rs. 175 crore in first half. What does that relate to?

Varun Parwal : Puneet, that relates to, it is a dividend from our joint venture with CPP Investments , which is Island Star Mall Developers. This dividend has been paid in the ratio of our respective shareholdings. So, Phoenix Mills has received 51% or Rs. 89 crore and CPP has received 49% or approximately Rs. 85-86 crore of this dividend.

Shishir Srivastava : This forms part of the total consideration. It is just one of the heads under which the total consideration of ~Rs. 1 ,257 crore, which is Tranche One , will be paid out. So, this is part of that.

Puneet Gulati : But this is already paid out, right, in first half?

Shishir Srivastava : No, it has been paid out only recently in the first week of October. Yes. It was declared last week of September and paid out first week of October.

 Puneet Gulati : Okay, that is helpful. And on the debt side, you know, it is quite commendable to see such low cost of debt. How would this cost of debt pan out when you start paying out CPP and your gross debt levels will go up? Would you anticipate similar cost of debt, assuming interest rates remain where they are?

Shishir Srivastava : Absolutely, Puneet. All the debt that we are looking at raising, even at the ass et level, it is primarily going to be LRD and it is going to be at the similar price range.

Kailash Gupta : Puneet, just to give you, 50 -60% loan has already been tied up by now.

Puneet Gulati : Great. So, similar range 7.7 %.

Shishir Srivastava : Correct. Absolutely.

Puneet Gulati : Understood . That is very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Praveen Chaudhary from Morgan Stanley.

Please proceed.
Praveen Chaudhary: Hi. Thanks so much for taking my call. Hi Varun. Hey Shishir . I have just one quick question. The net de bt to EBITDA of one time , that is absolutely commendable , it is very good. I just wanted to see if you have a number in mind, which is your peak net debt to EBITDA that you can go to. That will also tell us in terms of what kind of growth you can go for apart from buying a piece of land that you have for the next five years ; what else could you do to improve or increase the gearing to drive

growth? I am just trying to see the peak number that you can go to.
Shishir Shrivastava : So, we continue to look at our overall cost of funding, Praveen. And for the present, we estimate that we will be in this range of between 1-1.5x at the peak, worst case, we may go up to 2 x. But that is going to be perhaps, even if it happens, it may happen for only a short period of time when we may peak and be able to reduce it from the internal accruals. So, potentially, if we really want to raise capital for growth, we could go even seven times. But that is clearly not the intent. Our current policy is to stay in the range of where we are, between 1 to 2 times of EBITDA.
Praveen Chaudhary: That is very clear. Thank you. And if I could add one more question. In terms of land banking, in terms of acquiring great locations, are you done because you clearly have a very good roadmap ? Or you are still looking for tier two cities and still scaping through buying land?
Shishir Shrivastava : See, we have clarity on what assets we are delivering between n ow and 2030, o ur goal continues to be to build out at least one to two million square feet of retail every year, even beyond that. So, land acquisition is going to continue to go on and there is no end , it is routine for us. And that is the plan that we have. So, one to two million square feet of retail delivery every year beyond 2030, accompanied by other asset classes such as hotel, office, residential,

 depending on the demand at that micro location. So, we will continue to acquire land to deliver this.
Kailash Gupta : And Praveen, just to add to what Shishir is saying, we are already having a list of cities actually, which we have identified, and it is part of the investment presentation all the time.
Praveen Chau dhary: Understood. And the last question I had was on the consumption growth and detailed rental growth. I remember a couple of years back, you had mentioned that same store sa les growth can be as high as 10 -11%. It has been single digit for some time. Could you highlight what will drive us back to double digit growth, please?
Shishir Srivastava : So, some of the impact to our sales growth as we ha ve spoken a little earlier in today's call and previously as well, has come about on account of us reducing trading area by way of churn. So, that space is undergoing a fit out or a change in brand and premiumization and other initiatives that Rashmi will explain to you. So, some part of the impact on our consumption growth has come out of area not being available to trade due to churn. We are seeing, it ha s been a fantastic season for us this year, this month of October, and we expect to see these trends t o continue through for the end of this quarter and perhaps even the last quarter of this financial year. Rashmi, would you like to add?
Rashmi Sen: Yes, in fact, we are seeing this trend is already coming back. I was earlier mentioning that fashion and accessories grew at 17%. We are seeing family entertainment and multiplexes have shown a growth of 23%. Athleisure watches grew over 15%, likewise jewelry . So, I see that this trend is actually coming back strongly. And the festive season has been very good as well. So, the numbers for the festival season are going to be even higher than what I am telling you. So, in fact, this has had a stro ng comeback, I would say in terms of the double -digit growth this quarter, and we will see it only growing in the next quarter.
Shishir Srivastava : Also, if you take a look at slide number seven of our presentation, you will see that 5 out of the 12 retail assets here have demonstrated double -digit growth in this last quarter. And the others is where Rashmi has explained the asset and brand enhancement initiatives.
Rashmi Sen: Yes, and even those two centers where we are undergoing a major churn, Phoenix MarketCity (Bangalore) .in terms of tra

ding density grew at 20% , and (Phoenix M arketCity) Pune in terms of trading density grew at 11%. So, you know, we are seeing a double -digit growth all across.
Praveen Chaudhary: Okay, that is very clear. And thank you very much. Co ngratulations for great results. Look forward to see you soon.
Moderator: Thank you. The next question is from the line of Parvez Qazi from Nu vama Group. Please proceed.

 Parvez Qazi: Hi, good evening team and thanks for taking my question. A couple of questions from my side. First, we have seen pretty decent improvement in leasing on the office side in Q2. So, what is the incremental progress here? Let us say by the end of FY26, where would we be in terms of the leasing status in the two odd m illion square feet recently completed projects on the office side? Second, some status on the under construction assets both on the retail and office side will be great. Thank you.

Shishir Srivastava : Hi, Parvez. With regards to the existing operating office assets that we have, we have mentioned that our internal goal to the team has been to hit an average of 80% across all (operating) assets by the end of this quarter. 80 -90% is the target. If we ju st look at the progress that we ha ve made, and which has been almost a million square feet of leasing that we ha ve achieved in this financial year, we are really excited that the team and the new leadership under the new leadership is going to continue to demons trate strong leasing progress a nd we hope to achieve our target. The second part of your question, which is an update on the retail assets under construction. And Rashmi, if you would l ike to take that part?
Rashmi Sen: So, the re tail assets under construction , leasing is progressing very well. We have Kolkata , which is leased over 75%. S urat is also leased close to 35 -40%. And we are doing expansions at the Bangalore Centre (Phoenix MarketCity Bangalore) in two phases. The second phase, which is the F&B expansion, is leased over 60%. Next is the expansion here at Phoenix Palladium, again, which is receiving very good traction. And apart from that, we are building flagship centers in Chandigarh and Thane, where currently we are at the drawing board stage in terms of the architectural plans and the larger vision for the center , and for those centers as well, we have received early very good traction from the re tailer community. So, yes, we are very excited about all the new projects and so likewise is the retail industry.
Shishir Srivastava : In terms o f completion, Parvez, we'll just complete that.
Parvez Qazi: Yes.
Shishir Srivastava : In terms of project completion, we are happy to report that we are on track both on budget and on timelines. We are expecting the Grand Victoria Mall Kolkata to be ready by sometime in the third quarter of calendar year 2027. Similarly, the mall at Surat is going to see a similar timeline. In Benga luru, the retail expansion is expected to be completed in the next calendar year, again, third quarter of next calendar year. The phase one office expansion at Phoenix MarketCity Whitefield will also be completed simultaneously in the third quarter of the next financial year. And the Grand Hyatt Hotel is slated to open by the end of calendar year 2027.
Parvez Qazi: Sure. Last question. When will the repositioning be in the Palladium Chennai as it get completed ? Thank you.

 Rashmi Sen: We ha ve already started that and I think next year, you will see a lot of it in terms of execution that will be visible at the mall level.
Parvez Qazi: Sure. Thank you and all the best.
Moderator: Thank you. The next question is from the line of ` from HDFC Securit ies. Please proceed. Mr. Parikshit, your line has been unmuted. Please proceed with your question.
Parikshit Kandpal: Yes. Can you hear me now?
Shishir Srivastava : Hi, Parikshit. We can hea

r you. How are we doing?
Parikshit Kandpal: Yes, good . Congratula tions on your elevation Shishir. F irst question is on the like -to-like consumption growth in the Palladium mall.
Shishir Srivastava : Sorry. Ca n you just repeat your question properly?
Parikshit Kandpal: To the Palladium mall, what is the like -to-like consumption growth, Year -on-Year , adjusted for the increased GLA?
Shishir Srivastava : 13% is the answer for that , without accounting for the additional area, like -to-like growth is 13%.
Parikshit Kandpal: I mean, what was the
Shishir Srivastava : This is adjusted for the area which has been demolished as well. Sorry, did you get that, Parikshit?
Parikshit Kandpal: So, adjusted for the demolished area as well, you are saying.
Shishir Srivastava : Adjusted for the demolished area and not accounting for the new space. So, like -to-like growth for the stores that continue to operate or the area that continues to operate from last year.
Parikshit Kandpal: Okay a nd, in particular, what was the driver of such a, I mean, because this seems to be a matured mall. It i s a matured mall. So, what was driving this, I mean, stupendous growth of 13%?
Rashmi Sen: I would say, Gourmet Village has been instrumental in driving that growth. You know, out of the 19 outlets, 14 are already operational. A nd with, you know, all the marquee brands that we h ave in this place, I think it is the stickiness is coming from the F&B destination that we created. The city is loving it. We have new customers that are walking in. We have repeat customers. We have increased dwell time. And, in fact, this is something that we are seeing that F&B is really becoming the new anc hor in terms of, you know, anchoring the growth all

 across. And the other thing is what we are seeing all across is that fashion h as picked up and even in Phoenix Palladium, we have seen a growth of 15%. Watches, Beauty, again, have shown a growth of 15%. And, I think, generally, the overall mall is doing very well in terms of consumption growth.
Shishir Srivastava: To add to that, there are a lot of new brands that Rashmi and the team have launched in this quarter at that location. So, brand premiumization is driving higher consumption.

Rashmi Sen: Yes. We hav e had a lot of new brands.
Shishir Srivastava : New cafes, new brands, the Gourmet V illage, as she said, just to recap, all of these strategies have worked out and led to this growth. Okay.
Parikshit Kandpal: I think that is helpful. Second question is on PMC Bangalore and Pune. So, I mean, there the growth has been muted. So, what are we doing there to, again, like, report much better growth in the future?
Rashmi Sen: So, you know, both Phoenix Mark etCity Bangalore and Pune, it i s a s trategic churn. So, while Phoenix MarketCity, Pune is trading at 85%, the leasing occupancy is 94% and a large portion of the new brands are currently already under fit -out. Likewise, in Phoenix MarketCity, Bangalore, while the trading occupancy is 80%, 82%, the leasing occupancy is 97% and there again, some of the brands have already opened and a lot of other brands are under fit -outs currently.
Shishir Srivastava : So, as Rashmi already explained earlier on the call, Parikshit, we are expecting that this last quarter of this current financial year is when you will start seeing the effect of all of these stores, which are not trading today, but leased occupancy stands at 97%, as Rashmi explained in the c ase of Pune and Bengaluru . You ar e going to see the impact of all of this to the consumption in this last quarter.
Parikshit Kandpal: And this is the last question on the residential piece. So, now Alipore, I think it spoke last quarter that we are in gearing for launch. Any update there? And also on Bengaluru , last phase of launches. So, any update on that?
Management: No, we are working on our plans and

approvals and construction at site over there, where develo pment plans are underway. We will come back to you. Hopefully, we wi ll have some significant updates for you in the next quarter.
Parikshit Kandpal: Both on Alipore and Bengaluru , right?
Management: I was talking about Alipore, Resi. What is the question on Bengaluru , if you could repeat that?

 Parikshit Kandpal: So, Bengaluru also, I think the area is yet to be launched. So, when do we expect that to come for launch?
Shishir Srivastava : Tower 8 and 9, we have the plans finalized. In fact, you will remember that several years ago, we had already completed the work up to the plinth level for these towers. We are currently waiting to exhaust a significant amount of our existing inventory before we launch another premium product in that market.
Parikshit Kandpal: Sure. Thank you and all the best.
Shishir Srivastava : Thank you, Parikshit.
Moderator: Thank you. The next question is from the line of Pritesh Sheth from Axis Capital. Please proceed.
Pritesh S heth: Yes, thanks for the opportunity and season's greetings to everyone in the team and congrats Shishir on your elevation. First question on the category -wise growth. As you highlighted, quite a healthy growth across categories. Just want to understand how much of that is probably some effect of base last year and how much do you think as this GST -related consumption boost has contributed to this growth and how do you think about it going ahead in terms of categories which are goi ng to benefit most with whatever t he government is trying to do.
Varun Parwal : Pritesh, l et me take the first part of that question before I hand it over to Rashmi. I think I would say that what you a re seeing as overall growth in the categories is quite coming from like -to-like areas. The area that was in operation last year versus the area that is in operation this year, there has been no change in that. At the same time, we have been carrying out brand changes, whether it is at Phoenix Palladium or at our other malls and the impact of some of this churn and the underl ying pent -up demand is what is showing such strong growth on a like -to-like basis. In fact, like Rashmi mentioned in her opening remarks, the growth that you're seeing is very broad -based acro ss categories and across malls. Pritesh , did that answer your question?
Pritesh Sheth: Yes. I was just trying to see how much of that is because of the base effect of whatever weakness we had last year post -election and overall a weaker consumption environment and how much is because of the GST r ate benefit. Has anything of that started to come through?
Shishir Srivastava : I do not think anything has changed structurally. There are two aspects which have contributed for this growth across categories. One is clearly the premiumization that we have already carried out across our locations. There are completion of some projects which have led to driving consumption growth. There are brand changes which have led to driving consumption growth. And yes, there has certainly been a positive effect of the GST, but one has to consider that that has probably taken effect only in the last part o f this quarter. That has only had an effect of maybe a couple of weeks in this last quarter. So, the growth that you are seeing for the second quarter or the first half of this ye ar is not on account of GST. It i s on account of

 several initiatives. I do not think structurally anything has changed. The base was very depressed last year and t hat has been an effect there. I would not take that view.
Pritesh S heth: Got it. And which category do you think will continue to see this healthy, double -digit kind of

growth?
Shishir Srivastava : Well, across different locations, we have different strategies of what we are undertaking as initiatives for brand churn or category changes

, etc. So, at different locations, you will see different impacts coming from different categories. For example, you will see F&B impact in a few of our malls. You will see fashion categories growing faster than others in a few of our malls where we have new brands opening up, more premium brands opening up. So, it will be a mix of it all.
Pritesh S heth: Got it. Fair enough. That is very clear. And second question on your slide 11, where you have broken down the trading occupancy impact an d the trend density increase. I a m just trying to understand now that once we get back to a mid -90s kind of trading occupancy for all these malls, you think that trading density can remain at similar levels or can have the potential to further go up with the kind of brands we are bringing ? And then overall, will it boost the growth even better than just the trading occupancy increase that we will see? So, how do you think about this?
Shishir Srivastava : You know our business as well as we do, I think. Because it is quite clear and evident, right? All of these initiatives that Rashmi and her team have undertaken, which have resulted in a temporary dip in occupancy, is all driven to drive a higher trading density.
Rashmi Sen: And you know, to add to that, you have to look at consumption and trading density together and not in isolation, right? Because like we mentioned, we are churning a lot of anchor areas at current. So, you know, you may see a little spike there when you loo k at trading density in isolation. But like Varun mentioned earlier, the positive part is that, you know, when we churn, we are churning out the low -performing brands and we bring in the high -performing m arquee brands. So, overall, you ar e goin g to see a jump in both trading density and consumption. When you compare it with the previous year at the end of the financial year, you will see a robust growth both in consumption and trading density as compared to the previous year.
Pritesh S heth: Got it. Absolutely. I was just trying to understand once occupancy ramps up, you know, will that be the only lever for consumption growth or even the trading density will further increase and both will add up to overall consumption growth. That is what I am thinking.
Shishir Srivastava : Thank you for your question.
Pritesh S heth: Thank you.

 Moderator: Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please proceed.
Abhinav Sinha: Hi, Shishir. Just a few questions here. So, on Palladium Mumbai, are we now done with this round of changes and is that fully reflected in trading density or you think maybe one or two more quarters we will see the stabilized numbers?
Shishir Shrivastava: As you know, we have that entire Project Rise and Convergence . Convergence is the area adjacent to the courtyard, which we have demolished , that is under development and it i s being done in parallel with the other part, which is a little behind, which is where you also have the offices in the tower above, right? So, that is going to add another 200,000 square feet o f retail space which will further drive growth and consumption and of course, additional GLA. Right.
Abhinav Sinha: Shishir, so okay, I wanted to ask you for the current changes wh ich we have seen with the Gourmet Village open now. So, for that area, is it the correct quarter?
Shishir Shrivastava: We still have a few stores yet to open over there. So, maybe you should look at the performance of next quarter to understand what the consistent performance of that block is going to be if you want to estimate some kind of projection on what the performance will be.
Abhinav Sinha: The 91% trading occupancy that we have on 1.03 million GLA, this includes the recent demolition or does not include that?
Shishir Shrivas tava: No. It is adjusted for that area. It is taken out.
Abhinav Sinha: Okay. So, we should b

e at say 98% very so on on trading occupancy, right?
Shishir Shrivastava : Absolutely.
Abhinav Sinha: Okay.
Rashmi Sen: Our lea sing percentage is already 98%.
Abhinav Sinha: Right. And Rashmi ma'am, that should be fully operational and reflected in the trading density and the consumption by say the March quarter, is that right?
Rashmi Sen: Yes, it ce rtainly will.
Abhinav Sinha: Okay. In Bengaluru also, PMC Bangalore, so I see that the density has now jumped up massively by like some 21%. So, clearly there is active churn. And these numbers are very close to Palladium (Mumbai) . So, is this like going to be the stable ratio that say Palladium moves to 3,500, so this moves to 3,100 or something?

 Rashmi Sen: So, in the long run, yes, Bengaluru is emerging as a very strong market. Our center in Bengaluru is emerging as a very strong destination. And with all the efforts that we are putting in, and we will continue to put in, in terms of premiumization, upgrading the asset, bringing in new brands, new experiences in the center, and there is generally a lot of organic growth also around the center. So, in the long run, yes, the center holds very strong potential.

Shishir Shrivastava : Abhinav, Rashmi, you ar e going to ensure every center is going to be a Palladium , okay? We love all assets equally.

Abhinav Sinha: Right. Shishir, o n the other land parcels, so you've given us good updates on Victoria and Surat. The three other ones, Coimbatore, Mohali, and Thane, when do we start seeing proper construction, plinth level, etc .?

Shishir Shrivastava: So, Abhinav, as y ou know our process, you have seen how we ha ve buil t our malls in the past, and we ha ve been able to stay within timelines and budgets. We get into detailed designing before we break ground. We wait for all of our approvals in place before we break ground, and we ensure that we have 50% -60% visibility on the project costs by way of tenders awarded before we break ground, okay? Because once we break ground, then we move very fast and do no t get stuck for lack of approval or lack of clarity on design or site issues. I a m happy to report that for our Chandigarh project, we ha ve recently, in just last week, we ha ve received the environment clearance. We are going into other approvals now. Coimbatore is about to commence construction probably in this quarter, and as far as Thane is concerned, again over there, we ha ve got our prel iminary approvals in place. We hav e applied for the environment clearance. We hav e got the terms, the TOR draft has been approved. We are in that process. So, we are on track. Typically, we have a s ix-year program from the time of acquisition before the mall gets operational, and we are well on track to achieve that across these three locations.

Abhinav Sinha: Okay. Great. Thanks, and all the best.

Shishir Shrivastava : Thank you, Abhinav.

Moderator: Thank you. The next question is from the line of Bipla b from Antique Stock Broking . Please proceed.

Biplab Debbarma: Thank you. Congratulations, Shishir. Good evening, everyone. I have just one question. Could you share what retail and office assets are expected to come on stream, say, in the next three years in FY26 ; FY27; FY28?

Shishir Srivastava : Okay. I will cover it again. We briefly discussed this earlier. Let me put it down for you again. We have the Phoenix Grand Victoria Mall, Kolkata, likely to be operational in calendar year 2027. We have the Surat Mall, which is also going to be operational in calendar year 2027. In Bengaluru , Phoenix MarketCity, the retail expansion is expected to be completed in calendar

 year 2026 by the third quarter. In Bengaluru , Phoenix MarketCity offices that we are building there, Art Exchange, the first phase will be operational in calendar year 2026, third quarter, and we expect the Grand Hyatt Hotel at the same development

to be operational a year later in 2027.

Biplab Debbarma: Okay. So, Kolkata in 2026, Surat in 2027.

Shishir Srivastava : No, Kolkata also 2027, t hird quarter.

Biplab Debbarma: Calendar year?

Shishir Srivastava : Yes, calendar year, or you can say third quarter FY28.

Biplab Debbarma: Okay. And whe n do you expect the Project Rise Mall and office to be ready?

Management: Calendar year 2027, maybe in that third quarter of the calendar year.

Biplab Debbarma: Okay. Thanks.

Shishir Srivastava : All of our projects are getting delivered between 2026 and 2027. And then, of course, , the Thane and Chandigarh and Coimbatore will be in 2030 and thereafter.

Biplab Debbarma: Okay. Great. Thank you, sir.

Moderator: Thank you. The next question is from the line of A akash Gupta from Nomu ra. Please proceed.

Aakash Gupta: Hi, sir. Am I audible?

Shishir Srivastava : Hi, A akash. Yes, we can hear you.

Aakash Gupta: Hi, sir. Just one question on my side. I just wanted to understand the impact on the consumption on your retail malls after the GST tax cut. How has consumption improved? And how are you thinking about it going forward?

Shishir Srivastava : I think we covered this a little while ago. But see, it is very difficult to gauge the impact. We believe that there has been an impact of the GST changes, but that would have only been in the last two weeks of this quarter under discussion. So, we are clear that the consumption growth that we have seen in this last quarter has been driven on account of the operating initiatives and asset enhancement an d brand enhancement initiatives that have been undertaken by Rashmi and the team.

Aakash Gupta: Understood, sir. Thank you so much.

 Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please proceed.

Puneet Gulati: Yes, thank you for the follow -up. My first question is on the Indore mall. There seems to have been some bit of issue on the infrastructure side, but yet consumption has grown quite nicely, 15% for a few quarters now. EBITDA has not caught up. Can you elaborate on why there has been this discrepancy?

Shishir Srivastava : Sorry, what is the discrepancy, Puneet? May I request you to repeat it ?
Puneet Gulati: Yes, so the consumption in Indore mall has been growing quite nicely, 15% despite the infrastructure -related issues. But EBITDA has not grown as much.
Shishir Srivastava : You know that typically you would see a two to three -month lag between consumption and growth and its impact on the rental on account of incremental rental on revenue share. So, currently, the brands over there have now started breaching the Minimum Guarantee threshold and they will start contributing the incremental rent on account of revenue share. We are hoping that with this infrastructure getting completed and access improving in this, let us say, in the first quarter of next financ ial year, you will start seeing some significant positive impact.
Puneet Gulati: But for the last four quarters, you are double -digit in consumptio n, but rents have lagged. That is the only thing I am trying to understand.
Shishir Srivastava : Also, Puneet, for this period, we have had discussions with our retailer partners and when there has been an impact on account of the infrastructure on the overall consumption in the mall, we are also sensitive. We are equally there. So, we have adjusted f or rentals. We have given them some waivers.
Rashmi Sen: Extended some support for the short term. We do see that the flyover that is under construction is having a short -term impact on the retailer's sales and because of that, we have extended some support to them in the short term.
Puneet Gulati: Understood. Very good. And lastly, on Lucknow as well, you have been reporting leasing occupancy at 99%, but trading occupancy has stayed at 96%. Do you think one should think of this gap bein

g bridged or it will largely remain at this level? Some people will keep coming, some will keep going.
Varun Parwal : Puneet, I think that is, I would say, a normal part of our business. Even when we talk about stabilized trading occupancy, we typically refer to levels of 95% plus. And yes, in Palladium (Mumbai) and in the Phoenix MarketCity Malls like Bangalo re and Pune, we have gone to 98%, 99% trading occupancy. But when it comes for churn, then one faces a lot of operational issues in moving retailers around to create the right desired space for a new tenant. But 96% tradi ng

 occupancy at Phoenix Palassio is very much the desired targeted occupancy. It keeps the center vibrant and healthy and yet leaves some room for us to maneuver retailers around when required.
Rashmi Sen: And here too, we are undergoing some strategic changes at this center as well. Entering into the fifth year and we are undergoing some strategic changes here as well.
Puneet Gulati: Understood. That is very helpful. Thank you so much and all the best.
Moderator: Thank you. On behalf of The Phoenix Mills Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

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February 03, 2026

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated January 29 , 2026, wherein we had i nformed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Thursday , January 29, 202 6 at 11:55 A.M. (IST), with Analysts / I nstitutional Investors on Un-audited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2025 .

Please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9M FY26 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you, sir.
Shishir Shrivastava : Thank you, Danish . Good morning everyone and thank you for joining us today. It is a pleasure to connect with you again.
During Q3 FY26, across retail, offices, hospitality and residential, we saw strong festive demand and consistent execution. Consolidated revenue for the quarter stood at Rs. 1,121 crore s, an increase of 15% year -on-year, while consolidated EBITDA grew by 19% year -on-year to Rs. 656 crore s, underscoring the operating leverage in our platform. Retail delivered robust

consumption growth of 25% year -on-year during the festive quarter, driven by broad -based demand across categories. In offices, we completed approximately 1. 2 million square feetof gross leasing year -to-date, corresponding to nearly 25% of our portfolio, with a healthy pipeline of advanced -stage discussions. Our hospitality business benefited from strong occupancies and rate-led growth, while residential sales and collections continued to progress steadily on a year -to-date basis. Alongside this operating momentum, we continue to maintain a prudent and flexible balance sheet, supported by strong operating cash flows and disciplined capital allocation. This has enabled us to fund our ongoing CAPEX and the ISML partner buyout primarily through equity, while keeping overall leverage at prudent levels.

Our performance for the third quarter and the first nine months of FY26 reflect s the consistency of execution across our platform and the quality of growth we are delivering. The strength of our model lies not only in scale, but in the productivi

ty of our assets, capital efficiency and the resilience of our financial position. Even as parts of our portfolio undergo active transformation, the underlying business continues to compound, supported by resilient demand and disciplined execution across our portfol io.

I will now hand the call over to Ms. Rashmi Sen to take you through the performance of our retail portfolio in greater detail. Rashmi, over to you.

 Rashmi Sen: Thank you, Shishir. Good morning, everyone.

Phoenix Retail continues to set new standards through innovations, upgrades, new launches and meticulous brand creation. As you all know, we are upgrading our Phoenix MarketCity centers and premiumizing the brand mix by launching flagship formats, marquee brands and differentiated concepts to further strengthen these centers. A key thrust is scaling experiential and F&B ecosystems, which ensures that our assets function as full -day social consumption and destination hubs. In parallel, we remain deeply focused, enhancing retailer productivity through carefully curated category mix and focused m arketing initiatives. And above all, we continue to have a steadfast emphasis on enhancing profitability, driven by consistent rental growth and operating efficiency.

In Q3 FY26, consumption grew by 25% at Rs. 4,99 2 crores, with strong momentum across all categories. Rental income grew by 13% year -on-year to Rs. 573 crores, while EBITDA increased 16% to Rs. 585 crores, underscoring the opera ting leverage in our portfolio. For the first nine months of FY26, retailer sales reached Rs.12 ,326 =7 crores, marking a year -on-year growth of 17%. To put this in context, our full -year consumption for FY25 was Rs. 13,750 crores and in the first nine months of FY26, we have already ap proached that level ; despite no new mall additions and with large parts of flagship Phoenix Market City centers under repositioning and upgrades . This highlights the underlying productivity uplift across the retail po rtfolio.

Moving to consumption trends . Consumption performance during the quarter was broad - based, with growth driven not just by the festive demand, but also by improved tenant mix and higher dwell time. Within the mall portfolio, growth was led by Phoenix Mall of Asia, (Bengaluru) , which saw a 112% increase in consumption, supported by 22% growth at Phoenix Palladium, Mumbai ; Phoenix Palassio (Lucknow), and 25% growth at Phoenix Mall of Millennium (Pune). All other centers as well reported a positive mid -teens consumption growth.

From a category perspective, fashion and accessories grew 16% year -on-year, while family and entertainment and multiplexes were up by 19% on the back of strong film releases during the quarter. F&B grew by over 11% as well, while jewel lery was up by 39%. This diversified performance reflects sustained consumer demand and the continued confidence of leading brands in the Phoenix platform.

Moving to brand curation and leasing momentum .Turning to our retail partnerships, our premium positioning continues to attract marquee brands and as a result, we continue to deepen our partnerships with leading global and domestic brands, particularly in categories that are driving higher trading dens ity and rental yield for us. Phoenix Mall of Asia , in particular has emerged as a preferred launch destination with notable openings including South India's first Apple Store, the largest Lego store in South In dia, Onitsuka Tiger's first concept store in India, and several others. We remain focused on improving portfolio productivity through a more curated retail mix including right -sizing, planned brand refresh, and selective upgrades. We are also introducing p remium high -performing brands across key categories such as

 fashion, jewel lery, athleisure, watches, beauty, and F&B, which is beginning to reflect in better productivity metrics. A direct refle

ction of the churn and brand refresh can be seen in the notable improvement in trading density at both PMC Bangalore and PMC Pune.

At Phoenix Market City Bangalore, trading density grew to Rs. 3,011 pspm for 9MFY26 by 23% year -on-year. With nearly 80% of the planned transformation already executed, trading density levels at this center are now approaching those of Phoenix Palladium Mumb ai, which have been about Rs. 3,400 - 3,500 pspm between FY23 and FY25. Similarly, PM C Pune recorded a 14% increase to Rs. 2,214 pspm (trading density) , with 19% of its GLA under transformation and over a third of new brands already operational. These results demonstrate immediate value unlocked through o ur asset upgrading initiatives.

Beyond retail, we are integrating active lifestyle elements into our malls. A key example is the Phoenix Ra cquet Club launched in December 2025 at Phoenix Palladium Mumbai. Located on top of the mall, the facility integrates paddle and pickle ball courts with open -air cafe and community spaces, creating a lifestyle -led, community -driven destination with in a luxury retail environment. In just its first month of operation, the Racquet Club welcomed over 1,000 customers, attracted sponsorships and generated ap proximately Rs. 50 lakhs in revenue, while also meaningfully increasing engagement and repeat visits at the center.

Our expanded F&B ecosystem comprising cafes, restaurants and dining concepts continues to act as a powerful catalyst for engagement. Our Gourmet Village at Phoenix Palladium, a two - level dining and entertainment destination launched last year, has validate d this model by increasing repeat visits, lengthening dwell times and boosting same -store sales growth across the center. Having proven the concept, Gourmet Village now serves as our blueprint for similar rollouts across the Phoenix portfolio, especially P hoenix Palassio , PMC Pune, PMC Mumbai and PMC Bangalore.

Alongside growth, we maintained a strong focus on capital and cost efficiency, with marketing and energy costs serving as key levers for improving asset -level returns. One such example is the reduction of our retail marketing spend by 15% during Q3 FY26. We achieved this by pivoting towards high -impact targeted initiatives and deeper collaboration with our brand partners . By shifting to sponsored activations such as Sephora Christmas Armani's Diwali Decor at Phoenix Palladium, sharper targeting of high -performing brands and leveraging influencer - led, hyper -local strategies, we have proven that we can do more with less. Despite the leaner spends, we saw positive footfalls, delivered higher consumption growth and meaningfully scaled revenue share income. Our m arketing is not just cost -efficient but materially more effective at driving both engagement and monetization.

We ha ve also made meaningful progress on sustainability and cost efficiency. Renewable energy now accounts for 30% of our retail energy requirements for common area and HVAC,

 up from 20% during Q3 last year. We are currently in advanced discussions with multiple renewable energy providers to further scale adoption across the portfolio.

Looking ahead, we continue to see good visibility for double -digit growth across our retail portfolio in FY26, supported by strong consumer demand trends, healthy retailer performance and ongoing portfolio enhancement. With a significant portion of our portfolio coming up for renewal over the next five years, major expansions across our existing Phoenix assets and a secured launch pipeline through 2030, we are well positioned for sustained value creation through disciplined execution, leasin g and productivity enhancement.

I will now hand the call over to Varun to take you through the next set of highlights.

Varun Parwal: Thank you, Rashmi.

Turning to offices, our focus continues to be on building a differentiated, high -quality portfolio

that complements our mixed -use developments. We are prioritizing well -designed, sustainable workplaces that benefit from being embedded within an active reta il and lifestyle ecosystem.

Over the last two years, this strategy has resulted in a significant expansion of our office platform. From a base of around 2 million square feet across two cities in 2023, we have scaled now to nearly 5 million square feet of completed office spaces across four cities today. In fact, during this year, in Pune, we received occupation certificates for the entire Millennium Tower Complex. We also achieved the prestigious USG BC LEED Platinum certification in November 2025 for Millennium Towers in Pune. In fact, as a key strategy of our sustainability initiatives, all our new office developments are USGBC LEED certified, reflecting our emphasis on sustainability and long -term asset quality.

Leasing activity for offices through the year has been very healthy and encouraging . By December 2025 , we have achieved nearly 1.2 million square feet of gross leasing across our office assets in Mumbai, Pune, Bengaluru , and Chennai. Occupancy at our stabilized assets in Mumbai and Pune increased to 76% from 67% at the e nd of March 2025 . And in our recently completed developments across Pune, Bangalore, and Chennai, lease occupancy now stands at about 41%, with advanced -stage discussions providing good visibility for continued ramp -up across this portfolio.

For the first nine months of FY26, our operational office portfolio, comprising of our assets in Mumbai and in Viman Nagar, Pune, generated income of Rs. 1 ,62 crores, with EBITDA coming in at Rs. 103 crores. With the leasing progress achieved during the year, the office portfolio is now entering the transition from a build and lease phase into a rental monetization phase, with newer assets expected to begin contributing meaningfully to earnings and cash flows from FY27 onwards.

 Turning to our Hotels portfolio :
The business delivered a strong performance during the period despite tough macroeconomic sentiments. For the first nine months, income stood at Rs. 423 crores, reflecting an 8% year -on-year increase, while EBITDA meaningfully grew much ahead of revenue at 16% and reached Rs. 190 crores. Our EBITDA margins for the two hotels were very healthy at 45%, with an improvement of 300 basis points over the sam e period last year. The St. Regis Mumbai , drove this EBITDA improvement, operating at a healthy 85% occupancy f or nine months of FY26, with average room rates crossing Rs. 20,000, up 8% year -on-year.
Growth was driven by a deliberate shift towards higher -yielding segments such as retail -led demand and celebrations, strong performance in events and F&B, and a continued focus on experience -led differentiation. This reinforced the role of our hotels as yield -enhancing extensions of our mixed -use ecosystem. Courtyard by Marriott , Agra delivered a resilient performance despite the softer city environment, maintaining strong occupancies and marke t share during the peak season.
I will now hand the call over to Kailash to walk you through our residential portfolio highlights and broader financial results.
Kailash Gupta: Thank you , Varun.
Let me brief on the residential piece :
In the residential business, our sales and collections momentum sustained in the first nine months. Gross booking for the first nine months was around Rs. 412 crores. Revenue recognized for the first nine months is only Rs. 273 crores. So, essentially Rs. 180 crores is likely to be booked in Q4, subject to registration and other documentation completion. This is primarily led by One Bangalore West and Kes saku. Pricing was in excess of around Rs. 29,000 per square feet, led by the strong demand in the marke t. This performance reflects continued end-user demand for premium, well -located residential development, and the stre

ngth of our
differentiated product offering s, even in th e selective market environment.
On a financial overview :
At a group level, revenue from operations for the quarter stood at Rs. 1 ,121 crores, representing a 15% year -on-year increase, while EBITDA grew by 19% to Rs. 656 crores. Net profit for the quarter was Rs. 276 crores, up by 4% year -on-year basis. Operating cash flow after working capital and taxes and interest stood at Rs. 1 ,508 crores for the nine months, an increase of 24% year -on-year basis. Operating cash flow from our core businesses, excluding residential, was Rs. 1,333 crores, up by 14% over the same period last year. Capital expenditure

 towards construction and ongoing projects during the first nine months amounted to Rs. 722 crores.
Moving towards update on CPP Transaction, which we have announced in July 2025, and then post that we have received necessary approvals and completed CP conditions. First tranche payment has been made for Rs. 1 ,257 crores in November 2025. With this , PML stake in ISML stands at 58.33%, up from 51% earlier.
Our balance sheet positions remain prudent. Gross debt at 31st December stood at ~Rs. 5,200 crores, with overall liquidity improving to Rs. 1 ,858 crores. The net debt as on 31st December was Rs. 3,344 crores. Net debt to annualize d EBITDA remained at a healthy 1.3x. During the period, we also reduced our average cost of debt from 7.68% to 7.62% in December 2025.
Sustained operating cash flow, a prudent balance sheet and a disciplined capital allocation framework provide us the flexibility to continue investing in high -quality assets while maintaining a strong credit matrix and balance sheet flexibility. As we move forward, our focus remains on disciplined execution and productivity across the portfolio and converting this scale we have built into sustained earnings and cash flow growth.
We can move to the Q&A now.
Moderator: Thank you so much. Ladies and gentlemen we will begin with the question and answer session. Our first question comes from the line of Puneet from HSBC . Please go ahead.
Puneet: Thank you so much and congratulations on great performance on the retail piece. Can you talk a bit about what i s happening in Mall of Asia, consumption level numbers off the charts, but rents stil l lagging and it looks like it is much low. You a re still at 88% occupancy. How should one think about the potential for growth on the rentals for this part of the portfolio?
Varun Parwal: Hi Puneet, thank you so much for your question and yes, I think Mall of Asia's performance ha s been phenomenal. We launched the mall in October 2023 and from there to today it has nearly reached the levels that we see in Phoenix Palladium. We have seen several first -time global brands that have opened their stores at Phoenix Mall of Asia within our portfolio itself. And I will hand the call over to Rashmi now to share some key highlights on the type of brand mix that we have seen and the upcom ing new retailers that are expected to open up in Phoenix Mall of Asia going forward.

Rashmi Sen: So, Mall of Asia has bee n seeing a great trajectory. It has built up as a destination center really fast. I think all factors have contributed to the exponential success of the center that we are seeing. Bengaluru as a city has been thriving. It i s a great location. When we acquired that land parcel, we knew that this is the location where we have to build the Mall of Asia. The architecture and interior that we ha ve done for the center, I mean the response that we

 received from the city, from the retailers who visit across the globe, they rate it as one of the best centers that they are seeing in recent times that has been built up . But above all, I think it is always the tenant mix. I think the tenant mix that we ha ve achieved at that center is extraordinary. And we keep adding to tha

t extraordinary tena nt mix. In the recent times, we have opened the flagship store of Apple, Rolex, Onitsuka, several other BTL (Bridge -to-Luxury) brands that have opened over the last six months. And not only that, we wi ll continue to see a lot of marquee brand openings over the next three to four months as well. And so this center continues to be on a great growth trajectory going forward. And we ha ve seen a very positive rental growth trend at the center along with consumption. And we wil l see a lot more of it in the coming quarters as well.

Varun Parwal: So, in fact, Puneet just putting some numbers for the benefit of everyone on the call. Consumption at Mall of Asia reached Rs. 732 crores for the third quarter. And it is up 112% year -on-year. While rental also has grown by 58%. And quarterly rental for this asset reached Rs. 62 crores. In fact, occupancy right now is at 88%. And typically, you would see for the rest of our portfolio, all new malls are at 95% or thereabout in those trading levels. And even in the Phoenix Mall of Asia, in the coming next two quarters, we are going to se e occupancy stabilize at the 94 %-95% level going forward. So, we are hopeful that the consumption performance should continue going forward as well.

Puneet: So, if I look at consumption, it is just about 7% lower than Phoenix Palladium. But rental income is almost half. Do you think it can trend towards the same as Phoenix Palladium or do you think structurally it will remain lower there?

Varun Parwal: I think structurally, Puneet, you have to look at consumption and rent trajectory converging over a three -to-five-year period. So , there are times when we start off with a particular rental contract, the fixed rent kicks in immediately. Whereas brands' consumption takes time to scale up. In Phoenix Mall of Asia, the rents of course started very strongly in the first year. We were nearly at Rs. 160 crore s of annual rental last year. And this year also, we are seeing rents growing strongly. Now, consumption for many of these brands is scaling up sharply. And we will see rents also align with this rising consumption growth in the coming quarters.

Puneet: Secondly, Rashmi, on the broad portfolio, you have clearly outperformed the rest of the market on the retail side. All the retailer numbers were quite poor and you guys have done extremely well. If you can talk a bit more about it, how much of it has to do with footfall versus value growth?

Rashmi Sen: So, that i s a good question. So, firstly, a lot of our retail partners tell us that their performance in our portfolio is an outlier. Even though at a broad category level for them, the numbers may look very different. And if you look at the flagship stores across all the listed retailers we have, all of them have shown remarkable double -digit growth. So, that was talking about the listed retailers. Secondly, we are seeing that growth has been spread across all categories. So,

 whether we talk about the fashion category, gold jewel lery category, you talk about electronics. Also, I think the other parameter which has added to exponential growth this quarter, one is the festive season, of course. You see a sharp growth in numbers in Q3, which has the Diwali and Christmas festivities. You see this every year in our portfolio and generally in the market. What has further added to the growth is t he strong repositioning that we ha ve been doing in our center s, whereby we have churned out a lot of low -performing categories. For example, some of the malls where we had hypermarkets which were very large, 30,000 - 60,000 square feet. And the trend has changed towards shopping at such large hypermarkets. And churning them and converting them into high -trading department stores, or converting part of that area into high -trading in -line flagship stores. That has impacted the overall tradi ng as well. And

further, we ha ve had a lot of new marquee brands opening across our portfolio this quarter. And some of those individual brands have also done remarkably well adding to the growth further.

Puneet : And this is across the portfolio, right?

Rashmi Sen: Across the portfolio. Because if you see our repositioning efforts, we are halfway through the asset upgrades at Phoenix Market City Mumbai, and Phoenix Market City Pune, and some of the other cent ers as well. We opened the Gourmet Village here, which is an F&B destination at Phoenix Palladium. And this is a very successful concept. While now we are taking this concept to other centers, but in some small ways, we have started making F&B changes across all our

malls and marquee F&B brands coming in. So, we a re seeing an impact of that F&B change also across all our malls. In terms of marketing str ategies and marketing plans, we ha ve really been evolving. We have an excellent marketing team, a nd there are a lot of things we ha ve been experimenting with on our marketing side. And we see a huge impact on the consumption side on account of the marketing initiatives we ha ve taken. We are constantly focused on increasing the consumption of our brands, and all activities and activations we do are in that direction. And so, you know, the inputs and our strategies are resulting in those outcomes.
Puneet: Understood. That i s very helpful. And secondly, Varun, if you can talk about where are we in terms of launching Kolkata Residential, and what is the plan for Thane now?
Varun Parwal: So, Puneet, on Thane, we have planned a retail -led mixed -use development. We acquired this land parcel back to wards the end of 2023, in November 2023 . And from then to now, we have planned, I would call it a fabulous mixed -use district here with a destination retail mall with an area of approximately 1.3 to 1.5 million square feet in terms of leasable area. Office Tower - a Grade A office tower for the growing district of Thane and the huge commercial demand that we are seeing emerging there. And, you know, luxury event centric hotel .
Puneet : How big is the office?

 Varun Parwal: Offices right now, Puneet, they are between 0.5 million square feet to 1 million square feet. The overall FSI potentia l for Thane is in excess of 4 million squ are feet. So, we are optimizing what we can add and what we can maximize in terms of the FSI consumption here in Thane without compromising on the experience that each user will experience when they come to this mixed -use platform.
Puneet : Okay.
Varun Parwal: If I just add on Thane, Puneet, we are right now in the final stages of obtaining, securing our approvals. We are awaiting the environmental clearance and we at the m oment have commenced demolition activities of the old existing structures on the Thane site. And in the next two or three months, we also expect to commence excavation and the subsequent construction activities. Tenders are already out for excavation and we are also, you know, very soon going to be launching the tenders for the ci vil contract for constructing the entire development at one go.
Puneet : And Kolkata, when should you expect the launch?
Varun Parwal: Kolkata residential, I think we are in the final stages of approvals as well as design fine -tuning. I think in the comi ng two quarters we will come back and update you on the launch timeline of Kolkata.
Puneet : Okay. That i s very helpful. Thank you so much and all the best.
Moderator: Thank you. Our next question comes from the line of Pritesh from Axis Capital. Please go ahead.
Pritesh: Yes. Just thank you for the opportunity. So, just carrying forward the previous conversation on lagging consumption and revenue that we are seeing in most of the assets. And in fact, if I look at th e rent to consumption ratio, it i s 11% this quarte r, which was, I think, this i

s the lowest since we have seen in 2014. So, if you ca n explain to me what i s happening here, you talked about, you know, eventually it converges. But does everything get converged? Because I understand, jewellery b rands, everyone might not be at MG plus varia ble. So, you can cor rect me if I a m wrong. So, just some insights and thoughts on that.
Varun Parwal: Sure, Pritesh. Var un this side. Let me take this question. One, Pritesh, I think the consumption growth during the quarter was very strong. And like Rashmi mentioned in her comments, all categories contributed to the strong consumption growth, including fashion, where we combine a number of categories and it accou nts for 50% of our consumption area. We, in fact, saw strong 16% growth in consumption (in fashion) . And if I especially exclude the high tradin g density categories like gold jeweller y and electronics, the underlying growth is in very high double digits. And this is, in fact, the strongest growth that we have seen per se in the portfolio over the last five years. Rents per se at times are a lagging factor. We see rent growth

 happening when we enter into new contracts and the retailers start paying the fixed rent from day one while their consumption scales up. Over the last two years, we have had very strong growth. And as we had i ndicated also earlier during this year, rent growth has sequentially improved as we have opened up new stores and brands have crossed the revenue threshold and started contributing to revenue share. I think in between from quarter -to-quarter and especially quarter 3 if you see, quarter 3 is a quarter w ith more emphasis on high trading density categories such as gold jewellery, etc. And consumption versus rent in quarter 3 per se historically has also seen a bit of a divergence. But when you annualize it, consumption and rental growth is actually very near to each other over a three -year period.
Pritesh: Sure. Got it. Fair enough. And second on this trading occupancy ramp -up at MarketCity Pune and Bangalore, by when do you think we should be back at 95% considering these are already well leased out? So, a quarter or from here, couple of quarters, you know, some timelines if you want to attach to that.

Varun Parwal: Absolutely, Pritesh. I think we are on track to cross 90% trading occupancy in both Bangalore and Pune by March 2026 in line with our original timelines. And we have a lineup of some great first-time brands that are entering the city such as IKEA, Uniqlo, etc that are opening their first stores in the city of Pune and Bangalore will also have a similar trajectory. I think you should expect to see the 95% level by the middle of FY27. In fact, 10% of overall area is already under fit-out at this point in time . So, in a staggered way, we will see the launches happening in the next three to six months.
Pritesh: Sure. That i s helpfu l. I have couple of more, but I wi ll jump back in queue and take it later. Thank you. All the best.
Moderator: Thank you so much. Our next questi on comes from the line of Murtuza Arsiwalla from Kotek Securities. Please go ahead.
Murtuza Arsiwalla: Hi, Varun. Just to delve deeper into this lead lag between the consumption growth and the rental growt h. Can we attribute it to the mix that kind of changes plus the fact that you could have some malls in a ramp -up phase and therefore the minimum guarantee so we do no t see a good correlation between consumption growth and rental growth And just to understand that better, let u s say you have a certain amount of consumption growth on a quarterly basis. Is it that a strong consumption growth on a mature mall would reflect in better rentals in a subsequent quarter? Like, is there a one -quarter re set or it is a straightforward percentage of consumption so it i s almost instant set of repricing ? So, that i s the first question I jus t want to under

stand because it ha s obviously been coming up a couple of times in terms of consumption growth ahead of rental growth and vice versa. So, I just want to understand that and then I have another one on the commercial piece.

 Varun Parwal: Righ t. So, I think, thank you, Murtuz a, for that. And I will just take a step back to also address this question as well and bring out one of the points that Rashmi spoke about earlier in her opening remarks, but probably we need to dive a bit more deeper on that aspect. I think, first of all, strong consumption growth is very important in terms of getting the right set of brands to come to the mall. Both in the midst of both the experience factors that we drive through our marketing events and our fine dining destinations that we open up, as well as the entertainment centers that drive this sticky footfall, as well as in terms of the high trading density categories and the new upcoming fashion categories that one opens up at the mall. Now, strong consumption growth gives a great platform for our leasing teams to attract the right set of new brands to take space in the mall at better rentals or improved rev enue share percentages . And across our mall portfolio today, we have in the next three years, over 50% of the area is going to be up for rene wals and repricing. That provides a great opportunity for us to reorient some of the low trading density stores, as well as renegotiate on rentals, as well as the revenue share that we are driving, and also add new experiences to the mall. So, this repositioning exercise is a continuous exercise . High consumption growth actually facilitates this conversation that our leasing teams do across malls. Does that address your question to some extent?
Murtuza Arsiwalla: To an extent , but I want to understand. Let us assume, let us say, let u s take one store, for instance, and it is doing Rs. 100 of consump tion and you ar e taking a Rs. 15 rental. Let's say in the next month, the consumption moves to 200. Does that simply imply that the rental would move to 30 from 15? Is that repricing instant or there is a lead lag to that repricing?
Varun Parwal: Okay. Suppose our consumption is 100, typically, and a mall that has just started off, you see rentals being at about Rs. 11 or Rs. 12. Now, as consumption grows from say 100 to 200, and we typically expect consumption to double in our malls over a period of four to five years, this rental that we are seeing would naturally grow from 11 to 12. It grows to about 22 to 24. And with tweaks in the revenue share , with higher revenue share, et c, coming in, we are able to drive this towards Rs. 27, Rs. 28. So, the revenue share increases from an initial 11 % to 12%. It goes up to 14 % to 15% as we tweak and fine tune the brand mix. And the c ommercial agreement, the economic agreement that we have with those particular brands . Historically, if you see FY13 to today, we have seen consumption growing at a 14% CAGR and our rentals keeping pace with that consumption gr owth over the last 12.5 years.
Murtuza Arsiwalla : Okay. Also, a second ques tion on the office assets. You hav e talked about the new assets doing 41%, but you ha ve excluded out two towers in Pune, about a million square feet, which got their OC in December . Any sense on what is the pre -leasing for those towers currently?
Varun Parwal: I think we, in fact, have a very strong pipeline for those towers as well , Murtuza . And, you know, we have a significant pipeline, which is in final closing stages, where we have agreed on the commercials and the documents are being negotiated and executed. Give us a quarter more and we will c ome back to you with very strong leasing updates for the overall portfolio.

 Murtuza Arsiwalla: Sure. All right. Thanks so much.
Moderator: Thank you. Our next question comes from the line of Gaurav Khandelwal from J.P. Morga

n.
Please go ahead.
Gaurav Khandelwal: Good morning. Thanks for taking my questions. I ha ve got a couple of those. My first question is, how much of the consumption strength in this quarter was due to GST cuts? And could you also give us some color on how are consumption trends different for the listed and unlisted players, which operate in your mall assets?
Varun Parwal: Thank you, Gaurav. Those are very interesting questions. I think on the GST cut, we have evaluated our brand portfolio. And the impact t hat we have is, I would say, it is a sentimentally positive impact. But otherwise, it is not that material a needle mover in our perspective. It has, I think, the prices of goods, especiall y when you look at clothing, et c, the impa ct is on a 3% to 4% level. And that really, you know, is not moving the needle much, per se. To your other question, I think, you k now, it i s better to compare, say, listed retailer performance to what they are reporting at their portfolio level. And when we have a number of large listed players with their flagship marquee stores across our portfolio, and we believe that the performance that they are seeing in our stores versus the overall portfolio performance that they are reporting, our stores have been demonstrating very s trong sustained growth over a period of the last several quarters within the brand mix.
Gaurav Khandelwal: Got it. Thank you. And just a housekeeping question. Your tax rate in the last two quarters hav e increased to almost 12%, which is much higher than that for the preceding eight to twelve quarters. How should I think about the ongoing tax rate from here for next quarter and next year? Does i t normalize closer to 25% levels?
Kailash Gupta: So, Kailash here, you know, I do not think this is the right way to compare the tax rates in every quarter because there would be some adjustment items which keep happening in every quarter. So, you should always look at the nine months or YTD numbers, which will give you better color to the tax numbers. If you see the YTD nine months for current year, it is around 23.7% on a blended basis. Now, th is year, somehow the two components, which is the hotel, which was actually having a huge accumulated losses earlier, has been completely exhausted. So, now that has come into a full tax regime, which is 25% . And even the residential business, which comes to a full tax regime . Otherwise, all the rental which we recover from either commercial assets or the retail is normally having a tax in the range of around 18% to 19%. So, my suggestion would be that for the modeling purpose, I think 22 % to 23% range wi ll sustain in future. 25% could be in one of the quarter, but that is not something w hich will happen for the entire year.
Gaurav Khandelwal: Got it. T hank you very much. Those were all my questions.

 Moderator: Thank you. Our next question comes from the line of Giris h Chaudhary from Avendus Spark. Please go ahead.
Girish Chaudhary: Hi, good morning. Thanks for the opportunity. Firstly, I have a question on the, like you mentioned on the repositioning exercise for malls like Bangalore, Pune a nd Chennai, right, where there is a convergence which is expected in the next three to six months. What I wanted to specifically understand is what is the repricing you ha ve been able to achieve versus the earlier brands in the same spaces?
Varun Parwal: Sure, Girish. So, in fact, let me say in Phoenix MarketCity Bangalore, for example, we have repriced almost 35% of the overall leasable area of the mall. And if I just compare the increase in the fixed rent compared to the total rent that we were seeing previously, we expect to see a 35 % to 40% increase in the area that we have optimized in Phoenix MarketCity Bangalore. Similarly, in (Phoenix MarketCity) Pune as well, w e have optimized and refreshed almost 40% of the area. And t

here, the overa ll impact that we are seeing is about a 25%.
Girish Chaudhary: Great. So, this, as in when the tra ding occupancy increases, right? Which is when we will start seeing the reflection of the repricing in our numbers?
Varun Parwal: Yes. So, in fact, Girish, trading occupancy starte d going back up in quarter 3 of this year. We had hit a low of 80% trading occupancy during quarter 1 . And now Phoenix MarketCity Bangalore and Pune are back to about 85 %-86% trading occupancy level. This should now natura lly increase to about 90% by March 2026 . And then in June, July of 2026, we should be back at about 94 %-95% level.
Girish Chaudhary: So, for the incremental
Varun Parwal: Yes. I was just completing the point that from, you know, already we are starting to see a significant improvement in the trading density. So, Phoenix MarketCity Bangalore has reported a 30% growth in the t rading density for Quarter 3 and Phoenix MarketCity Pune an d Chennai have seen a 20% and an 18% growth in the trading density.
Girish Chaudhary: Got it. Sir , what I was also as a follow -up asking is that for the incremental 10% which is still there, right, convergence from leased and the trading occupanc y moving up. So, this 35% , for example, for a mall in Bangalore, you will start seeing those reflecting in the numbers?
Varun Parwal : Yes. I think you will see the full impact of it in the numbers during FY27.
Girish Chaudhary: Got it. Great. And the second question is that you a lso mentioned about a 50% renewal opportunity available in the next thre e years, right? So, there, what i s the repricing or MTM

opportunity available?

 Varun Parwal: Girish, historically, we have seen anywhere between a 20 % and a 30% improvement. But that is driven not just by repricing of the existing brands, but also in terms of how we have optimized the area given to existing brands and new brands, as well as the economics that we have been able to negotiate with the incoming brand s. So, this is what we have done historically. And as we go ahead and renew th e area going forward, we wi ll keep you posted on how the rents are moving.

Girish Chaudhary: So, this 50%, which is, let us say, annualized 16%, 17% per year, is over and above the normal renewal rates, I mean, norms?

Varun Parwal: No. So, this 50%, I would say, Girish, is the contractual expiries that are coming up. Over and above this, we may, from time to time, do targeted churns and optimizations in consultation with our brand partners. And that is in addition to what is available to us contractually.

Girish Chaudhary: Got it. Thank you , Varun, and all the very best.

Varun Parwal : Thank you.

Moderator: Thank you. Ladies and gentlemen, due to the time constraint, that was the last question. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you team.

Varun Parwal: Thank you so much, everyone, for joining us on today's conference call. We look forward to seeing you next quarter. Thank you.

Moderator: Thank you so much. Ladies and gentlemen, on behalf of The Phoenix Mills Limited that concludes this conference. T hank you for joining us, and you may now disconnect your line s.

Call: Apr 2026

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To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051
Security code: 503100 Symbol: PHOENIXLTD
Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call
This is further to our letter dated April 28, 2026, wherein we had informed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Tuesday, April 28, 2026 at 11:45 A.M. (IST), with Analysts / Institutional Investors on Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended on March 31, 2026.
Please find attached herewith the Transcript of the said Earnings Conference Call.
The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings-Call-Transcript .
You are requested to take the same on record.
Yours faithfully,
For The Phoenix Mills Limited
____
Bhavik Gala
Company Secretary
Membership No. F8671
Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q 4 FY26 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "0" th en "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you, sir.
Shishir Srivastava: Good morning, everyone, and thank you for joining us. FY26 was a year of strong operating performance and an important transition year for The Phoenix Mills Limited.
We delivered consolidated revenue of Rs. 4,423 crore and EBITDA of Rs. 2,637 crore , up 16% and 22% respectively, reflecting a healthy broad -based growth across our portfolio. Importantly, we delivered this performance without adding any new retail capacity during the year. This performance underscores the strength of our retail -led mixed -use platform.
Retail consumption gained momentum in the second half of this financial year and continued to scale meaningfully during Quarter 4 . Offices saw strong leasing momentum across newly delivered assets, residential sales provided incremental cash flows, and hospitality remained resilient despite a challenging backdrop. Underlying operating leverage improved across segments and operating cash flows remained robust, supporting both growth investments and first tranche payment for the CPP stake acquisition in ISMDP L, while maintaining disciplined leverage.
Over the past year, we have also taken key steps to strengthen our growth trajectory for the long term: consolidating ownership in high -quality assets , progressing large under -construction developments and building depth across leadership and operations. Our focus remains on ensuring that this platform continues to compound sustainably through disciplined capital allocation, strong governance, and consistent execution.
With that context, I will now hand over to Rashmi who will walk you through the performance and key drivers in more detail. Over to Rashmi.

 Rashmi Sen: Thank you, Shishir and

good morning , everyone.
Retail continues to be the core engine of Phoenix Portfolio and FY26 was an extraordinary year for the business.
Leasing remained exceptionally strong . During FY26, we completed approximately 920 deals covering 3.2 million sq. ft. We opened over 400 new stores across the portfolio in FY26. This includes several marquee brands like Apple, Ikea, Uniqlo, Bershka, Rolex, Golden Goose, Lego, Victoria's Secret, Onitsuka Tiger, flagship store of Lifestyle, Tanishq, Azorte , Game Palacio, and Pantaloon s, among several others. These launches have further strengthened the positioning of our malls as the preferred destination for leading global and domestic brands.
On the F&B front, we introduced an Experience -Led Concept Gourmet Village at Phoenix Palladium, which is now being replicated across our portfolio starting with PMC Bangalore and Phoenix Palassio.
Rentals continue to grow steadily . Retail rental income for the year grew to Rs. 2,157 crore, up 10% year -on-year, without any area addition in the portfolio during the year. Revenue Share Income also improved meaningfully, reflecting healthy tenant trading performance.
At the asset level, Phoenix Palladium delivered Rs. 461 crore of rental income, growing 14% year -on-year. At both our P hoenix Market City Bangalore and Phoenix Market City Pune centers, over 3 lakh sq. ft. of area at each mall has undergone strategic repositioning. These churns in new deals will result in a strong double -digit rental growth in the upcoming year. Phoenix Palassio entered its fifth year of operation, triggering a renewal cycle which enabled us to achieve over 20% rental growth across 120 renewal and new deals. This uplift will flow through in the coming periods.
Our newer assets also continue to gain traction with Phoenix Mall of Asia delivering 33% growth in rentals and Phoenix Mall of the Millennium delivering 22% growth in rentals in FY26. We maintained strong cost discipline during the year. We continue to keep a very close eye on expenses, while ensuring the quality of customer experience across our assets is preserved.
Renewable energy now supports a meaningful share of our retail energy needs, delivering tangible savings. At the same time, we have transitioned to more targeted and smarter marketing campaigns which have helped us optimize spend s, while continuing to drive strong customer engagement and footfalls.

 All such initiatives have translated into robust EBITDA growth. Retail EBITDA for FY26 was Rs. 2,246 crore, growing 12% year -on-year. This improvement reflects both strong top -line income growth and operating leverage coming through from disciplined cost management.
Finally, consumption continues to be a clear outlier. Retail consumption reached an all - time high of Rs. 16,587 crore, growing 21% year -on-year, while Q4 consumption grew 31%, demonstrating strong momentum across the portfolio.
From a category perspective, fashion and accessories, which contribute nearly 60% of our area, grew by 16% during the year. Cinema and entertainment delivered 22% growth, while jewellery and electronics grew by over 30%, reflecting both premiumization and healthy discretionary demand .
What is equally important is the quality of that growth. Even as Q4 consumption moderated sequentially, retail rentals remained largely stable and retail EBITDA was essentially flat quarter -on-quarter. This reflects the structural protection of our lease model, and it is the same model that creates the runway for accelerated rental growth as leases reset over the next 2 -3 years.
On rentals specifically, rental income grew 14% this year on an already strong base. The gap versus consumption growth reflects three factors : (i) Our MG plus revenue share lease structure is designed to protect downside and capture upside as consumption scales, which creates a natural lag in the near term. (

ii) Newer assets like Mall of Asia and Mall of
the Millennium are still in their ramp -up phase and will converge over time . (iii) Seasonal consumption growth in Q4 was driven by categories such as jewellery and electronics, which are high volume categories, that carry structurally lower revenue share ratios.
With 36 -50% of our portfolio area coming up for renewal over the next 2 -3 years, the conversion of consumption growth into rental growth has a clear and near -term catalyst.
As we look ahead, leasing transactions at our under -construction assets remains encouraging, with Phoenix Grand Victoria in Kolkata already at 79% leased and Phoenix Surat at 41% leased. Combined with upcoming expansions of existing assets and visibility of pipeline extended through 2030, we are well positioned for a sustained double -digit growth in retail earnings over the next phase.
I will now hand the call over to Varun to walk you through the other business highlights. Thank you.

 Varun Parwal: Thank you, Rashmi.
I will now take you through the performance of our office business, followed by a brief update on hotels and our under -construction assets.
Over the past two years, our office platform has undergone a meaningful transformation in both scale and quality.
From a portfolio of approximately 2 million sq. ft. spread across Mumbai and Pune in FY24, we have now expanded to nearly 4.8 million sq. ft. today across four citi es: Mumbai, Pune, Bangalore and Chennai , with three large Grade -A developments that were delivered during 2025. Each office asset is integrated within our destination retail -led campuses, offering occupiers access to a differentiated, amenity -rich environment that is increasingly valued by leading corporates. Alongside s cale, we have remained focused on quality with all new developments having the best -in-class energy efficiency measures and are designed to support collaborative, future -ready workplaces.
FY26 also marked a strong year for the office leasing execution. Gross leasing for the year is over 2.2 million sq. ft. and our portfolio occupancy on this 4.8 million sq. ft. increased to 70%. Within this, our mature operational assets saw occupancy rise to 83%, up substantially from 67% at the start of the year, while the offices completed during 2025 saw lease occupancy ramping up to 62% from a very low base at the beginning of the year. This pace of absorption compares favorably with market benchmarks f or newly delivered Grade -A offices.
For the year, our operational office portfolio in Mumbai and Pune generated income of Rs. 213 crore, with EBITDA of about Rs. 141 crore, reflecting steady growth, even as a significant portion of leasing occurred in newly operational assets. As is typical in the office business, leasing activity leads income recognition with a time lag. With the leasing achieved during FY26 and the pipeline already in place, we now have clear visibility on income ramping up and overall occupancy progressing towards 90% over the next few quarters. We expect a meaningful step -up in rental income and EBITDA from FY27 onwards.
Turning briefly to Hotels . FY26 was a year of resilience amid a more cautious macro environment. Hotel income grew 8% to Rs. 596 crore , while EBITDA increased significantly by 14% to Rs. 276 crore, reflecting strong operating discipline and the inherent quality and standing of our assets in their respective micro -markets.
The St Regis Mumbai continued to outperform the market, with EBITDA margins improving to 49% and average room rates in excess of Rs. 21,000, supported by strong occupancy, underscoring its premium positioning and pricing power. Courtyard by Marriott Agra also

 remained resilient, sustaining occupancies in the high 70s and maintaining stable margins despite the softer backdrop for the overall city.
Rashmi spoke about Kolkata and Surat a

nd both of these assets are targeted for becoming
operational during FY28. Let me also give you a quick update on our other developments across Thane, Coimbatore and Chandigarh, where we have moved from approval stage into execution .
At Thane, we have received the environmental clearance and other necessary approvals, and we have onboarded the excavation contractor, with excavation expected to commence at the site shortly. At Coimbatore, all requisite approvals are in place and excavation at the site commenced from Q4 onwards. Similarly, at Chandigarh, all requisite approvals have been obtained, and pre -construction works have already been initiated.
Across all three locations, we are following our established development discipline wherein we secure all required approvals, finalize our design and cost frameworks, tender a significant part of the construction cost before we commence construction. This approach gives us confidence on timeline and visibility on cost and also ensures quality of execution as these projects progress.
With that, I will now hand the call over to Kailash, who will take you through our residential portfolio and overall financial performance.
Kailash Gupta: Thank you, Varun. Good morning, everyone.
I will take you through our Resi dential performance and then briefly touch upon overall financial position and capital allocation.
FY26 was a strong year for our Resi dential business, both in terms of sales momentum and cash generation. It is important to note that we approach residential development with a clear strategic lens. It is not a capital -intensive growth engine, nor does it compete for capital with our annuity busi nesses. Instead, we use Residential selectively as a cash -generating vertical, monetizing high -quality inventory in mature micro -markets.
Gross Resi dential Booking s for the year doubled to Rs. 471 crore, with collections closely

tracking at Rs. 467 crore. Revenue recognized during the year stood at Rs. 489 crore. This performance was driven primarily by our premium residential projects in Bengaluru, One Bangalore West and K essaku, which continue to see healthy demand and pricing resilience for ready inventory, with average realisation pricing around Rs. 28,000 -29,000 per square foot .

 At a Group level, FY26 reflects strong financial compounding . Consolidated revenue for the year grew at 16% to Rs. 4,423 crore , while EBITDA grew faster at Rs. 2,637 crore up by 22% . Driven by operating leverage across retail, office and hotel , Net Profit After Tax for the year stood at Rs. 1,557 crore , up by 20% . Operating free cash flow after working capital , tax (paid) and interest (expense) was at Rs. 2,140 crore , up by 23%.
FY26 was also a year of elevated capital deployment and investment in growth for our next phase. The most significant transaction was the buyout of CPP transaction stake in ISM DPL, which will result to full ownership of a high -quality cash generation platform.
Alongside this, we invested approximately Rs. 1,035 crore in construction and development across retail and office assets, and a further Rs. 431 crore towards land and development rights in existing projects.
Despite the level of investment, the balance sheet remained firmly under control. Gross debt stood at Rs. 5,164 crore with a net debt of Rs. 3,160 crore. Net debt to EBITDA ratio, which was 1.24 x last year, has improved to 1.19x this year, even after factoring the ISM DPL acquisition and peak construction capex. This reflects the strength of our operating cash flow and our disciplined approach to capital allocation.
As we look ahead, we remain focused on converting our scale into sustainable earning and cash flow growth, funding development largely through internal approvals and maintaining a conservative balance sheet as we execute the next phase of expansion.
With this we are happy to open the floor for q

uestion -and -answer.
Moderator: The first question comes from the line of Puneet Gulati from HSBC.
Puneet Gulati: Thank you so much and congratulations on good performance. My first question is with respect to the upcoming malls in Kolkata and Surat and also your residential project. Is it possible to get some sense of timeline as to what quarter for 2027 should we ex pect those?
Varun Parwal : Hi Puneet, so for Kolkata and Surat, we are expecting to launch it during FY28, in the second half of FY28.
Puneet Gulati: Okay, and the residential Kolkata?
Varun Parwal : Kolkata residential, Puneet, I think we are finalizing the design and the product mix in there and re -verifying the approvals. So, I think we will give you an update in our coming couple of quarters on the launch timeline for Kolkata residential.
Moderator: We move to the next participant. That's Mohit Agarwal from IIFL. Please go ahead.

 Mohit Agarwal: Hi, good morning, everyone and thanks for the opportunity. My first question is on the consumption growth for Q4. So, can you share the ex of jewellery or let's say ex of non - or low -revenue share segments? What would be the consumption growth so let's say the 30% reported number. What would that be, ex of jewellery or non -revenue share segments?
Varun Parwal : Sure, Mohit. So , if I take out jewellery and electronics, both of which have had very strong growth during FY2 6, but they are structurally lower as far as revenue share is concerned, then our Q4 consumption growth would come in at about 17 -18% for the rest of the portfolio. In fact, we believe that what you see in Fashion or F&B or in Cinema and Entertainment , this has been the strongest set of sequential quarterly growth numbers that we have seen over the last 3 -4 years in these categories.
Mohit Agarwal: And as we move into FY27, how do you see this jewellery and electronics growth stabili zing and the gap between the consumption growth and the rental growth on the reported basis? Would that narrow or would this gap continue in FY27 as well?
Varun Parwal : So, Mohit, we have a lot of moving positive factors at play , at this point in time. If I first talk about the portfolio, you will see the trading occupancy at Phoenix MarketCity Pune and Bangalore going up substantially in the coming quarters. It's not just occupancy that's moving up, but also the kind of retailers and the impact that they will have on the trading densities, consumption and the overall rental growth. We have already guided to a strong double -digit growth from these two mall portfolios that we should see during FY27.
Further, you should see the stabilization of Phoenix Mall of the Millennium and Phoenix Mall of Asia, which have seen over a 10% increase in their occupancies during FY26. This should stabilize and start contributing to rent, so you get a stable base to compare the rentals on.
And further, these two are the core set of malls that we have spoken about, but across the portfolio, we have a significant amount of lease expiries that are coming up, which gives

us a great opportunity to renew good performing brands and also introduce new
categories across malls like Phoenix Palassio and other malls where we have a number of
expiries.
Now, if you collectively take these three factors into consideration, we continue to remain
positive as far as rental growth across our portfolio is concerned. And electronics and gold
and jewelry, if they continue to grow well, you will see a strong momentum in
consumption, but even if they moderate, I don't think it will have that material impact on
rental growth for FY27. Does that address your question, Mohit?

 Mohit Agarwal: Yes . So, rental growth, irrespective of how the consumption number moves, this will
continue to be, as Rashmi mentioned, mid -to-high double -digit growth.
Varun Parwal : Yes. Mohit.
Mohit Agarwal:

My second question is on your opening remarks on office portfolio. You mentioned that
you are targeting 90% occupancy in the next few quarters. Now, clearly here, Bangalore is
the big thing that can move. It is about 33% lease d. So, what is the outlook on that asset,
Bangalore office? And secondly, on your RISE Commercial , how are you looking at, so
while it is still getting constructed, are you kind of reaching out to IPCs and trying to lease
out? What is the strategy in terms of leasing out that asset?
Varun Parwal : Great question s, Mohit. Thank you so much. I think, first of all, the response from the
tenant for our office products has been simply phenomenal in the last 12 months. We, in
fact, while we have announced that we have closed leasing of 2.2 million sq. ft. , we also
have several deals in the pipeline where commercials are closed and documentation is
under execution. And I think what has helped to set these office assets apart are the
amenity and the product experience s that we have provided. At the base level, the product
that we have delivered is of the highest standard in the market in terms of energy
efficiency, in terms of layout, etc. And we have further complemented it by adding never -
seen -before amenities like a great hall which provides all office occupiers with private
meeting rooms, great cafe s, entertainment areas, etc. And we also integrated at specific
locations mall offerings and lifestyle amenities like clubs, etc. , that have really set these
offices apart and they have become the go -to address for corporates who have their
addresses in these respective cities . I am not taking any names on this call of the tenants
who have come in, but if you follow our LinkedIn page, you will see many tenants have
posted about opening their new city headquarters in our office portfolio. And we have
several other more prominent o ccupiers in the pipeline that we are very hopeful of
converting. Similarly, Mohit, I think like retail , we b elieve in creating destination offices and
RISE is going to be a similar product that is going to be set apart from the rest of the
development that you see in the city. We are already engaging with IPCs and tenants and
conversations are at an advanced stage here. And finally, to address your question on
Bangalore, we have a very strong pipeline, so while you see a lease d occupancy in the late
30s right now, we expect it to move up substantially in the coming couple of quarters.
Mohit Agarwal: Okay. Just a clarification, any pre-leasing that you have already closed in for RISE so far?
Varun Parwal : We will come back and make those disclosures, Mohit, the minute we start signing LOIs.
But talks are moving at an advanced stage at this point in time.
Mohit Agarwal: Sure. Thanks a lot. That's all from my side.

 Moderator: All the best. Thank you. Participants, please restrict yourselves to two questions. For any
more questions, you may rejoin the queue. Our next question comes from the line of
Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Yes , sorry, I dropped out. My question is on the Phoenix MarketCity Bangalore and Pune,
where we have seen good comeback in terms of consumption growth, but it is yet to be
visible in rental growth. How should one read that?
Rashmi Sen: So, we have about 9% of area, both in Phoenix MarketCity Pune and Bangalore, which is
leased but under fit-out and has not started trading. So, we will see the upside of rental of
that area in the current year, FY27, as well as a lot of churn s that happened during the year
and brands have opened during different periods and some in Q3, Q4. So, you will also see
the full upside of that rental in FY27. So, Phoenix MarketCity, Pune, we will see close to 14 -
15% rental upside in FY27, and PMC Bangalore is going to be close to 20% increase in the
rental income.
Puneet Gulati: So, there's just a

bit of lag from consumption to rental over a quarter.
Rashmi Sen: I think what Varun answered earlier, apparel and accessories, which is close to 60% of our
portfolio, continues to grow at 15 -16% and we may see that continued seasonal jump in
jewelry and electronics. So, you will see that slight difference between the growth rate of
consumption and rental. But otherwise, it all looks very healthy in terms of both the

consumption increase and the rental increase and both will grow at a similar pace.
Puneet Gulati: Understood. That's helpful. And lastly, on slightly philosophical side, you have two small malls, Phoenix United in Bareilly and Lucknow and a hotel in Agra, not meaningfully contributing. What is your thought about divesting those assets or do they serve a purpose in your portfolio?
Shishir Srivastava: Puneet, we have not thought about divesting those assets. We have a strong team in the North which has an oversight on all of these assets and amongst the larger assets that we have in North that are upcoming. So, we have not thought about divesting these, but we take your point that these are not very impactful in the overall financial statements, they don't have much of an impact. However, there is potential in these cities as they continue to grow. So, there could be a model to expand on, but for the moment we have not thought about that.
Moderator: Thank you. The next question comes from the line of Pritesh Seth from Axis Capital. Please go ahead.
Pritesh Seth: Thanks for the opportunity. Good morning to the team. First question is on the upcoming expiries, almost 50% of the portfolio next three years coming up for expiry, three to four

 years. What kind of rental upside that we see based on the existing contracted rents and what the actual market rents are? If you can guide us on that.
Varun Parwal : Thanks Pritesh for the question. Let me take a step back and talk about what we have done in FY2 6. In FY2 6, Rashmi spoke about doing about 3.2 million sq. ft. of these across the portfolio. If I take out the deals that we have done at our under -construction assets, we are talking about almost nearly 2 million sq. ft. of deals that is done at the existing operational portfolio. Within this portfolio during FY26 , I think on a blended average, we have seen nearly a 20% growth in rentals between n ew deals and renew als combined. Now, we have a strong lea sing expiry pipeline that is there and we have identified opportunities to reposition especially in terms of the brands and category met as well as the F&B experiences like Gourmet Village that Rashmi spoke about earlier. We will use this opportunity to reposition the mall and target strong rental upside not too dissimilar from what you have seen in FY26 as well.
Pritesh Seth: Not too different than what we have seen in FY26 , right?
Varun Parwal : That is what our endeavor would be and I think market conditions staying supportive , we hope to deliver on that.
Pritesh Seth: Sure, and beyond these expiries , the rest of the portfolio will grow at your contractual kind of levels or there also there will be contractual plus revenue share coming into picture and hence, it would more or less be linked to the consumption growth as well.
Varun Parwal : A strong, strong endeavor internally to ensure that every retailer is having their best performing stores at our malls and hence, our marketing efforts, our customer engagement initiatives and all the events that we do is targeted to ensure that retailers are growing not just at 5 % but at much higher growth rates year after year. So, I would say that the rest of the portfolio outside of the expir ies should continue to see reasonable growth year on year.
Rashmi Sen: I would also like to add one point to that that in addition to the expir ies, we also continue the ongoing churn to bring in newer brands that are comin

g into the market and as you have seen in recent times in Phoenix Market City Pune, Bangalore, we have seen over the last two years, we have seen 10% to 20% to 25% churn that we have done. So, this will also bring in the increased rental impact in addition to the upcoming expir ies because that is an ongoing process.
Pritesh Seth: Yes , got it. That's helpful. Second on the Phoenix Market City Pune and Bangalore, by when can we expect them to reach 95 % of trading occupancy which is a general stabilized rate that we expect?

 Varun Parwal : I think, Pritesh, in our presentation, we have already guided to reaching about 90% by the end of Q1, right? And because we have certain identified stores like Uniqlo and other stores that are scheduled to open and our lease occupancies, if you see at Bangalore and Pune, Bangalore is already entirely leased, and Pune is also near 100% leasing at this point in time. So, the trading occupancy should also move up towards the 95 -96% levels by the end of FY27.
Pritesh Seth: Sure, sure. And just one last on the office side.
Varun Parwal : Yes, go ahead, Pritesh.
Pritesh Seth: Just one last on the office side. When should we start expecting rentals from the newer office assets around from Q2 onwards since these assets were completed towards the end of last year?
Varun Parwal : Yes, Pritesh, I think you should expect to see revenue coming in from Q2 onwards and quarter -on-quarter you should see revenue growing. I don't want to hazard a guess , but I

would estimate that our quarterly income from office assets should double from current
levels by the time next year Quarter 4 comes around.
Pritesh Seth: Sure, got it. That's helpful. Thanks, and all the best.
Varun Parwal : Thank you.
Moderator: Thank you. The next question comes from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Yes , hi team. Congratulations on a good quarter. So, my first question is on the rentals. So, we have seen 21% consumption growth has translated to 10% growth in rentals. So, just wanted to understand if the mix of the tenant remains the same. So, is it correct to assume that typically conversion from consumption to rental will be roughly up to half, like 50%?
Varun Parwal : Parikshit, thank you. That's an interesting question. Just for everyone listening in I will just maybe give a backdrop on how our lease structure is structured and why it creates an intentional gap at times between consumption growth and rental growth.
As you are aware, our leases are higher of fixed rent or revenue share, whichever is higher. Now, the fixed rent at the beginning of the lease creates downside protection for us. So, even when stores are ramping up their consumption and their retailer sale s may not have reached the threshold level at which they start paying revenue share to us, we still continue to benefit and enjoy downside protection from the fixed rent. And once consumption crosses and reaches the threshold level, then our rent starts mo ving

 alongside it. You have seen this normalization play out in the last two years in Phoenix Mall of the Millennium and Mall of Asia, where rent to consumption have moderated to what our portfolio average levels of about 10 -11% for new malls.
Going forward, the rent should continue to grow. The growth and consumption would depend on a) where the high growth but low revenue share categories like jewellery and electronics come in. And I would say that if market conditions stay the way they are, the gap between rent and consumption should continue to naturally narrow as we go forward and t he revenue share component of our rental fees continue kicking in and bridging the gap.
Parikshit Kandpal: So, out of the INR 2,157 crore of rent, how much was minimum guarantee and how much was revenue share?
Varun Parwal : We typically don't provide t

hat breakup, Parikshit but you may consider 90% of the rental income to be fixed in nature and the rest is incremental revenue share over and above the fixed rent that we generate from retailers.
Parikshit Kandpal: And since the last question on the 10% growth in rentals , which we have seen, if you can help us understand backdrop of what was the impact of the ramp -up in trading occupancies , like -to-like, if we had to compare what could have been the actual rental growth because I think newer malls have seen a sharp ramp -up in trading occupancies which could have added additional delta. I just want to understand and also on the volume and pricing bit how much do you think that people have achieved because I think you said some areas were under renewal and we got 20% growth there , so I just wanted to understand whether the pricing is tracking inflation at least.
Varun Parwal : Yeah, I think there are many parts to unpack in that question but if I try and take a short -arm jab at that question, I would say that first of all factually trading area at a portfolio level hasn't increased compared to last year. You have seen trading oc cupancy go up in Phoenix Mall of the Millennium and Phoenix Mall of Asia but at the same time we have lost some area in Phoenix Palladium which is intentionally under redevelopment at this point in time and we have repositioned the Phoenix Ma rket City Mall s which has also led to a temporary intentional drop in trading occupancy. So , when we compare at our end, when we look at the data and we see trading areas across the portfolio, FY26 was at the same level or slightly below FY25.
Of course in terms of trading densit y like you alluded to Phoenix Market City Mall s have seen a significant growth in trading densit y which are in excess of 20% for the quarter and also overall for the full year as well and that's an outcome at times of deliberate selection of which retailers continue to stay and what type of events we do to manage the impact from lower trading area in the mall .

 Parikshit Khandpal: Thank you.
Moderator: Our next question comes from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: Hi, good morning. Thanks for taking my question. Two questions from my side first. First, you said that consumption growth ex of electronics and jewelry was maybe 17 -18% in Q4. What would have been a similar number for FY26 as a whole?
Varun Parwal : Sorry Parvez Are you asking for a similar number for FY25 or FY27?
Parvez Qazi: FY26 consumption growth was 21% but if you adjust for jewelry and electronics then what

would that number have been?

Varun Parwal: Okay, that number would have been 14 -15% adjusted for jewelry and electronics for the full year of FY26. For Q uarter 4 that number was closer to 18% and for Q uarter 3 that was 16%.

Parvez Qazi: Sure. The second question is, I mean obviously , the current economic environment is volatile. So what has been the consumption trend in April, and I mean again ex of jewelry and electronics, what do you think FY27 consumption growth looks like?

Rashmi Sen: So, April is looking very good. We are seeing close to a 30% growth in April. We have also had Akshay Triti ya in April. So obviously the jewelry continues to have that seasonal upside in the month of April and without this category the growth would fall somewhere between 17-18%.

Moderator: The next question comes from the line of Girish Chaudhary from Avend us Spark. Please go ahead.

Girish Chaudhary: Hi, good morning. Thanks for the opportunity. Some of my questions have been answered. I have just one. On the visibility in terms of number of malls, you have an announced pipeline which will take you to around 18 million sq. ft. by 2030. So, looking at let us say you have been wanting to enter new cities beyond where you are present like let us say Hyderabad or the Delhi NCR kind of markets or other Tier

-1, Tier -2 markets. And, the construction or development cycle takes to 4-5 years. So just wanted to get a sense on the land scouting strategy. So , how should we look at beyond 2030?

Varun Parwal: Girish, we are hard at work, and we are actively scouting the cities that we have also put out in our presentation. This includes Hyderabad, Jaipur, Navi Mumbai amongst others. And fingers crossed, we will be announcing one or two transactions during FY27 in terms of new city expansi on. That said, we do have substantial opportunities within our existing portfolio. So, like how we are undertaking expansion of Phoenix Palladium and Phoenix Market City Bangalore and converting them into super cam puses. We do have such

opportunities across the rest of the portfolio as well. And we will evaluate and share the same going forward.

Girish Chaudhary: Thanks. Thanks. That's helpful.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the Management for the closing remarks.

Varun Parwal: Thank you everyone for joining us. And should you have any follow -up questions, reach out to our IR Team led by Kar l and Madhurima for further follow -ups. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of The Phoenix Mills Limited , that concludes this conference call. Thank you for joining us and you may now disconnect your lines.